



THE DIGITAL BANK WITH A HUMAN TOUCH

Annual Integrated Report 2024





المغفور له بإذن الله الشيخ زايد بن سلطان آل نهيان
تفمده الله بواسع رحمته
SHEIKH ZAYED BIN SULTAN AL NAHYAN



صاحب السمو الشيخ محمد بن زايد آل نهيان
رئيس دولة الإمارات العربية المتحدة
HIS HIGHNESS SHEIKH MOHAMED BIN ZAYED AL NAHYAN
PRESIDENT OF THE UNITED ARAB EMIRATES



صاحب السمو الشيخ سعود بن صقر بن محمد القاسمي
عضو المجلس الأعلى للاتحاد - حاكم رأس الخيمة
HIS HIGHNESS SHEIKH SAUD BIN SAQR BIN MOHAMMED AL QASIMI
SUPREME COUNCIL MEMBER - RULER OF RAS AL KHAIMAH



سمو الشيخ محمد بن سعود بن صقر القاسمي
ولي عهد رأس الخيمة
HIS HIGHNESS SHEIKH MOHAMED BIN SAUD AL QASIMI
CROWN PRINCE OF RAS AL KHAIMAH



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01

About our Annual Integrated Report

RAKBANK’s Annual Integrated Report (AIR) provides our stakeholders with a concise and transparent assessment of our business and a holistic view of the Group’s operations.

Reporting scope

This report outlines our strategy and business model, operating context, material risks, stakeholder interests, performance, prospects and governance for the year 1st January to 31st December 2024. At the same time, the report shares RAKBANK’s strategy and implementation approach across the Group.

It deals with the Bank’s primary activities, business divisions and key support units. By highlighting our business practices, strategic objectives, non-financial performance and profitability, the report aims to provide stakeholders with means to assess the Group’s ability to create and sustain value over the short, medium and long terms.

Financial and non-financial reporting

The report extends beyond financial reporting and includes non-financial performance, opportunities, risks and outcomes associated with the Bank’s key stakeholders, who can impact its ability to create sustainable value. While compiling this report, we considered our most material financial and non-financial matters and determined our disclosures accordingly.

RAKBANK’s annual financial statements cover the Bank’s activities, as well as all its subsidiaries. The consolidated financial statements were prepared in accordance with the International Financial Reporting Standards (IFRS) and comply with the provisions of the Central Bank of the UAE (CBUAE) and the Bank’s Articles of Association.

Target audience

This report addresses, primarily, the information requirements of long-term investors (our equity shareholders, bondholders and prospective investors) and outlines how we create value for other key stakeholders, including our regulators, customers, staff and society.

Environmental, social and governance reporting

Our approaches to governance and risk management are integrated throughout this report. Environmental, social and corporate governance (ESG) information is aligned with the Global Reporting Initiative (GRI), United Nations Sustainable Development Goals (UN SDG), ADX ESG guidelines and the UAE Vision 2031.

Forward-looking statements

This report may contain forward-looking statements based on numbers, estimates or assumptions that are subject to change. These include statements regarding our intent, belief or current expectations with respect to RAKBANK’s businesses and operations, market conditions, results of operation and financial condition, specific provisions and risk management practices. Readers are cautioned not to place undue reliance on these forward-looking statements. RAKBANK does not commit to publicly releasing the result of any revisions to these forward-looking statements to reflect events or circumstances or unanticipated events after the date of publication. Due care has been used in the preparation of forecast information but the actual results, either negative or positive, may be materially different because forecasts and hypothetical examples are subject to uncertainty and contingencies outside RAKBANK’s control.

Board responsibility

The Board approved this Annual Integrated Report on 26th February 2025 and acknowledged responsibility for its accuracy. It has applied its collective expertise and, in its opinion, this AIR addressed all material issues to present an overview of the Bank’s performance in the year under review.

Mohamed Omran Alshamsi
Chairman

Feedback on AIR

We welcome your feedback on this report. Please email your comments to ir@rakbank.ae



Leadership Insights

Chairman’s Statement

It is with great pride that I reflect on RAKBANK’s outstanding performance in 2024. Our unwavering commitment to excellence, coupled with a focus on digital innovation and exceptional customer experiences, has driven remarkable financial growth, enabling us to surpass the AED 2 billion profit milestone for the first time in the Bank’s history.

At RAKBANK, our purpose goes beyond financial success. We are dedicated to driving financial inclusion, fostering innovation and supporting a sustainable economy. This year, we launched our Microfinance product to serve underbanked and financially excluded segments, disbursing approximately 513,000 loans and replacing informal borrowing with a transparent banking solution. We also held financial literacy sessions across schools and labour camps, covering key topics like budgeting, saving and understanding interest, empowering participants with valuable financial knowledge.

As a trusted partner in the UAE’s growth, we are also dedicated to the development of Emirati talent. By investing in learning and leadership programmes, we

are equipping the next generation with the skills and vision needed to propel the UAE economy forward, ensuring the country’s ambitions are realised for years to come.

With a strong and resilient balance sheet, RAKBANK will continue to invest in talent and technology to deliver a market-leading offering, distinguished by exceptional customer experiences. On behalf of the Board, I would like to express my heartfelt gratitude to our colleagues, customers, partners and shareholders. Your unwavering trust and dedication inspire us to reach new heights as we work together to contribute to the UAE’s remarkable journey of progress and prosperity.



With a strong and resilient balance sheet, RAKBANK will continue to invest in talent and technology to deliver a market-leading offering, distinguished by exceptional customer experiences

Mohamed Omran Alshamsi
Chairman



Leadership Insights

CEO’s Statement

2024 has been significant for RAKBANK, marked by record profitability and substantial evolution across all business lines. Profit before tax of AED 2.3 billion, a 27% year-on-year increase, demonstrates the strength of our balance sheet, prudence of our risk management approach, and the effectiveness of the strategy to establish a well-diversified franchise.

Our strategic transformation is delivering sustainable business growth while pivoting us to become a “Digital bank with a human touch”. This vision emphasizes creating a culture of ownership in delivering awesome customer experiences, modernizing technology and data capabilities and strengthening risk and compliance frameworks to ensure scalable progress. This enhanced operational leverage, coupled with the ongoing diversification of the portfolio, has led to sustained value creation for our stakeholders.

We remain committed to supporting our customers across our three business segments. In Retail Banking, we saw significant improvement in our mortgage portfolio as we supported over 2,300 customers to buy new homes in the UAE. We launched a number of new propositions throughout the year and drove consistent enhancement to our Digital Banking app to provide our customers with a seamless experience.

RAKBANK remains the UAE’s leading SME bank, supporting 91,700 businesses across the country and enabling approximately 13,000 new entrepreneurs to launch their businesses during 2024. We also continued to expand in the Commercial segment, supporting larger businesses with their progress aspirations, registering and increase of 40% in the Commercial lending trade book. Our enhanced onboarding journey has made it easier than ever for business owners to open their accounts with RAKBANK and we saw 25% growth in new SME accounts. The launch of

Season 2 of our SMEsouk podcast was a significant milestone, garnering over 3.8 million impressions in our social media channels, further strengthening our position as thought leaders in the SME space.

The Wholesale Banking Group also made solid strides, strengthening its active client base by 2% and expanding its offerings to include escrow services and enhanced trade finance solutions. We continue to support our home emirate of Ras Al-Khaimah in its ambitious transformation plans, while also growing our relationships with Abu Dhabi and Dubai based institutions. Additionally, the launch of the FX platform in 2024 enhanced FX capabilities, providing clients with real-time rates and streamlined transaction execution.

We are expanding our “beyond banking” business lines and have seen vigorous adoption of our family super app, Skiply. This platform now hosts 176,000 users, 296,000 students and 315 educational institutions. Protego, our disruptive digital insurance aggregator, was launched in this year, while we also recorded remarkable growth in our new microfinance proposition, disbursing over 500,000 micro-loans to blue collar workers and aligning with our commitment to support the society in which we operate.

Reinforcing this commitment, RAKBANK became the first bank in the GCC to issue a Social Finance Bond, with proceeds directed towards supporting SMEs and the healthcare sector, aligning with the

“We the UAE 2031 vision”. Our colleague-led councils consistently play an active role in supporting the communities we serve, with over 800 hours dedicated to financial literacy and other volunteering throughout 2024.

In Personal banking, the digital-first strategy has resulted in over 87% of new accounts being opened digitally and 98% of financial transactions conducted digitally, while we recorded over 50 million app logins. Additionally, 72% of service requests are now fully digitised. Equal Payment Plans for credit cards were introduced via the mobile app, achieving 60% digitisation within one month. These milestones reflect leveraging innovation to deliver seamless and efficient experiences. As we continue to embrace digitisation, we launched the AI Lab to drive advancements in productivity and customer experience, helping us achieve “Mission Zero” – zero errors, zero delays and zero complaints.

Looking ahead, the UAE economy is performing strongly, supported by thriving tourism and non-oil activity along with population growth across the Emirates. However, we are vigilant of the increasing global economic uncertainty and remain cautiously optimistic for the year ahead.

I would like to thank RAKBANK’s employees, partners, shareholders and customers for their ongoing trust and support in delivering a record year in 2024.



Our strategic transformation is delivering sustainable business growth while pivoting us to become a “Digital bank with a human touch”



Raheel Ahmed
Group Chief Executive Officer

2026 Vision

In October 2022, RAKBANK finalised its 2026 Strategic Plan. 2024 marks the midpoint in the journey to execute the vision to “Become the digital bank with a human touch, with you in key moments of truth”.

Key strategic pillars



Become Bank of choice for SMEs



Personalise and digitise Retail Banking



Build a comprehensive Wholesale Banking offering



Deliver cutting edge banking innovations

Key strategic objectives



Continued diversification of our business for sustainable growth



Become the most personalised Bank in UAE with a brilliant customer experience



Deliver scalable growth through digitisation and automation



Invest in our people



Ongoing commitment to our community and ESG

Central to the strategy are four key principles

- 1

Continued diversification of our business for sustainable growth
- 2

Become the most personalised bank in UAE by offering a brilliant customer experience
- 3

Deliver scalable growth through digitisation and automation
- 4

Invest in our people and ongoing commitment to our community and ESG



2024 at a Glance

Full year results (AED million)

	FY'20	FY'21	FY'22	FY'23	FY'24
Net interest income	2,525.6	2,168.4	2,489.3	3,336.3	3,562
Non-interest income	1,038.4	1,062.1	906.4	1,067.9	1,150
Total income	3,564.0	3,230.5	3,395.7	4,404.2	4,713
Operating expenditure	(1,395.3)	(1,395.6)	(1,435.3)	(1,601.3)	(1,658)
Operating profit before provisions for credit loss	2,168.7	1,835.0	1,960.4	2,802.9	3,054
Provisions for credit loss	(1,663.3)	(1,076.7)	(794.4)	(1,005.5)	(776)
Profit before tax	505.4	758.3	1,162.9	1,797.5	2,278.1
Income tax expense	-	-	-	(13.7)	(202)
Net profit (after tax)	505.4	758.3	1,162.9	1,783.7	2,075

Balance sheet highlights (AED billion)

	FY'20	FY'21	FY'22	FY'23	FY'24
Total assets	52.8	57.6	66.3	74.0	88.3
Gross loans and advances	32.2	35.5	38.1	42.0	50.1
Deposits	36.9	38.9	44.9	50.4	59.6

Digital transformation ('000)

	FY'20	FY'21	FY'22	FY'23	FY'24
Number of digital transactions	7,500	9,110	10,596	11,957	13,647
Logins made by customers	32,309	34,674	38,310	44,820	50,600

Diversity and inclusion at year-end

	FY'23	FY'24
% Senior Management positions occupied by women	19%	20%
Number of nationalities represented on RAKBANK workforce	58	59
Emiratisation ratio	18%	24%

Preserving natural resources

Direct electricity consumption (kWh, units in '000)	15,370	Total water consumption ('000 litres)	37,283
2023: 19,430		2023: 41,831	

Customer satisfaction

Overall customer satisfaction score	4.7/5
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Year in Review

January

- We launched our microfinance product, aimed at meeting the financial needs of the underbanked and financially excluded, disbursing approximately 513,000 loans, assisting over 100,000 customers

March

- The Group renewed its co-branded credit card partnership and associated benefits, including air rewards, complimentary flights and interest-free payment plans on Air Arabia tickets

May

- RAKEZ and RAKBANK extended their partnership to enhance banking services for SMEs: using a blockchain platform and shared e-KYC data to speed up bank account openings
- The Group partnered with C3, a subsidiary of Edenred, to launch a digital payroll solution

August

- Introduced equal payment plans for credit cards via the mobile app, with a 60% digitisation of this service within one month
- Launched Skiply 2.0, our comprehensive family payment platform that allows parents to manage education payments and extracurricular activities. The platform now includes 315 educational institutions, more than 176,000 users and over 296,000 students
- RAKBANK partnered with Bitpanda to create a digital asset management platform for UAE residents, which will enhance digital asset opportunities

October

- RAKBANK adopted the Oracle Fusion Cloud Applications Suite to streamline finance, HR and supply chain processes to optimise costs, enhance efficiency and support rapid growth
- Finance Middle East recognised RAKBANK Group CEO, Mr. Raheel Ahmed, as one of the GCC's top banking CEOs

December

- Achieved full integration with Western Union for remittances and Aani for domestic payments

February

- Business Banking Group launched a new digital account opening journey for our SME customers

April

- In collaboration with RFI Global, launched the SME Confidence Index report, which surveyed over 1,000 SMEs in the UAE, revealing a confidence index 61
- RAKBANK and DP World partnered to offer innovative and affordable trade finance solutions, leveraging DP World's trade network and real-time data insight to enhance risk assessment and streamline businesses financing
- RAKBANK and Dubai Police announced a strategic partnership, a significant step towards enhancing institutional integration

July

- RAKBANK issued a five-year Euro Medium-Term Note under its Social Finance Framework, raising USD 600 million to support SMEs and healthcare, aligning with UAE's sustainable development goals. Proceeds support SMEs and the healthcare sector, aligned with the "We the UAE 2031" vision
- RAKBANK partnered with Wipro to establish a Testing Centre of Excellence in Dubai to accelerate innovation and improve the quality and efficiency of the Bank's digital services
- RAKBANK celebrated its 40-year partnership with the Ras Al-Khaimah Finance Department
- RAKBANK and Microsoft launched their collaboration to leverage AI for transforming compliance, fraud detection, customer interactions and marketing. This collaboration will redefine compliance, enhance customer interactions and profoundly improve the customer experience

September

- RAKBANK launched the Protego insurance platform, which uses AI-powered claims notifications and a digital e-vault for policy management, transforming how UAE residents buy, manage and claim against their insurance policies
- RAKBANK executed its first cross-border CBDC payment using the mBridge platform, transferring Digital Dirham against digital Chinese Yuan. A significant step in digital banking
- Magnati and RAKBANK jointly launched an innovative merchant financing platform that provides businesses with embedded finance solutions
- Successful completion of the Bank's inaugural Tier 2 bond issue of USD 250 million, enhancing its capital base and supporting future growth

November

- RAKBANK partnered with Paramount and Archer to implement a governance, risk and compliance (GRC) solution, using a centralised platform to enhance risk management and compliance

Awards and Accolades in 2024



Finance Middle East recognised Mr. Raheel Ahmed, Group CEO, as one of the top banking CEOs in the GCC



RAKBANK launches its inaugural SME Confidence Index in collaboration with RFI Global Finance Middle East



C3 Card and RAKBANK win the Award for Best Technological Innovation in B2C Payment



Middle East Banking AI and Analytics Summit Awards
Best Use Case of AI and Analytics in Cybersecurity



ABF Retail Banking Awards 2024
Website of the Year
Best Fintech Start-up
Best Payments Solution (Skiplay)



The Digital Banker
Best Digital Banking Solution (Skiplay)
Best Payments Platform Initiative (Skiplay)



RAKBANK is awarded the MARJA Impact Seal – Gold Tier for its sustainable practices in the UAE



Infosys Finacle Innovation Awards
Gold Award – Maximizing Customer Engagement



Global CISO Award
Outstanding Achievement in Cybersecurity



MEA Finance Banking and Technology Awards
Best Cybersecurity and Risk Management Implementation
Best Retail Payment Implementation (Skiplay)



International Finance Awards
Best Mobile Payment App for Education – for Skiplay
Most Innovative Home Loan Product in the UAE (Home in One)



20th Asian Banking and Finance Awards (UAE)
Website of the Year
Fintech Start-up Award
The Best Payments Solution
Fraud Initiative of the Year
Best Islamic Initiative



MEA Finance Banking
Leaders in Payments Awards Best User Experience in Payments UAE (Skiplay)



World Business Outlook
Best Business Bank
Best Education Payment Digital Solution (Skiplay)



The Digital Banker (Digital CX Awards)
Best Digital CX (SME Account Opening and Customer Onboarding)



World Economic Magazine Awards
Most Innovative Retail Bank
Fastest Growing Microfinance Bank
Most Innovative Mobile Bank



SAS Excellence Awards
Cloud Adoption Pioneers



Middle East Economic Digest
MENA Banking Excellence Award – SME Bank of the Year
Best Use Case of AI and Analytics in Cybersecurity in 2024



Qorus Reinvention Awards – MEA
ESG Award – Advance Against Salary (AAS) programme, which supports underbanked and financially excluded communities
Bronze Award – SME Bank of the Year



Outlook

RAKBANK is strategically positioned for sustained growth and transformation in 2025, building on the achievements of 2024.

Our forward-looking strategy emphasises several critical areas.

1	Financial performance	- Maintain strong financial performance by focusing on diversified revenue streams and prudent risk management - Achieve ongoing productivity improvement to ensure we can serve our customers in the most efficient way possible
2	Business diversification	- Further diversifying the business and asset mix - Continue developing our Business Banking and Wholesale banking segments through strategic partnerships and innovative solutions - Expand Personal Banking’s market presence and improve its service offerings
3	Digital transformation	- Complete the migration to new digital platforms, including AI and data enhancements, CRM and ERP systems, to improve operational efficiency and customer service - Achieve improvement in customer experience (CX) metrics by further personalising customer journeys and enhancing digital interactions - Use AI and data-driven insight to enhance customer experience and operational efficiency
4	Sustainability initiatives	- Target ongoing reduction in water, power and paper usage, while expanding our green finance portfolio and supporting the UAE’s sustainability goals - Sustain the integration of environmental, social and governance (ESG) principles into RAKBANK’s business
5	Employee development	- Expand and enhance employee training and development programmes - Maintain a focus on Emiratisation and promote diversity and inclusion within the workforce - Drive ongoing workplace modernisation and new ways of working
6	Community engagement	Strengthen community support initiatives, including financial literacy programmes and small business support. Increase our CSR funding and volunteer hours to expand our positive impacts on society.

Potential risks and challenges

RAKBANK recognises potential risks across various domains and remains committed to proactive risk management and mitigation.

Economic and market risks

Fluctuations in interest rates could influence margins and profitability, particularly in a declining rate environment. Geopolitical tensions and economic instability in key markets pose challenges to growth and financial resilience.

Regulatory and compliance risks

Adapting to dynamic regulatory landscapes, especially in digital banking and ESG compliance, requires sustained effort. Higher compliance costs may weigh on overall profitability.

Operational risks

Rapid digital transformation demands substantial investment, presenting risks related to system integration, cybersecurity and talent acquisition. We have prioritised meeting ambitious productivity and cost-reduction targets in tackling the competitive UAE banking environment.

Competitive risks

The financial sector faces heightened competition from neo-banks, fintech companies and non-banking entities, which necessitates continuous innovation to maintain profitability and market share. Increasing customer demand for seamless digital experiences highlights the need for continual tech investment.

Sustainability risks

Achieving ambitious sustainability targets, such as reducing the carbon footprint, requires dedicated resources and ongoing commitment. Effective community engagement in a changing society is RAKBANK’s key to long-term success.

Cyber and information security risks

Increasing cyber and information security risks due to the evolving threat landscape, necessitating robust measures to protect sensitive data and maintain customer trust.

Fraud risks

The Bank must remain vigilant against fraud risks, implementing stringent controls and monitoring systems to detect and prevent fraudulent activities that could impact financial stability and reputation.

RAKBANK’s strong financial performance, focus on innovation and sustainable practices – in tandem with overcoming risks and challenges – means that RAKBANK is positioned for success in 2025 and beyond.

A wide-angle photograph of a modern office interior. In the foreground, there's a lounge area with two white armchairs and two grey armchairs arranged around a small round table. A large wooden planter box filled with green plants sits in the middle ground. To the left, a service counter with a red wall and a curved white pillar is visible. The ceiling features large, circular, recessed light fixtures. The overall atmosphere is bright and contemporary.

RAKBANK Overview

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Who We Are

RAKBANK, founded in 1976, is a prominent UAE public joint stock company providing diverse financial services like conventional and Islamic banking and insurance. It is renowned for SME and personal banking, with a growing wholesale banking segment enhancing its success.



Where We Operate

RAKBANK’s main office is located in Ras Al-Khaimah, UAE, along Sheikh Mohammed Bin Zayed Road with RAKBANK Corporate Headquarters in Dubai, UAE, Dubai Silicone Oasis. The Bank operates branches throughout the UAE, including locations in Dubai, Abu Dhabi, Sharjah, Ajman, Fujairah and Umm Al Quwain.

Subsidiaries

Subsidiary	Ownership	Incorporated	Principal activities
Ras Al-Khaimah National Insurance Company PSC	79.23%	UAE	Underwriting all types of insurance business
BOSS FZCO	80%*	UAE	Back-office support services to the Bank
RAK Technologies FZCO	80%*	UAE	Technological support services to the Bank
Rak Global Markets Cayman Limited	100%	Cayman Islands	To facilitate Treasury transactions
Protego Insurance Brokers L.L.C.	100%	UAE	Insurance brokerage

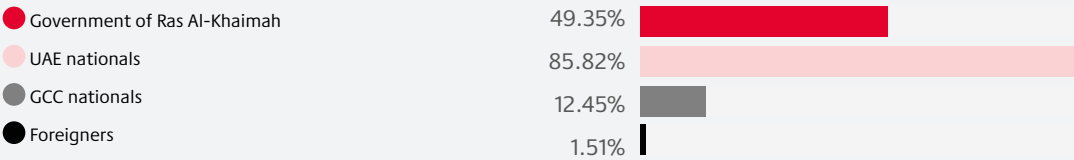
* These represent legal ownership of the Bank. However, beneficial ownership is 100% as the remaining interest is held by a related party on trust and for the benefit of the Bank.

In compliance with CBUAE regulations, during the year, the Bank has infused additional capital of AED 20 million in Protego Insurance Brokers L.L.C.

As part of ongoing efforts to streamline operations and optimise business structure, the Group initiated voluntary liquidation of four subsidiaries: RAK Technology FZCO, RAK Funding Cayman Limited, RAK Global Markets Cayman Limited and RAK Financial Services Limited (RAKFS). As at 31st December 2024, the licence/certificate respectively of RAKFS and Rakfunding Cayman Limited has been revoked with liquidation formalities in progress for other subsidiaries.

Ownership structure

The Ras Al-Khaimah Government owns 49.35% of RAKBANK, which is publicly traded on the Abu Dhabi Securities Exchange.



Source: ADX
 Numbers may not add up due to rounding.

Vision, Mission, Values and Personality

Vision

The digital bank with a human touch, with you in key moments of truth.

Mission

To become a leading customer-focused bank in the UAE, offering convenient access to innovative and competitive financial products across multiple channels to individuals and businesses.

Values

- Integrity** - RAKBANK knows that trust is fundamental and to be trusted, it must remain competent and honest
- Transparency** - The Bank discloses all product terms and conditions by using simple language on its website and at its points of sale
- Collaboration** - RAKBANK forms diverse teams to achieve better results and responsibly partner with stakeholders and regulators to serve society's broader interests
- Accountability** - RAKBANK recognises that it is ultimately accountable to its shareholders, and so focuses unrelentingly on maximising long-term shareholder and asset value

Personality

- Action** - RAKBANK believes in getting things done and considers efficient decision-making to be paramount
- Clarity** - The Bank aims to provide information to its customers that is clear, simple and regularly updated through the Bank's website and other communication channels
- Agility** - RAKBANK likes to think of itself as "Simply Different". It is driven by the changing and dynamic needs of its valued customers
- Innovation** - The Bank is firmly committed to investing in smarter banking solutions and increasingly uses technology to make its range of services more accessible to more customers, wherever they are



RAKBANK's Operating Context

Economic Factors

In 2024, the United Arab Emirates (UAE) economy grew faster than the projected global average rate of approximately 3%, achieving a real Gross Domestic Product (GDP) growth of 3.6% in the first half of the year to reach AED 879.6 billion. This expansion was significantly driven by the non-oil sector, which contributed AED 660 billion, marking a 4.4% increase and accounting for 75% of the total GDP.

The financial and insurance sectors were notable contributors, recording a 7.6% growth rate. This sectoral expansion underscores the UAE's diversified economic base and its strategic focus on financial services as a pillar of economic development.

The UAE Central Bank revised its 2024 GDP forecast to 4%, citing improvements in the oil sector's performance. This outlook suggests a robust economic environment for financial institutions like RAKBANK.

Overall, the UAE's economic resilience and diversified growth have provided a solid foundation for RAKBANK's ongoing success in 2024.

Customer Trends

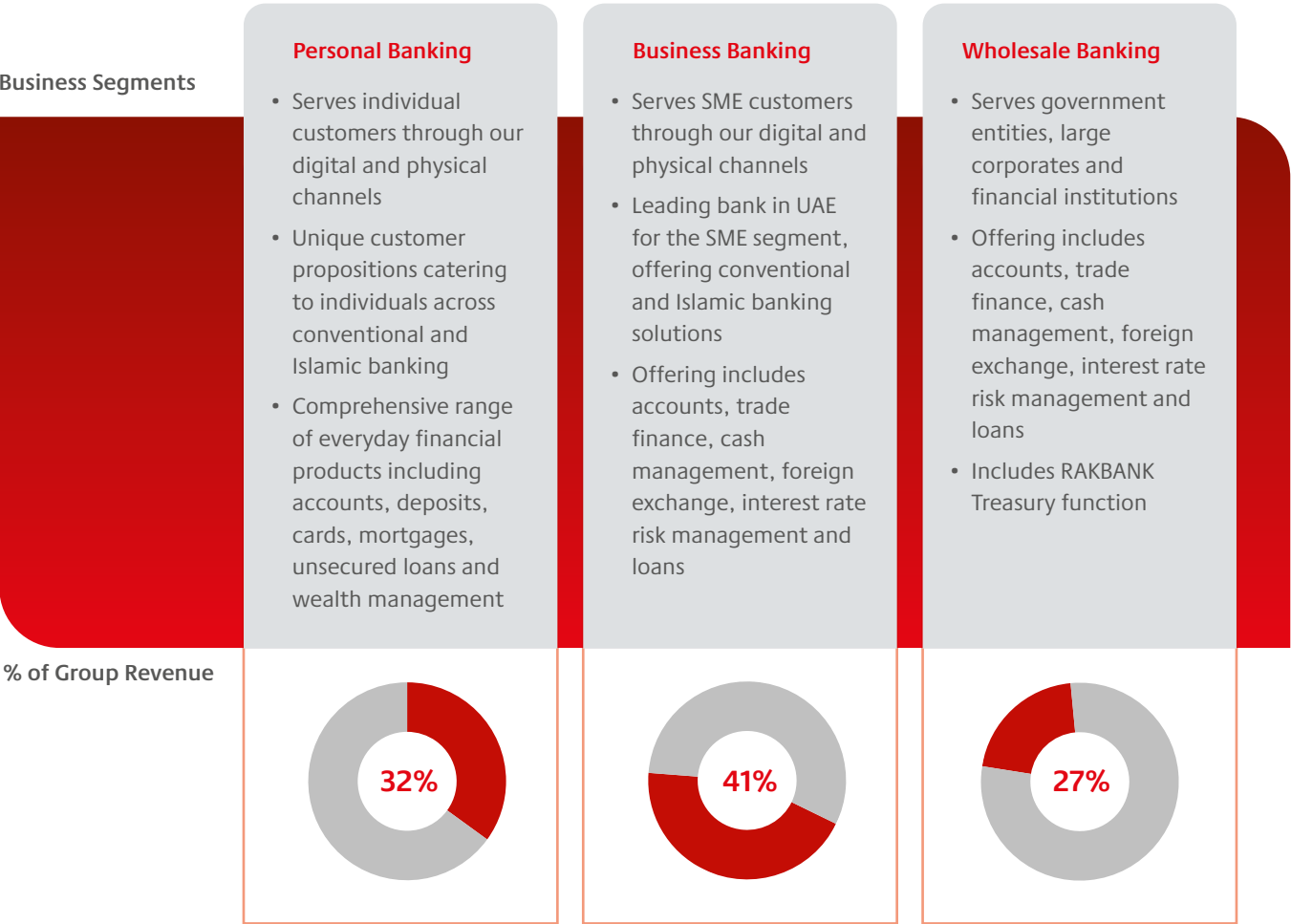
The shift to digital banking continues with customers increasingly preferring online and mobile, always available, banking solutions. RAKBANK remains committed to investing in its digital capabilities and solutions to ensure the Bank can respond to the changing needs and demands of its customers and deliver a hyper-personalised and seamless experience.



Our Business Model

RAKBANK provides services through multiple channels to assist customers with their financial transactions.

The infographic below presents a high-level analysis of the Group's strategic business activities, along with the associated resource inputs and outcomes.



Our Value-creating Business Strategy

In 2024, the Bank made significant progress on its multi-year transformation plan approved in 2022, driven by strong financial results, customer growth and improved governance. Key investments in technology and staff, along with innovative solutions, enhanced the customer experience.



RAKBANK's 2026 Strategic Plan

In October 2022, RAKBANK finalised its 2026 Strategic Plan. The year under review is the second year of our ambitious journey towards a digital bank with a human touch.

Central to the strategy are four key principles against which we continuously deliver:

- 1

Continued diversification of our business for sustainable growth: RAKBANK will continue to diversify its balance sheet, particularly through the expansion in segments such as Corporate Banking,

the Commercial Banking segment within Business Banking, and the Affluent segment within Personal Banking.
- 2

Become the most personalised bank in UAE by offering a brilliant customer experience: We are committed to providing an awesome customer experience to our customers through hyper

personalisation. A testament to this is the launch of specific value propositions across key customer segments and the constant introduction of new digital onboarding journeys.
- 3

Deliver scalable growth through digitisation and automation: We are focused on increasing efficiency by managing cost and expenditure despite the inflationary environment and transformation costs.

In 2024, we carried on digitising our processes, allowing us to increase operating efficiency and manage costs. Our digital transactions increased by 14% year-on-year.
- 4

Invest in our people and ongoing commitment to our community and ESG: RAKBANK demonstrates commitment to employees through a comprehensive and ongoing workplace modernisation programme. We actively promote diversity and inclusion, exemplified by increased nationality diversity and a focus on gender equality, along with an ongoing focus on increasing Emiratisation across all areas of the Bank.

RAKBANK's commitment to community is demonstrated by the issuance of the First Public Social Bond in GCC. In 2024, we achieved a 20% energy saving, along with 21% and 11% reductions in energy and water use, respectively, and an 18% reduction in paper usage.

Delivering on our vision

Our vision is to be a digital bank with a human touch, supporting our customers during their key moments of truth. To achieve this, we continuously transform all areas of the Bank to ensure we provide the banking services our customers need, in the manner they now expect. In 2024, RAKBANK continued implementing this plan, as detailed in this report.

The following reflects progress in delivering this vision over the past year.

Objective	Performance
Ongoing diversification of core business for sustainable growth 	Diversified asset mix: - Maintained a diversified asset mix with increasing contribution from Wholesale Banking (34% of business assets) Stabilising our risk profile - Reduced our cost of risk from 3.1% in FY’21 to 1.7% in FY’24
Become the most personalised bank in UAE with a brilliant customer experience 	Enhancing customer journeys with hyper personalisation - The onboarding journey for business accounts is customised, based on the customer’s profile, providing a more seamless and personal account application experience Improving customer feedback - Improved the Personal Banking app rating from 2.9 in December 2021 to 4.6 in December 2024, and the Business Banking app rating from 3.0 to 4.3 for the same period - Overall customer satisfaction score: 4.7 (out of 5)
Deliver scalable expansion through digitisation and automation 	Becoming more scalable - Reduced the cost-to-income ratio from 36.4% in FY’23 to 35.2 % in FY’24 Driving digitisation - Increased the number of digitally active customers by 13% YoY in FY’24 - Increased the number of digital transactions by 14% YoY in FY’24

Objective	Performance
Invest in our people 	Developing and diversifying our workforce - Delivered 42,603 hours of training in FY’24 - Modernising our workplace
Ongoing commitment to our community and ESG 	Supporting our community - Became the first bank in the GCC to issue a social finance bond - A total of 1,680 participants engaged in financial literacy initiatives. These included a financial literacy school, financial clinics for employees and customers, as well as SME training within the SMEsouk - Contributed to the education of children with determination by donating AED 500,000 to cover the salaries of teachers at the RAK Autism Centre. Additionally, employees dedicated their time each week to provide workplace experiences for 10 children of determination from Jad’s Inclusion and the Dubai Special Needs Centre Reducing our carbon footprint - Direct electricity consumption reduced by 21% YoY in FY’24 - Water consumption reduced by 11% YoY in FY’24 - Paper consumption reduced by 18% YoY in FY’24



Operational Review

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Group Performance

Overview

By staying attuned to global, regional and national economic trends, RAKBANK remains well positioned to continue its progress trajectory and deliver exceptional value to customers and stakeholders.



Driven by diversified growth in the balance sheet and strong credit quality, RAKBANK achieved a record net profit before tax of AED 2.3 billion, a 27% year-on-year increase. Total income rose by 7% to AED 4.7 billion while total assets grew by 19.4% to AED 88.3 billion. Customer deposits increased to AED 59.6 billion with a CASA ratio of 62.7%, reflecting strong customer trust and effective deposit mobilisation strategies. This performance marks a historic milestone for the Bank, underpinned by a well-diversified asset portfolio and a strategic shift towards secured low-risk assets.

This year, the Bank significantly increased operating efficiency, streamlined processes and improved service delivery through automation and transformation. These enabled the processing of higher volumes, which delivered substantial efficiency gains. RAKBANK's commitment to operational excellence and customer satisfaction has yielded remarkable results, positioning it well for future development and success.

Highlights

RAKBANK achieved significant improvements in its "Mission Zero" initiative, reducing complaints, delays and errors. Twenty-two customer journeys were re-engineered and we extended branch operating hours, with Customer Fulfilment processing 12% more volume with 6% less capacity, equating to a 20% gain in efficiency.

We became the first bank in the GCC to issue a Social Finance Bond, with proceeds directly supporting SMEs and the healthcare sector, aligned with the "We the UAE 2031" vision. Our Microfinance product was launched to address the financial needs of the underbanked and financially excluded, disbursing approximately 513,000 loans and supporting over 100,000 customers.

Skiply 2.0, our family super app, expanded to cover a broad spectrum of family needs, from school fees and tuition payments to extracurricular activities. The platform grew to serve 176,000 users, 296,000 students and 315 educational institutions.

In Wholesale Banking, our client base grew by 16%, with the introduction of new escrow and trade finance services, alongside strengthened partnerships with institutions across Ras Al-Khaimah, Abu Dhabi and Dubai. The digital account opening journey for SME customers was also launched, enhancing accessibility and ease of banking.

RAKBANK's newly established AI Lab is focused on leveraging artificial intelligence to enhance productivity and customer experience. The Lab's efforts contributed to "Mission Zero" – zero errors, zero delays and zero complaints. Additionally, Equal Payment Plans for credit cards were introduced via the mobile app, achieving 60% digitisation of this service within a month.

We achieved full integration with Western Union for remittances and Aani for domestic payments, enhancing our digital payments ecosystem. Partnerships with global leaders such as Microsoft, Bitpanda, Oracle and Western Union strengthened our financial services offering, making banking more accessible and convenient.

Our colleague-led councils continued to play an active role in community engagement, dedicating over 800 hours to financial literacy and volunteering initiatives throughout 2024.

RAKBANK's financial performance remained strong, with operating income for FY'24 increasing by 7% year-on-year, supported by a net interest margin of 4.5%, driven by diversified asset growth and a stable, loyal CASA customer base. Operating expenses stood at AED 1.7

billion, increasing by 3.6% year-on-year, while the cost-to-income ratio improved to 35.2% from 36.4% in FY'23, reflecting sustained investment in technology and strategic cost management.

Gross loans and advances grew to AED 50.3 billion as at December 2024, marking a 19.2% year-on-year increase, led by Wholesale Banking and Business Banking loans, which rose by 35% and 7.5%, respectively, in line with the Bank's diversification strategy. Customer deposits reached AED 59.6 billion, up 18.4% year-on-year, with a CASA ratio of 62.7%, one of the highest in the industry.

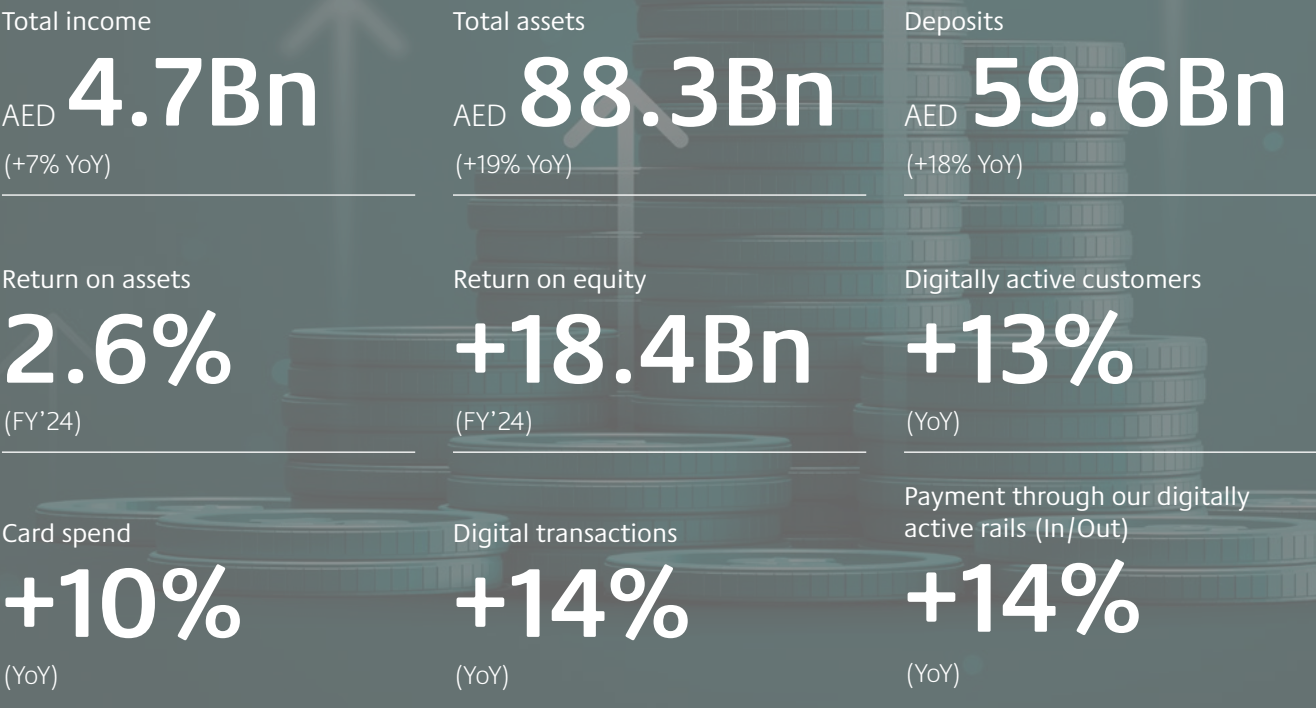
Portfolio credit quality remained strong, with net impairment charges to average loans and advances improving to 1.7% from 2.5% last year, supported by a strategic shift towards secured, low-risk assets and a favourable credit environment. The Non-Performing Loans and Advances to Gross Loans and Advances ratio improved to 2.1% from 2.6% in the previous year.

Shareholder returns remained robust, with a return on equity (ROE) of 18.4% and a return on assets (ROA) of 2.6%. The Bank remained well capitalised, with a capital adequacy ratio (CAR) of 18.1% for FY'24, up from 17.6% at the close of FY'23.

A strong liquidity position was reflected in an eligible liquid asset ratio of 16.4% (compared to 13.0% in FY'23) and advances to stable resources ratio of 80.2% (compared to 82.1% in FY'23).

Finally, the launch of Protego Insurance Brokers, a wholly owned subsidiary providing comprehensive insurance solutions, added additional value to RAKBANK's suite of services.

Key financial highlights



RAKBANK’s focus on digital transformation not only enhanced operational efficiency, but also significantly improved the customer experience. The Bank reduced complaints by 30%, from an average of 22 to 17 per month, and decreased handling time by 30%, from 13 days to four days.

Additionally, we remain steadfast in its efforts to support the UAE’s Economic Vision 2031 and contribute positively to the communities we serve.

We are proud of our resilience and our ability to adapt and thrive in a rapidly changing environment.

Key drivers of performance
 Strategic transformation and diversification efforts, aligned with the RAKBANK’s 2026 Strategy, have had a significant impact on our financial position.

- Customer experience:** The shift to digital banking as the channel of choice continues, with customers increasingly preferring online and mobile banking solutions. Retail customers logged into RAKBANK digital platforms over 50 million times in 2024, marking a 12% year-on-year increase. Moreover, 87% of Personal Banking accounts were opened digitally, and 59% of new bank cards were initiated through this platform. Complaints and handling time both decreased by 30%. A new digital onboarding process was created for small business customers.
- Internal transformation:** RAKBANK has progressed well in its cultural transformation, empowering colleagues to take greater ownership in the delivery of exceptional customer experiences. This success hinges on building on the momentum created by RAKBANK, combining digital excellence with human connection.

- Key drivers of financial performance include:**
- SME banking:** Approximately 19,000 new SME accounts opened.
 - Wholesale banking:** Significant growth in corporate loans and advances was achieved through a 15% increase in secured low-risk assets and a 20% rise in trade finance and treasury services.
 - Retail banking:** Mortgage loans grew by 29%, credit card products expanded by 7% and total personal banking loans rose by 16% rise.
 - Investment and foreign exchange income:** Strategic investment returns improved by 12%, along with a 22% rise in foreign exchange transactions.

Assets and advances growth (AED billion)

	Dec '19	Dec '20	Dec '21	Dec '22	Dec '23	Dec '24
Gross loans and advances	36.3	32.2	35.5	38.1	42.0	50.1
Total assets	57.1	52.8	57.6	66.3	74.0	88.3

Loans and advances by segment (AED billion)

	Dec '20	Dec '21	Dec '22	Dec '23	Dec '24
Personal Banking	17.8	18.7	18.8	20.1	23.3
Business Banking	8.3	8.1	9.0	9.9	10.6
Wholesale Banking	7.2	8.7	10.3	12.0	16.2

Customer deposits (AED billion)

	Dec '20	Dec '21	Dec '22	Dec '23	Dec '24
Current	23.0	24.1	27.1	29.6	33.0
Time	8.9	9.5	13.3	16.7	22.3
Savings	3.8	4.0	3.3	3.0	3.0
Call	1.2	1.3	1.2	1.1	1.5
Total	36.9	38.9	44.9	50.4	59.6

Financial performance: Snapshot

Economic performance (AED '000)	2020	2021	2022	2023	2024
Direct economic value generated	4,095,332	3,488,597	3,899,458	5,637,462	6,384,941
Economic value distributed	(3,589,955)	(2,730,297)	(2,737,677)	(3,838,865)	(4,106,851)
Other operating costs (including donations and sponsorships)	(558,815)	(579,544)	(579,829)	(670,797)	(639,417)
Employee compensation	(830,367)	(809,817)	(851,770)	(925,592)	(1,018,997)
Payments to providers of capital	(531,304)	(258,059)	(503,785)	(1,233,266)	(1,672,419)
Provisions	(1,663,302)	(1,076,663)	(797,421)	(1,005,477)	(776,018)
Net profits	505,378	758,300	1,162,947	1,783,725	2,075,644
Total operating income (revenue AED)	3,564,029	3,230,538	3,395,700	4,404,196	4,712,522
Dividends paid to/proposed to shareholders	502,873	253,452	379,170	(569,923)	(623,563)
Total equity	7,844,958	8,381,842	9,020,650	10,354,527	11,796,679
Return on (average) equity (%)	6.5%	9.5%	13.5%	18.4%	18.4%

Contribution of RAKBANK net profit by business segment

	2020		2021		2022		2023		2024	
	(AED '000)	%	(AED '000)	%	(AED '000)	%	(AED '000)	%	(AED '000)	%
Personal Banking	(15,247)	-3%	23,028	3%	412,023	35%	524,219	29%	322,959	16%
Business Banking	64,683	13%	273,108	36%	810,065	70%	907,857	51%	1,173,763	57%
Wholesale Banking	104,943	21%	177,495	23%	232,239	20%	130,937	7%	454,910	22%
Treasury	623,368	123%	608,925	80%	(22,747)	-2%	161,747	9%	490,336	24%
Insurance	14,625	3%	10,473	1%	(35,464)	-3%	14,542	1%	15,439	1%
Total Adjustments including HO and Other	(286,994)	-57%	(334,729)	-44%	(233,169)	-20%	(682,227)	-38%	(381,763)	-18%
Total	505,378	100%	758,300	100%	1,163,437	100%	1,783,725	100%	2,075,644	100%

Looking ahead

Looking ahead to 2025, RAKBANK will continue to focus on delivering on the strategic transformation programme approved by the Board of Directors in 2022. This incorporates a strong focus on delivering a seamless and hyper-personalised customer experience, continuing to invest in our digital capabilities and solutions, including leveraging emerging technologies such as AI and ongoing investment into our people, allowing us to create scalable and sustainable evolution.

RAKBANK remains well positioned for growth, underpinned by the strong performance of the UAE economy; however, we remain vigilant to increasing global economic uncertainty while remaining cautiously optimistic for the year ahead.



Digital Transformation and Innovation

Overview

At the core of our 2026 strategy is our vision to become the leader in customer experience through hyper-personalised banking, becoming a digital first bank. The Bank’s commitment to leveraging technology and data to enhance customer experience and operational efficiency has been unwavering.

Ensuring speed, scale, compliance and security remains paramount to the advancement of RAKBANK’s digital agenda. We are leveraging AI for both internal and external use cases, guided by data-driven insight to target improvements across the value chain.



Technology and data are pivotal to realising our vision of becoming the digital bank with a human touch, introducing transformative capabilities, modernising existing platforms and creating new customer experiences via our digital channels.

Central to this year’s activities has been our emphasis on cost reduction through automation and decreasing manual processes, while simultaneously accessing new segments through innovative products. This has included improving employee efficiency by deploying new tools and capabilities critical to digital transformation, improved productivity and margins.

Highlights

This year, the following digital milestones were achieved:

- Enabling new customers to apply for personal loans through the banking app
- Introduced a full Arabic experience in the RAKBANK mobile banking app
- Deployed new regulatory standards for the National Payment Systems Strategy (NPSS) and reconfigured payment screens for better customer interaction
- Launched Protego Insurance, an online platform for customers to get insurance quotes from multiple insurers
- Modernised RAKBANK’s digital backend to allow for rapid deployment and development for microservices

Mitigating IT challenges and risks

Broadening RAKBANK’s human resource pool and implementing automation tools to facilitate change, presented

considerable challenges. The market for skilled engineers and subject matter experts is highly competitive, making talent acquisition an ongoing difficulty.

Implementing new technologies can be complex and costly, in the light of adhering to local and international regulations.

Data management, customer privacy and cybersecurity

Robust cybersecurity measures are necessary to protect sensitive customer information and maintain trust.

We employ stringent data management and security systems that incorporate industry best practices around data encryption, multi-factor authentication, access control and conduct regular audits to ensure data integrity. The Bank’s comprehensive Data Management Framework drives all aspects of data governance, including data quality, ownership, privacy and metadata management.

Disposal of obsolete technology

The decommissioning of obsolete technology is carefully managed to protect customer privacy and minimise environmental impact.

Serving our customers better

Our digital proposition has been enhanced to provide better services to customers whose interactions have been shifted to digital channels. These channels also enable applications for personal loans, current accounts and credit cards via our banking app, which have introduced new services like stamped statements and International Bank Account Number (IBAN) certificates.

New business banking customers apply through the QuickApply portal on the Bank’s website, which is a web-based journey. Existing customers may apply for additional accounts through our dedicated business banking app, where the journey merges with the QuickApply process.

RAKBANK’s broader strategy aims to improve users’ digital experience by utilising emerging technologies like generative AI to enable conversational searches in the banking app.

Strategic partnerships

RAKBANK has entered new partnerships to enhance its digital capabilities. We are developing AI platforms and services in partnership with Microsoft and working to improve finance, procurement and HR capabilities with Oracle ERP.

Future outlook

Digital goals for the year ahead include enabling higher productivity through core tech investments, focusing on revenue-generating customer propositions, while investing in the front-end user experience and digital platforms. Simultaneously, investments in core and foundational platforms, including data and ERP systems, will persist. RAKBANK’s investment in modern development technologies will be maintained to achieve our goal of becoming the digital bank with a human touch.

Challenges in managing a growing change agenda and competing for technology talent in a developing region will require strategic planning and resource allocation to ensure constant and effective digital transformation.

Digital transformation	2021	2022	2023	2024
Customers who are digitally active ('000)	238	264	312	351
Digital channels logins ('000)	34,674	38,311	44,820	50,600
Digital transactions ('000)	9,109	10,596	11,957	13,647

Enhancing Customer Experience

Overview

The UAE banking market is rapidly evolving, with banks racing to meet the demands of tech-savvy customers and aligning with regulatory initiatives that foster financial innovation. Certain RAKBANK competitors have invested heavily in their digital platforms to offer seamless account opening and money management tools, while neobanks offer a fully digital banking experience. These trends reflect the industry’s shift towards digital-first strategies to cater to an increasing preference for effortless, customised banking experiences. RAKBANK is embracing these strategies.



Leading through digitisation

RAKBANK recognises the evolving banking landscape and the rising popularity of digital channels. However, its approach to physical distribution goes beyond simply reducing branches, as customers still value the importance of human interaction, especially during crucial moments where they need support. To address this, RAKBANK is creating new channels and exploring innovative ways to bring banking services closer to customers.

Ultimately, our goal is to be where our customers are, both physically and digitally. We aim to strike a balance between the convenience of digital banking and the personalised assistance that customers seek during their banking journey.

Customer trust and security

As digital transactions become more prevalent, RAKBANK prioritises building and maintaining trust through robust security measures and transparent communication. This includes proactive monitoring as well as adherence to CBUAE guidelines and global security standards such as PCI DSS to safeguard sensitive financial information.

Transparent communication

Because transparency is key to addressing trust concerns, RAKBANK ensures customers are well informed about how their data is protected. This is supported by clear protocols for addressing potential breaches, all of which are continuously shared through

various communication channels such as emails, face-to-face sessions and social media.

The awards RAKBANK has received (see pages 19-20) demonstrate its leadership in digital innovation, customer experience and cybersecurity, as well as a growing reputation in both regional and global financial communities. These awards also underscore RAKBANK’s focus on business development, digital transformation and a commitment to delivering innovative solutions to customers.

	2023	2024
Overall customer satisfaction score (rating out of 5)	4,6	4,7
Enterprise Net Promoter Score (eNPS)	64	64
Transactional Net Promoter Score (tNPS)		
Business Banking Group	74	79
Retail Banking Group	67	70

Handling customer complaints

	2019	2020	2021	2022	2023	2024
Overall complaints resolved	19,055	15,915	9,770	8,734	13,947	10,706
Complaints per 1,000 customers	2.72	2.36	1.48	1.32	2.45	1.59
Average complaints handling TAT (days)	5.8	5.4	5.3	6.05	8.23	7.79

Personal Banking Group

Overview

RAKBANK’s Personal Banking Group (PBG) had an extremely strong year in 2024. PBG attained significant progress in increasing our customer engagement by expanding the product suite, adding new partnerships, launching digital journeys and deepening our relationships with our customers.



Highlights

PBG’s customer engagement and progress was mainly driven by the following.

Digitisation of customer journeys:

- 99% of financial transactions are executed digitally
- 76% of customer service requests are now digitised
- 59% of credit card and 87% of new account opening is initiated and decisioned digitally
- Call centre call volumes have been reduced by 22% through digitisation
- Digital Easy payment plan recently introduced, with adoption already touching 60%

Winning customer value proposition:

- The Bank’s instant money transfer service network expanded its reach to 179 countries, achieving 13% year-on-year growth in volumes and 18% increase in transactions.
- Launched the Skiplly 2.0 app, our comprehensive family app for education payments and extracurricular activities, which now covers over 300 registered financial institutions and 25% rise in number of registered users. The app, with a 4.8 rating has won more than 30 awards.
- Introduced Protego, our digital insurance brokerage platform, featuring personal and business insurances, which has received more than 500,000 customer visits since its launch in September 2024.
- Achieved robust growth, 29% year-on-year of the mortgage book, driven by our award winning, flexible Home-In-One product.
- Successfully launched the first leveraged foreign currency, non-resident investment in September 2024.
- Introduced the new co-branded Air Arabia travel credit card, as well as the Samsung partnership in line with arising trends in travel and electronics categories.

- Also launched the Watani credit card catering to the Emirati population, increasing the Bank’s Emirati credit card portfolio by 20%.
- Integrated the AANI instant payment platform as well as bill payments into the RAKBANK mobile app, enhancing customer convenience.

Deepening relationships with our customers:

- Achieved scalability and heightened customer engagement by implementing AI and machine-learning models to build and execute tailored customer value propositions, offering hyper-personalised products for targeted customer segments, as a result of adapting to changing customer needs for a more personalised experience.

Risk diversification:

- Increased the share of secured lending products to reduce credit risk in the portfolio
- Increased fee income to reduce potential risk from interest rate reductions

In addition, the Bank continues to expand its mission towards financial inclusivity, with the wage processing solution now covering over 1.8 million card holders, 513,000 micro-loans against salary processed, and nearly 2.8 million remittance transactions executed for blue-collared workers in UAE.

Drivers of financial performance

The key drivers of financial performance for PBG included strong income growth from wealth and investment portfolio, cards as well as CASA products.

The strong economy in 2024 helped propel the payments business, with remittance transaction volumes increasing by 13%, card spends rising by 10%, and merchant acquiring GAV (gross acquiring volume) increasing by 21% year-on-year.

The real estate market remained buoyant, driving the mortgage business, as more and more end users sought to invest in property owing to high rental costs, leading to the expansion of the secured lending portfolio by 25% year-on-year.

Challenges

PBG has achieved success on multiple fronts, despite facing certain challenges. Fierce competition from incumbent banks placed continuous pressure on margins. While interest rates remained largely flat through most of 2024, benefiting the liabilities book, a decline in interest rates starting in Q4 2024 led to margin compression.

The operating environment was further impacted by increased competition from neo banks, fintechs and other non-banking entities delivering digital innovations, to meet rising expectations of tech-savvy customers for simpler, user-friendly solutions. New regulations such as the Open Finance Regulation will spur innovation and competition across the market.

Opportunities and strategic goals

PBG’s strategic goals for 2025 are based on the following key themes:

- Continue to drive digitisation to help propel growth in an efficient manner
- Raise the bar on customer experience by redesigning customer journeys, front to back
- Leverage data to deepen our relationships across the customer base
- Add value consistently to our customers by delivering disruptive value propositions

Business Banking Group

Overview

The Business Banking Group (BBG) achieved significant milestones during the year under review, including a substantial growth in the balance sheet, with liabilities surpassing AED 22.5 billion and assets, including contingents, exceeding AED 11 billion during the year. Net profit crossed the AED 1 billion mark, and new SME financing exceeded AED 4 billion. The portfolio remains robust, with non-current loans (NCL) below 4%, and fee income clocked at AED 330 million. The number of customers with banking packages grew to 15,000 and cash management packages to 3,500, while aggregate FX income saw a 15% increase.



BBG plays a crucial role in achieving RAKBANK's 2026 strategy by dominating SME banking through its digital ecosystem and onboarding digital channels for most banking services. These efforts reduced the cost of acquisition, diversified the balance sheet and lowered the cost of risk through risk-based flow lending. Focusing on sustainability-led initiatives, RAKBANK offers case-specific discounted pricing and easy application processing for SMEs. While understanding that SMEs initially focus on survival and business continuity, RAKBANK does encourage them to embrace sustainability practices and corporate social responsibility (CSR).

Highlights

- In 2024, BBG received several prestigious awards, including:
- MENA SME Bank of the Year 2024 at the MENA Banking Excellence Awards
 - Best Business Bank UAE 2024 at the World Business Outlook Awards
 - Best SME Banking Brand – United Arab Emirates, 2024 at the Global Brand Awards
 - Best Digital CX – Account Opening and Customer Onboarding at The Digital Banker
 - Excellence in Digital Innovation for Business Banking Onboarding at the 2024 Frontier Awards.

Key drivers of performance

The key drivers of BBG's financial performance included growth in business accounts, business loans and working capital solutions. Stable market and prudent risk/compliance management also helped.

In 2024, we introduced several new products and services, including NPSS, the extension of Commercial Elite, CMS RV and POS/e-commerce loans up to AED 5 million.

Dominating the SME market

We made significant strides in our goal to becoming the UAE's premier SME bank, moving "beyond banking" by enhancing digital capabilities for onboarding and service, using data to drive strategy and pricing decisions, and conducting ongoing client awareness and education sessions. We also worked pre-emptively to be tech ready for future enhancements in the wider

ecosystem, such as open banking, the National Economic Register and the Dubai Unified Licence.

Impact of digital transformation

Digital transformation had a profound impact on RAKBANK's SME segment in 2024. The Bank's business account approval turnaround time (TAT) accelerated to the quickest ever, with 2.76 days for simple profiles and 9.42 days for complex ones.

Digital onboarding accounted for 70% of new clients, and most account and loan applications were processed digitally. Digital channels were responsible for virtually all account and loan applications, handling more than 99% of the financial transactions and over 65% of non-financial transactions. The ability to access customer data directly from key licensing authorities helps keep know your customer (KYC) data current and reduces friction points for clients.

We also enhanced client onboarding processes and initiated squads for servicing and loans, with active delivery expected in 2025. RAKBANK recorded sharp rises in payment volumes and digital transactions.

Operating environment

The launch of the quick and convenient NPSS led to a rise in payments. Post-COVID, there was a surge in new trade licences but this trend has plateaued, which had a knock-on effect on the demand for new business accounts. The higher interest environment in the first half of the year dissuaded some clients from making large CAPEX investments, although the anticipated, gradual decrease in interest rates is expected to push credit demand upwards.

We have identified several opportunities, including leveraging the new framework for open finance and real-time payment through platform play and embedded finance. The commencement of corporate tax filing in 2025 will provide valuable customer data for targeted product and service offerings. Additionally, the launch of new person-driven propositions is expected to increase wallet share and drive client retention.

Pricing pressure, KYC remediation and competition in real estate or receivable-backed financing presented challenges. The UAE's reduction in interest rates from H2 2024 onwards, while beneficial for credit quality and demand, may slow down deposits. The KYC remediation process, following an AML/CFT audit by the Central Bank, was laborious yet essential for compliance risk management. Implementing scorecards and closely monitoring risk parameters posed initial challenges but has provided a comprehensive risk view at the portfolio level. Managing multiple tech transformation projects to meet regulations and improve the client journey was challenging but aligned with strategic goals.

Support for the UAE SME ecosystem

During 2024, BBG supported the UAE SME ecosystem through various initiatives. Webinars on fraud awareness and banking compliance were attended by approximately 300 clients. A Business Banking Podcast series is planned for 2024-2025, with topics such as AI advantages for SMEs, running a successful SME business in the UAE, and credit education. The first four – of eight – episodes garnered 71,000, 87,000, 100,000 and 180,000 views. A workshop on corporate tax in November 2024 was attended by over 40 clients, with two more workshops planned for 2025.

Opportunities and strategic goals

BBG has set ambitious goals for 2025. While SMEs remain a priority, we intend to grow fee and forex income through increased business volumes from strategic tie-ups and partnerships. The Group will bolster its efforts towards client retention and increasing wallet share through cross-selling. It will continue elevating digital lending capabilities and launching new personas and propositions.

The Group's strategic initiatives and commitment to innovation has positioned it well for persistent success in the coming years. We are looking at revamping our SMEsouk proposition to offer beyond banking services and to improve community engagement with our SMEs.

Wholesale Banking Group

Overview

The Wholesale Banking Group (WBG) at RAKBANK experienced a year of remarkable advancement and strategic achievements in 2024. Treasury, Corporate Banking and Financial Institutions segments performed exceptionally well, with mid-corporate clients contributing to this success. Strategic collaborations in syndications, trade finance and treasury sales drove growth. Treasury offerings, particularly in FX, investments, derivatives and gold loans, were standout contributors to WBG’s financial performance in 2024. The eFX platform significantly enhanced WBG’s FX capabilities, enabling greater efficiency and improved client accessibility to real-time FX rates.



Highlights

The client base expanded by approximately 16%, with significant contributions from sectors such as trading (21%), manufacturing (18%), real estate (14%), retail (11%), hospitality (11%), education (7%) and logistics (7%).

Notably, WBG co-led the largest syndication in RAKBANK’s history and closed its largest bilateral deal, positioning RAKBANK as the account bank for these high-profile clients. Additionally, the successful roll out of escrow services in Ras Al-Khaimah (RAK) and Dubai is a significant milestone. Corporate Banking also became a net funding contributor to the Bank, with a 72% increase in total liabilities from December 2023 to December 2024.

Treasury’s record performance exceeded its targets across FX, derivatives, gold loans, the Bank’s own investments and fixed income trading. Customer-backed business across all three business segments grew thanks to various tactical, strategic and digitisation initiatives. Treasury also spearheaded the issue of the first social bond in the MENA region. More detail is provided here: [First Public Social Bond in GCC](#).

Transaction banking saw a significant increase in trade finance business, with the funded portfolio multiplying threefold and contingent assets doubling.

Key drivers of financial performance

Owing to market volatility, treasury products, including FX, derivatives and fixed income trading, were key drivers of financial performance. The launch of real estate escrow services in Ras Al-Khaimah and Dubai, along with an enhanced supply chain offering, also contributed to WBG’s success. The issuance of innovative financial instruments, such as the USD 600 million social bond and USD 250 million Tier 2 Subordinated Bond strengthened the Bank’s capital buffers.

The Financial Institutions Group (FIG) portfolio demonstrated solid balance sheet growth, driven by expansion into new markets and enhanced activity in existing ones. However, this was challenged in several markets as a result of market and liquidity issues. While advancement in the corporate segment was not driven by government-

related entities (GRE) in 2024, the large private corporates played a significant role. The government entities continued to deleverage their balance sheets, offering fewer opportunities for deploying RAKBANK’s balance sheet. Growth in the private sector was driven by financing new expansion projects and increasing market share in short-term financing for working capital requirements.

The energy and natural resources segment performed well, with an increase in the number of customers driven by targeted acquisitions and cross-sell initiatives. Service offerings were enhanced through expanded trade finance solutions, escrow services and treasury products.

Cross-selling improved by leveraging the one-bank approach, especially within WBG between the coverage and products teams. WBG’s cross-selling strategy significantly enhanced client engagement across corporate, financial institutions, private banking (PB) and business banking (BB), driving increased treasury, cash management and trade products.

The effectiveness of distribution channels in reaching corporate clients in 2024 was notable, contributing to the overall success of WBG.

Enhancements in 2024

To enhance the corporate banking segment in 2024, WBG embarked on several strategic initiatives. These included the roll out of escrow services and the enhancement of synergies between corporate banking, financial institutions, transaction banking and treasury. Key contributors were data and analytics-based campaigns, widening FX corridors, digitising FX and its variants, bespoke derivatives solutions, as well as issuing the region’s first public social bond. RAKBANK also emphasised improving customer-focused servicing and operational efficiency.

Strategy 2026

WBG contributes to RAKBANK’s 2026 strategy by exploiting adjacent revenue opportunities, developing and diversifying the corporate banking base, deploying enhanced transaction banking products and leveraging analytics to scale financial market solutions, along with growing the Bank’s investment book. These efforts align with our

goals of sustainability, innovation and scalability. WBG focuses on diversified revenue streams beyond lending, revenue generation through non-interest income, cross-selling treasury, trade finance and cash management products, supported by digital-first solutions to streamline services and reduce costs.

Challenges, market trends and macroeconomic factors

The global economic environment in 2024 presented both opportunities and challenges. We capitalised on growth opportunities in UAE, Qatar, Saudi Arabia and Kuwait while managing headwinds in Egypt, Nigeria and Turkey, where liquidity and currency volatility impacted performance. Overall credit spread compression and a declining interest rate environment will continue to put pressure on net interest margins (NIM) and pricing.

Opportunities and strategic goals

WBG’s main opportunities include expanding trade finance offerings, onboarding private enterprises and selectively diversifying into the contracting and real estate sectors as well as into infrastructure projects. Other opportunities include supply chain finance in the open accounts trade space, contingent trade growth and bullion banking.

Looking ahead to 2025, we aim to leverage RAKBANK’s unique selling proposition in specific geographies, expanding the mid-corporate segment and continuing to develop the client base among government-related entities and large private local or international conglomerates. Further diversification into contracting and infrastructure projects is also a target market. Other goals include:

- Growing the FX business through data/analytics-driven campaigns
- Financial markets, trade finance and cash management proposition enrichment
- Providing hedging and investment solutions to all business segments
- Scaling up the wallet share from the FI segment. Plan to diversify funding sources

RAKislamic

Overview

The Islamic Banking division of RAKBANK performed robustly in 2024, marked by significant achievements and strategic advancements. Standout among these was the 14% year-on-year increase in total Islamic assets attributed to higher margins and successful sourcing efforts. Additionally, the division recorded year-on-year increases in in total Islamic liabilities and CASA by 14% and 6% respectively, ensuring financial health and indicating a balanced approach to managing liabilities.



Net profit income showed positive trends, with Islamic assets recording a marginal (1%) higher growth compared to 2023. In addition, there was a slight increase of 0.23% in total income. Overall net profit for 2024 stood at AED 188 million owing to better than expected provisions.

The key drivers of financial performance for the Islamic Banking division are its business and personal finance offerings.

New products and services

In 2024, RAKislamic introduced Digital Personal Finance Islamic, enhancing the digital banking experience for customers. The CASA digital journey enables customers to open accounts conveniently without visiting a branch, and its digital credit card journey enables seamless credit card approval, in minutes.

Challenges, market trends and opportunities

The division faced several challenges, including system limitations that restricted the launch of new product offerings due to scalability issues and the complex integration of new technologies with legacy systems. Additionally, increasing regulations for Islamic financial institutions (IFI) required extensive Bank-wide Islamic training and a thorough review of all existing products and services to ensure compliance with regulatory requirements and AAOIFI (Accounting and Auditing Organisation For Islamic Financial Institutions) standards.

Market trends impacting RAKislamic in 2024

The UAE's focus on sustainability, highlighted by initiatives such as the Year of Sustainability and hosting COP28, has driven Islamic financial institutions to integrate environmental, social and governance (ESG) principles into their operations. This trend has pushed RAKislamic to develop and offer green finance products that align with

Shari'ah principles. In addition to its current sustainable finance offerings – green auto-, home- and personal finance – RAKislamic is working with RAKBANK's ESG department to formulate a Sustainable Finance Framework. In response to the increasing demand for Shari'ah-compliant financial products, RAKislamic is committed to diversifying its product offerings to address the evolving needs of its customers. This initiative is further supported by the UAE's efforts to diversify its economy away from oil dependence to create new opportunities for Islamic finance, particularly in sectors such as real estate and renewable energy.

The adoption of digital banking solutions is transforming the Islamic banking sector and RAKislamic is leveraging these technologies to enhance customer experience, improve operational efficiency and offer innovative Shari'ah-compliant products. In turn, this is supported by the CBUAE guidelines and frameworks that assist the growth of Islamic finance, shaping the operational and strategic frameworks within which RAKislamic operates.

These efforts are partly countered by increased regulations for IFIs that require extensive training and review of products and services to ensure compliance. This is coupled with the challenges of scalability and the complex integration of new technologies with legacy systems, which affects operational efficiencies.

RAKBANK's Strategy 2026

RAKislamic plays a crucial role in achieving RAKBANK's overall 2026 strategy by ensuring a proactive approach towards customer queries to prevent complaints and increase the contribution of Islamic net profitability and balance sheet growth from 10% to 15% of the overall total. In addition, RAKislamic focuses on managing costs and driving improvement in the Business and Wholesale Banking segments.

Opportunities and strategic goals

The main objectives for the Islamic Banking division by 2025 include transitioning the Islamic Core Banking system. This entails moving all Islamic products to Finacle Islamic and introducing a customised Islamic property finance offering. We also intend equipping 100% of the Islamic Banking Team with Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) certifications.

Despite facing challenges, the division has leveraged opportunities in the market to enhance its offerings and contribute to RAKBANK's overall strategy. As RAKislamic continues to evolve, it remains dedicated to providing Shari'ah-compliant financial solutions that meet the diverse needs of its customers.

RAKInsurance

Overview

Despite facing several weather-related challenges, 2024 was a year of resilience and growth for RAKInsurance. The company achieved a notable 16.4% increase in pre-tax profit, reaching AED 16.9 million. This success was driven by a combination of underwriting discipline, effective claims management, reinsurance optimisation and robust investment income. Additionally, RAKInsurance maintained a solvency margin of AED 43 million above the minimum capital requirement (MCR) of AED 100 million. In November 2024, S&P reaffirmed RAKInsurance’s BBB+ rating and upgraded its outlook to stable, reflecting the business’ strong financial position and strategic direction.



Achievements in 2024

The April 2024 weather event was a significant test of RAKInsurance’s claims management and customer service capabilities. RAKInsurance set up dedicated teams to manage the influx of claims, ensuring quick settlements and superior customer service. A proactive approach and commitment to customer satisfaction were reflected in positive feedback received through various media channels.

Challenges, market trends and opportunities

The year presented several challenges, particularly in the motor and general lines of business. Despite these hurdles, the RAKInsurance teams worked tirelessly to support customers and maintain service standards.

The insurance market in 2024 saw an increase in premiums for motor and medical lines, which positively impacted our net loss ratio (NLR). However, claims inflation continued to pose profitability challenges. Additionally, the cost of doing business increased as a consequence of essential investments in IT infrastructure, customer propositions and compliance with regulatory changes.

RAKInsurance capitalised on several opportunities in 2024, securing a major property and engineering account in Ras Al-Khaimah, which has opened doors to additional tenders in this sector. The increasing awareness of insurance benefits and upcoming mandatory medical insurance requirements in the Northern Emirates also present significant growth opportunities.

Performance drivers and key offerings

A key driver of financial performance in 2024 was the well-balanced portfolio across the motor, medical, general and life insurance lines. This diversification, combined with reinsurance optimisation, helped mitigate the impact of one-off events such as the April 2024 floods.

Protego Insurance Brokers

The launch of Protego Insurance Brokers, a wholly-owned subsidiary of RAKBANK, was a strategic move designed to capture more value along the insurance value chain. As a digital-first intermediary, Protego is well positioned to capitalise on the digitisation trend in insurance transactions and services. This partnership has become one of our top three distribution channels for motor insurance and is expected to gain in importance.

Innovation and partnerships

RAKInsurance continuously evaluates customer needs and market gaps, leading to the launch of new products such as micro insurance and the Wage Protection Scheme (WPS) in the RAK Freezone in 2024. These innovations reflect commitment to meeting evolving customer demands.

Strong partnerships with brokers and reinsurers are vital to success. RAKInsurance has long-standing relationships with key brokers and reinsurers, some spanning 25 to 30 years. These partnerships enable the business to achieve its business plans and ensure robust reinsurance support.

Alignment with RAKBANK’s Strategy 2026

Offering a comprehensive range of insurance products to RAKBANK’s SME customers, RAKInsurance plays a crucial role in achieving RAKBANK’s overall 2026 strategy and mission to become a digital bank with a human touch. Plans to expand product offerings through Protego align with the Bank’s strategic goals.

Opportunities and strategic goals

Looking ahead to 2025, RAKInsurance aims to achieve aggressive growth while maintaining underwriting discipline to ensure technical profitability. New partnerships and product offerings, particularly in the travel and medical segments, will enhance the RAKInsurance market presence.

RAKInsurance remains committed to delivering value to its customers, partners and stakeholders, while contributing to RAKBANK’s overall strategic goals.



Sustainability Review

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Key highlights

The year 2024 has marked a significant milestone for RAKBANK’s ESG strategy, emphasizing the establishment of a robust foundation for both present and future initiatives. This has involved the development of governance frameworks and documentation, alongside the implementation of various climate risk management practices. We successfully issued the first GCC Social bond this year. Furthermore, we have made strides in enhancing our community bonds through our employee councils and have initiated several initiatives to promote environmental stewardship.

RAKBANK continued to strengthen its sustainability efforts, receiving the Impact Seal – Gold from the National CSR Foundation, Majra, and maintaining its EcoLabel certification this year. Additionally, the Bank’s newly renovated floors received Gold LEED certification, reflecting its dedication to sustainable workspaces. This recognition was reinforced by the Design Infinity Award for the RAKBANK Office Sustainable Renovation Project of the Year.

The Bank also expanded its financial inclusion initiatives through a collaboration with Edenred, enabling the issuance of RAKBANK Wage Cards for the blue-collar workforce. Wage credits are processed directly on the wage card, and in line with RAKBANK’s commitment to providing accessible financial products, an Advance Against Salary (AAS) facility has been introduced. This service allows customers to access funds securely through the C3 Pay app,

an authenticated and user-friendly mobile application.

Furthermore, RAKBANK enhanced its community engagement through employee councils and initiated several programmes to promote environmental stewardship. These efforts underscore the Bank’s ongoing commitment to embedding sustainability within its operations and broader corporate strategy.



Our Sustainability Management Approach

The financial sector is increasingly embracing sustainable practices; RAKBANK is no different in recognising that integrating sustainability into its core strategy is vital for long-term success. In line with our business strategy, we aim to design products and services that enhance sustainability and inclusivity, while simultaneously fostering a diverse, inclusive and equitable environment within RAKBANK.

RAKBANK is on track in supporting the UAE community and its sustainable development initiatives. This includes our commitment to the UAE Net Zero by 2050 initiative, improving our community involvement and contributing through social responsibility efforts, all in accordance with consumer protection regulations.



We are committed to implementing effective governance structures and comprehensive risk management practices to encourage ethical business conduct, thereby ensuring strong performance, accountability and transparency. Through regular reporting, we illustrate the positive relationship between strong ESG policies and financial success.

This report highlights key value creation areas for stakeholders and outlines relevant KPIs against which the Bank's ESG efforts are benchmarked. To identify and manage important issues, its disclosures is aligned with international standards including the Global Reporting Initiative (GRI) and ADX ESG guidelines.

Environmental sustainability in strategy and risk management

Environmental sustainability is deeply embedded in RAKBANK's overall strategy and risk management practices. A key objective in the Bank's 2026 strategy is an ongoing commitment to the community and ESG principles. This is reflected in both the ESG strategy and the achievements made throughout the year.

In response to the CBUAE guidelines for climate-related financial risks, RAKBANK has developed a Climate Risk Framework. This framework incorporates climate risk elements into the existing risk management practices, including risk appetite, operational losses and stress testing. While RAKBANK is still at the beginning of this journey, Management expects to enhance climate risk management processes in the coming years.

Sustainability management strategy

To demonstrate its commitment to these principles, the Board approved a plan to guide the Bank's ESG initiatives in 2022. This was informed by a materiality assessment conducted in 2021 and aligns with the United Nations Sustainable Development Goals and GRI standards.

RAKBANK's ESG strategy is based on three pillars and nine focus areas.

Our ESG strategy is based on three pillars and focused on nine areas

Environmental	Social	Governance
- Supporting our customers with sustainable banking solutions - Providing transition financing to our WBG clients - Managing RAKBANK's environmental footprint	- Supporting micro SMEs and entrepreneurs to grow their business - Financial inclusion and literacy with focus on underbanked segment - Supporting local communities through volunteering	- Incorporating ESG criteria into RAKBANK's balanced scorecard from 2023 - Establishing clear ESG governance within RAKBANK - Alignment with necessary ESG reporting and monitoring standards
Protecting our environmental and promoting sustainable finance practices	Supporting the underbanked and our communities	Aligning our governance with best practice

- RAKBANK’s ESG efforts incorporate:
- Designing products and services that enhance sustainability and inclusivity in line with our business strategy while fostering a diverse, inclusive and equitable environment within our organisation
 - Commitment to the UAE community and its sustainable development initiatives, including the UAE Net Zero by 2050 initiative
 - Strengthening community connections and creating value through social responsibility initiatives while complying with consumer protection regulations
 - Developing effective governance structures and comprehensive risk management practices to promote ethical business conduct, ensuring strong performance, accountability and transparency.

ESG strategy and integration
RAKBANK’s ESG strategy has evolved significantly in line with unfolding trends. This year, crucial steps have been taken to integrate ESG into the core banking elements, focusing on building a solid foundation. The Bank’s governance structure now includes the

Management Risk Committee (MRC) and the Board Risk Committee (BRC), which have oversight and responsibility for the full ESG agenda. In pursuit of clearly defining our principles and commitments, the Bank has formulated an ESG policy and a Climate Risk Framework, which are available via our website. These documents will serve as a governing platform for RAKBANK to achieve its vision and will act as a guiding document for all ESG initiatives and activities conducted by the Bank.

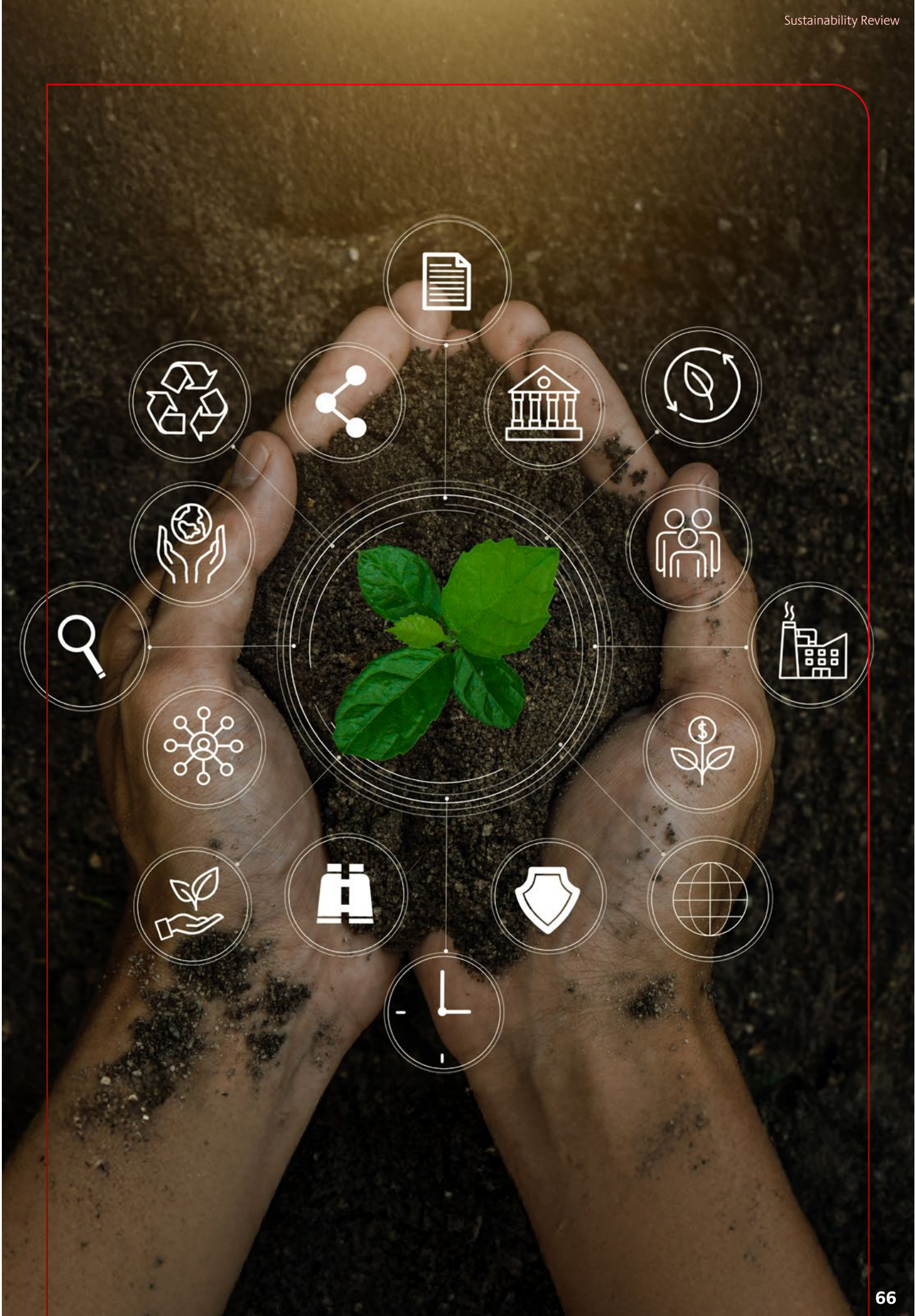
Training was a major focus in 2024, with sessions held for the BRC, Senior Management and selected employees. To educate employees about various ESG and sustainability-related topics, we have launched an internal quarterly newsletter that provides insight on internal achievements and market perspectives through links to exciting news articles. Moreover, the RAKBANK CSR and ESG council, driven by volunteer employees, have initiated a new talk series using external speakers to address ESG topics.

Financial literacy is also a priority, offering financial clinics for employees on credit cards and fraud prevention.

Vision 2031
RAKBANK is dedicated to the UAE’s 2031 vision to reduce the carbon footprint by supporting the circular economy. This involves initiatives like providing green loans.

MSCI ESG ratings
In 2024, MSCI assessed how well RAKBANK manages major ESG risks using a rules-based method to compare performance with peers and measure a company’s resilience to long-term, industry-specific risks. Ratings are classified as leader (AAA, AA), average (A, BBB, BB), or laggard (B, CCC).

RAKBANK received an MSCI rating of BBB and a Refinitiv score of 49/100, with strengths in product responsibility, governance, workforce and resource use. RAKBANK’s ESG performance aligns with its long-term goals and the UAE’s national plans, contributing to sustainable development and economic prosperity.



Material Matters

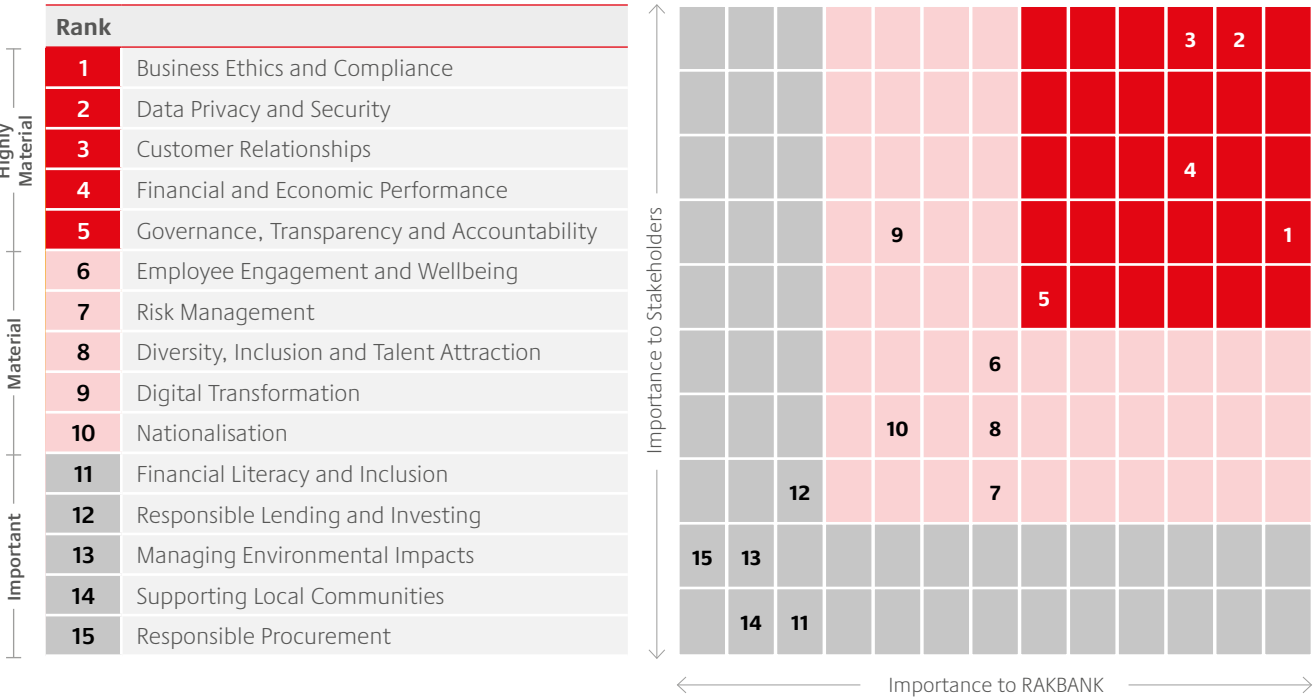
RAKBANK prioritises its ESG Framework and key stakeholders for the long-term, enhancing our ESG efforts to meet the evolving needs of our organisation and the external environment.

Here are the key themes and focus areas for 2024:

- Issuing a social finance bond
 - Establishing oversight of ESG in existing Board and Senior Management committees
- Providing climate risk and ESG training for the Board and Senior Management
 - Launching an ESG policy
- Launching a Climate Risk Framework
 - Cultivating our people: attracting and retaining talent
- Promoting financial literacy through programmes across the UAE
 - Continuing our community efforts and driving positive societal impact

In 2021, we assessed key concerns for RAKBANK based on strategy and stakeholder needs, taking into consideration local and global ESG trends.

Our material matters rank as follows.



Our Material Matters unpacked

Rank	Material issue	How RAKBANK is responding	2024 reporting disclosures
1	Business Ethics and Compliance	- Ensuring high standards of business ethics and regulatory compliance - Working to protect the Bank's reputation and achieving business goals legitimately - Promoting organisational behaviour that RAKBANK and its stakeholders can be proud of	Risk Management, pages 113
2	Data Privacy and Security	- Safeguarding customer assets, including personal data - Ensuring data privacy and security is constantly assessed across the business and improved wherever and whenever possible	Data Privacy and Security, page 115
3	Customer Relationships	- Recognising that RAKBANK's customers are key stakeholders who form a core part of the Bank's journey towards "awesome" banking solutions across the UAE - Offering convenient access to innovative and competitive financial products across multiple channels to individuals and businesses	Enhancing Customer Experience, page 47
4	Financial and Economic Performance	- Achieving continual, stable financial growth and attracting investment by continuing to diversify sources of income while maintaining low costs and high operating efficiency - Ensuring adequate capital reserves to absorb losses, continue operations and meet obligations in the event of adverse operating conditions	Group Performance, page 39
5	Governance, Transparency and Accountability	- Conducting business with transparency, accountability and integrity by maintaining the highest standards of corporate governance - Upholding corporate governance structures, principles, policies and practices, which helps meet RAKBANK's responsibilities to stakeholders and protect the business	Corporate Governance, page 95
6	Employee Engagement and Wellbeing	- Promoting and supporting the optimal wellbeing of employees - Helping employees to create value as much for themselves as for RAKBANK and its stakeholders	Employee Engagement and Wellbeing, page 80
7	Risk Management	- Protecting assets and customers via risk reduction and risk management - Addressing urgent challenges	Risk Governance, page 114
8	Diversity, Inclusion and Talent Attraction	- Building an exceptional workforce through attracting, developing and retaining the most talented individuals - Inspiring people to achieve their full potential and deliver against the strategic objectives - Committing to increasing the Emiratisation rate	Diversity, Inclusion and Talent Attraction, age 81
9	Digital Transformation	- Enhancing end-to-end digital services across multiple business segments - Easing customer interaction with the Bank and creating new digital-first solutions across product lines	Digital Transformation and Innovation, page 45
10	Nationalisation	- Supporting the national vision to develop the local workforce - Working to improve the Emirati experience and to attract local talent	Nationalisation, page 80
11	Financial Literacy and Inclusion	Investing in initiatives aimed at enhancing people's wellbeing by engaging responsibly with local suppliers and promoting financial literacy to enable customers to make informed financial decisions	Financial Literacy and Inclusion, page 85, 89
12	Responsible Lending and Investing	- Establishing responsible investment/lending policies and management procedures - Actively developing a capacity for ESG analysis to assist investment and lending decisions	Corporate Governance, page 95
13	Managing Environmental Impacts	- Supporting national and international efforts to preserve natural resources in RAKBANK's areas of influence - Assessing and disclosing resource use so that the Group can continue to reduce its impact in meaningful, measured ways	Preservation of Natural Resources, page 89
14	Supporting Local Communities	- Recognising that commitments to Emirati society should extend beyond providing quality banking services. These should be supporting pillars of the collective efforts to make the UAE and the world a better place for tomorrow - Staying focused on corporate social responsibility (CSR) commitments	Community Support, page 89
15	Responsible Procurement	Addressing responsible procurement throughout the supply chain, as it is affected by both who is chosen to engage in business and from where, and how those parties manage their own impacts	Responsible Procurement, page 73

Our Key Relationships

RAKBANK’s growth and success depend on how we manage stakeholder relationships, i.e. with customers, employees, investors, regulators, suppliers and the communities we serve. They both significantly impact our business and vice versa. We regularly engage with them about their concerns and expectations.

We engage our stakeholders to spot opportunities and risks early and tackle them quickly: RAKBANK focuses on what matters to its stakeholders, ensuring we deliver value in the short, medium and long-term.



Social Finance Framework

RAKBANK has an ambition to run a sustainable business driving positive societal impact through our operations and the business relationships we have and we believe achieving consistent financial growth means integrating sustainability into our core business strategy.

First Public Social Bond in GCC

RAKBANK successfully issued a five-year Euro Medium-Term Note (EMTN) Bond as part of its Social Finance Framework. Owing to strong demand, the bond was three times oversubscribed. Consequently, the issue’s size increased to USD 600 million with a pricing

adjustment of 35 basis points to USTs + 135 basis points. It features a coupon rate of 5.375% and a yield to maturity of 5.439%.

This initiative reflects the UAE’s dedication to achieving the Sustainable Development Goals (SDG) and in terms

of the Bank’s Social Finance Framework, funds from these bonds will be used to support micro, small, and medium enterprises (MSME) and improve healthcare.

“

This is an important milestone for RAKBANK and supports our aspiration of integrating ESG into our core business strategy for long-term financial progress. It also reinforces our commitment to supporting the “We the UAE Vision 2031”, through GDP growth, job creation and aligning with UBF’s 2030 sustainable finance pledge.

As a leading SME bank, we already play a crucial role in supporting the success and increase of more than 86,000 SME customers who act as a catalyst for the economy through employment generation. The issuance allows us to further our efforts in this space.”

Raheel Ahmed
Group Chief Executive Officer

Sustainable financing

In December 2023, RAKBANK announced its contribution to the UAE banking sector’s collective pledge of mobilising AED 1 trillion towards sustainable finance by 2030. To date, RAKBANK has achieved 61% of its share of the UBF Sustainable Finance pledge.

One of the cornerstones of RAKBANK’s environmental strategy is the expansion

of its green finance portfolio to include green mortgages and green auto loans. These products are designed to support environmentally friendly projects and contribute to the UAE’s sustainability goals. RAKBANK’s sustainable finance portfolio is distributed as follows:

- Green finance: 32.7%
- Social finance: 40.2%
- Sustainability-linked loans and investments: 27.1%

Overall, the sustainable finance portfolio represents 5.96% of RAKBANK’s total exposure, reflecting its commitment to integrating environmental considerations into our financial products.

RAKBANK has launched a series of focused campaigns to encourage our customers to opt for eco-friendly choices in their vehicles and home upgrades.



Responsible Procurement

RAKBANK is dedicated to fair play, with the Executive Procurement Committee overseeing its supply chain and procurement policies. Our Supplier Code of Conduct ensures secure and ethical behaviour in all transactions; recognising that careless procurement can present risks. Finally, we support the growth of small and medium-sized enterprises and collaborate with original equipment manufacturers (OEM) to combat counterfeit products.

Procurement at RAKBANK

	2019	2020	2021	2022	2023	2024
Total number of suppliers engaged	706	625	686	704	735	771
Total number of local suppliers engaged	562	489	543	557	596	525
Total number of SME suppliers engaged	483	539	459	304	513	456
Total procurement spending (actual) (AED in millions)	584.1	655.3	645.7	614.2	868.1	920.3



Building and Sustaining our Talent Pool

RAKBANK’s HR strategy aligns with its 2026 goals, uniting skilled and value-driven individuals to improve customer experiences and banking solutions across the UAE.



This year marked significant strides in RAKBANK’s human resources strategy, reflecting the Bank’s commitment to building and sustaining a robust talent pool. Efforts were driven by a dynamic approach to talent acquisition, development and retention, amid a highly competitive market. The 2024 highlights include the successful implementation of various talent development programmes, a notable increase in Emiratisation and enhanced employee engagement initiatives.

Talent in the UAE financial sector
 The UAE financial sector has been undergoing a transformation driven by digitisation and automation, leading to a high demand for technology, data, product and analytics skills. This has created a fiercely competitive market for digital talent. Additionally, the Central Bank of the UAE’s (CBUAE) push for enhanced Emiratisation has increased the demand for quality Emirati talent

within the banking sector. RAKBANK, like other leading banks, has navigated these challenges by focusing on talent retention, technological adaptation and regulatory compliance.

Workforce overview*

	2020	2021	2022	2023	2024
Total workforce (excluding trainees, students)	3,417	3,508	3,256	3,540	3,009
Full-time employees	3,395	3,488	3,232	3,521	2,991
Part-time employees	22	20	24	19	18
Senior Management employees	24	26	15	17	17
Middle Management employees	1,162	1,238	1,214	1,861	1,597
Non-Management employees (staff)	2,231	2,244	2,027	1,662	1,395
Trainees and sponsored students (only local sponsored students)	25	19	3	1	0
Number of nationalities	61	67	60	61	60

* Excludes RAKInsurance data and four employees seconded to RAKInsurance
 * The above numbers are in line with BRF reporting to the Central Bank of the UAE

Workforce by age and gender	2020	2021	2022	2023	2024
Employees age 18-30	658	541	495	668	561
Employees age 31-50	2,663	2,851	2,630	2,726	2,300
Employees age 51+	96	116	131	146	148
Male employees	2,073	2,153	1,948	2,115	1,686
Female employees	1,344	1,355	1,308	1,425	1,323
Female employees in Middle Management	386	402	430	678	624
Female employees in Senior Management	2	3	2	3*	1

* New reporting methodology applied in 2023

New hires and turnover*	2020	2021	2022	2023	2024
Total new employee hires	280	574	758	908	689
Total new employees by age					
Age 18-30	126	164	293	382	297
Age 31-50	149	400	455	512	377
Age 51+	5	10	10	14	15
Total employees by gender					
Male	150	394	289	321	362
Female	130	180	469	587	327
Employee turnover (voluntary and involuntary)	957	497	802	834	1,049
Age 18-30	258	139	140	213	291
Age 31-50	668	353	629	601	725
Age 51+	31	5	33	20	33
Male	663	316	559	527	701
Female	294	181	243	307	348
Senior Management	4	1	5	6	1
Middle Management	222	132	212	232	204
Non-Management employees	731	364	585	313	844
Employee turnover (voluntary and involuntary) (%)	27%	15%	24%	24%	23%**
Employee turnover (voluntary)	368	428	607	679	507
Age 18-30	130	131	1,236	187	157
Age 31-50	231	294	475	481	344
Age 51+	7	3	9	11	6
Male	221	259	404	426	295
Female	147	169	203	253	212
Senior Management	1	1	1	3	1
Middle Management	67	107	171	301	152
Non-Management employees	300	320	435	375	354
Employee turnover (voluntary) (%) (Total voluntary separations during the year/average annual headcount)	10%	13%	18%	20%	17%
Employee turnover (voluntary) (%) (Total voluntary separations during the year/total separations during the year)	38%	86%	76%	81%	48%

* 2024 data excludes RAKInsurance data
 **Excluding additional 11% involuntary turnover (total 342 employees) related to outsourcing related exits

Skills development and training programmes

RAKBANK offers a comprehensive range of skills development and training programmes, including courses from the Emirates Institute of Finance (EIF), compliance-based learning, LinkedIn

Learning, and business-specific technical development. In 2024, the focus was on mandatory e-learning courses, business-specific induction programmes and a development programme for UAE nationals new to the Bank. These are designed to enhance the skills and

capabilities of the workforce, ensuring they remain competitive and well prepared for future challenges.

 During 2024, 99.7% of RAKBANK employees completed mandatory training.

Training and development (hours)	2020	2021	2022	2023	2024
Total training delivered	42,592	22,688	58,480	54,629	42,603
Average training per employee	11.9	7.02	15	16.18	14.16

Employee development and succession planning

In 2024, RAKBANK supported the career growth and professional development of its employees through targeted talent development programmes, particularly for Emirati employees. These initiatives included training, mentoring, coaching and leadership development opportunities. Succession planning processes are robust, with formal

plans in place for Senior Management and other critical positions, ensuring a pipeline of capable leaders for the future.

Talent acquisition and retention
 RAKBANK’s talent acquisition strategy is aligned with both global and local best practices, leveraging the Bank’s strong employer brand and reflecting our values and culture. Key talent is developed

and engaged through structured talent management, upskilling, cross-skilling, talent rotation, competitive rewards and clear career progression paths. RAKBANK’s Performance Management Framework ensures employees receive regular performance and career development reviews, fostering a culture of continuous improvement and progression.

Remuneration, rewards and recognition

Enabler functions, Heads of the Control Functions (i.e. Risk, Compliance and Audit) and Head of Legal.

Deferred awards will vest equally over a three-year period.

Senior Management compensation

From the Bank’s perspective, for the 2024 performance year, seventeen (17) Senior Management (including current and former) have been identified as key staff responsible for the oversight of the Bank’s key business lines. i.e., the CEO, Heads of Business Lines, Heads of

In line with UAE regulatory requirements, variable remuneration awarded to Senior Management under the discretionary annual bonus scheme comprise of cash bonuses, paid after the end of the performance year, and deferred awards, granted under the terms and conditions of the relevant Material Risk Taker rules.

For the year 2024, total remuneration awarded to Senior Management amounted to AED 55.9 million. Total remuneration is comprised of fixed pay (including employer pension contributions) and variable compensation awarded in the year 2024.

Remuneration	Amounts in AED Million
Fixed remuneration*	
Number of employees	17
Total fixed remuneration (3 + 5 + 7)	39.7
Of which: cash-based	34.5
Of which: deferred	-
Of which: shares or other share-linked instruments	-
Of which: deferred	-
Of which: other forms	5.2
Of which: deferred	-
Variable remuneration	
Number of employees	17
Total variable remuneration (11 + 13 + 15)	16.2
Of which: cash-based	16.2
Of which: deferred	-
Of which: shares or other share-linked instruments	-
Of which: deferred	-
Of which: other forms	-
Of which: deferred	-
Total Annual Remuneration	55.9

* Fixed Remuneration includes Severance Pay & Sign On awards paid to Senior Management in 2024 under point 07

Employee compensation

Employee compensation packages match industry standards and competency levels and include leave and insurance.

Leave

To support our employees’ wellbeing, RAKBANK offers various types of leave:

- Annual
 - Sick and/or unpaid or half pay
 - Maternity and/or unpaid or half pay
 - Paternity
- Military
 - Study
 - Compassionate
 - Marriage
 - Hajj
 - Unpaid

Parental leave*	2020	2021	2022	2023	2024
Number of male employees who took parental leave**	N/A	N/A	73	77	101
Number of female employees who took parental leave	89	87	55	76	67
Number of female employees who returned to work after parental leave ended (return to work)	83	86	51	73	64
Return to work rate (%)	93%	N/A	93%	96%	96%

* Excludes RAKInsurance data

** Above numbers are of only active male employees as at December 2024 who had taken parental leave during these years. N/A until 2021 since parental leave was introduced in RAKBANK in 2021

Insurance

RAKBANK provides life and health insurance (which includes dental care) to its employees worldwide, except in the US and Canada. Our life insurance covers permanent partial and total disabilities, as well as accidental death, in accordance with the policy terms. This year, we expanded this benefit for junior employees by including additional hospitals and clinics in their coverage network.

RAKBANK SHINE

In 2024, the Bank drove significant engagement of its new digital

rewards and recognition programme, RAKBANK SHINE. This platform enabled employees to celebrate their colleagues’ achievements through non-monetary appreciation. Additionally, Senior Management recognised exceptional contributions by awarding points in alignment with the Bank’s overarching WAVE strategy.

RAKBANK SHINE fosters a culture of recognition and appreciation, with over 20,000 acknowledgments and awards shared, to date.

Employee engagement and wellbeing

Employee engagement was a key focus in 2024, with several initiatives launched via the RAKBANK Voice platform. These included business and management councils, as well as steering committees to drive collaboration and exposure opportunities. HR Connects sessions, CEO Majlis sessions and various wellness and talent showcase events were introduced, which saw promising levels of participation, reflecting our commitment to fostering a supportive and engaging work environment.

Employee engagement and wellbeing*	2020	2021	2022	2023	2024
Employee engagement (%)**	N/A ***	60%	63%	67%	70%
Employee absentee rate	0.58%	1.30%	2%	0.29%	2.4%

* Excludes RAKInsurance data

** 2023 is the pulse survey data conducted during September 2023

*** Due to circumstances related to COVID-19, the Employee Engagement Survey was not conducted in 2020

Employee grievances

Although RAKBANK has a strict grievance process to ensure employee complaints are handled confidentially and fairly, we aim to resolve issues informally whenever possible. In 2024, 35 grievances were addressed.

Emiratisation

As a national bank in the UAE, RAKBANK aims to build a skilled Emirati workforce and foster economic diversity. The Emiratisation programme strengthens relationships between employees and Emirati customers, as local staff better understand their needs, leading to improved service. We have introduced the following initiatives to attract and retain Emirati talent.

Divisional champions

RAKBANK has appointed Emirati employees as divisional champions to represent their interests and ensure their concerns and ideas are heard.

Round tables

Regular round table discussions create an inclusive atmosphere that promotes ownership and engagement enabling our Emirati employees to share their thoughts and innovative ideas.

Talent development programmes

RAKBANK offers tailored development programmes for Emirati employees, including individual development plans, training, mentoring, coaching and leadership opportunities to boost the skills and career growth of Emirati talent across all segments of the Bank.

Career development

RAKBANK provides clear career paths and advancement opportunities to attract and retain Emirati talent. This includes offering specialised training, internal mobility and mentorships.

Collaboration with educational institutions

Partnering with local universities and educational institutions involves creating collaborative programmes, internships and scholarships to draw in talented Emirati students and build a strong pipeline of Emirati talent.

Emirati cultural integration

Celebrating national holidays and cultural events builds belonging and pride, promoting Emirati culture and heritage within RAKBANK.

Nationalisation	2020*	2021	2022	2023	2024
Total Emiratisation points	- Operational Emiratisation points: 1,273.5 - RAKInsurance Emiratisation points: 54 - Retention points: 228	N/A***	- Operational Emiratisation points: 1,245 - Recruitment points: 201	1,322	- Emiratisation points: 1,274 - Recruitment points: 585
Total number of national employees **	583	551	604	665	734
Number of female national employees	515	489	534	576	620
Number of male national employees	68	62	70	89	114

* In 2020, the Bank was given two separate targets for Emiratisation: Operational Emiratisation Target Points and Retention Target. While the calculation basis of Operational Target Points is the same as 2019, Retention Target Points is achieved if the number of Emiratis working for the Bank as at 31st December 2020 is the same as at 31st December 2019

** National employees with family book

*** N/A given the Central Bank of the UAE issued a cumulative target for two years 2021 and 2022, which was then revised to the current target

Type	2020	2021	2022	2023	2024
Emirati headcount	583	551	604	665	734
Expat headcount	2,834	2,957	2,652	2,710	2,275
Total headcount	3,417	3,508	3,256	3,375	3,009
% of total Emirati headcount	17%	16%	19%	20%	24%

Diversity and inclusion

RAKBANK focuses on gender, nationality and non-banking talent diversity as key areas for its diversity and inclusion strategy. The establishment of a dedicated council and a stronger emphasis on diverse talent acquisition have played significant roles in this positive shift.

Gender pay ratio*	2020	2021	2022	2023	2024
Median female compensation to median male compensation	0.9:1	0.9:1	0.9:1	0.97:1	0.88:1

*Excludes RAKInsurance data

Looking ahead

Looking to the future, RAKBANK’s primary focus areas for 2025 include improving employee engagement, providing a digital HR experience and embedding new ways of working. We will continue to drive our Emiratisation strategy, enhance our diversity and inclusion plan, and focus on competitive pay and benefits. Our commitment to

attracting, developing and retaining top talent remains steadfast, ensuring we are ideally positioned to meet the evolving needs of our business and the broader financial sector.

In conclusion, 2024 was a year of significant progress for RAKBANK’s human resources strategy. Building and sustaining a talented and engaged

workforce not only supports our business objectives, but also contributes to the broader goals of the UAE’s financial sector. We look forward to continuing this journey in 2025 and beyond, with a focus on innovation, inclusivity and excellence.



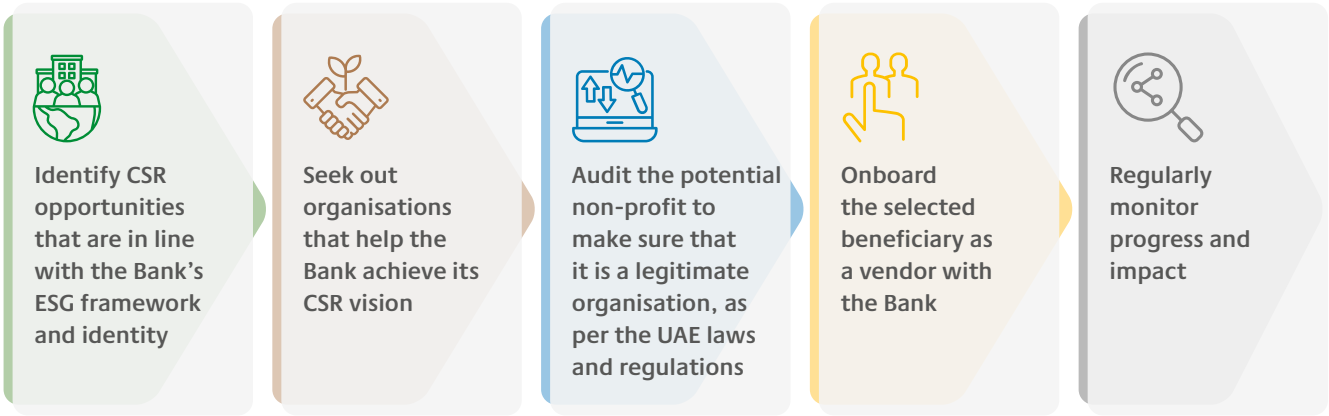
Corporate Social Responsibility

RAKBANK sees corporate social responsibility (CSR) as essential for the UAE’s growth and its own success. Its CSR programme focuses on three key areas: economic, environmental and social, aiming to improve the local community and environment. Simultaneously, its business strategy supports financial inclusion, the development of SMEs and boosts financial literacy.

Activities include sports events, charitable donations and sustainability initiatives, along with campaigns that support people of determination and promote Emiratisation.



RAKBANK’s process for selecting beneficiaries is summarised below.



Supporting Vision 2031

RAKBANK is dedicated to nurturing Emirati talent, delivering excellent banking experiences for our customers and reducing carbon emissions. Through products and services to smaller businesses, the Bank helps to increase the global entrepreneurship indicator ranking and enhance the SME contribution to non-oil GDP. The launch of the Social Bond also helps customers align with the UAE vision and create a more sustainable future for all.

Community initiatives

In 2024, RAKBANK continued its support for various community initiatives. It sponsored the RAK Autism Centre, paying their teachers’ salaries and running financial literacy programmes and SME support initiatives. CSR funding for the year amounted to approximately AED 600,000 and demonstrates RAKBANK’s commitment to giving back to the community.

Focus on volunteering and community support

RAKBANK has implemented four employee councils to promote environmental and social culture, as well as to enable colleagues to voice their preferences. The four employee councils are: Wellbeing, Sport, D&I, and CSR & ESG. These councils guide efforts in making a meaningful impact on the community, for employees and the environment. Through these initiatives, the Bank aims to drive sustainability and social responsibility within the organisation.

Sustainability Council

RAKBANK’s CSR & ESG Council, which is employee-driven, consists of around 20 employees who volunteer their time to work on CSR and ESG initiatives. These members are drawn from various parts of the organisation and across different levels, demonstrating a collective commitment to its sustainability goals.

Furthermore, the CSR & ESG Council has introduced 19 impactful initiatives this year, focusing on financial literacy, employee engagement, environmental sustainability and corporate social responsibility.

Financial literacy workstream

RAKBANK is committed to enhancing financial awareness through its financial literacy workstream, which equips individuals with essential money management skills. By conducting targeted workshops for students, employees and blue-collar workers, the Bank empowers communities with the knowledge to make informed financial decisions. These initiatives ensure financial education is accessible and practical, fostering long-term financial resilience.

Initiative	Description	Partnership and collaborations	Number of participants	Session hours	Financial investment (AED)
North American School and St Mary’s School	The Bank provided students aged 12-16 with financial education tailored to their learning needs	A total of six partnerships with government, schools, Edenred and internal teams	1,175	10.5	11,407
How to make your credit card work for you	The Bank provided employees with financial knowledge on smart credit card usage to enhance money management skills				
Sharjah Book Fair	The Bank delivered interactive financial education sessions to young audiences to simplify key financial concepts				
Edenred collaboration	The Bank equipped labour camp workers with saving strategies and fraud prevention tips				
PeoplePro Training Institute	The Bank hosted virtual sessions on financial management in a digital-first economy for students aged 11-18				

Employee engagement workstream

RAKBANK’s employee engagement workstream aims to foster a workplace culture by encouraging participation in social impact initiatives. The Bank facilitates employee involvement through activities such as sustainability talks, toy-making for underprivileged children, and appreciation events for support staff, while promoting values of inclusion, collaboration and corporate responsibility.

Initiative	Description	Partnership and collaborations	Number of participants	Volunteering hours	Financial investment (AED)
INDIMAJ	The Bank provided hands-on workplace experience for children of determination to develop essential skills	A total of six partnerships with schools, vendors and internal teams	240	65	39,950
Sustainability Talk – First Edition	The Bank launched knowledge-sharing sessions on ESG topics to promote sustainability awareness among employees				
Making toys for underprivileged children	The Bank engaged employees in crafting toys for children in need as part of a community support initiative				
Support staff appreciation lunch	The Bank organised a meal initiative to recognise and reward support staff for their contributions				

Environment workstream

RAKBANK’s environment workstream promotes sustainability by initiating eco-friendly practices like tree planting, energy-saving projects and community cleanups. These efforts foster environmental stewardship and contribute to a greener future.

Initiative	Description	Partnership and collaborations	Number of participants	Volunteering hours	Financial investment (AED)
Automatic monitor power-off initiative	The Bank introduced an energy-saving measure to switch off PC monitors after 10 minutes of inactivity	Emirates Environmental Group and internal teams	47	118	26,085
Sustainability awareness quiz	The Bank conducted an ESG knowledge quiz to educate employees on sustainable practices				
Tree planting initiative	The Bank partnered with the Emirates Environmental Group to plant trees and promote environmental conservation				
Clean UAE campaign	The Bank mobilised volunteers for a nationwide cleanup drive to enhance environmental sustainability				

Corporate social responsibility workstream

RAKBANK’s dedication to social impact is reflected in the corporate social responsibility workstream, which is dedicated to supporting those in need. The Bank organises meaningful initiatives such as hospital visits, school stationery drives for refugee children and Ramadan iftar distributions, to make a tangible difference in the lives of individuals and communities.

Initiative	Description	Partnership and collaborations	Number of participants	Volunteering hours	Financial investment (AED)
Haq Al Laila celebration	The Bank distributed gift bags to children and employees to celebrate the Emirati tradition, fostering cultural heritage and community	The Bank proudly partnered with Companies for Good and internal teams	47	118	26,085
Ramadan Iftar distribution	The Bank provided iftar meals to motorists at traffic signals to ease their fasting experience				
Share-a-Smile hospital visits	The Bank organised visits to hospitals to bring joy to patients through small gifts and warm interactions				
School stationery packing for refugee children	The Bank packed and distributed essential school supplies to support refugee students’ education				

CSR 2024 spend

Community investment and volunteering	2020	2021	2022	2023	2024
Value of investment in local community (AED '000)	1,017	1,149	906	750	633
Number of beneficiaries of community activities	11	14	5	6	2
Volunteering hours	750	1,155	-*	784**	285

These figures are for Bank-wide CSR spending
 * Number for 2022 unavailable
 ** Includes volunteering hours for financial literacy, INDIMAJ programme and activities held by the employee councils

Financial inclusion

RAKBANK has a long history of being a socially conscious company, honouring its commitment to local communities and serving its customers through excellent customer service. The Bank supports financial inclusion for the underbanked segment, particularly unbanked blue-collar migrants, through solutions such as salary cards, remittance services and micro-lending. RAKBANK’s partnership with Edenred and C3Pay has been instrumental, providing wage cards and the Advance Against Salary facility to blue-collar workers.

Moreover, financial literacy has always been a priority and, in 2024, the Council hosted sessions at schools, book fairs, labour camps and even virtually. The Bank created specific sessions for business customers enabling them to learn more about various business trades. RAKBANK’s coverage extended beyond external stakeholders to include its own employees in sessions on cybersecurity and credit cards. In 2024, the Bank reached approximately 1,680 participants.



Preservation of Natural Resources

This year marked significant progress in RAKBANK’s environmental sustainability efforts, continuously striving to enhance its initiatives aimed at reducing electricity, water and waste consumption. The goal for the year ahead is to fully calculate the Bank’s Scope 1 and 2 emissions, enabling the development of a comprehensive net zero transition plan.



While RAKBANK does not currently have a separate environmental policy, it ensures that environmental factors are integrated into its ESG policy. By embedding these elements into the governance framework, the Bank aims to support the UAE’s vision for a sustainable future and make a positive impact on society and the environment.

Alignment with national plans

RAKBANK’s ESG policy aligns with the UAE’s national plans, which focus on enhancing the quality of life, promoting economic diversification and prosperity, preserving ecosystems and sustaining ecological resources and services. The Bank’s efforts are aligned with key national strategies such as the National Framework for Sustainable Development, UAE Green Agenda 2030, UAE Net Zero by 2050, UAE Vision 2031 and the UN Sustainable Development Goals.

Role in society

As a leading SME bank in the UAE and the national bank of Ras Al-Khaimah, RAKBANK recognises its fundamental role in society. It provides financial services and solutions that support individuals and businesses, thereby contributing to sustainable development. The Bank’s actions and behaviour have a significant impact on society, and it aims to operate sustainably, fairly and transparently.

Commitment to sustainable operations

RAKBANK is committed to minimising and avoiding adverse or harmful impacts from its business activities. In 2024, electric vehicle charging stations were installed in the basement parking in the DSO and ROC.

This commitment is further reflected in the Bank’s efforts to integrate sustainability as a key pillar of the business strategy. It strives to create a positive impact on society, empower its customers and create lasting value for all stakeholders, including employees and communities.

Support for local strategies

RAKBANK actively supports local strategies aimed at achieving a more sustainable future. This includes aligning efforts with the UAE’s goals and participating in initiatives that promote sustainable growth and development within the country. By doing so, RAKBANK contributes to collective efforts to move towards a more sustainable future for all.

Empowerment and collaboration

RAKBANK believes in empowering customers and collaborating with passionate colleagues who share a commitment to positive change. By fostering a culture of collaboration and

empowerment, RAKBANK aims to drive meaningful initiatives that benefit both the community and the environment.

Addressing climate change necessitates collaboration among all stakeholders to safeguard society and the environment. The Bank is committed to integrating ESG principles into the business strategy for sustainable progress, acknowledging the financial sector’s significant role in managing related risks and opportunities.

RAKBANK supports initiatives that conserve natural resources, which begins with assessing the Bank’s own resource use and focusing on reducing its environmental impact.

In partnership with Honeywell Middle East, RAKBANK is implementing energy-saving measures to boost its sustainability. This initiative focuses on energy improvements, capital cost avoidance and operational enhancements, with projected utility savings of AED 1,900,295 over the five-year term of the agreement. In 2025, the Bank aims to further reduce water usage, power consumption and paper use.

Water consumption

RAKBANK is committed to eco-friendly water management, using water responsibly to address scarcity in all operations. Sensors and dual flush systems have been installed on all urinals and taps to conserve waste, resulting in a roughly 10% saving for 2024. RAKBANK’s headquarters in Ras Al-Khaimah recycles over 2.5 million litres of grey water annually for toilet and urinal flushing.

Water consumption	Unit/ calculation	2020	2021	2022	2023	2024
Total water consumption	Litre	55,664,894	47,479,894	48,407,000	41,830,475	37,282,784
Water consumption intensity*	Litre/employee	17,271	13,535	14,867	12,383	12,390

* Excludes RAKInsurance data, but total employee figure is as per Group data (inclusive of RAKInsurance)

Waste

Waste contributes significantly to global greenhouse gas emissions (GHG). To address this issue, the Bank has initiated a digitisation programme to go paperless. Partnering with Shred-It, the Bank aims to reduce paper waste. Shred-It provides compliance-based solutions to protect people, brands and the environment. The Bank has a total of 75 Shred-It recycling boxes in Ras Al-Khaimah and Dubai, recycling approximately 30,000 kilograms every quarter. In 2024, paper usage was reduced by approximately 20%.

Materials consumption and waste	2020	2021	2022	2023	2024
Total paper consumption (kg)	82,375	75,688	79,450	70,800	58,300
Total paper recycled (kg)	78,792	159,234	130,680	108,182	128,728

Greenhouse gas and emissions/carbon

The road to Net Zero

RAKBANK has committed to becoming Net Zero in its banking operations by 2030, aligning with the UAE’s vision of achieving Net Zero by 2050. The Bank continues to expand its green financing portfolio, including green mortgages and green auto loans. These products support environmentally friendly projects and contribute to the UAE’s sustainability goals.

Electricity consumption

RAKBANK sources its electricity from key regional utility providers including Dubai Electricity & Water Authority (DEWA), Federal Electricity and Water Authority (FEWA), Sharjah Electricity and Water Authority (SEWA) and Abu Dhabi Distribution Company (ADDC).

These utilities supply power for the Bank’s critical infrastructure, supporting essential operations such as building lighting, power systems, air conditioning, elevators and pumping equipment. The electricity generated by these providers is primarily produced through natural gas and oil-based generation methods.

Energy-saving measures, which achieved 20% savings this year, include load balancing, smart controllers and LED lights. Modern equipment enhances energy ratings and optimises space.

Electricity consumption	Unit	2020	2021	2022	2023	2024
Indirect energy use	GJ	88,038	286	71,362	69,949	69,948
Direct electricity consumption	Mwh	23,886	22,042	21,144	19,430	15,370
Total workforce*	Number	3,223	3,508	3,256	3,378	3,009
Vehicle fuel consumption (gasoline)	Litre	138,174	106,345	106,461	82,632	58,651

* Excludes RAKInsurance data, but total employee figure is as per Group data (inclusive of RAKInsurance)

Emissions	Unit	2020	2021	2022	2023	2024
GHG emissions	CO2e (tonnes)	18,961	3,556	15,187	14,169	13,378
Emission intensity*	CO2e (tonnes)/employee	5.9	1.0	4.7	4.2	4.4
GHG emission	percentage	24%	5%	20%	18%	19%

* Excludes RAKInsurance data, but total employee figure is as per Group data (inclusive of RAKInsurance)





A Bank to Trust

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05

Governance, Transparency and Accountability

Governance

RAKBANK's approach to corporate governance is a reflection of its core values, encompassing its culture, policies and relationships with all stakeholders, including shareholders, regulators, employees, customers, vendors, the government and the community at large. Corporate governance is a system of practices, processes and rules, which directs the affairs of an organisation in an efficient manner and helps it to maximise value for its stakeholders. These ensure the Bank's affairs are managed in a manner that prioritises accountability, transparency and fairness in all transactions in the widest sense.



At RAKBANK, corporate governance is not just a destination, rather it is a journey to constantly improve sustainable value creation. It is an ever-evolving target the Bank strives to achieve. As the Bank moves closer to its aspirations of being a global corporation, it is imperative that its corporate governance practices are globally benchmarked. RAKBANK not only adheres to the corporate governance practices prescribed by regulatory requirements, but is also committed to sound corporate governance principles that include emerging global best practices. The Bank endeavours to achieve higher standards and provide oversight and guidance to the Management in strategy implementation, risk management and fulfilment of stated goals and objectives.

The Bank has defined a multi-tier governance structure with clearly defined roles and responsibilities for each component of the system. The key principles of this structure are as follows.

Board of Directors: The Board of Directors is the apex body, overseeing the overall functioning of the Bank. The Board provides strategic direction and leadership, ensuring that management policies are effective and aligned with the long-term interests of shareholders and other stakeholders. The Board, inter alia, reviews and guides corporate strategy, major plans of action, risk policy, annual budgets, acquisitions and investments. Additionally, it monitors implementation and effectiveness of governance structures. For further details, please refer to the section titled "Board of Directors" in this report.

Board committees: The Board has delegated specific functions to designated Board committees to effectively address complex or specialised issues. For further details, please refer to the section titled "Board Committees" in this report.

The Bank's governance structure is supplemented with several policies and codes that lay down the values and standard of conduct expected from the Board and the Bank's staff while performing their roles and responsibilities across various functions. Some of these policies are:

- Disclosure and Transparency policy
- Related Party Transaction policy
- Share Dealing policy
- Board Selection, Appointment and Remuneration policy
- Whistleblowing policy
- Code of Conduct and Ethics for Board Members

The Bank's investment in its corporate governance framework sets the tone for attaining its objectives across every sphere of Management, from action plans and internal controls to performance measurement, ethics and corporate disclosures. Good corporate governance helps to build trust with the investors and the community and helps to create, enhance and safeguard long-term interest and sustainable value for all its stakeholders. The Bank aims to fulfill the aspirations of all stakeholders, reflected in shareholder returns, awards, recognitions and decision-making, fostering valuable relationships and trust. Strong corporate governance practices form the foundation of the Bank's consistent performance and has helped it gain the respect of and long-term associations with its stakeholders.

Board of Directors

The Board of Directors’ primary responsibility is to provide effective governance over the Bank’s affairs for the benefit of its shareholders. Additionally, to the Board aims to balance the interests of its diverse constituencies, including its customers, employees, suppliers and local communities.

In all actions taken by the Board, the Directors are expected to exercise their business judgement in what they reasonably believe to be in the best interests of the Bank and to comply with relevant laws, regulations, rules and best banking practices. In discharging that obligation, Directors may rely on the Bank’s Senior Executives, external advisers and Auditors.

The Board has overall responsibility for corporate culture, governance and stakeholders’ rights, Shari’ah governance, risk, credit internal controls, strategy, financial transparency and disclosure, Management oversight, and nomination and remuneration.

RAKBANK’s Board of Directors’ term lapsed by the Annual General Assembly Meeting held on 18th March 2024. At the same meeting, the Board of Directors was elected for the term 2024-2027, thereby increasing the number of Board members from seven (7) to nine (9).

The following four (4) Board members were appointed at the Annual General Assembly Meeting held on 18th March 2024:

- Mrs. Debra Veronica Ward
- Mr. Abhijit Choudhury
- Mr. Mohammad Abdulrahman Abdulla Aljallaf
- Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi

The following two (2) Board members were not elected at the same meeting:

- Mr. Ahmed Essa Ahmed Al Naeem
- Mr. Kantic Dasgupta

The Board of Directors comprises of nine (9) members.



H.E. Mohamed Hasan Abdulla Omran Alshamsi

Chairman – Independent, Non-Executive

Experience and qualifications

H.E. Mohamed Hasan Abdulla Omran Alshamsi has 35 years of experience with Etisalat, retiring as Chief Executive Officer and Chairman in 2012. He held the positions of the Chairman of the Board of Trustees for the American University in Ras Al-Khaimah and the Chairman of the Board of Trustees of Ras Al-Khaimah Medical & Health Sciences University. H.E. Alshamsi holds an Engineering degree in Electronics and Communications from Cairo University, Egypt, which he received in 1977.

Period spent as a Board member from the date of first election

- Starting from 2015

Membership and positions at any other joint stock companies

- Nil

Main positions at any other important regulatory, government or commercial entity

- Nil

H.H. Sheikhha Amneh Saud Saqr Mohamed Salem Alqasimi

Vice Chairman – Independent, Non-Executive

Experience and qualifications

As Chairman of the Investment and Development Office (IDO), the strategic investment arm of the Emirate of Ras Al-Khaimah in the United Arab Emirates (UAE), H.H. Sheikhha Amneh Alqasimi is responsible for optimising the investments of the Emirate.

H.H. Sheikhha Amneh Alqasimi also serves on the boards of several of the IDO’s portfolio companies. Prior to her role as Chairman of the IDO, H.H. Sheikhha Amneh Alqasimi was a member of Goldman Sachs’ Investment Strategy Group in New York, where she focused on identifying tactical asset allocation opportunities in emerging market currencies and equities. H.H. Sheikhha Amneh Alqasimi earned an MBA from the Stanford Graduate School of Business and a Bachelor of Science degree in Business Administration from the American University of Sharjah.

Period spent as a Board member from the date of first election

- Starting from 2018

Membership and positions at any other joint stock companies

- Nil

Main positions at any other important regulatory, government or commercial entity

- Chairman of the Investment and Development Office (IDO)
- Vice Chair of RAK Port
- Chair of Ras Al-Khaimah Economic Zone (RAKEZ)
- Chair of Department of Knowledge
- Advisory Board member of Mossavar-Rahmani Centre for Business and Government



Mr. Salem Ali Abdulla Alsharhan Alnuaimi

Board Member – Non-Independent, Non-Executive

Experience and qualifications

Mr. Salem Ali Abdulla Alsharhan Alnuaimi worked at Emirates Telecommunication Corporation (ETISALAT) for 23 years until May 2011 as Group Chief Financial Officer. During this time, Mr. Alsharhan represented the company on many boards of international telecommunication companies.

At present, Mr. Alsharhan is Board member of Dubai International Financial Centre (DIFC), member of the Board of National Cement Company (PJSC), and member of the Board of Trustees of American University of Ras Al-Khaimah, as well as the Chairman of the Board of Trustees of Ras Al-Khaimah Medical & Health Sciences University. Mr. Alsharhan holds a Bachelor of Science degree in Accounting and Business Administration from United Arab Emirates University, UAE.

Period spent as a Board member from the date of first election

- Starting from 2012

Membership and positions at any other joint stock companies

- Board member of National Cement Company PJSC

Main positions at any other important regulatory, government or commercial entity

- Board member of Dubai International Financial Centre (DIFC)
- Member of the Board of Trustees of American University of Ras Al-Khaimah
- Member of Board of Trustees of Ras Al-Khaimah Medical and Health Sciences University



Mr. Stephen Robert Monaghan

Board Member – Independent, Non-Executive

Experience and qualifications

Mr. Stephen Monaghan is a General Partner, FinMirai, based in Tokyo, Japan. Mr. Monaghan founded the Innovation Groups at DBS Bank and AIA Company Limited, and has created new products, businesses and companies across the technology and financial services industries. Mr. Monaghan is a private investor in quantum computing, artificial intelligence, life sciences, healthtech and fintech. Mr. Monaghan has served on the advisory boards of HK Agency Science and Technology Research Institute, Intel, Veritas Genetics and as an Investment Committee member of True Global Ventures.

Mr. Monaghan has filed six patents, including DBS’s first patent and Citibank’s first mobile payments patent. Mr. Monaghan has helped numerous tech and financial services institutions in their innovation journeys. Mr. Monaghan holds an EMBA from Helsinki School of Economics and has completed leadership courses at IMD and Wharton.

Period spent as a Board member from the date of first election

- Starting from 2021

Membership and positions at any other joint stock companies

- Nil

Main positions at any other important regulatory, government or commercial entity

- Board member at FinMirai KK (Japan)
- Board member at Human AI Pte Ltd (Singapore) (formerly known as HiAsia Pte Ltd)
- Board member at SBCo (Operations) Pty Ltd (Australia)
- Board member at Pulse Global Limited Director (Singapore)
- Board member at GenLife Limited Chairman (Hong Kong)
- External partner at NTT Data IOMC (Japan)



Mr. Jonathan Edward Morris

Board Member – Independent, Non-Executive

Experience and qualifications

Mr. Morris has over 38 years of banking experience working across multiple geographies, including 16 years in the UAE and GCC markets. Prior to joining RAKBANK as a Board member, Mr. Morris spent five years as the Group Head of Wholesale Banking at Emirates NBD with the overall responsibility for corporate and institutional banking, investment banking, global markets and treasury and, most recently, was a Board member with responsibility for DenizBank AS in Turkey.

Before Emirates NBD, Mr. Morris worked at Standard Chartered Bank for 14 years where his last role was as CEO for the UAE, and 16 years at HSBC across various corporate banking and risk management roles in Europe and the United States.

Mr. Morris holds a BSc (Hons) degree in Banking and Finance from Loughborough University in the UK.

Period spent as a Board member from the date of first election

- Starting from 2023

Membership and positions at any other joint stock companies

- Nil

Main positions at any other important regulatory, government or commercial entity

- Nil



Mr. Abhijit Choudhury

Board Member – Independent, Non-Executive

Experience and qualifications

Mr. Abhijit Choudhury has had a stellar professional career spanning 45 years, primarily as a Group Chief Risk Officer, Advisor to the Governor of the Central Bank of the UAE, and Non-Executive Director on the Boards of Bank ABC Islamic, Bahrain, and JSC Tera Bank, Georgia.

Mr. Choudhury also contributes to the academic sphere as a member of the American University of Sharjah Board of Trustees. Mr. Choudhury retired as the Group Chief Risk Officer of First Abu Dhabi Bank, a role he assumed following the merger between the National Bank of Abu Dhabi (NBAD) and First Gulf Bank (FGB). After that, he transitioned to a new phase of advisory and board-level assignments.

During his career, Mr. Choudhury also assumed the crucial role of interim Group CEO of NBAD.

Mr. Choudhury has contributed towards transforming the financial sector at a national level as Advisor to the Governor of the CBUAE. Mr. Choudhury holds a Master’s degree in Economics from Jawaharlal Nehru University, New Delhi, India.

Period spent as a Board member from the date of first election

- Starting from 2024

Membership and positions at any other joint stock companies

- Nil

Main positions at any other important regulatory, government or commercial entity

- CEO and Founder of Athena Advisory Limited
- Board Member at American University of Sharjah
- Board Member at Bank ABC Islamic, Bahrain
- Board Member at JSC Terabank, Georgia



Mrs. Debra Veronica Ward

Board Member – Independent, Non-Executive

Experience and qualifications

As a partner at a Big 4 consulting practice, Mrs. Debra Ward has worked with many major financial services institutions. Mrs. Ward has specialised in supporting firms in managing their financial crime risk, particularly anti-money laundering and sanctions. Mrs. Ward has also driven transformation programmes, including introducing technology solutions to add value and bring efficiency to control frameworks.

Mrs. Ward is a member of the Institute of Chartered Accountants in England and Wales and the Association of Certified Fraud Examiners. Mrs. Ward has also been a Financial Services Authority Approved Person (CF11) for a UK-regulated bank. In addition, as an Executive Coach and Member of the Association of Coaching, Mrs. Ward is passionate about helping talented staff become the best they can be.

Period spent as a Board member from the date of first election

- Starting from 2024

Membership and positions at any other joint stock companies

- Nil

Main positions at any other important regulatory, government or commercial entity

- Nil



Mr. Mohammad Abdulrahman Abdulla Aljallaf

Board Member – Independent, Non-Executive

Experience and qualifications

After graduating from Austin, Texas and working for 16 years in Emirates NBD, Mr. Mohammed Abdulrahman Aljallaf escalated from a Graduated Trainee Officer to a Senior Manager in the Electronic Banking Services Group in 1996, reporting directly to the Chief Executive Officer and Managing Director. Within these years, Mr. Aljallaf has worked in almost all the Head Office departments, including Finance, Audit, Treasury, Credit Lending, and Branch Control in the UAE and overseas.

After resigning from Emirates NBD in December 2004, Mr. Aljallaf re-engineered his family’s group of businesses (trading activities, rentals, properties, equity, global financial investments and cryptos), and joined the Boards and advisory committees of several companies in the family group.

Period spent as a Board member from the date of first election

- Starting from 2024

Membership and positions at any other joint stock companies

- Nil

Main positions at any other important regulatory, government or commercial entity

- Nil

Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi

Board Member – Independent, Non-Executive

Experience and qualifications

With over 13 years of distinguished experience as a Board member, Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi is renowned for his financial expertise and regulatory proficiency.

Shaikh Abdulla Alqassimi is currently the Vice Chairman of Granada Private Funds Investment LLC, a leading investment company specialising in shares, ADX and DFM trading, bonds and Sukuk. In addition, he also holds the position of Vice Chairman at Granada Real Estate Office LLC, actively contributing to the real estate sector with a focus on construction, trading buildings and apartments. Shaikh Abdulla Alqassimi was a Board member of Union Cement Company, the largest cement manufacturer in the UAE. Shaikh Abdulla Alqassimi holds a Bachelor of Science degree in Finance from California State University, Chico, and a Master’s in International Business from the University of Wollongong, Dubai.

Period spent as a Board member from the date of first election

- Starting from 2024

Membership and positions at any other joint stock companies

- Nil

Main positions at any other important regulatory, government or commercial entity

- Vice Chair and Partner at Granada Real Estate LLC
- Vice Chair and Partner, Granada Private Fund Investment LLC

Board gender diversity

The Board acknowledges the benefits of diversity, particularly gender diversity, on the performance of the Board and the Bank. A key component of the Board agenda is advancing a framework for inclusion and promoting gender diversity at Board level.

The Board of Directors of the National Bank of Ras Al-Khaimah P.S.C. includes H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi and Mrs. Debra Veronica Ward, who are Independent, Non-Executive Board members.

H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi and Mrs. Debra Veronica Ward collectively represent 22% of the Bank’s Board of Directors.

2024 Board meetings

The RAKBANK Board of Directors convened seven times in 2024. The details of the Board meetings held during the 2024 fiscal year follow.

	Date of meeting	Number of attendees	Names of absent members
1	29th January 2024	7	Nil
2	18th March 2024	9	Nil
3	29th April 2024	9	Nil
4	27th June 2024	9	Nil
5	28th August 2024	9	Nil
6	21st October 2024	9	Nil
7	17th December 2024	9	Nil

Note: The composition of the Board of Directors was increased from seven (7) to nine (9) members in the Annual General Assembly Meeting held on 18th March 2024.

Board resolutions

Outside of Board meetings, a total of eight written resolutions were issued and unanimously approved by the Board during the year: one on 7th May 2024, another on 24th July 2024, five on 27th December 2024, and the remaining one on 30th December 2024.

Annual General Assembly Meeting

In 2024, RAKBANK held its Annual General Assembly Meeting on 18th March 2024. A General Assembly Meeting was also held on 13th June 2024. The resolutions from these meetings were disclosed to the Abu Dhabi Securities Exchange (ADX), and the signed minutes were sent to the Securities and Commodities Authority (SCA).

The Annual General Assembly Meeting for the financial year ending 2025 will be held on 18th March 2025. The results and resolutions of this meeting will be published on the Bank’s website and will be shared with RAKBANK’s regulators.

Board members’ remuneration

The following table sets out the total Board fixed fees paid to each of the RAKBANK Board of Directors during the year ended 31 December 2024:

Board Members	Role	Remuneration paid in 2024 (AED)
H.E. Mohamed Hasan Abdulla Omran Alshamsi	Chairman	1,200,000
H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi	Vice-Chair	600,000
Mr. Salem Ali Abdulla Alsharhan Alnuaimi	Director	600,000
Mr. Stephen Robert Monaghan	Director	600,000
Mr. Jonathan Edward Morris	Director	600,000
Mr. Abhijit Choudhury	Director	-
Mrs. Debra Veronica Ward	Director	-
Mr. Mohammad Abdulrahman Abdulla Aljallaf	Director	-
Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi	Director	-
Previous Board members		
Mr. Ahmed Essa Al Naeem	Director	600,000
Mr. Kantic Dasgupta	Director	600,000
Mr. Rajan Khetarpal*	Director	73,214

*Mr. Rajan Khetarpal resigned as a Board member in the meeting held on 13th February 2023.

The total remuneration paid to the Board members for the 2023 was AED 4.8 million. The proposed remuneration of AED 10 million for the 2024 financial year will be recommended for approval by the shareholders at the 2025 GAM, along with sitting and any additional fees / allowance payable to Board members, in line with remuneration policy. The Committee members were paid an allowance of AED 10,000 for each meeting they attended in 2024.

RAKBANK’s Board members did not receive additional allowances, salaries or fees other than the allowances for attending the committee meetings/Board committees.

Board Committees

Group Company Secretary

Mr. Mohamed Alsayed Wahb was appointed as the Group Company Secretary in July 2024 with the responsibilities of overseeing all governance-related matters with particular regard to acting as the focal supporting point for the Board to discharge its duties and ensure that decisions of the Board are implemented in compliance with statutory and regulatory requirements ensuring compliance with Central Bank of The U.A.E. regulations, Securities and Commodities Authority of U.A.E regulations and UAE Federal Laws.

The Board has established the minimum permanent committees responsible for Audit, Risk, Nomination and Compensation as stipulated by applicable laws and regulations. Additionally, the Board has established a Profit Equalisation Committee, a Credit Committee and a Strategy Committee. The Board may also establish any specialised committee to monitor, study or implement any matters as it deems suitable.

Board Audit Committee

The Board has established the Audit Committee to assist the Board in the oversight, monitoring and review of the following for the Bank and all its businesses and subsidiaries ("the Group"):

- The quality and integrity of financial statements and financial reporting.
- The effectiveness of governance, risk management and internal control systems including compliance with the Group Code of Conduct, as well as Shari’ah and other laws and regulations.
- The Group Internal Audit (GIA) function, the statutory audit process and External Auditors.

Board Audit Committee (BAC) conducted six meetings during the year 2024.

Name		Title	Number of meetings held during the financial year	Attendance (%)
1	Mr. Salem Ali Abdulla Alsharhan Alnuaimi*	Chairman (until 18th March 2024)	1	100%
2	Mr. Mohammad Abdulrahman Abdulla Aljallaf*	Chairman (since 18th March 2024)	5	100%
3	H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi	Member	6	100%
4	Mr. Jonathan Edward Morris	Member	6	100%
5	Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi*	Member	2	100%
6	Mr. Abhijit Choudhury*	Member	3	100%

Note: Board of Directors was elected effective 18th March 2024, and changes to the BAC composition took effect on the same date (including a change in the BAC Chairman and the addition of a new BAC member).
* Mr. Mohammad Aljallaf was appointed as the Chairman of the BAC during the Board meeting held on 18th March 2024, replacing Mr. Salem Ali Abdulla Alsharhan Alnuaimi. Additionally, Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi was appointed as a BAC member in the same meeting.

Furthermore, the Board Audit Committee was reconstituted on 18th August 2024, in accordance with the RAKBANK Governance Framework and CBUAE Governance Regulations. This reconstitution included having one common member between the Board Risk Committee and the Board Audit Committee to enhance coordination between the two committees, where *Mr. Abhijit Choudhury was appointed as the fourth member in BAC, replacing Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi.

The Audit Committee Chairman's acknowledgment of his responsibility for the committee system at the Bank:

- Mr. Mohammad Abdulrahman Abdulla Aljallaf, the Audit Committee Chairman acknowledges the responsibility for the committees’ system in the Bank, and for the review of its work mechanism and for ensuring its effectiveness.

Board Risk Committee

The Board has established a Risk Committee to assist the Board in fulfilling its responsibility with respect to the oversight of the strategic risk, credit risk, operational risk, information security/ cybersecurity risk, conduct risk, model risk, reputational risk, legal risk, concentration risk, cross-border risk, compliance risk, market risk and counterparty credit risk, ESG and climate risk, liquidity risk, interest rate risk, Shari’ah non-compliance risk, displaced commercial risk, rate of return risk, equity investment risk and others.

Board Risk Committee (BRC) conducted eight meetings during the year 2024.

Name		Title	Number of meetings held during the financial year	Attendance (%)
1	Mr. Kantic Dasgupta	Chairman (until 18th March 2024)	1	100%
2	Mr. Abhijit Choudhury	Chairman (since 18th March 2024)	7	100%
3	H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi	Member	1	100%
4	Mr. Stephen Robert Monaghan	Member	8	100%
5	Mrs. Debra Veronica Ward	Member	7	100%
6	Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi*	Member	3	100%

Note: Board members were elected effective 18th March 2024, and changes to the BRC composition took effect on the same date (including change in the BRC Chairman).
*Mr. Abhijit Choudhury was appointed as the Chairman of the BRC during the Board meeting held on 18th March 2024, replacing Mr. Kantic Dasgupta. Additionally, Mrs. Debra Veronica Ward was appointed as a BRC member, replacing H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi in the same meeting.

Furthermore, the Board Risk Committee was reconstituted on 28th August 2024, in accordance with the RAKBANK Governance Framework and CBUAE Governance Regulations. This reconstitution included having one common member between the Board Risk Committee and the Board Audit Committee to enhance coordination between the two committees, where *Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi was appointed as the fourth member in BRC.

The Risk Committee Chairman's acknowledgment of his responsibility for the committee system at the Bank:

- Mr. Abhijit Choudhury, the Risk Committee Chairman acknowledges the responsibility for the committees’ system in the Bank, and for the review of its work mechanism and for ensuring its effectiveness.

Board Nomination and Remuneration Committee

The Board has established a Nomination and Remuneration Committee to assist the Board in areas of Board composition; nomination and remuneration of Board members and Senior Management; setting the induction and director ongoing development programmes; assessment of the Board, its committees, and Directors; succession planning for Board members and Senior Management, and Human Resources-related policies. The scope of the committee includes RAKBANK and its subsidiaries.

Board Nomination and Remuneration Committee (BNRC) conducted three meetings during the year 2024.

	Name	Title	Number of meetings held during the financial year	Attendance (%)
1	H.E. Mohamed Hasan Abdulla Omran Alshamsi	Chairman	3	100%
2	Mr. Ahmed Essa Ahmed Al Naeem*	Member	1	100%
3	Mr. Stephen Robert Monaghan*	Member	1	100%
4	Mr. Salem Ali Abdulla Alsharhan Alnuaimi*	Member	2	100%
5	Mrs. Debra Veronica Ward*	Member	2	100%

Note: Board of Directors were elected effective 18th March 2024, and changes to the BNRC composition took effect on the same date.
 *Mr. Salem Ali Abdulla Alsharhan Alnuaimi and Mrs. Debra Veronica Ward were appointed as BNRC members, replacing Mr. Ahmed Essa Ahmed Al Naeem and Mr. Stephen Robert Monaghan in the same meeting.

The Nomination and Remuneration Committee Chairman’s acknowledgment of his responsibility for the committee system at the Bank:

- H.E. Mohamed Hasan Abdulla Omran Alshamsi, the Nomination and Remuneration Committee’s Chairman acknowledges the responsibility for the committees’ system in the Bank, and for the review of its work mechanism and for ensuring its effectiveness.

Board Strategy Committee

The Strategy Committee was established by the Board of Directors to assist the Board and provide guidance to the Group Chief Executive Officer and Senior Management in managing the affairs of the Bank in areas of its overall strategy, operational and financial performance monitoring, and budgeting. The scope of the committee includes RAKBANK and its subsidiaries.

Board Strategy Committee (BSC) conducted seven meetings during the year 2024.

	Name	Title	Number of meetings held during the financial year	Attendance (%)
1	H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi	Chairman	7	100%
2	Mr. Salem Ali Abdulla Alsharhan Alnuaimi	Member	6	83%
3	Mr. Stephen Robert Monaghan	Member	7	100%

The Strategy Committee Chair’s acknowledgment of her responsibility for the committee system at the Bank:

- H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi, the Strategy Committee Chair acknowledges the responsibility for the committees’ system in the Bank, and for the review of its work mechanism and for ensuring its effectiveness.

Board Credit Committee

The Credit Committee was established by the Board to assist the Board of Directors to primarily manage credit risks of all segments of the Bank, recommend, review and approve individual or group credits within the authorities delegated by the Board. The scope of the committee includes RAKBANK and its subsidiaries.

Board Credit Committee (BCC) conducted 26 meetings during the year 2024.

	Name	Title	Number of meetings held during the financial year	Attendance (%)
1*	Mr. Jonathan Edward Morris*	Chairman	26	100%
2	Mr. Kantic Dasgupta*	Member	5	100%
3	Mr. Salem Ali Abdulla Alsharhan Alnuaimi*	Member	5	100%
4	Mr. Mohammad Abdulrahman Abdulla Aljallaf*	Member	19	92%
5	Mr. Abhijit Choudhury*	Member	21	100%

Note: The Board of Directors were elected effective 18th March 2024, and changes to the BCC composition took effect on the same date.
 *Mr. Mohammad Abdulrahman Abdulla Aljallaf and Mr. Abhijit Choudhury were appointed as BCC members, replacing Mr. Kantic Dasgupta and Mr. Salem Ali Abdulla Alsharhan Alnuaimi in the same meeting.

The Credit Committee Chairman’s acknowledgment of his responsibility for the committee system at the Bank:

- Mr. Jonathan Edward Morris, the Credit Committee Chairman acknowledges the responsibility for the committees’ system in the Bank, and for the review of its work mechanism and for ensuring its effectiveness.

Profit Equalisation Committee

An Islamic Profit Equalisation Committee was established by the Board to assist it to:

- Scrutinise the utilisation of reserves specific to RAKIslamic’s Investment Account Holders (saving accounts and terms investment deposits), such as the Profit Equalization Reserve (PER) and Investment Risk Reserve (IRR), and to make appropriate recommendations to the Board. The Committee shall coordinate and integrate the implementation of the governance policy framework, with the primary objective of protecting the interests of all stakeholders beyond just shareholders, in line with the Higher Shari’ah Authority (HSA) of CBUAE and Internal Shari’ah Supervision Committee (ISSC) resolutions.
- Governance and oversight on RAKIslamic Charity Framework covering the:
 - Late payment charges/fees received from customers based on “Commitment to Donate” (Penalty on Customers)
 - Financial penalty imposed by Internal Shari’ah Supervision Committee (ISSC) or Higher Shari’ah Authority (HSA) due to non-compliance with Shari’ah principles (penalty on the Bank).

Board Islamic Profit Equalization Committee conducted two meetings during the year 2024.

	Name	Title	Number of meetings held during the financial year	Attendance (%)
1	Mr. Jonathan Edward Morris	Chairman	2	100%
2	Mr. Salem Ali Abdulla Alsharhan Alnuaimi	Member	2	100%
3	Prof. Mohamad Akram Laldin	Member	2	100%

The Islamic Profit Equalization Committee Chairman’s acknowledgment of his responsibility for the committee system at the Bank:

- Mr. Jonathan Edward Morris, the Islamic Profit Equalization Committee Chairman acknowledges the responsibility for the committees’ system in the Bank, and for the review of its work mechanism and for ensuring its effectiveness.

Executive Management

Board and Senior Management roles and responsibilities are clearly defined, creating a transparent and trusting environment. This allows the Board to effectively challenge and guide Management.

Senior Management works within a structured framework and authorisations set by the Board. The Executive Management team assists the CEO in developing strategies, budgets and policies, while also managing key operational issues and ensuring

smooth internal communication. The Board delegates authority to the CEO through a power of attorney who, with the Executive Management team's support, oversees the Bank's day-to-day operations.



From L-R:

Sanjeev Badyal

RAKInsurance Chief Executive Officer

Saket Saith

Group Chief Technology & Data Officer

Ahmed Yousef

Group Chief Human Resources Officer

Vikas Suri

Managing Director
Wholesale Banking Group - Products

Ghalia Bushnaq

Group General Counsel

Jaffer Nini

Group Chief Financial Officer

Safwan Ghaleb

SEVP & Deputy Chief Risk Officer

Raheel Ahmed

Group Chief Executive Officer

Dhiraj Kunwar

Managing Director of Business Banking

From L-R:

Nizar Qaiser Luqman

Group Chief Audit Officer

Dongjun Choi

Group Chief Customer Officer

Amel Berhouma

Chief of Staff

Shehzad Hameed

Managing Director
Personal Banking

Farhan Mahmood

Group Chief Risk Officer

Jean Pierre Le Roux

Managing Director, Wholesale Banking
Group - Coverage

Ahmed Alzaabi

Head of Islamic Banking

Mahadevan Radhakanthan

Chief Credit Officer

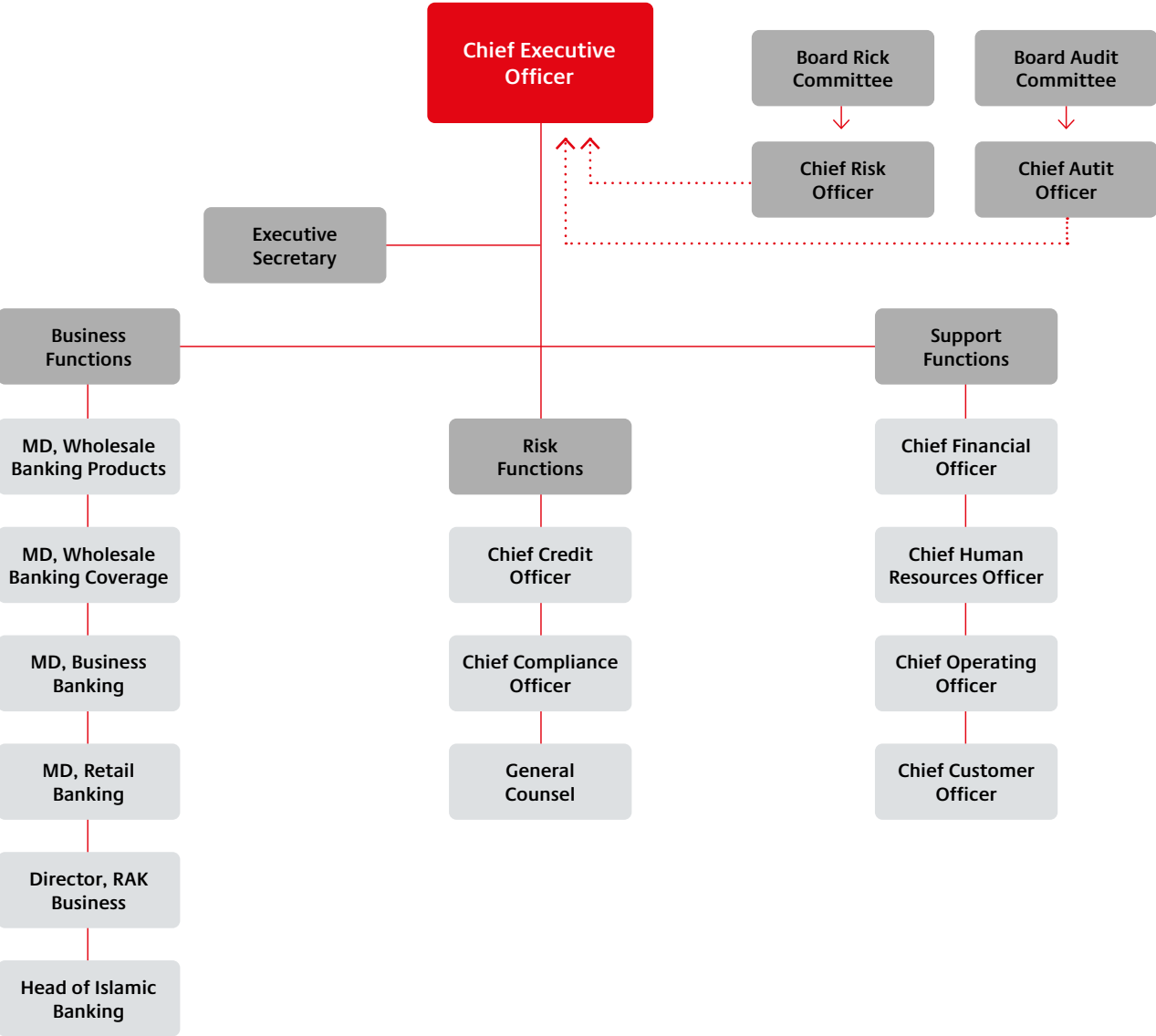
Venkat Raghavan

Group Chief Compliance Officer

Michael Power

Group Chief Operating Officer

Organisational structure



Internal Controls

The Board is responsible for the Bank’s internal control system, assessing our operational methods and ensuring efficiency. Our Risk Committee endorses all risk management policies such as internal controls, enterprise risk, ICAAP and the overall risk appetite statement, which regulates risk and control within the Bank.

We regularly evaluate our internal control systems making appropriate and necessary adjustments to align with best practices. This proactive approach helps mitigate potential risks and enhances operational resilience.

In accordance with SCA Corporate Governance regulations, articles 76 and 77 (Integrated Reporting) and Corporate Governance CBUAE Regulation 2019/83, the internal controls declaration

and Internal Audit and Compliance statements are part of the Risk Management framework.

RAKBANK incorporates the internal controls function within the Risk Management framework and policies at Board level. However, the Bank’s risk appetite statement and comprehensive internal controls assessment are part of the regular risk management reporting protocol to the Board’s Risk Committee and includes a quarterly risk report.

The Internal Control department has found no major issues for 2024. The Bank is in line with the reporting standards set by the Central Bank of the UAE and SCA, ensuring compliance. Additionally, there are no significant violations to address in relation to major reports submitted to the CBUAE or SCA.

External Audit

Based on the recommendation of the Audit Committee, the External Auditor is selected annually at the Annual General Meeting, which appointment is rotated from time to time. They regularly meet with the External Auditors to discuss the quality and effectiveness of their work and ensure that any non-audit services do not compromise their independence.

The External Auditor presents the annual audit results to the Board and is also available at the AGM to address any questions. PricewaterhouseCoopers (PwC) served as the External Auditor in 2023 and was reappointed for 2024.

The fees and costs for the audit or services from the External Auditor are detailed in the schedule below.

Group Internal Audit

As the third line of defence, Group Internal Audit (GIA) plays a critical role in providing independent assurance to the Board and Executive Management on the effectiveness of governance, risk management and internal controls. GIA ensures that key risks are proactively identified, assessed, and mitigated to support the achievement of the Group’s strategic objectives.

RAKBANK remains fully committed to the principles and standards set by the Institute of Internal Auditors (IIA) and operates in strict adherence to the International Professional Practices Framework (IPPF) to uphold the highest standards in internal audit practices. GIA actively supports the Bank’s Emiratisation initiatives,

employee development programmes, and corporate social responsibility (CSR) efforts, reinforcing its commitment to sustainable growth and talent development.

The Group Chief Audit Officer (GCAO) reports directly to the Board Audit Committee (BAC), ensuring an independent and objective oversight of the internal audit function. The BAC is responsible for monitoring and reviewing the quality and integrity of the Group’s financial reporting, published financial statements, and the statutory audit process, as well as overseeing the work of the External Auditors.

Each year, GIA conducts a comprehensive, risk-based assessment of RAKBANK’s business activities, products, services,

policies and processes, including those of its subsidiaries. This top-down risk assessment considers both current and emerging risks, including behavioural and environmental factors, to develop the annual audit plan, which is submitted for Board Audit Committee approval.

The scope of internal audits systematically covers corporate governance, conduct risk, procurement practices, complaint management and financial crime compliance, including anti-bribery and corruption controls. Additionally, GIA performs risk-based audits at the process and functional levels, providing insights that enhance governance, strengthen internal controls and reinforce stakeholder confidence in the Bank’s operations.

Name of the audit office and partner auditor	- PwC (Ras Al-Khaimah Branch), Licence no. 41548, Julphar Towers - Level 24, Office No. 2402, Ras Al-Khaimah, United Arab Emirates - Jigesh Shah is the Partner
Number of years he served as the Company External Auditor	- Reappointed from 1st January 2024 for one year. - Previously audited the Bank and its subsidiaries for 25 years from year 1994 to year 2015 and years 2019 to year 2022
Total audit fees for 2024 in (AED)	2,586,311
Details and nature of the other services (if any). If there are no other services, this matter shall be stated expressly	Agreed-upon procedures as required by the regulators
Statement of other services that an External Auditor other than the Company Accounts Auditor provided during 2024 (if any). In the absence of another External Auditor, this matter is explicitly stated	- Auditor name: PWC - Details of provided services: Agreed-upon procedures as required by the regulators

Company’s Auditor had no reservations included in the interim or annual financial statements for 2024.



Risk Management

Overview

Proactive, effective risk management is crucial for raising awareness of risks throughout the Bank, guiding mitigation efforts, and optimising costs, playing a significant role in executing business strategies and fostering growth. The Bank is committed to continuously enhancing its risk management skills, especially in light of ongoing digitisation and emerging technologies like AI.



The management of the Bank’s risk during 2024 was marked by significant achievements and strategic initiatives. RAKBANK’s primary focus was on regulatory compliance, automation of risk data and enhancing risk management practices. The Bank made substantial progress in derisking and diversifying its portfolio, and further strengthened its risk analytics mechanisms and controls.

RAKBANK expanded the existing framework and advanced several projects aimed at enhancing risk management practices. The commitment to regulatory compliance, automation and robust risk analytics has positioned the Bank well for navigating the evolving risk landscape and supports the Bank’s strategic goals.

The banking sector in the UAE is undergoing a transformation driven by increasing customer demand for digital services, the emergence of new digital banks, and progressive regulations under the UAE’s Financial Infrastructure

Transformation programme launched in 2023. This rapid adoption of digital transformation, accelerated by the recent pandemic, has created both opportunities and risks. Social media has become crucial for consumers to share their opinions and experiences with financial institutions, offering valuable feedback.

Evolving risks such as customer fraud require continuous vigilance and adaptation.

Approach to risk

RAKBANK has adopted the globally recognised three lines of defence model in its risk governance framework.

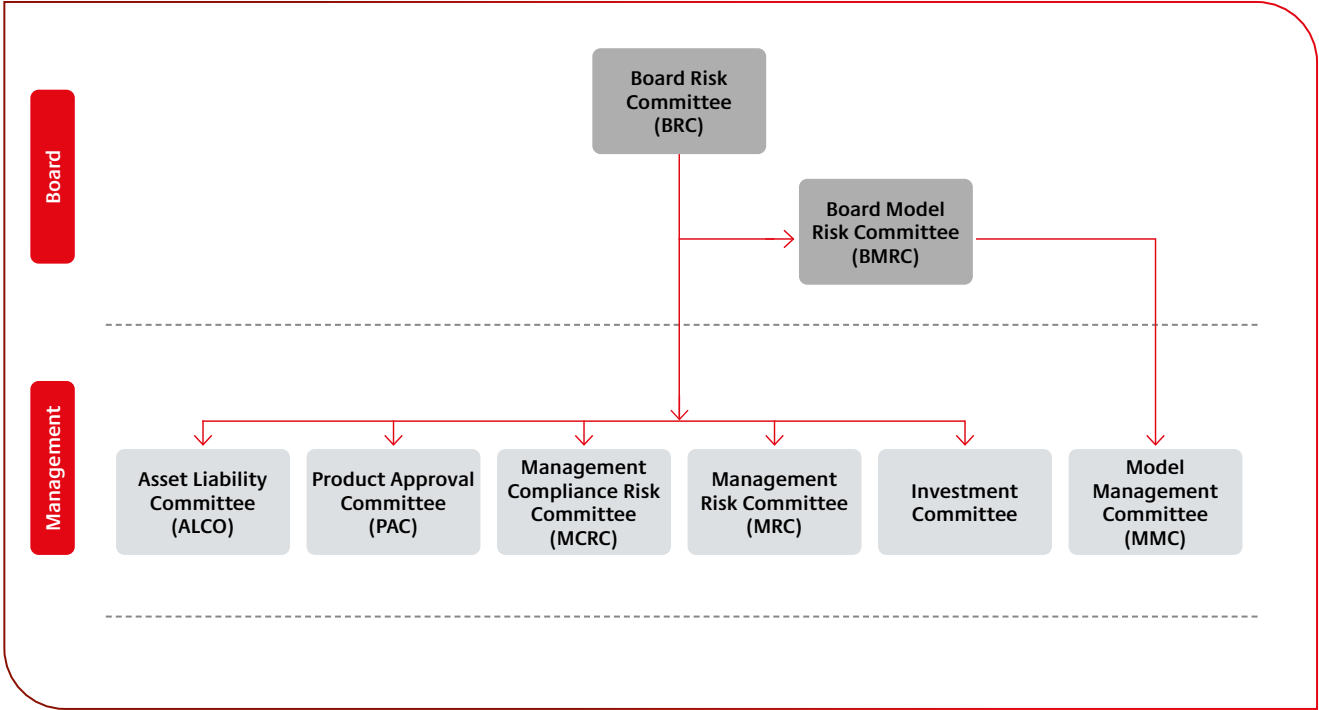
Strong governance and a positive risk culture are central to the Bank’s risk management. Guided by a clear risk appetite and comprehensive policies, a skilled team manages risks through adaptive practices. RAKBANK balances growth goals and business strategy execution while navigating potential threats.

RAKBANK also maintains robust risk monitoring procedures and an effective reporting system for the Board Risk Committee and Management committees to stay aligned with the approved risk appetite.

Risk Governance

The RAKBANK Board Risk Committee oversees its risk management strategy, while executive committees like the Management Risk and Management Credit committees, evaluate the risk environment and effectiveness. An independent risk division, led by the Group CRO and reporting to the Group Board Risk Committee, coordinates various risk functions while maintaining independence from risk-taking activities and adhering to global best practices.

Risk management policies outline governance structures, responsibilities and processes for monitoring and mitigating operational risks. This function operates separately from risk-taking activities, following the Central Bank of the UAE’s guidelines.



Highlights

This year, the Risk Division focused on implementing baseline audit points and new regulations, in line with the Bank’s 2026 strategy and ongoing automation.

In addition, RAKBANK’S cross-border strategy was revised, significantly de-risking the portfolio and enhancing risk mitigation measures. It has strengthened its capital position by issuing Tier-2 capital.

The transition to a centralised Risk Datamart automates and streamlines key risk reporting processes across RAKBANK’s five, vertical risk domains. These are ESG, fraud, IT, third-party risk management and post-facto credit monitoring. Associated with this was a major overhaul of RAKBANK’s entire Operational Risk Methodology and it’s signing up with ARCHER GRC solution to manage non-financial risks (operational, business continuity, third party, technology, cybersecurity and compliance).

New policies were developed to enhance RAKBANK’s approach to risk management practices and the control environment within the Bank. These were coupled with the development and implementation of a comprehensive Group Recovery Plan that facilitates robust monitoring at management and Board level.

The ICAAP and stress testing processes were enhanced with more realistic scenarios, broader coverage, and increased actionable insights.

Tax transparency

In 2022, the UAE introduced a federal corporate tax system that starts on

1st June 2023, following the implementation of the Federal Decree-Law No. 47 of 2022. From 16th January 2023, income up to AED 375,000 became tax-free, while earnings above that are taxed at 9%. RAKBANK began paying corporate tax from 1st January 2024.

Compliance

The Central Bank of the UAE (CBUAE) has been proactive in enhancing and issuing new regulations. Key regulatory changes in 2024 included Credit Risk Management Standards, Recovery Plan regulations, ESG standards and guidelines and Open Finance. RAKBANK is committed to fully complying with all regulatory standards and guidelines.

The Compliance team works independently to make sure RAKBANK follows the standards and regulations established by the CBUAE. The Bank’s Chief Compliance Officer reports directly to the CEO and can easily communicate with the Board’s Risk Committee.

Regulatory, anti-money laundering and sanctions compliance

RAKBANK’s Compliance department works closely with the UAE’s Central Bank to effectively manage compliance risks in accordance with a zero-tolerance policy. The Bank continually monitors for illegal activities such as bribery, corruption and money laundering and has a dedicated team that ensures strict compliance through ongoing training and customer vetting, supported by advanced automated systems.

Board members, Management and employees undergo regular training and a “Tone from the Top” initiative has been introduced to foster a culture of risk awareness and compliance.

This initiative emphasises the importance of vigilance and adherence to regulations.

Additionally, the Compliance team sets risk parameters for operations and provides updates on compliance risks at each Board Risk Committee meeting. The Chief Compliance Officer, also designated as RAKBANK’s Money Laundering Reporting Officer, oversees anti-money laundering and counterterrorism financing efforts.

Whistleblowing

RAKBANK prioritises business ethics and compliance to protect the Bank and its stakeholders. We encourage all employees and stakeholders to use the various channels to voice their concerns, including our whistleblower reporting line available on our websites, which allows for direct communication about unethical behaviour. In 2024, we addressed all whistleblower cases with high priority, ensuring each one is handled fairly and independently.

Data Analytics in Risk Management

RAKBANK has heavily invested in data analytics, significantly enhancing its risk management capabilities, which includes transitioning to its incoming and centralised, automated and streamlined key risk reporting processes. This has improved the capability for making prompt and effective risk management decisions.

The Bank’s strategic partnership with Microsoft is aimed at leveraging artificial intelligence (AI) to innovate and enhance various banking operational aspects.

Whistleblowing management	2020	2021	2022	2023	2024
Cases reported *	28	22	35	38	44

* Notifications about fraudulent activities often involve claims of bribery and corruption, as well as issues with fraudulent customer or employee data. When credible cases were reported, they were investigated with help from the Fraud and HR teams, leading to disciplinary actions, including termination. Staff complaints and grievances were resolved with input from Business and HR. However, some cases, like operational gaps and service complaints, were passed on to the relevant teams for further analysis and resolution.



Annual Report of the Internal **Shari'ah Supervision Committee of the Islamic Window**

...التقرير الشرعي للجنة الرقابة الشرعية
RAK Islamic
الخدمات المصرفية الإسلامية

لجنة الرقابة الشرعية الداخلية
Internal Sharia Supervision Committee

Annual Report of the Internal Shari'ah Supervision Committee of the Islamic Window of National Bank of Ras Al Khaimah

Issued on: 29 January 2025

To: Shareholders of "The National Bank of Ras Al Khaimah" (in relation to its Islamic window) ("the RAKIslamic")

Assalam Alaikum Wa Rahamtoolah Wa Barakatu,

Dear Respected Shareholders,

Pursuant to requirements stipulated in the relevant laws, regulations and standards ("the Regulatory Requirements"), the Internal Shari'ah Supervision Committee of RAKIslamic ("ISSC") presents to you the ISSC's Annual Report regarding Shari'ah compliant business and operations of RAKIslamic for the financial year ending on 31 December 2024 ("Financial Year").

1. Responsibility of the ISSC

In accordance with the Regulatory Requirements and the ISSC's charter, the ISSC's responsibility is stipulated as to:

- undertake Shari'ah supervision of all businesses, activities, products, services, contracts, documents and business charters of RAKIslamic and RAKIslamic policies, accounting standards, operations and activities in general, charter, financial statements, allocation of expenditures and costs, and distribution of profits between holders of investment accounts and shareholders ("RAKIslamic Activities") and issue Shari'ah resolutions in this regard, and
- determine Shari'ah parameters necessary for the RAKIslamic's Activities, and the RAKIslamic's compliance with Islamic Shari'ah within the framework of the rules, principles, and standards set by the Higher Shari'ah Authority ("HSA") to ascertain compliance of the RAKIslamic with the Islamic Shari'ah.

The senior management is responsible for compliance of RAKIslamic with Islamic Shari'ah in accordance with the HSA's resolutions, fatwas, and opinions, and the ISSC's resolutions within the framework of the rules, principles, and standards set by the HSA ("Compliance with Islamic Shari'ah") in all RAKIslamic's Activities, and the Board bears the ultimate responsibility in this regard.

2. Shari'ah Standards

In accordance with the HSA's resolution (No. 18/3/2018), and with effect from 01/09/2018, the ISSC has abided by the Shari'ah standards issued by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) as minimum Shari'ah requirements, in all fatwas, approvals, endorsements and recommendations, relating to the RAKIslamic's Activities without exception.



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Signed on 29 Jan 2025, 15:01 GST

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REF-01302-1320202099

...التقرير السنوي للجنة الرقابة الشرعية
RAKislamic
 الخدمات المصرفية الإسلامية

لجنة الرقابة الشرعية الداخلية
 Internal Sharia Supervision Committee

3. Duties Fulfilled by the ISSC During the Financial Year

The ISSC conducted Shari'ah supervision of RAKislamic Activities by reviewing those Activities, and monitoring them through the internal Shari'ah control department and internal Shari'ah audit, in accordance with the ISSC's authorities and responsibilities, and pursuant to the Regulatory Requirements in this regard. The ISSC's activities included the following:

- Convening (4) meetings during the year.
- Issuing fatwas, resolutions and opinions on matters presented to the ISSC in relation to the RAKislamic's Activities.
- Monitoring compliance of policies, procedures, accounting standards, product structures, contracts, documentation, business charters, and other documentation submitted by the RAKislamic to the ISSC for approval.
- Ascertaining the level of compliance of allocation of expenditures and costs, and distribution of profits between investment accounts holders and shareholders with parameters set by the ISSC.
- Supervision through the internal Shari'ah control department and internal Shari'ah audit, of the RAKislamic's Activities including supervision of executed transactions and adopted procedures on the basis of samples selected from executed transactions, and reviewing reports submitted in this regard.
- Providing guidance to relevant parties in RAKislamic – to rectify (where possible) incidents cited in the reports prepared by internal Shari'ah control department and internal Shari'ah audit, and issuing of resolutions to set aside revenue derived from transactions in which non-compliances were identified for such revenue to be disposed towards charitable purposes.
- Approving corrective and preventive measures related to identified incidents to preclude their reoccurrence in the future.
- Communicating with the Board and its subcommittees, and the senior management of the Rakbank (as needed) concerning the RAKislamic's compliance with Islamic Shari'ah.

The ISSC sought to obtain all information and interpretations deemed necessary in order to reach a reasonable degree of certainty that the RAKislamic is compliant with Islamic Shari'ah.

4. Independence of the ISSC

The ISSC acknowledges that it has carried out all of its duties independently and with the support and cooperation of the senior management and the Board of Rakbank. The ISSC received the required assistance to access all documents and data, and to discuss all amendments and Shari'ah requirements.



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RAK-0100201-A1002010-04



لجنة الرقابة الشرعية الداخلية
Internal Sharia Supervision Committee

5. The ISSC's Opinion on the Shari'ah Compliance Status of the RAKIslamic

Premised on information and explanations that were provided to us with the aim of ascertaining compliance with Islamic Shari'ah, the ISSC has concluded with a reasonable level of confidence, that the RAKIslamic's Activities are in compliance with Islamic Shari'ah, except for the incidents of non-compliance observed, as highlighted in the relevant reports. The ISSC also provided directions to take appropriate measure in this regard.

The ISSC formed its opinion, as outlined above, exclusively on the basis of information perused by the ISSC during the financial year.

Signatures of members of the Internal Shari'ah Supervision Committee of the RAKIslamic.

Dr. Ali Husain Al Junaidi

ISSC Chairman



Signed on 29 Jan 2025, 15:01 GST

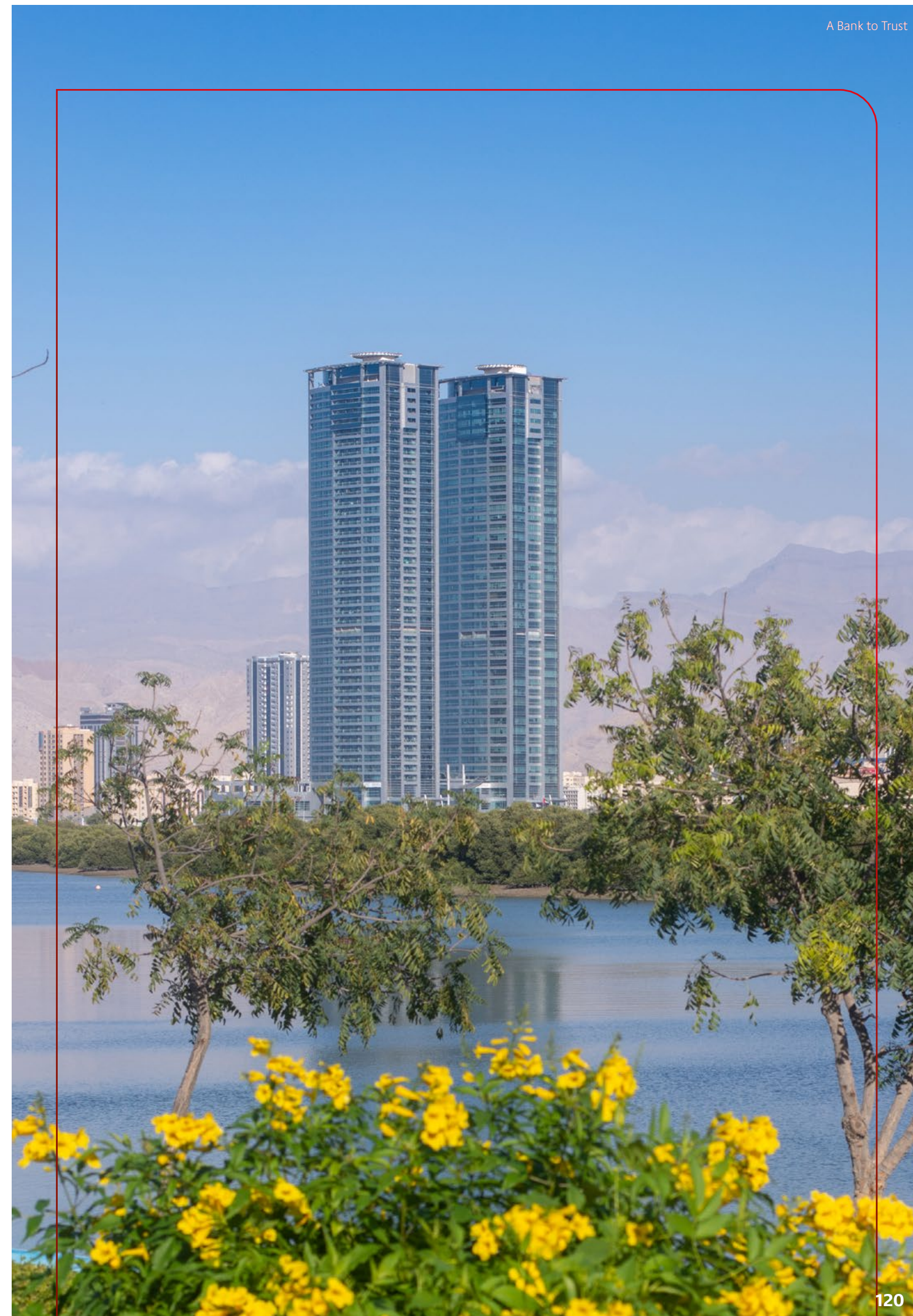
Dr. Mohamad Akram Laldin

ISSC Member

on 29 Jan 2025, 15:0

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Investor Relations

A. Statement of the shareholders' ownership distribution as of 31st December 2024 (individuals, companies, governments) classified as follows: local, Gulf, Arab and foreign.

Shareholders' classification	Number of shares and percentage of owned shares							
	Individual		Company		Government		Grand total	
	No. of shares	% of shareholding	No. of shares	% of shareholding	No. of shares	% of shareholding	No. of shares	% of shareholding
1. Local	284,441,015	14.14%	389,684,938	19.37%	1,061,599,005	52.78%	1,735,724,958	86.29%
2. Arab	88,048,331	4.38%	166,845,827	8.29%	-	-	254,894,158	12.67%
3. Foreign	6,457,874	0.32%	14,417,523	0.72%	-	-	20,875,397	1.04%
Grand total	378,947,220	18.84%	570,948,288	28.38%	1,061,599,005	52.78%	2,011,494,513	100%

B. Statement of shareholders owning 10% or more of the Company's capital as of 31st December 2024.

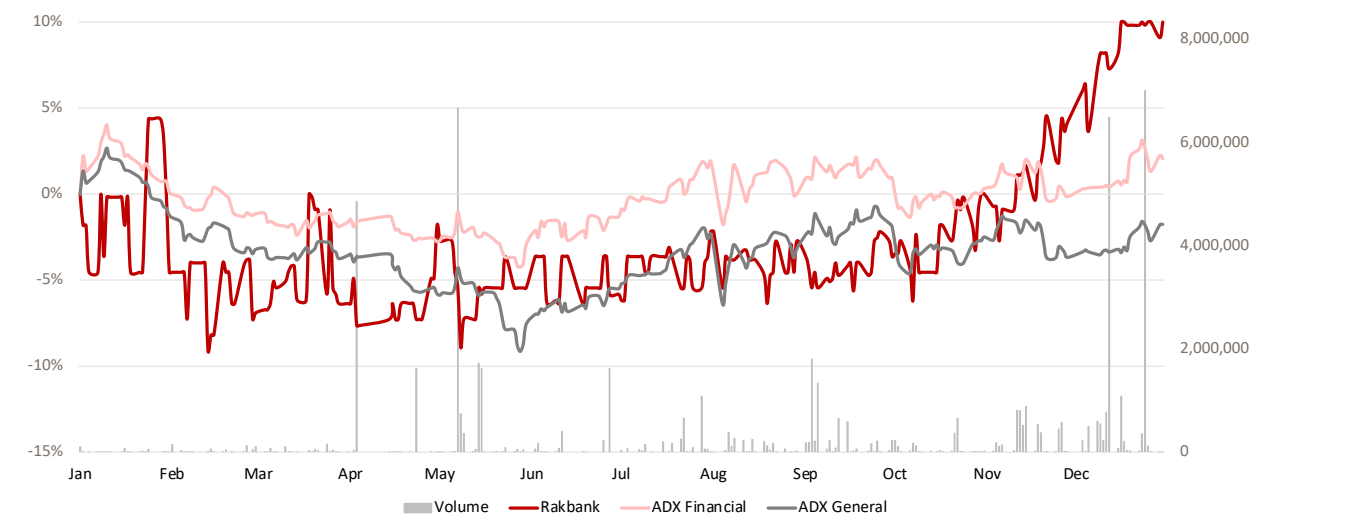
Shareholder's name	Percentage owned
Government of Ras Al-Khaimah	49.35%

C. Shares owned/held by Board members as of 31st December 2024.

Directors and CEO ownership as of 31st December 2024.

Name	Designation	Shares owned
H.E. Mohamed Hasan Abdulla Omran Alshamsi	Chairman	253,320
H.H. Sheikha Amneh Saud Saqr Mohamed Salem Alqasimi	Vice Chair	-
Mr. Salem Ali Abdulla Alsharhan Alnuaimi	Board member	-
Mr. Jonathan Edward Morris	Board member	-
Mr. Stephen Robert Monaghan	Board member	-
Mr. Abhijit Choudhury	Board member	-
Mr. Mohammad Abdulrahman Abdulla Aljallaf	Board member	-
Shaikh Abdulla Khaled Abdulla Mohammed Alqassimi	Board member	2,820,000
Mrs. Debra Veronica Ward	Board member	-
Mr. Raheel Ahmed	Group Chief Executive Officer	-

D. General information pertaining to the Bank's share price movement with the general market index and sector index to which the Bank belongs to during 2024.



Investor relations contact details

Svyatoslav Shlyakhtin
Investor Relations Officer
+971 04 291 619
ir@rakbank.ae





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06

DIRECTORS’ REPORT TO THE SHAREHOLDERS

For and on behalf of the Board of Directors

We are proud and excited to present the financial and operational results of RAKBANK (the “Bank”) and its subsidiaries (collectively known as the “Group”) for the year ended 31 December 2024. Group Profit after tax for the year at AED 2,075.6 million is up 16.4% over the previous year. Total Assets stood at AED 88.3 billion, increasing by 19.4% over 2023. Gross Loans and Advances closed at AED 50.1 billion, up by 19.3% over the previous year. Deposits grew by 18.4% with current and savings deposit (CASA) growing by AED 3.6 billion and time deposits growing by AED 5.6 billion. The Return on Average Assets ratio for the year was 2.6% remaining at same level compared to previous year and Return on Average Equity was 18.4%, compared to 18.4% in 2023.

Financial performance

The increase in Profit before tax by AED 480.6 million was mainly due to increase in Net interest income and net income from Islamic financing by AED 225.7 million, Non-interest income by AED 82.6 million, decrease in net impairment charge by AED 229.5 million partly offset by increase in operating expenses by AED 57.2 million.

Gross interest income and income from Islamic financing increased by AED 664.9 million which was offset by increase in Interest expense and distributions to depositors by AED 439.2 million that resulted in total increase in Net interest income and net income from Islamic financing of AED 225.7 million.

Non-Interest Income increased by AED 82.6 million to AED 1,150.5 million. This was mainly due to an increase of AED 25.5 million in foreign exchange and derivative income due to increase in customer volumes and increase in investment income by AED 39.4 million.

Operating Expenses increased by AED 57.2 million compared to the previous year. Increase in expenses was mainly due to staff and outsourcing costs, technology costs, marketing expenses partially offset by a decrease in credit card expenses. The Group’s Cost to income ratio improved to 35.2% compared to 36.4% for the previous year.

Operating Profit before net impairment charge and tax increased by AED 251.2 million from 2023. Net impairment charge for the year decreased by AED 229.5 million compared to the previous year. Decrease in net impairment charge is driven by a shift in the business mix towards secured low risk assets with better portfolio performance, coupled with benign credit environment.

Tax expense increased by AED 188.7 million in current year compared to previous year. This increase is attributable to taxation on income generated in current year while in previous year deferred tax was accounted in line with newly enacted tax laws in UAE.

DIRECTORS’ REPORT TO THE SHAREHOLDERS (continued)

Financial performance (continued)

The Non-Performing Loans and Advances to Gross Loans and Advances ratio improved to 2.1% from 2.6 % in the previous year. Additionally, the net impairment charge to average loans and advances decreased to 1.7% in 2024 compared to 2.5% in 2023.

Total Assets increased by 19.4% to AED 88.3 billion compared to 2023. This was mainly due to an increase in Gross Loans and Advances by AED 8.1 billion, Investments by AED 3.4 billion, Cash and Balance with CBUAE by AED 3.0 billion. Wholesale Banking and Financial Institutions lending increased by AED 4.2 billion, Retail banking lending by AED 3.2 billion and Business Banking lending by AED 0.7 billion respectively compared to prior year.

Customer deposits grew by AED 9.3 billion to AED 59.6 billion compared to 2023. This growth came mainly from an increase of AED 5.6 billion in Time Deposits and increase of AED 3.6 billion in CASA accounts.

After taking into consideration the profit after tax for 2024 and expected dividend, the Bank’s Capital adequacy ratio as per Basel III was 18.1% at 31 December 2024 as compared to 17.8% at 31 December 2023. This level of capital provides the Bank with adequate room for growth in 2024. The regulatory Eligible Liquid Asset Ratio at the end of the year was 16.4%, compared to 13.0% for the previous year. The Lending to Stable Resources ratio stood at a comfortable 80.2% compared to 82.1% at the end of 2023.

Ratings

The Bank is currently rated by the following agencies. The ratings are given below:

Rating Agency	Last update date	Deposits	Outlook
Moody’s	March 2024	Baa1 / P-2	Stable
Fitch	March 2024	BBB+ / F2	Stable
Capital Intelligence	August 2024	A / A1	Stable

Regulatory disclosure

During the year, the Group has engaged its external auditor PricewaterhouseCoopers for non-audit services. Total payment made during the year for non-audit services amount to AED 1.5 million.

DIRECTORS’ REPORT TO THE SHAREHOLDERS (continued)

Key Achievements

Our strategic transformation is steadily advancing as we work towards becoming a ‘digital bank with a human touch.’

Some highlights include:

- We became the first bank in the GCC to issue a Social Finance Bond. The proceeds are directly supporting SMEs and the healthcare sector, aligned with the “We the UAE 2031” vision.
- We proudly launched our Microfinance product, aimed at meeting the financial needs of the underbanked & financially excluded segments. With approx. 350,000 loans disbursed while we helped over 100,000 customers.
- We have also launched Skiply 2.0. Our family super app that has evolved to cover a wide range of family needs, including school fees, extracurricular activities, tuition payments, and more, with 176,000 users 296,000 Students and 315 Educational institutions now on the platform.
- In Wholesale Banking, we grew our client base by 16%, launched new escrow and trade finance services, and strengthened our partnerships with institutions across Ras Al Khaimah, Abu Dhabi, and Dubai.
- The launch of our new digital account opening journey for our SME customers.
- We established the AI Lab, focusing on leveraging artificial intelligence to enhance productivity and customer experience. The Lab’s efforts support “Mission Zero”—zero errors, zero delays, and zero complaints.
- 'Equal Payment Plans' for credit cards were introduced via the mobile app, achieving 60% digitization of this service within one month.
- Full integration was achieved with Western Union for remittances and Aani for domestic payments.
- This year was also about partnerships and community. Collaborating with global leaders like Microsoft, Bitpanda, Oracle, and Western Union, we enhanced our offerings, making financial services more accessible and convenient.
- Our colleague-led councils have also continued to play an active role in supporting the communities we serve with over 800 hours dedicated to financial literacy and other volunteering throughout 2024.

DIRECTORS’ REPORT TO THE SHAREHOLDERS (continued)

Recognition in 2024

2024 broke the record as a year of awards and accolades for RAKBANK, and that is reflected through the 45 prestigious awards our Bank has won on numerous stages and across various categories. These accolades are the rewards for our commitment to innovation, excellence, and most importantly, customer obsession.

We would like to highlight a few:

- MENA Banking Excellence Awards – MENA SME Bank of the Year
- Middle East Banking AI & Analytics Summit Awards – Best Use Case of AI & Analytics in Cybersecurity
- The Digital Banker (Digital CX Awards) – Best Digital CX (SME Account Opening and Customer Onboarding)
- The Digital Banker – Best Digital Banking Solution (Skiply)
- The Digital Banker – Best Payments Platform Initiative (Skiply)
- Global CISO Award - Outstanding Achievement in Cybersecurity
- MEA Finance – Best User Experience in Payments (Skiply)
- Infosys Finacle Innovation Award - Business Banking Group (BBG) and IT - "Maximising Customer Engagement"
- International Finance Awards – Most Innovative Home Loan Product in the UAE (Home in One)
- ABF Retail Banking Awards 2024 - Website of the Year; Best Fintech Start-up and the Best Payments Solution (Skiply)
- MEA Finance Banking & Technology Awards - Best Cybersecurity and Risk Management Implementation

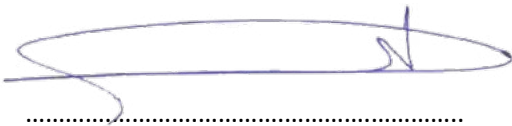
DIRECTORS’ REPORT TO THE SHAREHOLDERS (continued)

Outlook for 2025

2024 was a year of significant milestones with record profitability. The performance furthers our confidence in our strategy and ability to deliver sustainable and scalable results through continued diversification and digitization.

While concerns of a global recession have receded, we remain watchful of policy changes in key economies as inflation remains above long-term targets. This, coupled with potential changes to economic policy in the United States post the presidential election, continues to create an uncertain global outlook. Despite this uncertainty, the UAE has shown exceptional resilience and robust growth. With increased Government investment and spending on infrastructure and a thriving non-oil economy across tourism, real estate, trade, and logistics, supported by population growth across the Emirates, the economic diversification agenda established by the UAE leadership continues to remain on track.

With that backdrop, and the significant progress made on the Bank’s transformation program, we remain optimistic for the year ahead with a focus on progressing our digital transformation to deliver a hyper-personalized and seamless customer experience. We will continue to invest in technology, including emerging capabilities in AI, to drive sustainable and scalable growth. Alongside this, we remain committed to supporting our customers across all business lines with their aspirations and in their moments of truth. We believe this strategy will continue to deliver sustainable growth for our shareholders and allow us to continue to support the communities we operate in, our home emirate of Ras Al-Khaimah and the UAE.



Mohamed Omran Alshamsi
Chairman

23 January 2025



Independent auditor’s report to the shareholders of The National Bank of Ras Al-Khaimah (P.S.C)

Report on the audit of the consolidated financial statements

Our opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of The National Bank of Ras Al-Khaimah (P.S.C) (the “Bank”) and its subsidiaries (together the “Group”) as at 31 December 2024, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards.

What we have audited

The Group’s consolidated financial statements comprise:

- the consolidated statement of financial position as at 31 December 2024;
- the consolidated statement of profit or loss for the year then ended;
- the consolidated statement of comprehensive income for the year then ended;
- the consolidated statement of changes in equity for the year then ended;
- the consolidated statement of cash flows for the year then ended; and
- the notes to the consolidated financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor’s Responsibilities for the Audit of the consolidated financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) and the ethical requirements that are relevant to our audit of the consolidated financial statements in the United Arab Emirates. We have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code.



Independent auditor’s report to the shareholders of The National Bank of Ras Al-Khaimah (P.S.C) (continued)

Our audit approach

Overview

Key Audit Matters	Measurement of Expected Credit Losses
-------------------	---------------------------------------

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the consolidated financial statements. In particular, we considered where Directors made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the consolidated financial statements as a whole, taking into account the structure of the Group, the accounting processes and controls, and the industry in which the Group operates.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Measurement of Expected Credit Losses (“ECL”) The Group applies ECL provisions on all its financial assets measured at amortised cost, debt instruments measured at fair value through other comprehensive income and financial guarantee contracts including financing commitments and performance guarantees. The Group exercises significant judgements and makes a number of assumptions in developing its ECL models, which includes probability of default computation separately for retail and corporate portfolios, determining loss given default and exposure at default for both funded and unfunded exposures, forward looking adjustments and staging criteria subject to ECL.	We performed the following audit procedures on computation and reasonableness of the ECL provision included in the Group’s consolidated financial statements for the year ended 31 December 2024. We tested the completeness and accuracy of the data used in the calculation of ECL provision. For a sample of exposures, we checked the appropriateness of the Group’s application of the staging criteria, including the basis for movement between the stages. We involved our internal experts for the new ECL models developed and implemented by the management to assess the following areas:-



Independent auditor’s report to the shareholders of The National Bank of Ras Al-Khaimah (P.S.C) (continued)

Our audit approach (continued)

Key audit matters (continued)

Key audit matter	How our audit addressed the key audit matter
For defaulted exposures, the Group exercises judgements to estimate the expected future cash flows related to individual exposures, including the value of such collateral. The Group’s impairment policy under IFRS 9 Financial Instruments is presented in Note 3 (g) to the consolidated financial statements. Measurement of ECL is considered as a key audit matter as the Group applies significant judgments, estimates, the use of complex models and this has a material impact on the consolidated financial statements of the Group.	- Conceptual framework used for developing the Group’s impairment policy in the context of its compliance with the requirements of IFRS 9 Financial Instruments. - Reasonableness and appropriateness of the methodology and assumptions used in calculation of various components of ECL modelling including the computation of Probability of Default (PD), Loss Given Default (LGD) and Exposure At Default (EAD) for the models selected for testing. - Reasonableness of the key assumptions made in developing the modelling framework including assumptions used for Significant Increase in Credit Risk (SICR) and for estimating forward-looking scenarios. - For a sample of exposures, we recomputed ECL provisions for selected portfolios across different stages to assess mathematical integrity of the ECL computation. We performed an independent credit assessment for a sample of exposures, including stage 3 exposures, by assessing quantitative and qualitative factors, including as necessary, assessment of financial performance of the borrower, assessment of financial performance of the borrower, source of repayments and its history, credit risk mitigation through discounted future cash flows of the borrower including collateral and other relevant risk factors. We assessed the adequacy of the disclosures made in the Group’s consolidated financial statement around ECL provisions as required by IFRS Accounting Standards.

Independent auditor’s report to the shareholders of The National Bank of Ras Al-Khaimah (P.S.C) (continued)

Independent auditor’s report to the shareholders of The National Bank of Ras Al-Khaimah (P.S.C) (continued)

Other information

The Directors are responsible for the other information. The other information comprises the Directors’ report (but does not include the consolidated financial statements and our auditor’s report thereon) which we obtained prior to the date of this auditor’s report, and the Annual report is expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, on the other information that we obtained prior to the date of this auditor’s report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the remaining information of the Annual report of the Group, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Directors and those charged with governance for the consolidated financial statements

The Directors are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards and their preparation in compliance with the applicable provisions of the UAE Federal-Decree Law No. (32) of 2021, and Article (114) of the Decretal Federal Law No. (14) of 2018, as amended, and for such internal control as Directors determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the, Directors either intend to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group’s financial reporting process.

Auditor’s responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor’s report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor’s report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



Independent auditor's report to the shareholders of The National Bank of Ras Al-Khaimah (P.S.C) (continued)

Auditor's responsibilities for the audit of the consolidated financial statements (continued)

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the UAE Federal-Decree Law No. (32) of 2021, we report that:

- (i) we have obtained all the information we considered necessary for the purposes of our audit;
- (ii) the consolidated financial statements have been prepared and comply, in all material respects, with the applicable provisions of the UAE Federal Law No. (32) of 2021;
- (iii) the Group has maintained proper books of account;
- (iv) the financial information included in the Directors' report to the shareholders is consistent with the books of account of the Group;
- (v) as disclosed in note 7 to the consolidated financial statements the Group has purchased or invested in shares during the year ended 31 December 2024;
- (vi) note 36 to the consolidated financial statements discloses material related party transactions, and the terms under which they were conducted;
- (vii) based on the information that has been made available to us, nothing has come to our attention which causes us to believe that the Group has contravened during the year ended 31 December 2024 any of the applicable provisions of the UAE Federal-Decree Law No. (32) of 2021, or in respect of the Bank, its Articles of Association which would materially affect its activities or its financial position as at 31 December 2024; and
- (viii) note 43 to the consolidated financial statements discloses the social contributions made during the financial year ended 31 December 2024.

Further, as required by the Article (114) of the Decretal Federal Law No. (14) of 2018, as amended, we report that we have obtained all the information and explanations we considered necessary for the purpose of our audit.

PricewaterhouseCoopers Limited Partnership - RAK Branch

Douglas O'Mahony

Registered Auditor Number 834
Dubai, United Arab Emirates

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2024

	Notes	2024 AED'000	2023 AED'000
ASSETS			
Cash and balances with UAE Central Bank	4	8,770,312	5,725,115
Due from other banks, net	5	12,360,600	12,386,496
Investment securities measured at fair value	7	9,159,322	6,038,538
Investment securities measured at amortised cost	7	7,444,281	7,199,529
Loans and advances, net	6	47,223,940	39,467,500
Reinsurance contract assets	15	231,578	176,312
Customer acceptances		406,612	273,350
Other assets	8	1,682,252	1,740,849
Property and equipment	10	552,246	485,153
Right-of-use assets		117,632	109,821
Goodwill and intangible assets	9	376,632	351,971
Total assets		88,325,407	73,954,634
LIABILITIES AND EQUITY			
LIABILITIES			
Due to other banks	12	7,099,475	6,717,589
Deposits from customers	13	59,649,678	50,395,142
Customer acceptances		406,612	273,350
Debt securities issued and other long-term borrowings	14	4,937,818	3,482,001
Insurance contract liabilities	15	481,321	383,311
Other liabilities	16	2,922,985	2,231,677
Lease liabilities		106,807	103,304
Deferred tax liability	11	8,921	13,733
Subordinated note	17	915,111	-
Total liabilities		76,528,728	63,600,107
EQUITY			
Share capital	18	2,011,495	2,011,495
Legal reserve	19	1,128,804	1,128,804
Retained earnings		5,458,933	4,019,394
Other reserves	20	3,166,371	3,167,378
Equity attributable to owners of the Bank		11,765,603	10,327,071
Non-controlling interests	21	31,076	27,456
Total equity		11,796,679	10,354,527
Total Liabilities and Equity		88,325,407	73,954,634

These consolidated financial statements were duly approved and authorised for issue by the Board of Directors on 23 January 2025 and signed on their behalf by:

Mohamed Omran Alshamsi
Chairman

Raheel Ahmed
Chief Executive Officer

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF PROFIT OR LOSS FOR THE YEAR ENDED 31 DECEMBER 2024

	Notes	2024 AED'000	2023 AED'000
Interest income	22	4,567,907	3,951,066
Interest expense	22	(1,407,018)	(1,039,765)
Net interest income		3,160,889	2,911,301
Income from Islamic financing	23	666,549	618,490
Distribution to depositors	23	(265,401)	(193,501)
Net income from Islamic financing		401,148	424,989
Net interest income and net income from Islamic financing		3,562,037	3,336,290
Net fees and commission income	24	643,950	660,413
Foreign exchange & derivative income		351,613	326,086
Investment income	25	88,070	48,672
Insurance income		647,218	592,160
Insurance expense		(692,174)	(632,959)
Other operating income	26	111,808	73,534
Non-interest income		1,150,485	1,067,906
Operating income		4,712,522	4,404,196
General and administrative expenses	27	(1,658,414)	(1,601,261)
Operating profit before net impairment charge and tax		3,054,108	2,802,935
Net impairment charge	31	(776,018)	(1,005,477)
Profit before tax		2,278,090	1,797,458
Tax expense	11	(202,446)	(13,733)
Profit for the year after tax		2,075,644	1,783,725
Attributed to:			
Owners of the Bank		2,072,437	1,783,559
Non-controlling interests	21	3,207	166
Profit for the year after tax		2,075,644	1,783,725
Earnings per share:			
Basic and diluted in AED	28	1.03	0.89

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2024

	2024 AED'000	2023 AED'000
Profit for the year after tax	2,075,644	1,783,725
Other comprehensive income:		
<u>Items that will not be reclassified subsequently to profit or loss:</u>		
Changes in fair value of financial assets measured at fair value through other comprehensive income (FVOCI), net (equity instruments)	52,700	(16,294)
Loss on sale of equity investments held at FVOCI	(7,002)	(5,398)
Re-measurements of post-employment benefits obligation	(3,256)	(2,613)
Income tax expense related to the above	(3,820)	-
<u>Items that may be reclassified subsequently to profit or loss:</u>		
Changes in fair value of financial assets measured at FVOCI, net (debt instruments)	(26,265)	145,982
Profit on sale of debt instruments transferred to profit or loss	(20,297)	(1,612)
Net changes in fair value arising from cash flow hedges	(6,801)	10
Deferred tax credit related to the above	4,812	-
Other comprehensive (loss)/income for the year	(9,929)	120,075
Total comprehensive income for the year	2,065,715	1,903,800
Attributed to:		
Owners of the Bank	2,062,095	1,902,685
Non-controlling interests	3,620	1,115
Total comprehensive income for the year	2,065,715	1,903,800

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024

	Share capital AED'000	Legal reserve AED'000	Retained earnings AED'000	Other reserves AED'000	Equity attributable to owners of the Bank AED'000	Non-controlling interests AED'000	Total AED'000
Balance at 1 January 2023	1,676,245	950,431	3,392,307	2,975,326	8,994,309	26,341	9,020,650
Profit for the year	-	-	1,783,559	-	1,783,559	166	1,783,725
Other comprehensive income	-	-	(7,835)	126,961	119,126	949	120,075
Total comprehensive income/(loss) for the year	-	-	1,775,724	126,961	1,902,685	1,115	1,903,800
Transfer to statutory reserve	-	178,373	(243,464)	65,091	-	-	-
Stock dividend paid	335,250	-	(335,250)	-	-	-	-
Dividend paid	-	-	(569,923)	-	(569,923)	-	(569,923)
At 31 December 2023	2,011,495	1,128,804	4,019,394	3,167,378	10,327,071	27,456	10,354,527
Balance at 1 January 2024	2,011,495	1,128,804	4,019,394	3,167,378	10,327,071	27,456	10,354,527
Profit for the year	-	-	2,072,437	(1,007)	2,072,437	3,207	2,075,644
Other comprehensive (loss) / income	-	-	(9,335)	(1,007)	(10,342)	413	(9,929)
Total comprehensive income/(loss) for the year	-	-	2,063,102	(1,007)	2,062,095	3,620	2,065,715
Transfer to statutory reserve	-	-	-	-	-	-	-
Stock dividend paid	-	-	-	-	-	-	-
Dividend paid	-	-	(623,563)	-	(623,563)	-	(623,563)
At 31 December 2024	2,011,495	1,128,804	5,458,933	3,166,371	11,765,603	31,076	11,796,679

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2024

	2024 AED'000	2023 AED'000
Cash flows from operating activities		
Profit for the year before tax	2,278,090	1,797,458
Adjustments:		
Net impairment charge	776,018	1,005,477
Depreciation and amortization of property and equipment and intangibles	141,807	144,298
Depreciation of right-of-use assets	20,525	22,203
Interest cost on lease liability	4,742	4,175
Loss/(Gain) on disposal of property and equipment	1,769	(3,654)
Amortization of discount relating to investments securities	(165,146)	(117,602)
Gain on sale of investment securities measured at FVOCI	(20,298)	(1,612)
Gain on sale of investment securities held at Fair value through PL (FVTPL)	(29,643)	(17,582)
Gain on sale of investment securities measured at amortised cost	(233)	-
Net changes in fair value arising from hedge and forex revaluation	5,756	(20,232)
Fair value change on FVTPL investment securities	(9,248)	(8,742)
Amortization of discount and other changes on debt and subordinated debt	(5,295)	17,471
Changes in operating assets and liabilities	2,998,844	2,821,658
Increase in due from other banks with original maturities of three month or over	(898,306)	(511,305)
Increase in loans and advances, net	(8,528,068)	(4,343,371)
Decrease in Investment securities measured at FVTPL	(168,800)	(112,204)
Decrease in reinsurance contract assets	(55,266)	(29,448)
Increase in other assets	(78,705)	(463,150)
Increase in due to other banks	381,886	525,755
Increase in deposits from customers	9,254,536	5,523,832
Increase in insurance contract liabilities	98,010	67,833
Increase in other liabilities and customer acceptances	605,132	653,801
Net cash generated from operating activities	3,609,263	4,133,401
Cash flows from investing activities		
Purchase of investment securities (FVOCI and amortised)	(15,266,981)	(10,709,061)
Proceeds from maturity/disposal of investment securities	12,281,659	9,278,358
Purchase of property and equipment and intangible assets	(233,558)	(165,380)
Proceeds from disposal of property and equipment	153	12,242
Net cash used in investing activities	(3,218,727)	(1,583,841)
Cash flows from financing activities		
Dividends paid	(623,563)	(569,923)
Payment for rentals on lease contracts	(26,114)	(20,002)
Repayment of debt securities and other long-term borrowings	(1,836,500)	(2,185,435)
Issuance of subordinated debt	915,090	-
Issue of debt securities and other long-term borrowings	3,297,633	1,650,222
Net cash used in financing activities	1,726,546	(1,125,138)
Net increase in cash and cash equivalents	2,117,082	1,424,422
Cash and cash equivalents, beginning of the year	7,946,799	6,522,377
Cash and cash equivalents, end of the year (Note 34)	10,063,881	7,946,799
Interest/profit paid during the year	1,471,519	1,066,594

The accompanying notes form an integral part of these consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024

1. Incorporation and principal activities

The National Bank of Ras Al-Khaimah (P.S.C.) (the “Bank”) is a public shareholding company incorporated in the Emirate of Ras Al-Khaimah in the United Arab Emirates (“UAE”). The head office of the Bank is located at the National Bank of Ras Al-Khaimah building, Al Rifa area, Exit No. 129, Sheikh Mohammed Bin Zayed Road, Ras Al-Khaimah, UAE.

The Bank is engaged in providing Retail, Commercial, Islamic banking and Treasury services through a network of 19 branches (2023: 20) in the UAE. The Bank is controlled by the Government of Ras Al-Khaimah by majority of voting rights.

At 31 December 2024, The National Bank of Ras Al-Khaimah (P.S.C.) comprises the Bank and seven subsidiaries (together referred to as the “Group”). The consolidated financial statements for the year ended 31 December 2024 comprises the Bank and following direct subsidiaries:

Subsidiary	Share capital	Ownership interest	Incorporated	Principal Activities
Ras Al Khaimah National Insurance Company PSC	AED 121.275 million	79.23%	UAE	Underwriting all types of Insurance business.
BOSS FZCO	AED 500,000	80%*	UAE	Back office support services to the Bank.
RAK Technologies FZCO	AED 500,000	80%*	UAE	Technological support services to the Bank.
RAK Global Markets Cayman Limited	USD 50,000 Issued USD 1	100%	Cayman Island	To facilitate Treasury transactions.
Protego Insurance Brokers L.L.C.	AED 28.5 million	100%	UAE	Insurance brokerage

* These represent legal ownership of the Bank. However, beneficial ownership is 100% as the remaining interest is held by a related party on trust and for the benefit of the Bank.

In compliance with CBUAE regulations, during the year Bank has infused additional capital of AED 20 million in Protego Insurance Brokers L.L.C.

As part of ongoing efforts to streamline operations and optimize business structure, the Group initiated voluntary liquidation of four subsidiaries RAK Technology FZCO, RAK funding Cayman Limited, RAK Global Markets Cayman Limited and RAK Financial Services Limited (RAKFS). As of 31 December 2024, the license/certificate respectively of RAKFS and Rakfunding Cayman Limited has been revoked with liquidation formalities in progress for other subsidiaries.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

2. Application of new and revised IFRS Accounting Standards

2.1 Standards amendments and interpretations that are effective for the Group accounting period beginning on 1 January 2024

The following new and revised IFRS Accounting Standards, which became effective for annual periods beginning on or after 1 January 2024, have been adopted in these consolidated financial statements. The application of these revised IFRS Accounting Standards , except where stated, have not had any material impact on the amounts reported for the current and prior periods but may affect the accounting for future transactions or arrangements.

Title	Key requirements	Effective date
Amendments to IFRS 16 - Lease Liability in a Sale and Leaseback	In September 2022, the IASB finalised narrow-scope amendments to the requirements for sale and leaseback transactions in IFRS 16 Leases which explain how an entity accounts for a sale and leaseback after the date of the transaction. The amendments specify that, in measuring the lease liability subsequent to the sale and leaseback, the seller-lessee determines ‘lease payments’ and ‘revised lease payments’ in a way that does not result in the seller-lessee recognising any amount of the gain or loss that relates to the right of use that it retains. This could particularly impact sale and leaseback transactions where the lease payments include variable payments that do not depend on an index or a rate.	1 January 2024
Amendments to IAS 1 - Presentation of financial statements’ on classification of liabilities	Presentation of financial statements’, clarify that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (for example, the receipt of a waiver or a breach of covenant). The amendment also clarifies what IAS 1 means when it refers to the ‘settlement’ of a liability.	1 January 2024
Amendments to IAS 1 - Non-current Liabilities with Covenants	Covenants of loan arrangements will not affect classification of a liability as current or non-current at the reporting date if the entity must only comply with the covenants after the reporting date. However, if the entity must comply with a covenant either before or at the reporting date, this will affect the classification as current or non-current even if the covenant is only tested for compliance after the reporting date.	1 January 2024
Amendments to IAS 7 and IFRS 7 - Supplier finance arrangements	The IASB has issued new disclosure requirements about supplier financing arrangements (‘SFAs’), after feedback to an IFRS Interpretations Committee agenda decision highlighted that the information required by IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures falls short of meeting user information needs. The objective of the new disclosures is to provide information about SFAs that enables investors to assess the effects on an entity’s liabilities, cash flows and the exposure to liquidity risk.	1 January 2024

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

2. Application of new and revised IFRS Accounting Standards (continued)

2.2 New and revised IFRS Accounting Standards that have been issued but are not yet effective

The Group has not yet applied the following new and revised IFRS Accounting Standards that have been issued but are not yet effective:

New and revised IFRS Accounting Standards	Effective for annual periods beginning on or after
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Lack of Exchangeability – Amendments to IAS 21, In August 2023, the IASB January 1, 2025 amended IAS 21 to add requirements to help entities to determine whether a currency is exchangeable into another currency, and the spot exchange rate to use when it is not. Prior to these amendments, IAS 21 set out the exchange rate to use when exchangeability is temporarily lacking, but not what to do when lack of exchangeability is not temporary.

Classification and Measurement of Financial Instruments – Amendments to IFRS 9 and IFRS 7, On 30 May 2024, the IASB issued targeted amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures to respond to recent questions arising in practice, and to include new requirements not only for financial institutions but also for corporate entities. These amendments: (a) clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system; (b) clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion; (c) add new disclosures for certain instruments with contractual terms that can change cash flows (such as some financial instruments with features linked to the achievement of environment, social and governance targets); and (d) update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI).

Presentation and Disclosure in Financial Statements - IFRS 18, This is the new January 1, 2027 standard on presentation and disclosure in financial statements, which replaces IAS 1, with a focus on updates to the statement of profit or loss. The key new concepts introduced in IFRS 18 relate to:

- the structure of the statement of profit or loss with defined subtotals;
- requirement to determine the most useful structure summary for presenting expenses in the statement of profit or loss
- required disclosures in a single note within the financial statements for certain profit or loss performance measures that are reported outside an entity’s financial statements (that is, management-defined performance measures); and
- enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Application of new and revised IFRS Accounting Standards (continued)

2.2 New and revised IFRS Accounting Standards that have been issued but are not yet effective
(continued)

New and revised IFRS Accounting Standards	Effective for annual periods beginning on or after
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Subsidiaries without Public Accountability: Disclosures - IFRS 19, This new January 1, 2027 standard works alongside other IFRS Accounting Standards. An eligible subsidiary applies the requirements in other IFRS Accounting Standards except for the disclosure requirements; and it applies instead the reduced disclosure requirements in IFRS 19. IFRS 19’s reduced disclosure requirements balance the information needs of the users of eligible subsidiaries’ financial statements with cost savings for preparers. IFRS 19 is a voluntary standard for eligible subsidiaries. A subsidiary is eligible if:

- it does not have public accountability; and
- it has an ultimate or intermediate parent that produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

Management anticipates that these new standards, interpretations and amendments will be adopted in the Group’s consolidated financial statements as and when they are mandatorily effective. The Group is currently assessing the impact of these standards, interpretations and amendments on the future financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies

The material accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Basis of preparation

The consolidated financial statements of the Group have been prepared in accordance with IFRS Accounting Standards as issued by International Accounting Standards Board ("IASB") and applicable requirements of the laws of the United Arab Emirates ("UAE"). Group has also complied with provisions of the UAE Federal Decree Law No. 32 of 2021 ("Companies Law") which was issued on 20 September 2021 and came into effect on 2 January 2022.

The consolidated financial statements of the Group have been prepared on the historical cost basis except for certain financial instruments, including derivatives, investments at fair value which are measured at fair value and the obligation related to employees end of service benefit, which is recognised at the present value of future obligations using the Projected Unit Credit Method. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

The Group's consolidated statement of financial position is not presented using a current / non-current classification. However, the following balances would generally be classified as current: cash and balances with UAE Central Bank and customer acceptances. The following balances would generally be classified as non-current: property and equipment and goodwill. The following balances are of mixed nature (including both current and non-current portions): due from other banks - net, loans and advances – net, investment securities measured at fair value, investment securities measured at amortised cost, reinsurance contract assets, other assets, right-of-use assets, due to other banks, deposits from customers, debt securities issued and other long term borrowings, subordinated note, insurance contract liabilities, other liabilities and lease liabilities.

(b) Consolidation

These consolidated financial statements incorporate the financial statements of the Bank and entities controlled by the Bank and its subsidiaries. Control is achieved when the Bank:

- has power over an investee,
- is exposed, or has rights, to variable returns from its involvement with the investee, and
- has the ability to use its power over the investee to affect the amount of the investor's returns.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the Group has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Group considers all relevant facts and circumstances in assessing whether or not the Group's voting rights in an investee are sufficient to give it power, including:

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(b) Consolidation (continued)

- the size of the Group's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Group, other vote holders and other parties;
- rights raising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Group has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns and previous shareholders' meetings.

Consolidation of a subsidiary begins when the Bank obtains control over the subsidiary and ceases when the Bank loses control over the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated income statement from the date the Bank gains control until the date when the Bank ceases to control the subsidiary.

Profit or loss of each component of other comprehensive income is attributable to the owners of the Group and to the non-controlling interests. Total comprehensive income of subsidiaries is attributed to the owners of the Bank and to the non-controlling interest even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies.

All intragroup assets, liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

Changes in the Group's ownership interest in existing subsidiaries

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the Group's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to owners of the Bank.

When the Group loses control of a subsidiary, the profit or loss on disposal is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), and liabilities of the subsidiary and any non-controlling interests. All amounts previously recognised in other comprehensive income are accounted for as if the Group had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to profit or loss or transferred to another category of equity as specified by applicable IFRSs). The fair value of any investment retained in the former subsidiary at the date when control is lost is regarded as the fair value on initial recognition for subsequent accounting under IFRS 9: Financial Instruments or, when applicable, the cost on initial recognition of an investment in an associate or a joint venture.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(c) Islamic financing

The Group engages in Shari’ah compliant Islamic banking activities through various Islamic instruments such as Murabaha, Salam, Mudaraba, and Wakala. The accounting policy for initial recognition, subsequent measurement and derecognition of Islamic financial assets and liabilities are as per Note 3(e).

i) Murabaha financing

A sale contract whereby the Group sells to a customer commodities and other assets by disclosing agreed upon profit and cost. The Group purchases the assets based on a promise received from customer to buy the item purchased according to specific terms and conditions. Profit from Murabaha is quantifiable at the commencement of the transaction. Such income is recognised as it accrues over the period of the contract on effective profit rate method on the balance outstanding.

ii) Salam

Bai Al Salam is a Sale contract where the Customer (Seller) undertakes to deliver/supply a specified tangible asset to the Group (Buyer) at mutually agreed future date(s) in exchange for an advance price fully paid on the spot by the buyer.

Revenue on Salam financing is recognised on the effective profit rate basis over the period of the contract, based on the Salam capital outstanding.

iii) Mudaraba

A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal- customer) and the other party (the Mudarib- the Group) invests the funds in a project or a particular activity and any profits generated are distributed between the parties according to the profit shares that were pre-agreed in the contract. The Mudarib would bear the loss in case of default, negligence or violation of any of the terms and conditions of the Mudaraba, otherwise, losses are borne by the Rab Al Mal.

iv) Wakala

An agreement between the Group and customer whereby one party (Rab Al Mal-principal) provides a certain sum of money to an agent (Wakil), who invests it according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested). The agent is obliged to return the invested amount in case of default, negligence or violation of any of the terms and conditions of the Wakala. The Group may be Wakil or Rab Al Mal depending on the nature of the transaction.

Estimated income from Wakala is recognised on an accrual basis over the period, adjusted by actual income when received. Losses are accounted for on the date of declaration by the agent.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(c) Islamic financing (continued)

v) Ijara

Ijara financing is a finance lease agreement whereby the Group (lessor) leases an asset based on the customer’s (lessee) request and promise to lease the assets for a specific period in lieu of rental instalments. Ijara ends in transferring the ownership of the asset to the lessee at the end of the lease inclusive of the risks and rewards incident to an ownership of the leased assets. Ijara assets are stated at amounts equal to the net investment outstanding in the lease including the income earned thereon less impairment provisions.

vi) Profit distribution mechanism

Deposits of Islamic banking are managed in accordance with Shari’ah principles through a Mudaraba pool and profit is distributed in accordance with the Shari’ah approved profit distribution mechanism. To ensure the competitive return to the depositors, Shari’ah compliant reserves are maintained as followed;

- *Profit Equalization Reserves (PER) is appropriated out of the Common Mudaraba Pool’s profit in order to maintain the adequate return on investments for participants of Common Mudaraba Pool as well as Wakala Pool.*
- *Investment Risk Reserve (IRR) is appropriated from the depositors’ share of profits set aside as a reserve.*

PER and IRR are actively reinvested in the Joint Mudaraba Pool to optimize returns for Investment Account Holders (IAHs) and ensure reserves are utilized productively.

Group may fully or partly utilize the amount of the PER to improve the returns for IAHs during periods when the investment pool’s profits are below market expectations.

As of 31 December 2024 Group holds PER of AED 494 thousand (31 December 2023: AED 216 thousand) and IRR of AED 193 thousand (31 December 2023: AED 50 thousand).

vii) Zakat

As the Group is not required to dispose Zakat by UAE law, each shareholder and investment account holder is directly responsible of the payment of the Zakat amount of the shares that he/she owns.

(d) Business combination and goodwill

Business combination

The Bank follows the acquisition method of accounting for the acquisition of a business. The Bank considers the date on which control is obtained and it legally transfer the consideration for the acquired assets and assumed liabilities of the subsidiary to be the date of acquisition. The cost of an acquisition is measured at the fair value of the consideration paid. The fair value is calculated as the sum of the acquisition-date fair values of the assets transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree, and the equity interests issued by the Group.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

3. Material accounting policies (continued)

(d) Business combination and goodwill (continued)

Business combination (continued)

Any excess of the cost of acquisition over the Bank's share of the net fair value of the identifiable assets acquired and liabilities assumed is recorded as goodwill. If, after reassessment, the cost of the acquisition is less than the fair value of the Bank's share of the identifiable assets acquired and liabilities assumed, the resulting gain is recognized immediately in non-interest income as a bargain purchase gain. Acquisition related costs are generally recognised in non-interest income/expense in the periods in which the costs are incurred and the services are received.

Non-controlling interests, if any, are measured and recognized at the proportionate share of the fair value of the recognised amounts of identifiable assets and liabilities, unless otherwise indicated. Where the Bank has an obligation to purchase a non-controlling interest for cash or another financial asset, a financial liability is recognized based on management's best estimate of the present value of the redemption amount. Where the Bank has a corresponding option to settle the purchase of a non-controlling interest by issuing its own common shares, no financial liability is recorded.

During the measurement period (which is within one year from the acquisition date), the Bank may, on a retrospective basis, adjust the amount recognized at the acquisition date to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date. Any change is recognized in non-interest income (except in the case of the option to issue common shares to non-controlling interest holders where the corresponding change is recorded in equity).

After initial recognition of goodwill in a business combination, goodwill in aggregate is measured at cost less any accumulated impairment losses. Goodwill is not amortized but tested for impairment annually or at a more frequent basis if there is objective indications that the carrying value may be impaired.

Goodwill impairment testing

For impairment testing, goodwill acquired in a business combination is, on the acquisition date, allocated to each of the Group's cash-generating units ("CGU") (or groups of cash-generating units) that is expected to benefit from the particular acquisition. For the purpose of impairment assessment, goodwill is allocated to the Group's insurance business.

The Bank tests for impairment by comparing the recoverable amount of a CGU with its carrying amount. For this purpose, the recoverable amount of each cash generating unit has been determined based on a value-in-use ("VIU") calculation using a discounted cash flow model, based on financial forecasts made by senior management, covering a five-year period. Cash flows beyond the five-year period are valued using a terminal growth rate, which management believes approximates the long-term growth rate for the industry in which the cash generating unit operates. This model is dependent upon assumptions related to revenue growth and discount rates. Management must exercise judgment and make assumptions in determining the fair value. The judgements applied in the value-in-use calculation are disclosed in Note 42(g).

If the recoverable amount of the CGU is less than the carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss, in respect of goodwill, is not reversed.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

3. Material accounting policies (continued)

(d) Business combination and goodwill (continued)

Business combination (continued)

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

Significant judgment is applied in determining the recoverable amounts of the CGU and assessing whether certain events or circumstances constitute objective indications of impairment.

(e) Classification of financial assets and financial liabilities

Financial assets

On initial recognition, a financial asset is classified as measured: at amortised cost, Fair Value through Other Comprehensive Income (FVOCI) or Fair Value through Profit and Loss (FVTPL). A financial asset is measured at amortised cost if it meets both the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an instrument -by-instrument basis.

All other financial assets are classified as measured at FVTPL.

In addition, on initial recognition, the Group may irrevocably designate a financial asset that meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial liabilities

In both the current period and prior period, financial liabilities are classified as subsequently measured at amortised cost, except for:

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(e) Classification of financial assets and financial liabilities (continued)

Financial liabilities (continued)

- Financial liabilities at fair value through profit or loss: the classification is applied to derivatives and other financial liabilities designated as such at initial recognition. Gains and losses on financial liabilities designated at fair value through profit or loss are presented partially in other comprehensive income (the amount of change in fair value of the financial liability that is attributable to the changes in credit risk of that liability, which is determined as the amount that is not attributable to changes in market conditions that give rise to market risk) and partially profit or loss (the remaining amount of change in the fair value of the liability). This is unless such a presentation would create, or enlarge, an accounting mismatch, in which case the gains or losses attributable to changes in the credit risk of the liability are also presented in the profit or loss;
- Financial liabilities arising from the transfer of financial assets which did not qualify for derecognition or when the continuing involvement approach applies. When the transfer of financial assets did not qualify for derecognition, a financial liability is recognised for the consideration received for the transfer; and
- Financial guarantee contracts and loan commitments.

Business model assessment

The Bank makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- The stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Bank's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Bank's stated objective for managing the financial assets is achieved and how cash flows are realised.

Financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(e) Classification of financial assets and financial liabilities (continued)

Assessment whether contractual cash flows are solely payments of principal and interest ("SPPI Test")

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition.

In making the assessment, the Group considers:

- (a) Contingent events that would change the amount and timing of cash flows;
- (b) Leverage features;
- (c) Prepayment and extension terms;
- (d) Terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- (e) Features that modify consideration of the time value of money - e.g. periodical reset of interest rate.

Reclassifications

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Group changes its business model for managing financial assets.

Derecognition

Any cumulative gain/loss recognised in OCI in respect of equity investment securities designated as FVOCI is not recognised in profit or loss account on derecognition of such securities.

(f) Measurement of financial assets and financial liabilities

Investment securities

The investment securities' caption in the statement of financial position includes:

- debt investment securities measured at amortised cost; these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method;
- debt and equity investment securities measured at FVTPL or designated as at FVTPL; these are measured at fair value with changes recognised immediately in profit or loss;
- debt securities measured at FVOCI; and
- equity investment securities designated at FVOCI - Equity securities which are not held for trading and which the group has irrevocably elected at initial recognition to recognise in this category. These are strategic investments, and the group considers this classification to be more relevant.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(f) Measurement of financial assets and financial liabilities (continued)

Investment securities (continued)

For debt securities measured at FVOCI, gains and losses are recognised in OCI, except for the following, which are recognised in profit or loss in the same manner as for financial assets measured at amortised cost.

- Interest revenue using the effective interest method
- ECL and reversals, and
- Foreign exchange gains and losses.

When debt security measured at FVOCI is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss.

The Group elects to present in OCI changes in the fair value of certain investments in equity instruments that are not held for trading. The election is made on an instrument-by-instrument basis on initial recognition and is irrevocable.

Gains and losses on such equity instruments are never reclassified to profit or loss and no impairment is recognised in profit or loss. Dividends are recognised in profit or loss unless they clearly represent a recovery of part of the cost of the investment, in which case they are recognised in OCI. Cumulative gains and losses recognised in OCI are transferred to retained earnings on disposal of an investment.

Financial liabilities

Financial liabilities (including deposits from customers, due to other banks, repurchase agreements with banks, debt securities issued and other long term borrowings, and subordinated note) are initially recognised as fair value and subsequently measured at amortised cost, except for:

- Financial liabilities at fair value through profit or loss: this classification is applied to derivatives, financial liabilities held for trading and other financial liabilities designated as such on initial recognition. Gains or losses on financial liabilities designated at fair value through profit or loss are presented partially in other comprehensive income (the change in fair value due to credit risk) and partially profit or loss (the remaining amount of change in the fair value of the liability). This is unless such a presentation would create, or enlarge, an accounting mismatch, in which case the gains and losses attributable to changes in the credit risk of the liability are also presented in profit or loss;
- Financial liabilities arising from the transfer of financial assets which did not qualify for derecognition whereby for financial liability is recognised for the consideration received for the transfer. In subsequent periods, the Group recognises any expense incurred on the financial liability; and
- Financial guarantee contracts and loan commitments.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(f) Measurement of financial assets and financial liabilities (continued)

Financial liabilities (continued)

Derecognition

Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires).

When replacing an existing debt with a new debt from a new lender, the existing debt would be de-recognized in the financial statements, with the difference between the carrying amount and the fair value of the consideration paid recognized in profit or loss. However, when modifying or exchanging a debt while keeping the original lender, the International Financial Reporting Standards (IFRS) have specific guidance on whether the transaction results in a de-recognition or is accounted for differently. This analysis is driven by the question whether the modification is “substantial” or whether the original debt has been replaced by another debt with “substantially” different terms.

(g) Impairment

Measurement of ECL

The Group recognises loss allowances for expected credit losses (ECLs) on the following financial instruments that are not measured at FVTPL:

- Due from other banks;
- Debt investment securities carried at FVOCI and amortised cost;
- Loans and advances to customers;
- Insurance assets and receivables;
- Customer acceptances and other financial assets;
- Loan commitments; and
- Financial guarantees and contracts.

No impairment loss is recognised on equity investments.

IFRS 9 outlines a ‘three-stage’ model for impairment based on changes in credit quality since initial recognition as summarised below:

Stage 1: When there has not been a Significant Increase in Credit risk (SICR) since its initial recognition, an amount equal to 12 months Expected Credit Loss (ECL) is recorded. 12-month ECL is the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date. For those instruments with a remaining maturity of less than 12 months, a probability of default corresponding to remaining term to maturity is used.

Stage 2: When a financial instrument shows a Significant Increase in Credit Risk (SICR) since its initial recognition, it is moved to Stage 2 and an amount equal to Lifetime ECL is recorded against these financial instruments. Lifetime ECL are the ECL that result from all possible default events over the expected life of the financial instrument.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

3 Material accounting policies (continued)

(g) Impairment (continued)

Measurement of ECL (continued)

Stage 3: Financial instruments considered as credit impaired are moved to Stage 3 and amount equal to Lifetime ECL is recorded against these financial instruments.

The Group employs statistical models for ECL calculations. For measuring ECL under IFRS 9, the key inputs are the term structure of the following:

- Probability of default (PD);
- Loss Given Default (LGD); and
- Exposure at Default (EAD).

These parameters are derived from the Group’s internally developed statistical models or external data, and other historical data. These are adjusted to reflect forward-looking information. Additionally, the Group has elaborate review process to adjust the ECL numbers for the factors not being captured in the model, as a part of Management Overlay.

Summary of statistical parameters/inputs are as follows:

- PD – The probability of default is an estimate of the likelihood of default over a given time horizon.
- EAD – The exposure at default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date upto default date.
- LGD – The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and expect recovery including expected amount from sale of collateral. It is usually expressed as a percentage of the EAD.

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and
- financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Group expects to recover;
- irrevocable overdraft facilities: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and;
- the Group measures ECL on an individual basis, or on a collective basis for portfolios of loans that share similar economic risk characteristics (Retail portfolio). The measurement of the loss allowance is based on the present value of the asset’s expected cash flows using the asset’s original interest rate whether it is measured on an individual basis or a collective basis.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

3. Material accounting policies (continued)

(g) Impairment (continued)

Credit-impaired financial assets

A financial asset is ‘credit-impaired’ when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage 3 assets. Evidence of credit-impairment includes observable data about the following events:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past due event;
- the disappearance of an active market for a security because of financial difficulties; or
- the purchase of a financial asset at a deep discount that reflects the incurred credit losses.

It may not be possible to identify a single discrete event-instead, the combined effect of several events may have caused financial assets to become credit-impaired. The Group assesses whether debt instruments that are financial assets measured at amortised cost or FVOCI are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the Group considers factors such as timing of coupon payments, credit ratings and the ability of the borrower to raise funding.

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower’s financial condition, unless there is evidence that as a result of granting the concession the risk of not receiving the contractual cash flows has reduced significantly and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted the asset is deemed credit impaired when there is observable evidence of credit-impairment including meeting the definition of default. The definition of default includes unlikelihood to pay indicators and a backstop if amounts are overdue for 90 days or more.

Purchased or originated credit-impaired (POCI) financial assets

POCI financial assets are treated differently because the asset is credit-impaired at initial recognition. For these assets, the Group recognises all changes in lifetime ECL since initial recognition as a loss allowance with any changes recognised in profit or loss. A favourable change for such assets creates an impairment gain.

Definition of default

Group defines a non-retail, retail and investment instrument as in default, which is largely aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

Quantitative criteria

The borrower is 90 (or more) days past due on its contractual payments.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(g) Impairment (continued)

Definition of default (continued)

Qualitative criteria:

The bank classifies the loans as Non-performing (NPA) when:

- Such loans, which may lead to incurring of some loss due to adverse factors (financial, economic, legal, political or managerial) which may hinder repayment, or due to weakening of security.
- Loans whose full recovery seems doubtful on the basis of information available, leading, generally, to a loss of part of these loans (when the financial position of the customer and securities are not sufficient).
- Loans where bank has exhausted all courses of action available but failed to recover anything, or where there is a possibility that nothing shall be recovered.

Expected life

For instruments in Stage 2 or Stage 3, loss allowances reflect expected credit losses over the expected remaining lifetime of the instrument. For most instruments, the expected life is limited to the remaining contractual life. An exemption is provided for certain instruments with the following characteristics: (a) the instrument includes both a loan and undrawn commitment component; (b) the contractual ability to demand repayment and cancel the undrawn commitment is present; and (c) the exposure to credit losses is not limited to the contractual notice period. For products in scope of this exemption, the expected life may vary from remaining contractual life and is the period over which our exposure to credit losses is not mitigated by our normal credit risk management actions. This period varies by product and risk category and is estimated based on our historical experience with similar exposures and consideration of credit risk management actions taken as part of our regular credit review cycle like credit cards, overdraft balances, etc. Determining the instruments in scope for this exemption and estimating the appropriate remaining life based on our historical experience and credit risk mitigation practices requires significant judgment.

Modification of financial assets

The Group sometimes renegotiates or otherwise modifies the contractual cash flows of loans to customers. Where this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the borrower is in financial difficulty, whether the modification merely reduces the contractual cash flows to amounts the borrower is expected to be able to pay.
- Whether any substantial new terms are introduced, such as a profit share / equity based return that substantially affects the risk profile of the loan.
- Significant extension of the loan term when the borrower is not in financial difficulty.
- Significant change in the interest rate.
- Change in the currency the loan is denominated in.
- Insertion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(g) Impairment (continued)

Modification of financial assets (continued)

If the terms are substantially different, the Group derecognizes the original financial asset and recognizes a ‘new’ asset at fair value and recalculates a new effective interest rate for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for the purpose of determining whether a significant increase in credit risk has occurred. However, the Group also assesses whether the new financial asset recognized is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments. Differences in the carrying amount are also recognized in profit or loss as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in the derecognition, and the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognizes a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original effective interest rate.

Derecognition of Financial Assets

Financial assets, or a portion thereof, are derecognized when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) the Group transfers substantially all the risks and rewards of ownerships, or (ii) the Group neither transfers nor retains substantially all the risks and rewards of ownership and the Group has not retained control.

The Group enters into transactions where it retains the contractual rights to receive cash flows from assets but assumes a contractual obligation to pay those cash flows to other entities and transfers substantially all of the risks and rewards.

These transactions are accounted for as ‘pass through’ transfers that result in derecognition if the Group:

- Has no obligation to make payments unless it collects equivalent amounts from the assets;
- Is prohibited from selling or pledging the assets; and
- Has an obligation to remit any cash it collects from the assets without material delay.

Collateral (shares and bonds) furnished by the Group under standard repurchase agreements and securities lending and borrowing transactions are not derecognised because the Group retains substantially all the risks and rewards on the basis of predetermined repurchase price, and the criteria for de-recognition are therefore not met. This also applies to certain securitisation transactions in which the Group retain a subordinated residual interest.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

3. Material accounting policies (continued)

(g) Impairment (continued)

Write-offs

Financial assets are written off when there is no reasonable expectation of recovery, such as a debtor failing to engage in a repayment plan with the company. The Group categorises a retail loan or receivable for write off when a debtor fails to make contractual payments exceeding a certain number of days, and meets other pre-defined criteria as per bank’s internal policy. As regards the non retail loans, the write off of loans is done based on the individual assessment of these loans on a case to case basis. Where loans or receivables have been written off, the Group continues to engage in enforcement activity to attempt to recover the receivable due. Where recoveries are made, these are recognised in profit or loss.

Financial guarantees contract

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

Financial guarantee contracts issued by a group entity are initially measured at their fair values. Subsequently they are measured at the higher of:

- the amount of the loss allowance determined in accordance with IFRS 9; and
- the amount initially recognised less, where appropriate, cumulative amount of income recognised in accordance with the Group’s revenue recognition policies. Customer acceptances

Curing period

The Group continues to monitor such financial instruments for a minimum probationary period of 12 months to confirm if the risk of default has decreased sufficiently before upgrading such exposure from Lifetime ECL (Stage 2) to 12 months ECL (Stage 1).

The Group is observing a probationary period of a minimum of 3 instalments (for repayments which are on a quarterly basis or shorter) and 12 months (in cases where instalments are on a longer frequency than quarterly) after the restructuring, before upgrading from Stage 3 to 2.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

3. Material accounting policies (continued)

(h) Derivatives and hedging

IFRS 9 expands the scope of hedged items and risks eligible for hedge accounting and aligns hedge accounting more closely with risk management. IFRS 9 envisions an objectives-based test that focuses on the economic relationship between the hedged item and the hedging instrument, and the effect of credit risk on that economic relationship.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio under IFRS 9, but the risk management objective for that designated hedging relationship remains the same, the Bank shall adjust the hedge ratio of the hedging relationship so that it meets the qualifying criteria again.

Gains and losses arising from changes in the fair value of derivatives that are not the hedging instrument in a qualifying hedge are recognised as they arise in profit or loss. Gains and losses are recorded in income from trading activities except for gains and losses on those derivatives that are managed together with financial instruments designated at fair value; these gains and losses are included in ‘Other Operating Income’.

(i) Due from/to other banks

Amounts due from/to banks are initially recognised at fair value and measured subsequently at amortised cost using the effective interest method. Impairment of amount due from banks is assessed as outlined in the accounting policy for financial instruments.

(j) Cash and cash equivalents

For the purpose of consolidated statement of cash flows, cash and cash equivalents comprise of cash on hand, unrestricted balances held with central banks and highly liquid financial assets (such as current, call accounts and placements) with original maturities of three months or less from the date of its acquisition.

(k) Customer acceptances

Acceptances arise when the Group is under an obligation to make payments against documents drawn under letters of credit. Acceptances specify the amount of money, the date and the person to which the payment is due. After acceptance, the instrument becomes an unconditional liability (time draft) of the Group and is therefore recognised as a financial liability in the consolidated statement of financial position with a corresponding contractual right of reimbursement from the customer recognised as a financial asset. Acceptances have been considered within the scope of IFRS 9 - Financial Instruments and are recognised as a financial liability in the consolidated statement of financial position with a contractual right of reimbursement from the customer as a financial asset. Therefore, commitments in respect of acceptances have been accounted for as financial assets and financial liabilities.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(l) Derivative financial instruments

Derivatives are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at their fair value. Fair values are obtained from quoted market prices in active markets, including recent market transactions. The method of recognising the resulting gain or loss depends on whether the derivative is designated as a hedging instrument, and if so, the nature of the item being hedged. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

The Group documents at the inception of the transaction the relationship between hedging instruments and hedged items, as well as its risk management objectives and strategy for undertaking various hedging transactions. The Group also documents its assessment, both at hedge inception and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items.

The fair values of various derivative instruments are disclosed in Note 33.

Fair value hedge

The fair value change on qualifying hedging instruments is recognised in profit or loss except when the hedging instrument hedges an equity instrument designated at FVOCI in which case it is recognised in OCI. The Group has not designated fair value hedge relationships where the hedging instrument hedges an equity instrument designated at FVOCI.

The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in profit or loss. For debt instruments measured at FVOCI, the carrying amount is not adjusted as it is already at fair value, but the part of the fair value gain or loss on the hedged item associated with the hedged risk is recognised in profit or loss instead of OCI. When the hedged item is an equity instrument designated at FVOCI, the hedging gain/loss remains in OCI to match that of the hedging instrument.

Where hedging gains/losses are recognised in profit or loss, they are recognised in the same line as the hedged item.

The fair value adjustment to the carrying amount of hedged items for which the EIR method is used (i.e. debt instruments measured at amortised cost or at FVOCI) arising from the hedged risk is amortised to profit or loss commencing no later than the date when hedge accounting is discontinued.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(l) Derivative financial instruments (continued)

Cash flow hedge

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognised in the cash flow hedge reserve within equity. The gain or loss relating to the ineffective portion is recognised immediately in profit or loss, within other gains/(losses).

Amounts accumulated in cash flow hedge reserve are reclassified to profit or loss in the same period during which the hedged future cash flows affect profit or loss, in the same line in which the hedged cash flows are recognised. If the Group expects that all or a portion of the accumulated loss will not be recovered, then that amount is immediately reclassified to profit or loss.

The Group discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised, or where the occurrence of the designated hedged forecast transaction is no longer considered to be highly probable. The discontinuation is accounted for prospectively. Any gain/loss recognised in OCI and accumulated in equity at that time remains in equity and is recognised when the forecast transaction is ultimately recognised in profit or loss. When a forecast transaction is no longer expected to occur, the gain/loss accumulated in equity is reclassified and recognised immediately in profit or loss.

(m) Debt securities issued

Debt issued is recognised initially at fair value, net of transaction costs incurred. After initial measurement, debt issued is subsequently measured at amortised cost using the effective interest rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the effective interest rate.

(n) Property and equipment

Land and buildings comprise branches, offices and certain residential premises purchased for occupation of management and staff. Property and equipment is stated at cost less accumulated depreciation and accumulated impairment. Cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent expenditures are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repair and maintenance costs are charged to the consolidated income statement during the financial period in which they are incurred.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

3. Material accounting policies (continued)

(n) Property and equipment (continued)

Land is not depreciated as it is deemed to have an infinite life. Depreciation on other assets is calculated using the straight-line method to write down the cost of assets to their estimated residual values over their expected useful economic lives as follows:

	Years
Buildings	30
Computer equipment and software	2 -15
Furniture, fixtures and equipment	4
Leasehold improvements	2 – 10
Motor vehicles	4

The assets’ residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

Capital work in progress is stated at cost and is transferred to the appropriate asset category when it is brought into use and is depreciated in accordance with the Group’s accounting policy.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property and equipment are determined by comparing the sales proceeds to the carrying value of the asset disposed and are taken into account in determining operating income.

(o) Employee benefits

(i) Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an employee benefit expense in consolidated income statement in the periods during which services are rendered by employees. Pension contributions are made in respect of UAE national employees to the UAE General Pension and Social Security Authority in accordance with the UAE Federal Law No (7), 1999 for Pension and Social Security.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

3. Material accounting policies (continued)

(o) Employee benefits (continued)

(ii) Defined benefit plan

Provision is made for the end of service benefits due to non-UAE nationals in accordance with the UAE Labor Law for their periods of service up to the financial position date. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation. The provision arising is disclosed as ‘provision for employees’ end of service benefits’ under other liabilities in the consolidated statement of financial position.

(iii) Short-term employee benefits

Short-term employee benefits obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short-term if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

A provision is made for the estimated liability for employees’ entitlements to annual leave and leave passage as a result of services rendered by the employees up to financial position date. This provision is included in other liabilities.

(p) Fiduciary assets

Assets and the income arising on the Group’s fiduciary activities, where it acts in a fiduciary capacity such as nominee, trustee or agent, are excluded from these consolidated financial statements. Income earned by the Group from its fiduciary services is recognized in accordance with the accounting policy on fees and commission income.

(q) Share capital

(i) Share issue costs

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction from the proceeds.

(ii) Dividends on ordinary shares

Dividends on ordinary shares are recognized in equity in the period in which they are approved by the Group’s shareholders.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

3. Material accounting policies (continued)

(r) Provisions and contingent liabilities

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognized as an asset only if it is virtually certain that reimbursement will be received, and the amount of the receivable can be measured reliably.

Contingent liabilities, which include certain guarantees and letters of credit, are possible obligations that arise from past events whose existence will be confirmed only by the occurrence, or non-occurrence, of one or more uncertain future events not wholly within the Group's control; or are present obligations that have arisen from past events but are not recognized because it is not probable that settlement will require outflow of economic benefits, or because the amount of the obligations cannot be reliably measured. Contingent liabilities are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statements, unless they are remote.

(s) Deposits from customers

Deposits from customers are recognized initially at fair value, net of transaction costs incurred. Deposits from customers are subsequently carried at amortized cost using the effective interest method.

(t) Foreign currencies

Items included in the consolidated financial statements of the Group are measured using UAE Dirhams which is the currency of the primary economic environment in which the Group operates ('functional currency'). The consolidated financial statements are presented in UAE Dirhams. Foreign currency transactions are translated into the UAE Dirham at the rate ruling on the transaction date. Monetary assets and liabilities denominated in foreign currencies are re-translated into UAE Dirhams at the rates ruling at the consolidated statement of financial position date. Any resultant gains or losses are accounted for in the consolidated income statement other than for items presented in other comprehensive income. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

(u) Interest income and expense

Interest income and expense are recognized in the consolidated income statement for all instruments measured at amortized cost using the effective interest method. Interest earned whilst holding investment securities is reported in interest income in the consolidated income statement.

The effective interest method is a method of calculating the amortized cost of a financial asset or a financial liability and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

3. Material accounting policies (continued)

(u) Interest income and expense (continued)

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognized using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

(v) Fee and commission income

Fees and commissions, other than loan arrangement fees, are generally recognized when the service has been provided. Loan commitment fees for loans that are likely to be drawn down are deferred and recognized as an adjustment to the effective interest rate on the loan. Portfolio and other management advisory and service fees are recognized based on the applicable service contracts, usually on a time-proportionate basis. Fees earned on the Bank's fiduciary activities are recognized over the period in which the service is provided. The same principle is applied to custody services that are continuously provided over an extended period of time.

(w) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the consolidated statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or realize the asset and settle the liability simultaneously.

(x) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision-maker. The Chief Operating Decision-maker is the person or group that allocates resources to and assesses the performance of the operating segments of an entity. All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated. Income and expenses directly associated with each segment are included in determining business segment performance. In accordance with IFRS 8 Operating Segments, the Group has the following business segments: Retail Banking, Wholesale Banking, Business Banking, and Head Office and Others.

(y) Intangible assets

Intangible assets acquired in a business combination are measured on initial recognition at cost, which is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses. The useful lives of intangible assets are assessed to be either finite or indefinite.

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the consolidated income statement in the expense category consistent with the function of the intangible asset.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(y) Intangible assets (continued)

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash generating unit level. Such intangibles are not amortized. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

(i) License

The license represents the right to conduct insurance operations, which is granted by the relevant insurance regulator. This license is assessed as having an indefinite useful life.

(ii) Customer relationships

The value of customer relationships represents the value of future cash flows expected from renewals and the cross-selling of new products to customers known and identified at the time of the acquisition and will be amortized on a straight-line basis over the estimated useful life which is four years.

(z) Insurance contracts

Insurance and reinsurance contracts held

Insurance contracts

Insurance contracts are contracts under which the Group accepts significant insurance risk from a policyholder by agreeing to compensate the policyholder if a specified uncertain future event adversely affects the policyholder. In making this assessment, all substantive rights and obligations, including those arising from law or regulation, are considered on a contract-by-contract basis. The Group uses judgement to assess whether a contract transfer insurance risk (that is, if there is a scenario with commercial substance in which the Group has the possibility of a loss on a present value basis) and whether the accepted insurance risk is significant.

Unit of account

The Group manages insurance contracts issued by product lines within an operating segment, where each product line includes contracts that are subject to similar risks. All insurance contracts within a product line represent a portfolio of contracts. Each portfolio is further disaggregated into groups of contracts, which are: (i) contracts that are onerous at initial recognition; (ii) contracts that at initial recognition have no significant possibility of becoming onerous subsequently; or (iii) a group of remaining contracts. These groups represent the level of aggregation at which insurance contracts are initially recognised and measured.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(z) Insurance contracts (continued)

Unit of account (continued)

For each portfolio of contracts, the Group determines the appropriate level at which reasonable and supportable information is available, to assess whether these contracts are onerous at initial recognition and whether non-onerous contracts have a significant possibility of becoming onerous. This level of granularity determines sets of contracts. The Group determines at what level of granularity it has reasonable and supportable information that is sufficient to conclude that all contracts within a set are sufficiently homogeneous and will be allocated to the same group without performing an individual contract assessment.

Recognition and derecognition

Groups of insurance contracts issued are initially recognised from the earliest of the following:

- (a) the beginning of the coverage period;
- (b) the date when the first payment from the policyholder is due or actually received, if there is no due date; and
- (c) when the Group determines that a group of contracts becomes onerous.

Reinsurance contracts held are recognised as follows:

- (a) a group of reinsurance contracts held that provide proportionate coverage (quota share reinsurance) is recognised at the later of:
 - i. the beginning of the coverage period of the group; and
 - ii. the initial recognition of any underlying insurance contract;
- (b) all other groups of reinsurance contracts held are recognised from the beginning of the coverage period of the group of reinsurance contracts held;
- (c) unless the Group entered into the reinsurance contract held at or before the date when an onerous group of underlying contracts is recognised prior to the beginning of the coverage period of the group of reinsurance contracts held, in which case the reinsurance contract held is recognised at the same time as the group of underlying insurance contracts is recognised. Only contracts that individually meet the recognition criteria by the end of the reporting period are included in the groups. When contracts meet the recognition criteria in the groups after the reporting date, they are added to the groups in the reporting period in which they meet the recognition criteria, subject to the annual cohorts restriction. Composition of the groups is not reassessed in subsequent periods.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(z) Insurance contracts (continued)

Contract boundary

The Group uses the concept of contract boundary to determine what cash flows should be considered in the measurement of groups of insurance contracts.Cash flows are within the boundary of an insurance contract if they arise from the rights and obligations that exist during the period in which the policyholder is obligated to pay premiums or the Group has a substantive obligation to provide the policyholder with insurance contract services. A substantive obligation ends when:

- (a) the Group has the practical ability to reprice the risks of the particular policyholder or change the level of benefits so that the price fully reflects those risks; or
- (b) both of the following criteria are satisfied:
 - i. the Group has the practical ability to reprice the contract or a portfolio of contracts so that the price fully reflects the reassessed risk of that portfolio; and
 - ii. the pricing of premiums up to the date when risks are reassessed does not reflect the risks related to periods beyond the reassessment date.

In assessing the practical ability to reprice, risks transferred from the policyholder to the Group, such as insurance risk and financial risk, are considered; other risks, such as lapse or surrender and expense risk, are not included. Cash flows outside the insurance contracts boundary relate to future insurance contracts and are recognised when those contracts meet the recognition criteria.

Measurement

The premium allocation approach (“PAA”) is a simplified approach for the measurement of the liability for remaining coverage, that an entity may choose to use when the premium allocation approach provides a measurement which is not materially different from that under the general measurement model or if the coverage period of each contract in the group of insurance contracts is one year or less. Under the premium allocation approach, the liability for remaining coverage (“LRC”) is measured as the amount of premiums received net of acquisition cash flows paid, less the net amount of premiums and acquisition cash flows that have been recognized in profit or loss over the expired portion of the coverage period based on the passage of time.

The Group uses the PAA for measuring contracts with a coverage period of one year or less. The Group is adopting the PAA measurement model for the measurement of LRC for all its insurance contracts and reinsurance contracts. This is principally based on the eligibility test for fulfillment cash flows and that coverage period for most contracts are one year or less. Some contracts have coverage period more than one year, but passed the eligibility test.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(z) Insurance contracts (continued)

Measurement (continued)

For insurance contracts issued, on initial recognition, the Group measures the LRC at the amount of premiums received, less any acquisition cash flows paid.
 For reinsurance contracts held, on initial recognition, the Group measures the remaining coverage at the amount of ceding premiums paid, plus broker fees paid to a party other than the reinsurer and any amounts arising from the derecognition of any other relevant pre-recognition cash flows.
 The carrying amount of a group of insurance contracts issued at the end of each reporting period is the sum of:

- a. the LRC; and
- b. the Liability for Incurred Claims (“LIC”), comprising the fulfillment cash flows (“FCF”) related to past service allocated to the group at the reporting date.

The carrying amount of a group of reinsurance contracts held at the end of each reporting period is the sum of:

- a. the remaining coverage; and
- b. the incurred claims, comprising the FCF related to past service allocated to the group at the reporting date.

For insurance contracts issued, at each of the subsequent reporting dates, the LRC is:

- a. increased for premiums received in the period
- b. decreased for insurance acquisition cash flows paid in the period;
- c. decreased for the amounts of expected premium receipts recognised as insurance revenue for the services provided in the period recognized in profit or loss over the expired portion of the coverage period based on the passage of time.

For reinsurance contracts held, at each of the subsequent reporting dates, the remaining coverage is:

- a. increased for ceding premiums paid in the period;
- b. increased for broker fees paid in the period, if any; and
- c. decreased for the expected amounts of ceding premiums and broker fees, if any, recognised as reinsurance expenses for the services received in the period recognized in profit or loss over the expired portion of the coverage period based on the passage of time.

The Group does not adjust the LRC for insurance contracts issued and the remaining coverage for reinsurance contracts held for the effect of the time value of money, because insurance premiums are due within the coverage period of contracts, which is one year or less. The Group adjusts the remaining coverage for reinsurance contracts held for the effect of the risk of reinsurer’s non- performance.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

4. Material accounting policies (continued)

(z) Insurance contracts (continued)

Onerous contract

The Group assumes that no contracts are onerous at initial recognition, unless facts and circumstances indicate otherwise. If facts and circumstances indicate that some contracts are onerous, an additional assessment is performed to distinguish onerous contracts from non-onerous ones.

If facts and circumstances indicate that a group of insurance contracts measured under the PAA is onerous on initial recognition or becomes onerous subsequently, the Group establishes a loss component as the excess of the fulfilment cash flows that relate to the remaining coverage of the group over the carrying amount of the liability for remaining coverage of the group. The loss component is remeasured at each subsequent reporting date.

When a loss is recognised on initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to that group, the carrying amount of the asset for remaining coverage for reinsurance contracts held measured under the PAA is increased by the amount of income recognised in profit or loss and a loss-recovery component is established or adjusted for the amount of income recognised. The referred income is calculated by multiplying the loss recognised on underlying insurance contracts by the percentage of claims on underlying insurance contracts that the Group expects to recover from the reinsurance contract held that are entered into before or at the same time as the loss is recognised on the underlying insurance contracts.

When underlying insurance contracts are included in the same group with insurance contracts issued that are not reinsured, the Group applies a systematic and rational method of allocation to determine the portion of losses that relates to underlying insurance contracts.

Insurance revenue

The insurance revenue for the period is the amount of expected premium receipts allocated to the period. The Group allocates the expected premium receipts to each period of insurance contract services on the basis of the passage of time.

Insurance expense

Insurance service expenses include the following:

- incurred claims for the period.
- other incurred directly attributable expenses.
- insurance acquisition cash flows expense.
- An element of time value of money of LIC for the period.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(z) Insurance contracts (continued)

Insurance acquisition costs

Insurance acquisition cash flows are the costs that are directly associated with selling, underwriting and starting a group of insurance contracts (issued or expected to be issued) and that are directly attributable to a portfolio of insurance contracts. Directly attributable expenses are the costs that can be fully or partially attributed to the fulfillment of the groups of insurance contracts. The Group allocates the attributable costs based on a number of drivers. Both acquisition and attributable costs fall under the insurance service expense. While the non-attributable costs are reported under other operating expenses.

Insurance finance income or expenses and reinsurance finance expense or income

Insurance finance income or expenses and reinsurance finance expense or income comprise the change in the carrying amount of the group of insurance contracts arising from:

- the effect of the time value of money and changes in the time value of money; and
- the effect of financial risk and changes in financial risk.

For contracts measured under the PAA, the main amounts within insurance finance income or expenses are:

- interest accreted on the LIC & Assets of incurred claims (“AIC”); and
- the effect of changes in interest rates and other financial assumptions.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(aa) Right-of-use assets and lease liabilities

Lease liabilities

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable
- variable lease payment that are based on an index or a rate

Interest rate for discounting

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee’s incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

Right-of-use assets

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs.

Short-term leases and leases of low-value assets

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

3. Material accounting policies (continued)

(ab) Income Tax

Income tax expense comprises of current and deferred tax. It is recognised in profit or loss except to the extent it relates to items recognised directly in equity or OCI.

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years. Taxable profit differs from profit as reported in the consolidated statement of profit or loss statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible.

Deferred tax is recognised in respect of temporary differences at the reporting date between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is recognised for all taxable differences, except for the following:

- temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss,
- temporary differences relating to investments in subsidiaries where the timing of the reversal of the temporary differences can be controlled and it is probable that temporary differences will not reverse in the foreseeable future.
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow for all or part of the deferred tax asset to be utilised.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

In determining the amount of current and deferred tax, the Group considers the impact of tax exposures, including whether additional taxes and interest maybe due. This assessment relies on estimates and assumptions and may involve a series of judgements about future events. New information may become available that causes the Group to change its judgement regarding the adequacy of existing tax liabilities; such changes to tax liabilities would impact tax expense in the period in which such a determination is made.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

4. Cash and balances with UAE Central Bank

	2024 AED'000	2023 AED'000
Cash in hand	895,228	819,513
Balances with the Central Bank of UAE (CBUAE)	7,875,084	4,905,602
Total cash and balances with CBUAE	8,770,312	5,725,115

As per the CBUAE regulations, the Bank is allowed to draw their balances held in the CBUAE reserve account, while ensuring that they meet the reserve requirements over 14 days period. Therefore, the balances have been classified as part of cash and cash equivalent (Note 34).

5. Due from other banks, net

	2024 AED'000	2023 AED'000
Placements with other banks	955,505	1,069,269
Demand deposits	1,127,681	1,635,959
Banker's acceptances	6,076,344	4,053,914
Syndicated loans	3,651,141	4,083,711
Trade loans	550,950	1,548,797
Others	46,693	46,473
Total due from other banks	12,408,314	12,438,123
Provision for credit loss	(47,714)	(51,627)

Due from other banks, net	12,360,600	12,386,496
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The below represents deposits and balances due from:

	2024 AED'000	2023 AED'000
Banks in UAE	361,023	927,050
Banks outside UAE	12,047,291	11,511,073
Total due from other banks	12,408,314	12,438,123

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

6. Loans and advances, net

	2024 AED'000	2023 AED'000
(a) Loans and advances:		
Retail Banking	23,303,622	20,106,097
Wholesale Banking	16,160,978	12,008,449
Business Banking	10,609,394	9,867,841
Total loans and advances [Note 6(b)]	50,073,994	41,982,387
Provision for credit loss [Note 6(c)]	(2,850,054)	(2,514,887)
Net loans and advances	47,223,940	39,467,500

(b) Analysis of loans and advances:

Personal loans	5,595,253	5,652,481
Mortgage loans	11,953,601	9,292,485
Credit cards	2,554,683	2,385,714
Auto loans	430,513	451,065
RAK Business loans	4,057,184	3,938,071
Other Business banking loans	6,552,210	5,929,770
Wholesale banking loans	16,160,978	12,008,449
Other retail loans	2,769,572	2,324,352

Total loans and advances	50,073,994	41,982,387
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(c) Movement in provision for credit losses:

Balance at the beginning of the year	2,514,887	2,073,052
Impairment allowance for the year [Note 6(d)]	904,440	1,065,534
Written-off during the year	(569,273)	(623,699)

Balance at the end of the year	2,850,054	2,514,887
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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

6. Loans and advances, net (continued)

(d) Net impairment charge on loans and advance:

	2024 AED'000	2023 AED'000
Impairment allowance for the year [Note 6(c)]	904,440	1,065,534
Net recovery during the year	(132,812)	(118,396)
	771,628	947,138

Net recovery mainly represents amounts subsequently recovered from fully written-off loans.

(e) Islamic financing assets:

The below table summarizes the Islamic financing assets that are part of loans and advances above:

	2024 AED'000	2023 AED'000
Islamic financing assets		
Islamic retail financing assets	3,402,960	3,138,902
Islamic business banking assets	2,479,573	2,226,653
Islamic wholesale banking assets	586,007	248,028
Total Islamic financing assets	6,468,540	5,613,583
Provision for impairment	(341,089)	(411,976)
Net Islamic financing assets	6,127,451	5,201,607
Analysis of Islamic financing assets		
Islamic Business Banking Finance	2,479,573	2,226,653
Islamic Salam Personal finance	2,201,306	1,960,270
Islamic Ijara Property Finance	1,117,606	1,095,658
Islamic Wholesale Banking	586,007	248,028
Islamic Auto Murabaha	38,425	43,934
Islamic Credit Cards	45,623	38,797
Islamic Finance – Other	-	243
Total Islamic financing assets	6,468,540	5,613,583

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

6. Loans and advances, net (continued)

(f) Movement in provision for credit losses - Islamic

	2024 AED'000	2023 AED'000
Balance at the beginning of the year	411,976	394,217
Impairment allowance for the year	139,807	126,563
Written-off during the year	(210,694)	(108,804)
Balance at the end of the year	341,089	411,976

7. Investment securities, net

	2024 AED'000	2023 AED'000
Securities at fair value through other comprehensive income (FVOCI)		
Quoted equity securities	483,497	445,814
Quoted debt securities*	7,861,347	5,232,837
Unquoted debt securities	360,763	113,863
	8,705,607	5,792,514
Securities at fair value through profit or loss (FVTPL)		
Quoted funds	92,958	71,091
Unquoted funds	47,901	43,960
Quoted equity securities	54,307	18,964
Quoted debt securities	258,549	112,009
	453,715	246,024
Investment securities measured at fair value	9,159,322	6,038,538
Securities held at amortized cost		
Quoted debt securities*	7,489,118	7,277,237
	7,489,118	7,277,237
Provision for credit loss for Securities held at amortized cost	(44,837)	(77,708)
Investment securities measured at amortised cost	7,444,281	7,199,529
Investment securities, net	16,603,603	13,238,067

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

7. Investment securities, net (continued)

* As at 31 December 2024, quoted debt securities with fair value of AED 3,089 million and carrying value of AED 3,086 million (31 December 2023: fair value of AED 2,627 million and carrying value AED 2,647 million) have been given as collateral against repurchase borrowings of AED 2,646 million (31 December 2023: AED 2,246 million) [Note 12].

During the year ended 31 December 2024, change in fair value of investment securities measured at FVTPL resulted in gain of AED 9.2 million (31 December 2023: gain of AED 8.7 million) and was recognised as investment income / loss in the consolidated statement of profit or loss (Note 25).

As at 31 December 2024, the provision for credit loss on debt securities at FVOCI amounted to AED 68 million (31 December 2023: AED 181.0 million) [Note 40]

	2024 AED'000	2023 AED'000
<i>The composition of the investment portfolio by category is as follows:</i>		
Federal and local Government - UAE	3,360,126	2,374,633
Government related entity - UAE	957,828	759,903
Government - GCC	828,242	461,613
Government - other	868,770	574,348
Banks and financial institutions - UAE	1,534,221	1,270,199
Banks and financial institutions - GCC	1,266,776	1,003,797
Banks and financial institutions - other	3,030,966	2,346,014
Public limited companies - UAE	849,907	785,653
Public limited companies - GCC	1,609,165	1,113,739
Public limited companies - other	1,663,776	2,046,047
Total debt securities	15,969,777	12,735,946
Quoted equity securities	537,804	464,778
Quoted funds	92,958	71,091
Unquoted funds	47,901	43,960
Total investment securities	16,648,440	13,315,775

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

7. Investment securities, net (continued)

Movement in investment securities for the year ended 31 December 2024 and 31 December 2023:

	FVOCI AED'000	FVTPL AED'000	Amortized Cost AED'000	Total AED'000
At 1 January 2024	5,792,514	246,024	7,277,237	13,315,775
Purchases	5,804,909	3,973,558	9,462,074	19,240,541
Proceeds from disposal/maturities	(2,946,812)	(3,804,758)	(9,371,578)	(16,123,148)
Net changes in fair value due to revaluation	6,138	-	-	6,138
Net changes in fair value due to hedge and forex	(2,982)	-	(2,774)	(5,756)
Net changes in fair value through profit or loss	-	9,248	-	9,248
Loss on sale of equity investments measured at FVOCI	(7,002)	-	-	(7,002)
Amount charged to income	(2,676)	-	-	(2,676)
Amortization of premium / discount	41,220	-	123,926	165,146
Profit on sale of debt instruments transferred to profit and loss	20,298	29,643	233	50,174
At 31 December 2024	8,705,607	453,715	7,489,118	16,648,440
	FVOCI AED'000	FVTPL AED'000	Amortized Cost AED'000	Total AED'000
At 1 January 2023	4,134,746	107,496	7,278,930	11,521,172
Purchases	3,638,742	2,750,473	7,070,319	13,459,534
Proceeds from disposal/maturities	(2,125,188)	(2,638,269)	(7,153,170)	(11,916,627)
Net changes in fair value due to revaluation	128,076	-	-	128,076
Net changes in fair value due to hedge and forex	19,547	-	685	20,232
Net changes in fair value through profit or loss	-	8,742	-	8,742
Loss on sale of equity investments measured at FVOCI	(5,398)	-	-	(5,398)
Amount charged to income	(36,752)	-	-	(36,752)
Amortization of premium / discount	37,129	-	80,473	117,602
Profit on sale of debt instruments transferred to profit and loss	1,612	17,582	-	19,194
At 31 December 2023	5,792,514	246,024	7,277,237	13,315,775

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

8. Other assets

	2024 AED'000	2023 AED'000
Interest receivable	594,660	519,593
Profit receivable on Islamic financing assets	95,327	94,147
Prepayments	68,539	67,613
Foreign exchange and other derivative contracts (Note 33)	502,670	516,092
Gold in hand	-	72,741
Islamic profit paid in advance	51,716	61,577
Assets acquired in settlements of debts*	-	73,500
Others	369,340	335,586
	1,682,252	1,740,849

* The carrying amount of assets acquired in settlement of debts will be recovered principally through a sale transaction rather than through continuing use. Assets acquired in settlement of debts are subject to revaluation at each reporting date and is recorded at lower of fair value less cost of sale and the carrying amount in the books.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

9. Goodwill and intangible assets

	Goodwill AED'000	Intangible - License AED'000	Intangible - Software AED'000	Total AED'000
Cost				
At 31 December 2022	100,782	65,604	894,581	1,060,967
Additions	-	-	715	715
Transfers	-	-	88,083	88,083
Disposals	-	-	(9,151)	(9,151)
At 31 December 2023	100,782	65,604	974,228	1,140,614
Additions	-	-	879	879
Transfers	-	-	122,619	122,619
Disposals	-	-	-	-
At 31 December 2024	100,782	65,604	1,097,726	1,264,112
Accumulated amortization				
At 31 December 2022	-	-	690,470	690,470
Charge for the year	-	-	105,328	105,328
Disposals	-	-	(7,155)	(7,155)
At 31 December 2023	-	-	788,643	788,643
Charge for the year	-	-	98,837	98,837
Disposals	-	-	-	-
At 31 December 2024	-	-	887,480	887,480
Net book value				
At 31 December 2024	100,782	65,604	210,246	376,632
At 31 December 2023	100,782	65,604	185,585	351,971

For the purpose of impairment assessment, goodwill is allocated to the Group's insurance business. Goodwill is tested for impairment annually or at a more frequent basis when there is evidence that the fair value of the unit is less than the carrying value.

Management has carried out an impairment test for goodwill at the year end and has concluded that no impairment has taken place. For this purpose, the recoverable amount of each cash generating unit has been determined based on a value-in-use calculation using cash flow projections, based on financial forecasts made by senior management, covering a three-year period. Cash flows beyond the three-year period are valued using a terminal growth rate, which management believes approximates the long term growth rate for the industry in which the cash generating unit operates. The judgements applied in the value-in-use calculation are disclosed in note 42.

10. Property and equipment

	Land and buildings AED'000	Leasehold improvements AED'000	Information technology assets AED'000	Office Furniture and Equipment AED'000	Motor Vehicles AED'000	Capital work-in-progress AED'000	Total AED'000
Cost							
At 31 December 2022	671,732	107,675	236,657	128,734	4,183	38,271	1,187,252
Additions	-	2	3,559	536	1,161	159,407	164,665
Transfers	2,791	5,536	18,739	925	-	(116,074)	(88,083)
Disposals	(13,809)	(22,598)	(12,011)	(11,295)	(2,221)	-	(61,934)
At 31 December 2023	660,714	90,615	246,944	118,900	3,123	81,604	1,201,900
Additions	43	4	9,179	2,875	556	220,024	232,681
Transfers	11,966	594	6,022	2,337	-	(143,538)	(122,619)
Disposals	-	-	(27,028)	(1,895)	(402)	-	(29,325)
At 31 December 2024	672,723	91,213	235,117	122,217	3,277	158,090	1,282,637
Accumulated depreciation and impairment							
At 31 December 2022	284,182	100,663	220,534	123,650	4,089	-	733,118
Charge for the year	21,790	3,059	10,903	2,980	238	-	38,970
Disposals	(7,514)	(22,594)	(11,926)	(11,155)	(2,152)	-	(55,341)
At 31 December 2023	298,458	81,128	219,511	115,475	2,175	-	716,747
Charge for the year	23,687	3,186	12,693	3,054	349	-	42,969
Disposals	-	-	(27,028)	(1,895)	(402)	-	(29,325)
At 31 December 2024	322,145	84,314	205,176	116,634	2,122	-	730,391
Net book value							
At 31 December 2024	350,578	6,899	29,941	5,583	1,155	158,090	552,246
At 31 December 2023	362,256	9,487	27,433	3,425	948	81,604	485,153

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

11. Taxation

On December 9, 2022, UAE Ministry of Finance (MoF) released Federal Decree Law No 47 of 2022 on the Taxation of Corporations and Businesses, Corporate Tax Law (CT Law) to enact a new CT regime in the UAE. The new CT regime has become effective for accounting periods beginning on or after June 1, 2023. As the Group’s accounting year ends on December 31, the first tax period will be the period from January 1, 2024 to December 31, 2024, with the respective tax return to be filed on or before September 30, 2025.

The taxable income of the entities that are in scope for UAE CT purposes will be subject to the rate of 9% on taxable profits above AED 375,000.

Below is an analysis of the group’s income tax recognized during the year:

	2024 AED’000	2023 AED’000
Current tax recognized in consolidated profit or loss for the year		
Current tax expense on profits for the year	202,446	13,733
	<u>202,446</u>	<u>13,733</u>
Reconciliation of Group’s tax on profit based on accounting and profit as per the tax laws is as follows:		
	2024 AED’000	2023 AED’000
Accounting profit before tax	2,278,090	-
Tax calculated on above accounting profit	204,960	-
Tax effects of:		
- Income not subject to tax	(2,578)	-
- Expenses not deductible for tax purposes	64	-
- Deferred tax liability on Goodwill	-	13,733
Total income tax expense	<u>202,446</u>	<u>13,733</u>

Current tax recognized in other comprehensive income for the year

Current tax expense for the year recognized on items that will not be reclassified subsequently to profit or loss

	2024 AED’000	2023 AED’000
	3,820	-
	<u>3,820</u>	<u>-</u>
Deferred tax liability		
Deferred tax liability at the beginning of the year	13,733	-
Increase during the year recognized in OCI on items that may be reclassified subsequently to profit or loss	(4,812)	-
Increase during the year recognized in profit or loss	-	13,733
	<u>8,921</u>	<u>13,733</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

11. Taxation (continued)

For determining the tax expense for the year the accounting profit has been adjusted for tax purposes. Adjustments for tax purpose include items relating to both income and expense. After giving effect to these adjustments the average effective tax rate is estimated to 8.89% per annum.

12. Due to other banks

	2024 AED'000	2023 AED'000
Term borrowings	4,194,217	4,185,160
Repurchase agreements (Note 7)	2,646,762	2,246,190
Demand deposits	258,496	286,239
	7,099,475	6,717,589

13. Deposits from customers

	2024 AED'000	2023 AED'000
Current accounts	32,952,421	29,577,190
Time deposits	22,286,210	16,658,812
Saving deposits	2,959,660	3,024,141
Call deposits	1,451,387	1,134,999
	59,649,678	50,395,142

Deposits include AED 2,004 million (2023: AED 1,814 million) held by the Group as cash collateral for loans and advances granted to customers.

The below table summarizes the Islamic deposits of customers that are part of deposits from customers above:

	2024 AED'000	2023 AED'000
Murabaha term deposit	3,439,143	2,719,355
Wakala deposits	554,072	1,300,884
Qard-E-Hassan - current accounts	1,433,110	1,239,814
Mudaraba - current accounts	424,954	495,171
Mudaraba - saving accounts	214,192	214,513
Mudaraba - call deposits	8,075	9,787
Mudaraba term investment deposits	4,492	8,427
	6,078,038	5,987,951

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

14. Debt securities issued and other long-term borrowings

	2024 AED'000	2023 AED'000
USD 500 million medium term note issued at discount in April 2019		
(a)	-	1,836,170
AED 370 million bilateral borrowing (b)	370,000	370,000
USD 50 million bilateral borrowing (c)	183,650	183,650
AED 370 million Islamic bilateral borrowing (d)	370,000	370,000
USD 100 million bilateral borrowing (e)	367,300	367,300
USD 100 million bilateral borrowing (f)	367,300	367,300
AED 550 million bilateral borrowing (g)	550,000	-
AED 550 million Islamic bilateral borrowing (h)	550,000	-
USD 600 million medium term note issued at discount in July 2024		
(i)	2,198,254	-
Less: Debt securities and other borrowing issue costs	(12,398)	(8,086)
Fair value adjustment on hedged medium term note	(6,288)	(4,333)
	4,937,818	3,482,001

In April 2019, the Group issued five year USD 500 million Euro Medium Term Notes (EMTN) under its USD 2 billion EMTN programme through its subsidiary RAK Funding Cayman Limited. These were issued at a discounted rate of 99.692% and carried a fixed interest rate of 4.125% per annum. These notes got matured and were repaid in April 2024.

(b) In June 2023 the Group borrowed AED 370 million at an interest rate of 6 months EIBOR + 0.90% per annum which matures in June 2026.

(c) In June 2023 the Group borrowed USD 50 million at an interest rate of daily SOFR + 1.10% per annum which matures in June 2026.

(d) In June 2023 the Group borrowed AED 370 million at a profit rate of 3 months EIBOR + 0.90% per annum which matures in June 2026.

(e) In July 2023 the Group borrowed USD 100 million at an interest rate of USD 3 month SOFR + 1% which matures in July 2026.

(f) In September 2023 the Group borrowed USD 100 million at an interest rate of USD daily SOFR + 1% which matures in September 2026.

(g) In February 2024 the Group borrowed AED 550 million at an interest rate of 3 months EIBOR + 0.75% per annum which matures in February 2027.

(h) In March 2024 the Group borrowed AED 550 million at a profit rate of 3 months EIBOR + 0.75% per annum which matures in March 2027.

(i) In July 2024, the Group issued five-year USD 600 million EMTN Bonds under the Groups Social Finance Framework. These were issued at a discounted rate of 99.723% and carries a fixed interest rate of 5.375% per annum. These notes mature in July 2029.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

14. Debt securities issued and other long-term borrowings (continued)

Reconciliation of liabilities arising from financing activities

The table below details changes in the Group's liabilities arising from financing activities, including both cash and non-cash changes. Liabilities arising from financing activities are those for which cash flows were, or future cash flows will be, classified in the Group's consolidated statement of cash flows.

	1 January 2024 AED'000	Financing cash flows AED'000	Non cash changes AED'000	31 December 2024 AED'000
USD 500 million medium term note - 2019	1,830,631	(1,836,500)	5,869	-
AED 370 million bilateral borrowing - 2023	367,663	-	966	368,629
USD 50 million bilateral borrowing - 2023	183,370	-	117	183,487
AED 370 million Islamic bilateral borrowing - 2023	367,632	-	964	368,596
USD 100 million bilateral borrowing - 2023	365,405	-	781	366,186
USD 100 million bilateral borrowing - 2023	367,300	-	-	367,300
AED 550 million bilateral borrowing - 2027	-	549,938	18	549,956
AED 550 million Islamic bilateral - 2027	-	550,000	-	550,000
USD 600 million medium term note - 2029	-	2,197,695	(14,031)	2,183,664
Total liabilities from financing activities	3,482,001	1,461,133	(5,316)	4,937,818

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

15. Reinsurance contract assets and insurance contract liabilities

	2024 AED'000	2023 AED'000
Reinsurance contract assets		
Incurred claims for contracts under Premium Allocation Approach (PAA)		
Present value of future cashflows	295,802	308,316
Risk adjustment for non-financial risk	7,788	10,242
	<u>303,590</u>	<u>318,558</u>
Remaining coverage excluding loss-recovery component	(73,642)	(145,656)
Remaining coverage loss recovery component	1,630	3,410
	<u>231,578</u>	<u>176,312</u>
Insurance contract liabilities		
Liabilities for Incurred Claims (LIC) under Premium Allocation Approach (PAA)		
Present value of future cashflows	312,650	267,068
Risk adjustment for non-financial risk	11,949	13,688
	<u>324,599</u>	<u>280,756</u>
Liabilities for Remaining Coverage (LRC)		
Excluding loss component	151,227	96,193
Loss component	5,495	6,362
	<u>156,722</u>	<u>102,555</u>
	<u>481,321</u>	<u>383,311</u>

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)**

16. Other liabilities

	2024 AED'000	2023 AED'000
Interest payable	531,120	325,185
Profit distributable on Islamic deposits	38,615	43,650
Accrued expenses	623,832	421,363
Provision for staff end-of-service benefits [Note 30]	133,033	126,793
Foreign exchange and other derivatives derivative contracts [Note 33]	443,871	455,027
Credit card payables and liabilities	87,910	169,940
Managers cheques issued	316,038	300,249
Mortgage payables and liabilities	23,547	28,339
Insurance related payables	4,339	13,496
Reinsurance contract liabilities	27,920	1,398
Provision for credit loss on contingent assets and customer acceptances	23,226	22,034
Provision for Corporate Tax	206,266	-
Others	463,268	324,203
	2,922,985	2,231,677

17 Subordinated note

	2024 AED'000	2023 AED'000
September 2024 issue (5.8732 percent fixed rate maturing on 10 December 2034)	915,111	-
	915,111	-

In September 2024, the Bank issued USD 250 million of Subordinated Tier 2 notes. The notes, were issued at a par with coupon rate of 5.8732% p.a. The notes, are callable after 5 years and have a final maturity of 10.25 years. The notes will rank pari passu among themselves, rank subordinate and junior to all senior obligations and rank in priority only to all junior obligations.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

18. Share capital

At 31 December 2024, the authorised, issued and fully paid share capital of the Bank comprised 2,011 million shares of AED 1 each (31 December 2023: 2011 million shares of AED 1 each).

Cash dividend of 31% amounting to AED 623.6 million of the issued and paid-up capital for the year ended 31 December 2023 (2022: 34% amounting to AED 569.9 million) was paid after the shareholder's approval in the annual general meeting held on 18 March 2024.

19. Legal reserve

In accordance with the UAE Federal Law No (32) of 2021 and Articles of Association of the Bank, 10% of the Bank's net profit for the year is transferred to a legal reserve, until such time as the balance in the reserve equals 50% of the paid-up share capital. During the year, the Bank has transferred AED Nil to legal reserve (2023: AED 178.4 million). This reserve is not available for distribution.

20. Other reserves

	Voluntary reserve AED'000	General banking risk reserve AED'000	Credit risk reserve AED'000	Fair value reserve AED'000	Total AED'000
At 31 December 2022	337,208	1,000,000	1,742,000	(103,882)	2,975,326
Changes during the year	65,091	-	-	126,961	192,052
At 31 December 2023	402,299	1,000,000	1,742,000	23,079	3,167,378
Changes during the year	-	-	-	(1,007)	(1,007)
At 31 December 2024	402,299	1,000,000	1,742,000	22,072	3,166,371

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

20. Other reserves (continued)

The Bank maintains a general banking risk reserve to address the risks inherent in the Bank's operating environment. Contributions to this reserve are made at the discretion of the Directors. This reserve is available for distribution.

The Bank has also established a special reserve for credit risk. Contributions to this reserve are voluntary and made at the discretion of the Directors. This reserve is available for distribution. This reserve is available for loss absorption.

Fair value reserve includes fair value of equity instruments that will not be reclassified subsequently to profit or loss, debt instruments that may be reclassified subsequently to profit or loss and fair value of cash flow hedges.

* The CBUAE issued its IFRS 9 guidance on 30 April 2018 via notice No.: CBUAE/BSD/2018/458 addressing various implementation challenges and practical implications for banks adopting IFRS 9 in the UAE ("the Guidance").

Pursuant to clause 6.4 of the Guidance, the reconciliation between general and specific provision under Circular 28/2010 of CBUAE and IFRS 9 is as follows:

	2024 AED'000	2023 AED'000
Impairment reserve: General		
General provisions under Circular 28/2010 of CBUAE	859,407	752,744
Less: Stage 1 and Stage 2 provisions under IFRS 9	2,132,737	1,870,401
General provision transferred to the regulatory impairment reserve*	-	-
Impairment reserve: Specific		
Specific provisions under Circular 28/2010 of CBUAE	725,824	786,891
Less: Stage 3 provisions under IFRS 9	911,444	986,703
Opening balance regulatory impairment reserve 1 January	-	-
Amount reversed from regulatory impairment reserve*	-	-
Total provision transferred to the regulatory impairment reserve	-	-

* In the case where provisions under IFRS 9 exceed provisions under CBUAE, no amount shall be transferred to the impairment reserve.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

21 Non-controlling interests

	2024 AED'000	2023 AED'000
Balance at the beginning of the year	27,456	26,341
Profit for the year	3,207	166
Dividends paid	-	-
Change in other comprehensive income for the year	413	949
Balance at the end of the year	31,076	27,456

22. Interest income and interest expense

	2024 AED'000	2023 AED'000
Interest income		
Personal Loans	266,654	258,170
Mortgage Loans	333,724	260,686
Credit Cards	325,664	324,835
Auto Loans	27,430	24,954
RAK Business loans	522,506	462,825
Wholesale Banking Loans	888,699	714,594
Other Business Banking Loans	488,644	418,338
Other Retail Loans	132,870	159,219
Investment Securities	657,306	529,763
Deposits with the CBUAE	84,318	60,949
Other Banks	840,092	736,733
	4,567,907	3,951,066
Interest expense		
Deposits from customers	898,545	556,688
Debt securities issued and other long-term borrowings	78,861	135,539
Borrowings from other banks	412,763	347,538
Subordinated note	16,849	-
	1,407,018	1,039,765

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

23. Income from Islamic Financing and distribution to depositors

	2024 AED'000	2023 AED'000
<i>Income from Islamic financing</i>		
Islamic Salam Personal Finance	147,801	149,210
Islamic Auto Murabaha	3,020	2,856
Islamic Business Banking Finance	293,567	287,302
Islamic Wholesale Banking Finance	64,627	54,772
Islamic Investment Income	99,707	58,965
Islamic Ijara Property Finance	57,827	65,385
	666,549	618,490
<i>Distribution to depositors</i>		
Distribution of profit on Islamic term investment deposits	213,278	179,329
Bilateral long term borrowing	51,026	12,883
Distribution of profit on Islamic demand deposits	1,097	1,289
	265,401	193,501

24. Net fees and commission income

	2024 AED'000	2023 AED'000
Personal Loans	22,931	16,472
Mortgage Loans	12,823	7,653
Credit Cards	202,475	249,645
Auto Loans	3,794	4,945
RAK Business Loans	2,077	53,251
Wholesale Banking	71,389	51,681
Other Business Banking	210,330	183,384
Fiduciary income	49,281	43,248
Bancassurance	25,175	25,092
Others	43,675	25,042
	643,950	660,413

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

25. Investment income

	2024 AED'000	2023 AED'000
Dividend income	28,648	20,736
Net gain on disposal of investments	50,174	19,194
Fair value gain, net	9,248	8,742
	88,070	48,672

26. Other operating income

	2024 AED'000	2023 AED'000
Net insurance income	3,381	3,152
Other income	108,427	70,382
	111,808	73,534

27. General and administrative expenses

	2024 AED'000	2023 AED'000
Staff costs (Note 29)	977,561	891,908
Outsourced staff costs	41,436	33,684
Occupancy costs	52,168	51,457
Marketing expenses	39,808	29,575
Depreciation and amortization	140,675	143,030
Communication costs	56,993	49,270
Credit card expenses	67,907	148,866
Information and technology expenses	159,861	122,669
Other	122,005	130,802
	1,658,414	1,601,261

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

27. General and administrative expenses (continued)

General and administrative expenses include below auditors' remuneration:

	2024 AED'000	2023 AED'000
Audit fees	2,586	2,150
Non-audit fees	1,464	537
	4,050	2,687

28. Earnings per share

The basic earnings per share is calculated by dividing the net profit attributable to owners of the Parent by the weighted average number of ordinary shares in issue during the year:

	2024 AED'000	2023 AED'000
Profit for the year (AED'000) [attributed to owners of the Bank]	2,072,437	1,783,559
Weighted average number of shares in issue (in 000's)	2,011,495	2,011,495
Basic earnings per share (AED)	1.03	0.89

29. Staff costs

	2024 AED'000	2023 AED'000
Salaries, allowances and bonus	830,030	777,236
Pension	16,831	14,750
End-of-service benefits	23,621	21,272
Others	107,079	78,650
	977,561	891,908

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

30. Provision for staff end-of-service benefits

The Group provided for end of service benefits for its eligible employees. An actuarial valuation has been carried out as at 31 December 2024 to ascertain present value of the defined benefit obligation. A registered actuary in the UAE was appointed to evaluate the same. The liabilities were measured using the projected unit credit method. For valuing liability as of 31 December 2024, a discount rate of 4.65% (December 2023: 4.70%) and salary escalation rate of 2% (December 2023: 2%) were used for the Group.

Below table illustrates the impact of shift in the discount rate and the salary increment assumption on staff end-of-service benefits liabilities.

Scenario	2024 AED'000	2023 AED'000
Discount Rate: Increase by 1% increase	(7,477)	(6,836)
Discount Rate: Decrease by 1% decrease	8,335	7,625
Salary Escalation Rate: Increase by 1% Increase	8,449	7,735
Salary Escalation Rate: Decrease by 1% decrease	(7,712)	(7,055)

Change in Defined Benefit Obligation:	2024 AED'000	2023 AED'000
Balance at 1 January	126,793	125,496
Service cost:		
-Current service cost	19,353	17,581
-Past service cost	-	(16)
Interest expense	5,236	4,621
Net benefits paid / transferred	(20,925)	(23,863)
Remeasurements:		
-Effect of changes in financial assumptions	(237)	(4,277)
-Effect of experience adjustments	2,813	6,858
Consolidation adjustments	-	393
Balance at 31 December	133,033	126,793

The present value of the obligations at 31 December 2024 is not materially different from the provision computed in accordance with the UAE Labour Law. The provision arising is disclosed as 'provision for staff end-of-service benefits' in the consolidated statement of financial position under 'Other liabilities' (Note 16).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

31. Net impairment charge

	2024 AED'000	2023 AED'000
Net impairment charge on loans and advances [Note 6(d)]	771,628	947,138
Net impairment release on due from other banks	(3,913)	(5,671)
Net impairment charge on investment securities measured at fair value through OCI	2,676	36,752
Net impairment charge on investment securities measured at amortised cost	3,859	20,584
Net impairment (release)/charge on other receivables and acceptances	(4,151)	8,938
Net impairment charge/(release) on off balance sheet items	5,919	(2,264)
Net impairment charge for the year	776,018	1,005,477

32. Contingencies and commitments

	2024 AED'000	2023 AED'000
Irrevocable commitments to extend credit	3,207,468	3,646,516
Letters of guarantee - Financial	1,549,175	1,150,304
Letters of guarantee – Non-Financial	992,318	696,093
Letters of credit	365,569	113,414
Capital commitments and other contingencies	70,588	20,025
	6,185,118	5,626,352

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Bank is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss, though not easy to quantify, is considerably less than the total unused commitments since most commitments to extend credit are contingent upon customers maintaining specific credit standards. While there is some risk associated with the remainder of commitments, the risk is viewed as modest, since it results firstly from the possibility of the unused portion of loan authorisations being drawn by the customer, and second, from these drawings subsequently not being repaid as due. The Bank monitors the term to maturity of credit commitments because longer term commitments generally have a greater degree of risk than shorter term commitments. Commitments to extend credit amounting to AED 11,097 million (2023: AED 8,179 million) that are revocable at the option of the Group and not included in the above table.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

32. Contingencies and commitments (continued)

The Group is holding AED 30.7 million (31 December 2023: AED 24.8 million) provision for expected credit loss on off balance sheet items, out of which AED 6.3 million (31 December 2023: AED 9.6 million) of provision relates to irrevocable commitments.

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holders for a loss they incur because a specified debtor fails to make payment when due, in accordance with the terms of a debt instrument.

Letters of credit are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Bank, up to a stipulated amount, under specific terms and conditions. These letters of credit are collateralised by the underlying shipments of goods to which they relate and therefore have significantly less risk.

33. Derivative contracts

In the ordinary course of business, the Group enters into various types of transactions that involve derivative financial instruments. A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in price in one or more underlying financial instrument, reference rate or index. These derivatives are stated at fair value. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative using prevailing market rates or internal pricing models.

Unrealised gains and losses are either recognised in profit and loss or in cash flow hedge reserve. In the ordinary course of business, the Group utilises the following derivative financial instruments for both trading and hedging purposes:

- Swaps are commitments to exchange one set of cash flows for another. In interest rate swaps, counterparties generally exchange fixed and floating rate interest payments in a single currency without exchanging principal. In cross-currency swaps interest payments and principal in one currency are exchanged for interest payments and principal in another currency. In periodic knockout swaps, counterparties generally exchange fixed and floating rate interest payments in a single currency without exchanging principal, however they have a rate knockout beyond which neither counterparty is obligated to the other.
- Credit Default Swap (CDS) is a swap contract in which the buyer of the CDS makes a series of payments to the seller and, in exchange, receives a payoff if a debt instrument goes into default and fails to pay.
- Forwards and futures are contractual agreements to either buy or sell a specified currency, commodity or financial instrument at a specified price and date in the future. Forwards are customised contracts transacted in the over-the-counter market. Foreign currency and interest rate futures are transacted in standardised amounts on regulated exchanges and changes in futures contract values are marked to market daily.
- Forward rate agreements are similar to interest rate futures but are individually negotiated. They call for a cash settlement for the difference between a contracted interest rate and the market rate on a specified future date, on a notional principal for an agreed period of time.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

33. Derivative contracts (continued)

- (e) Options are contractual agreements under which the seller (writer) grants the purchaser (holder) the right, but not the obligation, to either buy or sell at fixed future date or at any time during a specified period, a specified amount of a currency, commodity or financial instrument at a pre-determined price.
- (f) Coupon only Swap is a contract to exchange coupons in one currency for coupons in another currency. It is a form of cross-currency swap that entails no exchange of principal in different currencies at maturity, and only interest payments are exchanged.
- (g) Range accrual is a structured product where the coupon is linked to a reference index, such as LIBOR, being within a defined range. Callable range accrual is a range accrual where the issuer has option to call the note at specified dates in the future.
- (h) Interest rate cap is a type of interest rate derivative in which the buyer receives payments at the end of each period in which the interest rate exceeds the agreed strike price. Interest rate floor is a derivative contract in which the buyer receives payments at the end of each period in which the interest rate is below the agreed strike price.
- (i) A target redemption forward (TARF) is a structured forward contract that allows the holder to buy or sell a currency against another in a regular sequence of transactions at a lower or higher level than the respective forward rate on the trade date. The product automatically expires if the enhanced rate reaches a target level.

Derivatives held or issued for hedging purposes

As part of its asset and liability management, the Group uses derivatives for hedging purposes in order to reduce its exposure to currency and interest rate risks. This is achieved by hedging specific financial instruments and forecasted transactions as well as strategic hedging against overall financial position exposures.

The Group uses forward foreign exchange contracts, NDFs, Futures and swaps to hedge against specifically identified currency risks. In addition, the Group uses interest rate swaps to hedge against the changes in the cash flow arising from certain floating interest rate loans and deposits.

For interest rate risks strategic hedging is carried out by monitoring the repricing of financial assets and liabilities and entering into interest rate swaps to hedge a proportion of the interest rate exposure. As strategic hedging does not qualify for hedge accounting, the related derivatives are accounted for as regular derivative transactions.

The Group has entered into interest rate swaps that are designated as fair value hedges, for hedging the interest rate risk on certain Fixed rate Investments and Loans.

The group’s accounting policy for its derivative financial instruments and fair value and cash flow hedges are set out in note 3(h).

For information about the methods and assumptions used in determining the fair value of derivatives refer to note 42(d).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

33. Derivative contracts (continued)

Hedge effectiveness

Hedge effectiveness is determined at the inception of the hedge relationship, and through periodic prospective effectiveness assessments, to ensure that an economic relationship exists between the hedged item and hedging instrument.

For hedges of foreign currency purchases, the group enters into hedge relationships where the critical terms of the hedging instrument match with the terms of the hedged item. The group uses the hypothetical derivative method to assess hedge effectiveness.

In hedges of foreign currency purchases, ineffectiveness may arise if the timing of the forecast transaction changes from what was originally estimated, or if there are changes in the credit risk of the derivative counterparty.

The group enters into interest rate swaps that have similar critical terms as the hedged item, such as reference rate, reset dates, payment dates, maturities and notional amount. The group does not hedge 100% of its loans, therefore the hedged item is identified as a proportion of the outstanding loans up to the notional amount of the swaps. As all critical terms matched during the year, there is an economic relationship between the hedged item and the hedging instrument.

Hedge ineffectiveness for interest rate swaps is assessed using the same principles as for hedges of foreign currency purchases which may occur due to difference in critical terms between the interest rate swaps and hedged items.

The table on the following page shows the positive and negative fair values of derivative financial instruments, which are equivalent to the market values, together with the notional amounts analysed by the term to maturity. The notional is the amount of a derivative’s underlying asset, reference rate or index and is the basis upon which changes in the value of derivatives are measured.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

33. Derivative contracts (continued)		Notional amount by term to maturity						
31 December 2024		Positive fair value AED'000	Negative fair value AED'000	Notional amount AED'000	Up to 3 months AED'000	3 – 6 months AED'000	6 – 12 months AED'000	1 – 5 years AED'000
Derivatives held for trading:								Over 5 Years AED'000
Forward foreign exchange contract		129,253	118,244	29,422,792	19,869,310	5,304,707	3,512,858	735,917
Foreign exchange options (bought)		6,059	-	363,722	115,605	-	63,426	184,691
Foreign exchange options (sold)		-	5,900	213,699	29,008	-	-	184,691
Interest rate swaps		266,631	176,795	8,866,363	465,653	-	73,460	6,627,514
Knockout swaps		413	413	50,000	-	-	-	50,000
Cross-currency swap		1,564	1,564	155,622	-	-	-	155,622
Structured forward contracts (bought)		33	78	96,547	-	22,442	74,105	-
Structured forward contracts (sold)		78	33	96,547	-	22,442	74,105	-
Structured -Equity options (bought)		-	8,448	224,530	83,230	58,217	75,737	7,346
Structured -Equity options (sold)		8,448	-	224,530	83,230	58,217	75,737	7,346
Futures Contracts		21,059	35,426	2,826,623	2,826,623	-	-	-
Multi callable range arrangement		1,805	66,725	870,000	-	-	-	-
Sub total		435,343	413,626	43,410,975	23,472,659	5,466,025	3,949,428	100,000
Derivatives held as fair value hedge								
Interest rate swap		66,065	10,025	3,590,756	-	88,152	-	233,100
Sub total		66,065	10,025	3,590,756	-	88,152	-	233,100
Derivative held as cash flow hedge:								
Forward foreign exchange contract		119	10,744	1,618,453	1,618,453	-	-	-
Interest rate swap		1,143	-	200,000	200,000	-	-	-
Cross-currency swap		-	9,476	1,100,000	-	-	-	1,100,000
Sub total		1,262	20,220	2,918,453	1,818,453	-	-	1,100,000
Total Derivatives		502,670	443,871	49,920,184	25,291,112	5,554,177	3,949,428	2,032,836

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

33. Derivative contracts (continued)		Notional amount by term to maturity						
31 December 2023		Positive fair value AED'000	Negative fair value AED'000	Notional amount AED'000	Up to 3 months AED'000	3 – 6 months AED'000	6 – 12 months AED'000	1 – 5 years AED'000
Derivatives held for trading:								Over 5 Years AED'000
Forward foreign exchange contract		49,849	49,277	16,600,274	13,990,611	717,669	1,891,994	-
Foreign exchange options (bought)		15,151	-	5,821,286	5,821,286	-	-	-
Foreign exchange options (sold)		-	15,031	5,718,780	5,718,780	-	-	-
Interest rate swaps		371,659	275,336	11,033,997	183,650	721,611	134,112	4,545,912
Knockout swaps		6,339	5,486	734,600	-	-	-	734,600
Cross-currency swap		-	-	-	-	-	-	-
Structured forward contracts (bought)		2	-	4,253	-	-	4,253	-
Structured forward contracts (sold)		-	2	4,253	-	-	4,253	-
Structured -Equity options (bought)		5,761	-	156,231	2,387	48,429	105,415	-
Structured -Equity options (sold)		-	5,761	156,231	2,387	48,429	105,415	-
Futures Contracts		8,409	8,311	712,570	712,570	-	-	-
Multi callable range arrangement		1,406	74,209	870,000	-	-	-	770,000
Sub total		458,576	433,413	41,812,475	26,431,671	1,536,138	2,245,442	100,000
Derivatives held as fair value hedge								
Interest rate swap		49,154	15,980	2,418,743	110,190	587,680	-	1,337,983
Sub total		49,154	15,980	2,418,743	110,190	587,680	-	1,337,983
Derivative held as cash flow hedge:								
Forward foreign exchange contract		7,119	3,336	1,037,407	1,021,831	15,576	-	-
Interest rate swap		-	2,298	200,000	-	-	-	200,000
Cross-currency swap		1,243	-	330,570	-	146,920	183,650	-
Sub total		8,362	5,634	1,567,977	1,021,831	162,496	183,650	-
Total Derivatives		516,092	455,027	45,799,195	27,563,692	2,286,314	2,429,092	5,931,602

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

33. Derivative contracts (continued)

The following table contains details of the hedged exposures covered by the Group’s hedging strategies:

31 December 2024

	Carrying amount of hedged item		Accumulated amount of fair value adjustments on hedged item		Balance sheet item		Cash flow hedge reserve	
	Assets AED'000	Liabilities AED'000	Assets AED'000	Liabilities AED'000			Continuing hedges AED'000	Discontinued hedges AED'000
Derivatives held as fair value hedge								
Interest rate swap	1,623,436	-	48,591	2,429	Investment securities measured at fair value	-	-	-
Interest rate swap	-	723,696	-	7,148	Debt securities issued and other long-term borrowings	-	-	-
Interest rate swap	1,125,218	-	17,474	448	Loans and advances, net	-	-	-
Sub total	2,748,654	723,696	66,065	10,025		-	-	-
Derivative held as cash flow hedge:								
Forward foreign exchange contract	849,001	-	-	-	Loans and advances, net	348	-	-
Forward foreign exchange contract-Margin FI deposit	-				Deposits from customers			
Forward foreign exchange contract-Call deposit	-	616,044	-	-	Deposits from customers	(330)	-	-
Interest rate swap	200,346	-	-	-	Loans and advances, net	(384)	-	-
		1,099,955			Debt securities issued & other long-term borrowings	(8,986)	-	-
Cross-currency swap	-	-	-	-	Investment securities measured at amortised cost	-	-	-
Cross-currency swap	-	-	-	-		-	-	-
Sub total	1,049,347	1,715,999	-	-		(9,352)	-	-
Total Derivatives	3,798,001	2,439,695	66,065	10,025		(9,352)		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

33. Derivative contracts (continued)

The following table contains details of the hedged exposures covered by the Group’s hedging strategies:

31 December 2023

	Carrying amount of hedged item		Accumulated amount of fair value adjustments on hedged item		Balance sheet item		Cash flow hedge reserve	
	Assets AED'000	Liabilities AED'000	Assets AED'000	Liabilities AED'000			Continuing hedges AED'000	Discontinued hedges AED'000
Derivatives held as fair value hedge								
Interest rate swap	1,799,622	-	49,154	4,590	Investment securities measured at fair value	N/A	N/A	N/A
Interest rate swap	-	472,758	-	11,390	Debt securities issued and other long-term borrowings	N/A	N/A	N/A
Interest rate swap	-	-	-	-	Loans and advances, net	N/A	N/A	N/A
Sub total	1,799,622	472,758	49,154	15,980		N/A	N/A	N/A
Derivative held as cash flow hedge:								
Forward foreign exchange contract	342,948	-	-	-	Loans and advances, net	199	-	-
Forward foreign exchange contract-Margin FI deposit	-				Deposits from customers	-	-	-
Forward foreign exchange contract-Call deposit	-	618,213	-	-	Deposits from customers	(116)	-	-
Interest rate swap	200,346	-	-	-	Loans and advances, net	(3,732)	-	-
Coupon only swap	-	-	-	-	Debt securities issued & other long-term borrowings	-	-	-
Cross-currency swap	329,934	-	-	-	Investment securities measured at amortised cost	1,098	-	-
Sub total	873,228	618,213	-	-		(2,551)	-	-
Total Derivatives	2,672,850	1,090,971	49,154	15,980		(2,551)	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

34. Cash and cash equivalents

	2024 AED'000	2023 AED'000
Cash in hand and balances with UAE Central Bank	8,770,312	5,725,115
Due from other banks	12,408,314	12,438,123
	21,178,626	18,163,238
Less: Due from other banks with original maturity of greater than three months	(11,114,745)	(10,216,439)
	10,063,881	7,946,799

35. Operating segments

Following the management approach of IFRS 8, operating segments are reported in accordance with the internal reporting to the management, which is responsible for allocating resources to the reportable segments and assesses its performance. All operating segments used by the Group meet the definition of a reportable segment under IFRS 8.

To align with the direction of the Group’s strategy there is a reclassification and aggregation of segments. The Chief Operating Decision Maker (CODM) has reassessed the segments getting reported.

Following re-alignments and aggregation have been made within our internal reporting:

- (a) Aggregation of business performance of “Treasury & other” with “Wholesale Banking”, into one reporting segment of “Wholesale Banking” The shift in internal reporting and aggregation was further augmented to include financial information and metrics on the consumption of, and returns on, capital. The aggregated view of the operating segment is used by management to allocate resources and assess performance.
- (b) Aggregation of business performance of “Head office & unallocated cost” and "Insurance business" into one reporting segment disclosed as “Head office & others” on reassessment of the financial significance of the reporting segments. Further, we have reviewed the central costs previously reported within “Head office & Unallocated cost” and reallocated them to the other operating segments as appropriate.

The Group has four main business segments:

- Retail banking – incorporating individual customer and certain business current accounts, savings accounts, deposits, credit and debit cards, individual customer loans and mortgages;
- Wholesale banking – incorporating transactions with corporate bodies including government and public bodies and comprising of loans, advances, deposits and trade finance transactions of corporate customers and financial institutions, including Treasury related activities on the dealing room, related money market, and foreign exchange transactions and hedging activities with other banks and financial institutions;
- Business banking – incorporating transactions comprising of loans, advances, deposits and trade finance transactions of SME; and
- Head Office and Others – Comprises Central funding & other support functions including insurance related transactions of Raknic subsidiary.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

35. Operating segments (continued)

The above segments include conventional and Islamic products and services of the Group.

As the Group’s segment operations are all financial with a majority of revenues deriving from interest and fees and commission income, the management relies primarily on revenue and segmental results to assess the performance of the segment.

Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment revenue. Interest charged for these funds is based on the Group’s funds transfer pricing guidelines. There are no other material items of income or expense between the business segments.

The Group’s management reporting is based on a measure of net profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses.

Operating segments are identified on the basis of internal reports about the components of the Group that are regularly reviewed by the CEO (the chief operating decision maker) in order to allocate resources to the segment and to assess its performance.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

35. Operating segments (continued)

The segment information provided to the management for the reportable segments for the year ended 31 December 2024 and 2023 are as follows:

	Retail Banking AED'000	Wholesale Banking AED'000	Business Banking AED'000	Head office & Others AED'000	Total AED'000
31 December 2024					
Net external interest income	868,032	1,641,778	895,173	(244,094)	3,160,889
Income from Islamic financing net of distribution to depositors	179,349	(13,265)	286,512	(51,448)	401,148
Internal revenue	37,664	(732,769)	489,262	205,843	-
Net interest income and net income from Islamic financing	1,085,045	895,744	1,670,947	(89,699)	3,562,037
Non-interest income	457,974	391,318	321,088	(19,895)	1,150,485
Operating income					
General and administrative expenses	1,543,019 (819,821)	1,287,062 (256,907)	1,992,035 (578,209)	(109,594) (3,477)	4,712,522 (1,658,414)
Operating profit before net impairment charge and tax					
Net impairment charge	723,198 (400,239)	1,030,155 (84,909)	1,413,826 (240,063)	(113,071) (50,807)	3,054,108 (776,018)
Profit before tax					
Tax expense	322,959	945,246	1,173,763	(163,878) (202,446)	2,278,090 (202,446)
Profit for the year after tax					
	322,959	945,246	1,173,763	(366,324)	2,075,644
As at 31 December 2024					
Segment assets	22,999,414	53,611,658	9,545,088	2,169,247	88,325,407
Segment liabilities	18,936,509	24,693,886	23,492,182	9,406,151	76,528,728

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

35. Operating segments (continued)

	Retail Banking AED'000	Wholesale Banking AED'000	Business Banking AED'000	Head office & Others AED'000	Total AED'000
31 December 2023					
Net external interest income	837,479	1,539,851	790,219	(256,248)	2,911,301
Income from Islamic financing net of distribution to depositors	194,788	(37,313)	280,623	(13,109)	424,989
Internal revenue	67,566	(677,022)	487,807	121,649	-
Net interest income and net income from Islamic financing	1,099,833	825,516	1,558,649	(147,708)	3,336,290
Non-interest income	450,323	316,330	328,841	(27,588)	1,067,906
Operating income					
General and administrative expenses	1,550,156 (858,657)	1,141,846 (217,501)	1,887,490 (511,323)	(175,296) (13,780)	4,404,196 (1,601,261)
Operating profit before net impairment charge and tax					
Net impairment charge	691,499 (165,446)	924,345 (79,822)	1,376,167 (295,332)	(189,076) (464,877)	2,802,935 (1,005,477)
Profit before tax					
Tax expense	526,053	844,523	1,080,835	(653,953) (13,733)	1,797,458 (13,733)
Profit for the year after tax					
	526,053	844,523	1,080,835	(667,686)	1,783,725
As at 31 December 2023					
Segment assets	19,943,928	43,045,849	8,841,635	2,123,222	73,954,634
Segment liabilities	17,806,382	22,404,453	21,759,554	1,629,718	63,600,107

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

36. Related parties' transactions and balances

Related parties comprise key management, businesses controlled by shareholders and directors as well as businesses over which they exercise significant influence. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Group, directly or indirectly. Compensation of key management personnel comprises of salaries, bonuses and other benefits.

During the year, the Group entered into transactions with related parties in the ordinary course of business. Transactions with such related parties are made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with external customers and parties. No stage 3 provisions for impairment have been recognized pertinent to related parties (2023: Nil). Further, stage 1 and 2 ECL amounted to AED 32.9 million (2023: AED 11.6 million).

The transactions with related parties and balances arising from these transactions are as follows:

	2024 AED'000	2023 AED'000
<i>Transactions during the year</i>		
Interest income	132,338	70,283
Insurance income	82,160	46,629
Commission income	5,470	861
Other income	3,977	2,700
Interest expense	166,030	77,657
Insurance expense	48,754	44,090
Other expenses	400	348
Directors' and key management personnel's remuneration and sitting fees	76,960	55,321
<i>Balances</i>		
<i>Loans and advances:</i>		
- Shareholders and their related companies	1,988,941	1,783,452
- Directors and their related companies	4,469	116,617
- Key management personnel	16,861	10,839
	2,010,271	1,910,908
<i>Deposits:</i>		
- Shareholders and their related companies	4,898,438	3,278,338
- Directors and their related companies	22,316	13,163
- Key management personnel	12,911	13,060
	4,933,665	3,304,561
<i>Other assets:</i>		
- Shareholders and their related companies	29,121	15,051
<i>Other liabilities:</i>		
- Shareholders and their related companies	1,250	6,218
- Post-retirement benefits payable	9,011	8,031
	10,261	14,249
<i>Commitments, contingent liabilities and derivative contracts:</i>		
- Shareholders and their related companies	1,288,709	1,368,905
- Directors and their related companies	1,050	34,582
- Key management personnel	1,288	1,119
	1,291,047	1,404,606

Interest income and expense majorly relates to transactions with major shareholder and their related entities.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

37. Fiduciary activities

The Bank holds assets in a fiduciary capacity for its customers without recourse. At 31 December 2024, the market value of such assets amounted to AED 5,905 million (2023: AED 5,627 million) and are excluded from the consolidated financial statements of the Group.

38. Legal proceedings

The Bank is involved in various legal proceedings and claims arising in the ordinary course of business. While the outcome of these matters cannot be predicted with certainty, management does not believe that these matters will have a material adverse effect on the Group's consolidated financial statements if settled unfavorably.

The Bank's subsidiary, RAKNIC as common with other insurance companies, is involved as defendant in a number of legal cases in respect of its underwriting activities. A provision is made in respect of each individual case where it is probable that the outcome would result in a loss to the Group in terms of an outflow of economic resources and a reliable estimate of the amount of outflow can be made.

39. Seasonality of results

There is no income of seasonal nature during year 2024 and 2023.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management

Risk management review

The Group's activities expose it to various financial risks, necessitating the analysis, evaluation, acceptance, and management of these risks. Risk-taking is fundamental to the financial services sector. Therefore, the Group aims to balance risk and return effectively, while minimizing potential adverse effects on its financial performance.

The Group's Board and Management firmly believe that a robust risk management department is crucial for the sustainable achievement of the Bank's strategic growth objectives. The Board Risk Committee supports the Bank's comprehensive risk management strategy and appetite, offering essential direction for the Group's risk management measures. The Group's Risk Management function operates independently from the risk-taking functions, aligning with the UAE Central Bank's guidelines and adhering to the Group's three lines of defence model.

The Group has a Board-approved Enterprise Risk Management policy encompassing the Group's Risk Appetite framework, which includes Financial Risks. This policy ensures that operations remain within the approved thresholds for Financial Risks

The Group's risk management policies are crafted to identify, analyze, establish appropriate limits and controls, and ensure adherence through reliable and up-to-date information systems. The Group consistently reviews and updates its risk management policies and systems to adapt to changes in markets, products, and emerging best practices.

The Group leverages advanced quantitative approaches in its risk management strategy to assess and improve its capabilities. This sophisticated methodology allows for more precise classification of risk segments among customers, thereby enhancing due diligence processes. By utilizing complex statistical models and data analytics, the Group is able to identify patterns and trends that might not be visible through traditional methods.

Moreover, the Group incorporates forward-looking market parameters in its analyses to ensure that its risk management practices are not only aligned with current risks but also capable of identifying and mitigating emerging and future risks. This proactive approach includes stress testing and scenario analysis to anticipate how various economic and market conditions could impact the Group's risk profile. These efforts ensure that the Group remains resilient and adaptive in an ever-changing financial landscape.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Risk management review (continued)

The Board of Directors have established six mentioned below board committees to supervise specific areas and to prepare topics for consideration by the complete Board. The broad role of each committee is described in the table below:

Committee	Roles & Responsibilities
1. Board Credit Committee (BCC):	
The Board Credit Committee has been established by the Board of Directors (the Board) to assist the Board of Directors to primarily manage credit risks of all segments of the Bank, recommend, review, and approve individual or group credits within the authorities delegated by the Board.	- Noting the Credit policies of the Bank that will spell out among others, the target markets, products, risk acceptance criteria and general guidelines for lending. - Review and approve, the Product Program Guidelines (PPGs) for Asset products relating to all segments of the Bank and any other areas of Business. - Review and approve Credit grading methodology for the Bank. - Approve the terms of engagement, nature and scope of consultants / professionals appointed to assist in managing Credit portfolios of the Bank.
Board/BCC will thereafter sub delegate or approve delegated authorities of Management Credit Committee (MCC) and other delegated authorities.	- Approve investments within the delegated lending authority as stated in the Investment Policy of the Bank and recommend to higher authority for approval where proposal is beyond BCC's Delegated Lending Authority (DLA). - Review any breach in the Investment Policy of the Bank and wherever required escalate the same to the Board of Directors. - Review and approve credit facilities in respect of individual and Group Credits. Typically, the credits referred are those that are beyond the Delegated Lending Authorities of MCC, Chief Credit Officer and any other DLA holder of the Bank. - Where credit approving authority in respect of a specific proposal is beyond that of the respective Credit Committee, they will recommend the proposal for approval by the next higher authority. For example, the MCC will recommend to BCC and BCC to Board. - The proposals of the respective Business Units/PPGs will be presented to the BCC by Unit Heads or their representative with respect to proposals pertaining to their respective areas. - Call for periodic reviews of specific portfolios or credits to assess emerging risks that in the opinion of the BCC merit special attention. Call for review of portfolio and Credit MIS as and when required and monitor the level of delinquent and non-performing assets. - Any other matter delegated by the Board of Directors

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Risk management review (continued)

Committee	Roles & Responsibilities
2. Board Nomination & Remuneration Committee (BNRC): The Board Nomination and Remuneration Committee has been established by the Board of Directors to assist the Board in areas of board composition, nomination and remuneration of board members and senior management, setting the induction and director ongoing development programs, assessment of the Board, its committees and directors, succession planning for Board Members and Senior Management, and human resource related policies.	Duties and Responsibilities under Nomination: - The Committee shall review the composition and diversity at the Board and Board committees’ level to ensure an appropriate balance of skills, diversity, expertise, independence and meet regulatory requirements and recommend to the Board changes if and when required. The Committee shall ensure that the Board Members and Committee members remain individually and collectively qualified for their positions, as per applicable CBUAE and SCA regulations. - The Committee shall review and oversee the implementation the process for identifying and selecting the candidates of the Board, reviewing and approving the Fit and Proper process. - The Committee shall establish, assess, and review the application and elections of Board Membership policy while taking into account diversity, in particular gender diversity requiring at least 20% of candidates for consideration for the Board to be female. - The Committee shall oversee the appointment documentation of Board Members. - The Committee shall periodically monitor the independence of Board Members and recommend necessary actions. - The Committee shall have an ex-ante review and approval process in place to be completed before a member on the Board accepts nomination to serve on another Board as permitted by CBUAE regulations and to avoid conflict of interest. - The Committee shall review and maintain succession plans for the Board and Senior Management members. - The Committee shall review and approve appointment and termination of executive/ senior management, including the fit and proper process for the selection of senior management. - The Committee shall review the appointment and re-appointment of the members on the boards of subsidiaries, as required. Duties and Responsibilities under Remuneration: - The Committee is responsible for the oversight of management’s implementation of the compensation for the entire Bank, ensuring it is in line with the strategy, risk appetite, objectives, values and long – term interests of the Bank. - The Committee shall review the compensation plans, processes and outcomes at least annually. The Committee must arrange for an independent assessment by an external third party at least once every 5 years.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Risk management review (continued)

Committee	Roles & Responsibilities
3. Board Nomination & Remuneration Committee (BNRC):	Duties and Responsibilities under Remuneration (continued): - The Committee must regularly monitor and review outcomes to assess whether the Bank’s wide compensation system is creating the desired incentives for managing risk, capital and liquidity. It must work closely with the Board Risk Committee in the evaluation of incentives created by the compensation system. - The Committee shall review annually the remuneration framework that will apply to the Group Chief Executive Officer (CEO) and senior management. - The Committee shall review on annual basis and propose to the Board the amount and fees payable to Board and Committees members. Duties and Responsibilities under HR: - The Committee shall prepare and review annually policies related to human resources and training and monitor their implementation. - The Committee shall have oversight and monitor the implementation of the Emiratization program. - The Committee shall monitor the performance of executive / senior management against objectives and budget. - The Committee shall review and approve the Bank’s policy on staff grading and remuneration structure. - The Committee shall approve the overall budget for annual performance/retention payments for all staff. Duties and Responsibilities under Corporate Governance: - The Committee, assisted by the Group Company Secretary, shall review and approve an induction program for Board Members and Senior Management regarding the business and other areas necessary to assist them in carrying out their duties. - The Committee, assisted by the Group Company Secretary, shall carry annual assessments of the Board, committees, and individual members. - The Committee, assisted by the Group Company Secretary, shall review and approve on an annual basis the Directors’ Development Program that supports the directors’ ongoing training to ensure that the Board members acquire, maintain, and enhance knowledge and skills relevant to their responsibilities. - The Committee shall secure the Board Members annual and quarterly confirmation as per regulatory requirements including the confirmation that Board Members have sufficient time available to manage the time commitments required for their role in the Bank. - Review the Corporate Governance report and other related disclosures particularly those relating to Directors details and remuneration to ensure compliance with regulatory requirements. Any other matter delegated by the Board of Directors.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Committee	Roles & Responsibilities
3. Board Audit Committee (BAC): The Board Audit Committee has been established by the Board of Directors (the Board) of the Bank to assist the Board in the oversight, monitoring and review of the following aspects of the Bank and its subsidiaries' operations: - The quality and integrity of financial statements and financial reporting. - The effectiveness of governance, risk management and internal control systems. - Compliance with laws and regulations. - Compliance with the Group Code of Conduct. - The Group Internal Audit (GIA) function. - The statutory audit process and External Auditors. - Compliance with the Sharia in respect of Islamic Banking products and services.	- Monitor and review the integrity of the Bank's financial and accounting policies and procedures, including the review of significant financial reporting issues and judgements contained in the financial statements. - Monitor the appropriateness and integrity of the interim and published financial statements and annual report of the Bank and its businesses and subsidiaries, including significant financial reporting judgments contained in them. - Review the content of the annual report and financial statements and advise the Board on whether, taken as a whole, it is fair, balanced and understandable and provides the information necessary for shareholders to assess the Bank's performance, business model and strategy. The review undertaken by the Committee should assess whether the narrative is consistent with the accounting information. - Review and approve the Audit Charter annually in line with the mandatory guidance of the IIA's International Professional Practices Framework and GIA strategy, annual audit and resource plan, performance measures and outcomes and make recommendations relevant to GIA activities. Ensure the independence of the GCAO and the GIA function and review GIA reports and achievements relative to the audit plan and follow up on corrective measures of key risks arising from the audit reviews. - Review and approve the policy for the tendering of the audit engagement that includes requirements for knowledge, competence, objectivity, independence, professional scepticism and quality control. Consider and recommend to the Board the appointment, re-appointment resignation, removal and compensation of External Auditors. - Review and approve the Whistleblowing policy that enables the Bank's staff to confidentially report potential violations in financial reports, internal control, or any other issues and sets out procedures for conducting independent and fair investigations concerning such violations. - Ensure that all Related Party Transactions (RPT) are appropriately reported through the published financial statements of the Group in accordance with the applicable international accounting standards. - Evaluate the effectiveness of policies established for supervising compliance with the Sharia, as approved by the Internal Sharia Supervisory Committee ("ISSC"). Assess the effectiveness and adequacy of the Internal Sharia Audit Department ("ISAD"), and its contribution in ensuring compliance with the Sharia. Review reports prepared by ISAD to ensure necessary measures have been taken in their regard by Senior Management.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Risk management review (continued)

Committee	Roles & Responsibilities
4. Board Risk Committee (BRC): The Board Risk Committee has been established by the Board of Directors to assist the Board in fulfilling its responsibilities with respect to the oversight of Strategic Risk, Strategic Risk, Credit Risk, Operational Risk, Information security/ Cybersecurity Risk, Conduct Risk, Model Risk, Reputational Risk, Legal Risk, Concentration Risk, Cross Border Risk, Compliance Risk, Market Risk & Counterparty Credit Risk, ESG & Climate Risk, Liquidity Risk, Interest Rate Risk, Shari'ah Non-Compliance Risk, Displaced Commercial Risk, Rate of Return Risk, Equity Investment Risk, Others.	- Ensure Bank has a comprehensive risk management strategy, risk governance framework and policies that are consistent with the nature and volume of the Bank's activities; monitor its implementation and review and update it based on the Bank's internal and external changing factors. - Maintain a thorough understanding of the internal and external sources of material risk impacting the bank and provide strategic advice to the Board of Directors on risk perspectives to inform the formulation of RAKBANK's strategic direction. The committee shall continuously review portfolio deep dives and portfolio risk management to ensure the proactive identification and mitigation of risks. - Assure an effective risk culture, compliance culture, and internal controls across the Bank by providing guidance to management as needed to assist them in improving their risk management practices and mitigating certain risks. Ensure the presence of qualified management personnel to carry out risk management activities effectively. - Ensure that the Bank's risks are at acceptable level according to the risk appetite without exceeding that level, and report regularly to the Board on the Bank's risk profile, promptly informing them of any significant changes in the volume of risk. - Oversee the Bank's risk management framework, ensuring adherence to all applicable laws, regulations, and internal policies. The committee will review the reports from management on compliance related to Anti-Money Laundering, Sanctions, Regulatory Compliance, Subsidiaries Compliance, Shari'ah Compliance, and Consumer Protection. - Make recommendations to the Board on matters related to Compliance (including Shari'ah Compliance), Corporate Governance, and Legal functions. - Recommend & approve compliance related policies. - Review the Shari'ah Compliance Report and periodic reports received from the Central Bank of the UAE, the Internal Shari'ah Supervision Committee (ISSC), Shari'ah auditors, and other regulators, and approve the management responses submitted in response to these reports. - Provide direct access to the Shari'ah controls function and obtain its opinion. - Review and approve the framework for managing risks specific to Islamic banking as part of the overall risk management framework.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

40. Financial risk management (continued)

Risk management review (continued)

Committee	Roles & Responsibilities
4. Board Risk Committee (BRC): (continued)	- Ensure the ability of the information system to measure, assess, and report risks specific to Islamic banking. Also, ensure such reports are shared with the Board and Senior Management in a timely manner. - Supervise and monitor the management of risks specific to Islamic banking and set controls through the Internal Shari’ah Control Division in consultation with the Internal Shari’ah Supervision Committee. - Review the adequacy of the Shari’ah controls function as a delegated representative of the Board of Directors, and manage matters related to performance assessment, promotions, bonuses, and the removal of ISCD personnel in consultation with the ISSC. - Review the effective implementation and ongoing management of Consumer Protection Regulations and Standards as prescribed by the Central Bank of the UAE from time to time. - Ensure effective governance and implementation of the Conduct Risk Management framework across the bank to safeguard the interests of its customers and uphold the bank's integrity and reputation. - Review the Bank’s outsourcing activities and promptly inform the Board of any significant changes in the volume of outsourcing risk. - Obtain assurance from the executive management and internal audit through the oversight committees that the risk, compliance, corporate governance, and legal processes and systems operate effectively with appropriate controls, in addition to compliance with approved policies. - Oversee ESG policies, frameworks, and procedures to ensure alignment with the Bank’s overall strategy and values, as well as compliance with ESG related laws, regulations, Shari’ah requirements, and standards. - Review and approve ESG related risks and opportunities within the bank’s operations, investments, and financing activities, including risks related to climate change, social responsibility, and governance issues. - Oversee the Bank’s ESG performance and track progress against established ESG goals and targets. - The Board Risk Committee is tasked with overseeing model risk by approving significant modeling decisions, defining the bank's model risk appetite, ensuring adequate technical expertise among staff, reviewing model development and validation processes, and approving related policies and reporting in compliance with CBUAE regulations. - Ensure that the bank maintains a best-in-class risk infrastructure, including robust risk management systems and tools, to effectively identify, assess, and mitigate risks across all operations. - The Board Risk Committee has oversight of People risk in the areas such as Emiratization, Training, Disciplinary Actions, Code of Conduct, and Employee Attrition. - In line with Board delegation, review the appointment, performance, and replacement of the Group Chief Risk Officer and monitor the effectiveness of the risk management division in general.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

40. Financial risk management (continued)

Risk management review (continued)

Committee	Roles & Responsibilities
5.Board Strategy Committee (BSC):	- Review the Bank’s strategic plan and recommend it to the Board of Directors for approval. - Monitor the Bank’s business objectives and strategy implementation. - Review the developments and trends shaping the future of the industry to align the Bank’s strategy and positioning, accordingly. - Review and consider the Management’s proposals re new strategic initiatives, such as partnerships and alliances. - Advise the Chief Executive Officer on strategic issues that members of the Committee believe are relevant. - Review and approve strategic proposals relating to the expansion of the business in terms of organic growth and/or acquisitions, distribution, and new lines of business. - Consider strategic matters related to the Bank’s subsidiaries and Group companies. - Review the Bank’s proposed annual budget and financial objectives, including achieving cost optimization and recommend it to the Board of Directors for approval. - Review the Bank’s performance at least quarterly against the budget. - Review any other matter delegated by the Board of Directors
The Board Strategy Committee has been established by the Board of Directors to assist the Board and give guidance to the Group Chief Executive Officer and Senior Management in managing the affairs of the Bank in areas of the Bank’s overall strategy, operational and financial performance monitoring, and budgeting. The scope of the Committee includes RAKBANK and its subsidiaries.	

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Risk management review (continued)

Committee	Roles & Responsibilities
6. Board Islamic Profit Equalization Committee (BIPEC): The Board Islamic Profit Equalization Committee has been established by the Board of Directors to assist the Board and give guidance to: - Scrutinize the utilization of reserves specific to RAKIslamic’s Investment Account Holders (saving accounts and terms investment deposits), such as Profit Equalization Reserve (PER) and Investment Risk Reserve (IRR), and to make appropriate recommendations to the Board. The Committee shall coordinate and integrate the implementation of the governance policy framework, with the primary objective of protecting the interests of stakeholders, other than the shareholders, in line with the Higher Shari’ah Authority (HSA) of CBUAE and Internal Shari’ah Supervision Committee (ISSC) resolutions. - Governance and oversight on RAKIslamic Charity Framework covering the: - Late Payment Charges/Fees received from customers based on “Commitment to Donate” (Penalty on Customers). - Financial penalty imposed by Internal Shari’ah Supervision Committee (ISSC) or Higher Shari’ah Authority (HSA) due to non-compliance with Shari’ah principles (Penalty on the Bank).	- The Committee shall review and approve policies and strategies of the investments, and strategies for the management of Displaced Commercial Risk (DCR). The Committee shall conduct regular reviews of the investment policies and the performance of the asset portfolio in which Investment Account Holder’s (IAH’s) funds are invested. The policies and strategies shall address the following areas: - Management of DCR, including the limits to and tolerance level; - Mechanisms used in respect of the IB forgoing its share of profits in favor of the IAH; and - Appropriations to reserves and provisioning, in accordance with the agreed contractual terms and conditions for IAH. - In order to ensure that profit equalization, including utilization of reserves such as PER and IRR are appropriately checked and monitored, the Committee is mandated to scrutinize the utilization of such reserves and to make appropriate recommendations to the Board. The Committee shall coordinate and integrate the implementation of the governance policy framework, with the primary objective of protecting the interests of stakeholders, other than the shareholders, in line with the HSA and ISSC resolutions. - The Board or its committees must ensure rigorous and diligent oversight policy, process and procedures over the following: - The financing and investment activities undertaken by the IB using IAH’s funds; - The fiduciary duties performed by the IB, which must be in accordance with the terms and conditions of the Mudarabah and Wakala contracts between the IB and its IAH; and - The level of reserve allocation, ensuring that it is appropriate and fair to both existing and new IAHs. - The Committee shall also evaluate the disclosures made by the IB regarding its asset allocation and investment strategies in respect of IA, in order to monitor closely the performance of IB as managers of such accounts. - The Committee shall approve the Framework covering the collection and distribution of charity amount received from following two sources: - Late payment charges/fees received from customers based on their commitment to donate (penalty on customers due to delay in paying installments/debt). - Penalty on the bank imposed by ISSC or HSA due to non-compliance with Shari’ah principles e.g.: - Sequence of events mandated by Shari’ah are not followed, leading to impermissibility of income earned. - Executing transaction documents without Shari’ah approval, whereby income is earned by the Bank utilizing funds of Islamic banking window. The Committee shall evaluate the periodic reports related to collection and distribution of charity.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Compliance risk

Compliance Risk at the Group is defined as the risk emanating from regulatory sanctions, material financial loss or loss to reputation that the bank will suffer as a result of its failure to comply with laws, regulations, self-regulatory organizational rules & standards/controls and codes of conduct applicable to its banking activities.

The definition of compliance at Group thereby includes:

- Compliance with local and international regulatory requirements
- Compliance with internal policy dictates
- Compliance with internal controls embedded in operating procedures of the Group

The Group has an established Compliance function, as its second line of defence. The Regulatory & Compliance function is managed by Chief Compliance Officer reporting to the CEO. The function is responsible for identification, monitoring and reporting of all compliance related risks. It works closely with all business and support units of the bank in formulating compliance policies and has oversight responsibility for implementation and advice of prudential regulations and conduct of business. This Division also acts as the main liaison with the Central Bank of the U.A.E. The framework and guidelines for compliance are designed by management and approved by board of directors, in line with Basel guidelines in this regard.

Operational Risk

Operational Risk refers to the risk of loss resulting from inadequate or failed internal processes, people, systems, or external events. The Group strives to effectively manage and mitigate Operational Risk through a robust and effective control environment across the organization.

The Bank has established a formal Operational Risk Management (ORM) governance structure under the Management Risk Committee and Board Risk Committee, which provides strategic direction and oversight for ORM activities.

The governance structure is designed to clearly delineate responsibilities among risk owners (Business, Operations, and Support units), Control functions (Risk Management/Compliance), and the Internal Audit function, ensuring the Bank’s assets and reputation are safeguarded against potential operational risks from daily business activities. The governance structure is outlined as follows:

- First Line of Defence: Business, Operations and Support Units
- Second Line of Defence: Risk Management and Compliance
- Third Line of Defence: Internal Audit

Several key Operational Risk processes are in place to enhance risk management in Operational Risk:

- The Bank has embedded a new OR framework and established an operational risk appetite for various risk categories.
- Setup the baseline for Risk and Control Self Assessments (RCSAs) and activate a business operational risk team within first-line functions.
- Conducted specialist risk assessments in areas such as Third-Party Risk Management and Fraud Risk Management.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Conduct Risk

Conduct Risk is the risk of causing harm or an adverse effect to the customers or other stakeholders, or on market stability or of hindering effective competition resulting from Bank’s actions, including its business practices, culture, and ethics. It can arise from wide range of activities including, misleading advertising and marketing practices, inappropriate sales techniques, unfair treatment of customers, conflicts of interest, or failure to comply with regulatory requirements.

The Bank has a comprehensive Conduct Risk Management Policy and governance structure to assist RAKBANK to proactively identify, assess, monitor, mitigate, control and advise on conduct risk, minimize regulatory non-compliance and financial threats, and uphold the Bank’s integrity and reputation in the financial market in UAE. The Conduct Risk governance structure thus ensures ethical behaviour, regulatory compliance, and the protection of customer interests.

The Conduct Risk Management function has been created within the Group Risk Management and manages the policy and framework, which equally applies to the Bank.

Information and Cyber Security Risk

The Group considers information and cyber security risk as one of the most important risks to be managed. This is the risk posed by internal and external threat actors targeting the bank’s technology infrastructure which can have an impact on Bank’s ability to service its customers through technology disruptions, data theft etc. and lead to financial or reputational loss.

The Group has a dedicated Information and Cyber Security unit managed by a Chief Information Security Officer (CISO), who reports to the Deputy Chief Risk Officer. This unit manages security risk assessments, perimeter security monitoring, compliance to technical regulatory requirements and overarching governance for compliance to the Group’s Information and Cyber Security policy.

Fraud risk

The Group’s Management and Board recognize that proactive fraud risk management is a crucial component of the Group’s overall risk management strategy. The Group’s new framework employs a four-pronged approach to Fraud Risk Management, which includes:

- Fraud Governance
- Fraud Prevention
- Fraud Detection
- Fraud Response

The Bank has a frontline fraud prevention and detection unit that manages the fraud alerts and performs the case management. The Fraud Risk team within the risk function provides independent oversight of fraud prevention and detection activities, sets the fraud Risk policy, and reports independently to executive committees. The Fraud Investigations unit also operates within the risk function and conducts independent investigations of referred cases.

The Group has adopted a Fraud Risk Management Framework (FRMF) aimed at implementing an effective Fraud Risk Management (FRM) policy and processes across the Group. This overall approach helps to manage fraud risk efficiently and promptly by establishing systems and procedures to identify and mitigate fraud risks.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Credit risk

Credit risk refers to the possibility that customers or counterparties of the Group may be unable, unwilling, or fail to meet their contractual obligations, either partially or fully. This includes defaults on principal, interest, fees, profit, or any other contractual commitments under loan arrangements, credit facilities, or similar transactions facilitated by the Group. Such defaults can lead to financial losses for the Group. Credit risk also emerges from the downgrading of counterparties whose credit instruments are held by the Group, leading to a decline in the value of these assets.

Given that credit risk is the Group’s most significant risk, substantial resources, expertise, and controls are dedicated to managing it within the Bank’s core departments.

The Group’s credit policy establishes a systematic and consistent approach to identifying and managing borrower and counterparty risks across all retail, business banking, and wholesale banking assets.

The Chief Credit Officer and their team are responsible for recognizing and managing credit risk at both the transaction/origination and portfolio levels. They ensure that risk procedures adhere to the framework outlined in the Credit Policy, Product Programs Guidelines (PPG), and Credit Circulars, while complying with all regulatory requirements.

Under the direction of the Chief Risk Officer, the risk teams manage credit risk by setting the Bank’s risk appetite, issuing and updating credit policies, product programs, policy circulars, and conducting comprehensive portfolio analysis.

The Group acknowledges that the Central Bank of UAE has issued the Credit Risk Management Standards in October 2024. The bank is committed to meet all the requirements by the stipulated timelines.

Respective Business Heads and their teams conduct thorough analyses of all commercial loan applications submitted for approval. They focus on aspects such as ownership, business management, industry specifics, financial health, structure, and collateral. The Chief Credit Officer and their team then review these loan applications, identifying and measuring the associated credit risks before presenting them to the Delegated Authorities for approval. Both Business and Credit Units continuously monitor the portfolio to ensure it remains healthy.

In the Retail lending business, credit risk is managed through appropriate front-end sales and credit underwriting processes, as well as back-end operational and collection processes. Appropriate product programmes defining customer segments, underwriting standards and security requirements are rolled out to ensure consistency in underwriting and the on-boarding process. The Retail credit portfolio is monitored centrally across products and customer segments.

For Wholesale exposures, credit risk is managed by identifying target market segments, structured credit approval processes and robust post-disbursement monitoring and remedial processes. Board approved risk appetite framework and credit policies lay the governing principles for any credit on boarding, underwriting and monitoring of the portfolio.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Credit risk (continued)

The Group manages, limits and controls concentration of credit risk wherever it is identified - in particular, to individual counterparties and groups, and to industries and countries. The Group has a Product Program Guide that sets limits of exposure and lending criteria. The Group also has credit limits that set out the lending and borrowing limits to/from other banks.

The Group builds, validates and uses Credit Scoring tools that are populated by internally and externally derived historical data, forward looking models and behavioural models to assess counterparty risk on a customer and portfolio level for most of its Retail products.

Expected Credit Loss under IFRS9

Expected Credit Loss (ECL) under IFRS9 is used to estimate the potential loss a bank or financial institution may incur from its credit exposures over a specified period. Unlike traditional models that only consider losses once a default occurs, ECL models are forward-looking and consider possible future credit events. The approach incorporates various risk factors, including borrower creditworthiness, macroeconomic conditions, and historical loss data, to predict the likelihood and impact of defaults. ECL is calculated for borrowers or segment of borrowers as Exposure at Default * Probability of Default * Loss Given Default

This method helps the Bank to proactively manage credit risk, maintain adequate provisions, and ensure financial stability. As advised in IFRS9 framework, Bank uses three stages of credit risk assessment i.e. stage 1, stage 2 and stage 3 based on the quality of credit for a facility/borrower. Bank applies stage movement criteria as defined in SICR section for movement between these stages.

Significant increase in credit risk

The Group monitors all financial assets that are subject to impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the financial asset will be moved to Stage 2 and the loss allowance will be based on lifetime basis (lifetime ECL). The broad factors that are considered to determine whether a financial asset has experienced SICR are: days past due of more than 29 days on its contractual payments and various other qualitative factors that include changes in current Credit ratings vis-à-vis initial credit ratings as per the defined Graded SICR thresholds (mainly used for non-retail, due from banks and Investment portfolio), Risk Bureau classification of the customer, whether an exposure has been restructured since initial recognition etc. During the year the SICR criteria is refined as per the updated regulatory requirements.

Irrespective of the outcome of the above assessment, the Group presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 29 days past due unless the Group has reasonable and supportable information that demonstrates otherwise.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Credit risk (continued)

Internal credit risk ratings

Credit Risk ratings of its customers and facilities enables the bank to minimize its credit risk and hold sufficient provision for the risk it carries in its credit portfolio. The credit rating information for the wholesale portfolio is derived from a comprehensive range of data considered predictive of default risk, combined with experienced credit judgment. The analysis takes into account the nature of the exposure and the type of borrower. Credit risk grades are assigned based on both qualitative and quantitative factors indicative of default risk.

For retail products, bank has adopted a scorecard / segmentation based approach to classify its loans into various risk segments. Retail scorecards uses customer characteristics, bureau information and customer behaviour to assess credit quality of the facility.

Equipped with rating and scorecard models, the group uses multiple statistical methods to assess probability of default for its customer and how these are expected to change over time. And significant deterioration in customers probability of default will represent significant increase in credit risk for the customer / facility.

Incorporation of forward-looking information

The Group uses forward-looking information that is available without undue cost or effort in its assessment of significant increase of credit risk as well as in its measurement of ECL. The Group employs experts who use external and internal information to generate 3 scenarios viz. Baseline, Upturn and Downturn.

The Group has performed a sensitivity analysis on how ECL on the main portfolios will change if the key assumptions used to calculate ECL change by 5%. The table below outlines the total ECL per portfolio as at 31 December 2024, if the assumptions used to measure ECL remain as expected (amount as presented in the statement of financial position), as well as if each of the key assumptions used change by plus or minus 5%. The changes are applied in isolation for illustrative purposes, and are applied to each probability-weighted scenarios used to develop the estimate of expected credit losses. In reality, there will be interdependencies between the various economic inputs and the exposure to sensitivity will vary across the economic scenarios.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Credit risk (continued)

Incorporation of forward-looking information (continued)

		ECL AED'000
Auto Loans		
	Current	8,123
	+ [5]%	7,040
Commodity prices: Crude oil [Dubai Fateh], (USD per Bbl, NSA)	- [5]%	9,424
	Current	8,123
Real Residential property prices: All dwellings, (Index 2010=100, NSA)	+ [5]%	8,112
	- [5]%	8,135
	Current	8,123
National accounts: Gross domestic product [GDP] - Real, (Mil. 2014 AED, SAAR)	+ [5]%	8,126
	- [5]%	8,121
		ECL AED'000
Credit Cards		
	Current	176,491
	+ [5]%	173,445
Commodity prices: Crude oil [Dubai Fateh], (USD per Bbl, NSA)	- [5]%	179,607
	Current	176,491
National accounts: Gross domestic product [GDP] - Real, (Mil. 2014 AED, SAAR)	+ [5]%	176,448
	- [5]%	176,535
	Current	176,491
House Prices: Residential properties - Abu Dhabi and Dubai, (Index 2010=100, NSA)	+ [5]%	152,967
	- [5]%	204,605

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Credit risk (continued)

Incorporation of forward-looking information (continued)

		ECL AED'000
Personal Loans		
	Current	224,098
	+ [5]%	208,107
Commodity prices: Crude oil [Dubai Fateh], (USD per Bbl, NSA)	- [5]%	239,822
	Current	224,098
Hotel occupancy, (% , SA)	+ [5]%	207,586
	- [5]%	240,345
	Current	224,098
National accounts: Gross domestic product [GDP] - Real, (Mil. 2014 AED, SAAR)	+ [5]%	224,472
	- [5]%	223,725
Mortgage Loans		
	Current	170,439
House Prices: Residential properties - Abu Dhabi and Dubai, (Index 2010=100, NSA)	+ [5]%	170,393
	- [5]%	170,484
	Current	170,439
National Accounts: Nominal Gross Domestic Product [GDP], (Bil. AED, SAAR)	+ [5]%	170,423
	- [5]%	170,454
	Current	170,439
	+ [5]%	170,295
Money & Banking: Claims on Private Sector	- [5]%	170,586

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Credit risk (continued)

Incorporation of forward-looking information (continued)

		ECL AED'000
RAK Business Loans		
	Current	378,318
	+ [5]%	372,937
Commodity prices: Crude oil [Dubai Fateh], (USD per Bbl, NSA)	- [5]%	383,903
	Current	378,318
	+ [5]%	372,599
Hotel occupancy, (% , SA)	- [5]%	384,263
	Current	378,318
	+ [5]%	378,333
National accounts: Gross domestic product [GDP] - Real, (Mil. 2014 AED, SAAR)	- [5]%	378,304
Non-Retail loans (Wholesale Banking loans)		
	Current	646,188
	+ [5]%	650,297
Money Supply: M3, (Bil. AED, NSA)	- [5]%	645,427
	Current	646,188
	+ [5]%	643,646
House Prices: Residential properties - Abu Dhabi and Dubai	- [5]%	647,740
Non-Retail loans (Other Business Banking loans)		
	Current	523,288
	+ [5]%	522,966
Energy: Production - Crude oil including lease condensate, (Mil. Bbl per day, NSA)	- [5]%	525,545
	Current	523,288
	+ [5]%	498,936
National accounts: Expenditure approach - Non-oil sector, (Bil. 2010 AED, NSAAR)/Real Gross Domestic Product [GDP]	- [5]%	565,002

The impact is of change in each variable while other variables are kept constant. ECL is calculated by changing +/-5% of the forecast values of macro-economic variables to all three scenarios, for each variable keeping other variables constant. PD's are weighted by scenario probabilities.

PD Stage 1 : customers with no past due or past due up to 29 days
PD Stage 2 : customers with significant increase in credit risk

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

ECL Measurement

The Group measures ECL considering the risk of default over the maximum contractual period (including extension options) over which the entity is exposed to credit risk and not a longer period, even if contract extension or renewal is common business practice. However, for financial instruments such as credit cards, revolving credit facilities and overdraft facilities that include both a loan and an undrawn commitment component, the Group's contractual ability to demand repayment and cancel the undrawn commitment does not limit the Group's exposure to credit losses to the contractual notice period.

The Group uses external benchmark information for portfolios with limited historical data and for low default portfolios where there is no instances of historical default.

The Group has in place policies, which govern the determination of eligibility of various collateral including credit protection, to be considered for credit risk mitigation, which includes the minimum operational requirements that are required for the specific collateral to be considered as effective risk mitigating. The Group's major collaterals are mortgaged properties, investments, vehicles and other register-able assets.

The collateral is valued periodically ranging from quarterly to annually, depending on the type of collateral. Specifically for mortgaged property, a framework for valuation of mortgaged properties is established to ensure adequate policies and procedures are in place for efficient and proper conduct of valuation of mortgaged properties and other related activities in relation to the interpretation, monitoring and management of valuation of mortgaged properties.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Measurement of ECL (continued)

The following table contains an analysis of the maximum credit risk exposure from financial assets not subject to impairment (i.e. FVTPL) as at 31 December.

	Maximum exposure to credit risk	
	2024	2023
	AED '000	AED '000
Securities quoted at fair value through profit or loss:		
Quoted funds	92,958	71,091
Unquoted funds	47,901	43,960
Quoted equity securities	54,307	18,964
Quoted debt securities	258,549	112,009
Derivatives assets		
Trading derivatives	435,343	458,576

As at 31 December 2024, margin money of AED 152.7 million (31 December 2023: AED 215.6 million) have been held as collateral against trading derivatives.

The Group has used the updated macro-economic forecasts for the year and used the weightings of (40:30:30) for Baseline: Upside: Downside scenarios. The sensitivity to 10% increase in Downside Scenario, with a corresponding decrease of 10% in Upside scenario is AED 37.7 million as of 31 December 2024 (31 December 2023: AED 31.9 million).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Maximum exposure to credit risk before collateral held or other credit enhancements:

Maximum Credit Risk Exposure as at 31 December 2024

Particular	AED '000			
Rating grid wise	Stage 1	Stage 2	Stage 3	Total
Due from other banks				
1 to 4-	5,475,502	-	-	5,475,502
5+ to 6-	6,928,935	-	-	6,928,935
7+ to 7-	2,572	1,305	-	3,877
Total	12,407,009	1,305	-	12,408,314
Loans and Advances				
1 to 4-	14,794,332	12,964	-	14,807,296
5+ to 6-	9,209,751	179,035	-	9,388,786
7+ to 7-	16,714	500,021	10,331	527,066
8 to 10	-	-	431,127	431,127
Unrated	23,230,260	1,005,408	684,051	24,919,719
Total	47,251,057	1,697,428	1,125,509	50,073,994
Investment securities (at amortized costs and FVOCI)				
AA to AA-	4,585,232			4,585,232
A+ to A-	3,977,345			3,977,345
BBB+ to BBB-	4,511,671			4,511,671
BB+ to BB-	1,240,434			1,240,434
B+ to B-	918,799	331,274	-	1,250,073
D	-	7,062	-	7,062
Unrated	119,122	-	88,273	207,395
Total Amount	15,352,603	338,336	88,273	15,779,212
Customer Acceptances				
1 to 4-	47,245	-	-	47,245
5+ to 6-	349,362	10,005	-	359,367
Total	396,607	10,005	-	406,612
Off balance sheet items				
1 to 4-	4,804,070	2,607	-	4,806,677
5+ to 6-	1,203,295	41,409	-	1,244,704
7+ to 7-	7,279	4,119	-	11,398
8 to 10	-	-	10,948	10,948
Unrated	40,803	-	-	40,803
Total	6,055,447	48,135	10,948	6,114,530

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Maximum exposure to credit risk before collateral held or other credit enhancements: (continued)

Maximum Credit Risk Exposure as at 31 December 2023

Particular	AED '000			
Rating grid wise	Stage 1	Stage 2	Stage 3	Total
Due from other banks				
1 to 4-	6,780,158	-	-	6,780,158
5+ to 6-	5,655,613	-	-	5,655,613
7+ to 7-	1,274	1,078	-	2,352
Total	12,437,045	1,078	-	12,438,123
Loans and Advances				
1 to 4-	9,641,704	15,041	-	9,656,745
5+ to 6-	7,076,155	142,969	-	7,219,124
7+ to 7-	167,215	339,654	97	506,966
8 to 10	-	-	469,557	469,557
Unrated	22,969,289	474,143	686,563	24,129,995
Total	39,854,363	971,807	1,156,217	41,982,387
Investment securities (at amortized costs and FVOCI)				
AA to AA-	3,130,916	-	-	3,130,916
A+ to A-	2,362,458	-	-	2,362,458
BBB+ to BBB-	4,609,678	-	-	4,609,678
BB+ to BB-	1,298,266	-	-	1,298,266
B+ to B-	560,791	302,604	-	863,395
D	-	-	215,536	215,536
Unrated	254,593	14,978	55,129	324,700
Total Amount	12,216,702	317,582	270,665	12,804,949
Customer Acceptances				
1 to 4-	17,337	1,405	-	18,742
5+ to 6-	254,608	-	-	254,608
Total	271,945	1,405	-	273,350
Off balance sheet items				
1 to 4-	4,014,970	4,580	-	4,019,550
5+ to 6-	879,298	8,650	-	887,948
7+ to 7-	-	5,024	25	5,049
8 to 10	-	-	4,561	4,561
Unrated	101,998	-	-	101,998
Total	4,996,266	18,254	4,586	5,019,106

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Maximum exposure to credit risk before collateral held or other credit enhancements: (continued)

Investment securities

Investment securities comprise debt securities issued by the Government, organisations which are quasi-governmental and local and foreign reputable organisations.

The table below presents an analysis of debt securities by external ratings from credit rating agencies at 31 December 2024 and 31 December 2023:

	2024 AED'000	2023 AED'000
AAA	22,783	24,200
AA to AA-	4,698,593	3,109,919
A+ to A-	3,969,987	2,410,338
BBB+ to BBB-	4,576,006	4,662,096
BB+ to BB	1,273,873	1,309,065
B+ to B-	1,246,546	840,842
CCC+ to C	-	29,892
D	7,062	67,373
Unrated	174,927	282,221
	15,969,777	12,735,946

Concentration of risks of financial assets with credit risk exposure

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Bank's performance to developments affecting a particular industry or geographical location.

The Group stratifies the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to geographical and industry segments to avoid concentration. The group considers the collateralisation levels, financial position, industry growth prospects, etc., before taking the exposure. Such risks are monitored on an ongoing basis. Limits on the level of credit risk by product, industry sector and by country are approved by the Credit Committee and the Board of Directors. Portfolio monitoring includes ad hoc stress tests, rapid portfolio reviews along with end-to-end quality assurance checks.

In order to avoid excessive concentrations of risk, the Group's policies and procedures include specific guidelines to limit concentrations of exposures to counterparties, geographies and industries. Identified concentration of credit risk is controlled and managed accordingly.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Maximum exposure to credit risk before collateral held or other credit enhancements: (continued)

Geographical risk concentration

The following table breaks down the Group’s credit exposures at their carrying amounts, categorised by geographical region as of 31 December 2024 and 31 December 2023.

For this table, the Group has allocated exposures to regions based on the country of domicile of its counterparties:

On balance sheet items

	UAE AED’000	OECD AED’000	Others AED’000	Provision for credit loss AED’000	Total AED’000
31 December 2024					
Due from other banks, net	361,023	3,013,799	9,033,492	(47,714)	12,360,600
Investment securities measured at fair value	3,150,008	1,257,644	4,751,670	-	9,159,322
Investment securities measured at amortised cost	4,071,441	729,001	2,688,676	(44,837)	7,444,281
Loans and advances, net	45,130,533	528,956	4,414,505	(2,850,054)	47,223,940
Reinsurance contract assets	-	-	231,578	-	231,578
Customer acceptances	96,220	2,659	307,733	-	406,612
Total	52,809,225	5,532,059	21,427,654	(2,942,605)	76,826,333
31 December 2023					
Due from other banks, net	927,050	3,350,547	8,160,526	(51,627)	12,386,496
Investment securities measured at fair value	2,237,906	341,583	3,459,049	-	6,038,538
Investment securities measured at amortised cost	3,401,003	454,033	3,422,201	(77,708)	7,199,529
Loans and advances, net	38,516,609	827,261	2,638,517	(2,514,887)	39,467,500
Reinsurance contract assets	-	-	176,312	-	176,312
Customer acceptances	38,752	-	234,598	-	273,350
Total	45,121,320	4,973,424	18,091,203	(2,644,222)	65,541,725

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Maximum exposure to credit risk before collateral held or other credit enhancements: (continued)

The following table breaks down the Bank’s credit exposures on loans and advances, investment securities, due from other banks and off balance sheet items categorised by industry as of 31 December 2024 and 2023:

	On balance sheet items					
	Loans and advances AED’000	Investment securities AED’000	Due from other banks AED’000	Total funded AED’000	Off balance sheet Items AED’000	Total AED’000
31 December 2024						
Agriculture, fishing & related activities	54,709	62,081	-	116,790	34,756	151,546
Crude oil, gas, mining & quarrying	1,137,447	954,370	-	2,091,817	234,765	2,326,582
Manufacturing	3,761,723	604,479	-	4,366,202	88,899	4,455,101
Electricity & water	7,659	855,419	-	863,078	162,464	1,025,542
Construction and real estate	3,101,545	401,067	-	3,502,612	1,342,559	4,845,171
Trading	7,177,282	-	-	7,177,282	1,017,029	8,194,311
Transport, storage & communication	1,679,792	512,089	-	2,191,881	645,118	2,836,999
Financial institutions	4,966,302	7,960,016	12,408,314	25,334,632	581,728	25,916,360
Services	3,313,573	241,781	-	3,555,354	1,975,965	5,531,319
Government	455,214	5,057,138	-	5,512,352	26,790	5,539,142
Retail and consumer banking	24,418,748	-	-	24,418,748	4,457	24,423,205
Total exposures	50,073,994	16,648,440	12,408,314	79,130,748	6,114,530	85,245,278
Provision for credit loss	(2,850,054)	(44,837)	(47,714)	(2,942,605)	(30,674)	(2,973,279)
Net exposures	47,223,940	16,603,603	12,360,600	76,188,143	6,083,856	82,271,999
31 December 2023						
Agriculture, fishing & related activities	147,008	74,234	-	221,242	24,871	246,113
Crude oil, gas, mining & quarrying	795,560	598,986	-	1,394,546	73,963	1,468,509
Manufacturing	3,153,314	586,640	-	3,739,954	175,027	3,914,981
Electricity & water	104,387	609,885	-	714,272	111,625	825,897
Construction and real estate	1,645,791	368,000	-	2,013,791	668,582	2,682,373
Trading	5,785,347	-	-	5,785,347	476,005	6,261,352
Transport, storage & communication	2,206,916	546,904	-	2,753,820	1,095,260	3,849,080
Financial institutions	1,770,318	6,985,166	12,438,123	21,193,607	681,768	21,875,375
Services	4,969,205	135,366	-	5,104,571	2,223,275	7,327,846
Government	367,666	3,410,594	-	3,778,260	72,205	3,850,465
Retail and consumer banking	21,036,875	-	-	21,036,875	3,746	21,040,621
Total exposures	41,982,387	13,315,775	12,438,123	67,736,285	5,606,327	73,342,612
Provision for credit loss	(2,514,887)	(77,708)	(51,627)	(2,644,222)	(24,755)	(2,668,977)
Net exposures	39,467,500	13,238,067	12,386,496	65,092,063	5,581,572	70,673,635

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Credit quality

The Group monitors credit risk per class of financial instrument. The table below outlines the classes identified, as well as the financial statement line item and the note that provides an analysis of the items included in the financial statement line for each class of financial instrument:

<i>Class of financial instrument</i>	<i>Notes</i>
Due from other banks	5
Loans and advances	6
Investment securities measured at fair value	7
Investment securities measured at amortised cost	7
Reinsurance contract assets	15

An analysis of the Group's credit risk exposure without taking into account the effects of any collateral or other credit enhancements is provided in the following tables. Unless specifically indicated, for financial assets, the amounts in the table represent gross carrying amounts. For loan commitments and financial guarantee contracts, the amounts in the table represent the amounts committed or guaranteed, respectively.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Exposure stage transitions

Loans and advances	31 December 2024			AED '000
	Stage 1	Stage 2	Stage 3	Grand Total
Opening Balance 1 January 2024	39,854,363	971,807	1,156,217	41,982,387
Stage Transfer				
Stage 1 to Stage 2 Transfer	(2,448,330)	2,448,330	-	-
Stage 2 to Stage 3 Transfer	-	(856,243)	856,243	-
Stage 2 to Stage 1 Transfer	406,414	(406,414)	-	-
Stage 3 to Stage 2 Transfer	-	73,945	(73,945)	-
Change in Exposures during the year	(29,761,419)	(718,585)	(243,733)	(30,723,737)
New Financial Assets Originated and other transfers	39,200,029	184,588	-	39,384,617
Write offs	-	-	(569,273)	(569,273)
Closing Balance 31 December 2024	47,251,057	1,697,428	1,125,509	50,073,994
31 December 2023				
Loans and advances	31 December 2023			AED '000
	Stage 1	Stage 2	Stage 3	Grand Total
Opening Balance 1 January 2023	35,631,176	1,310,642	1,202,501	38,144,319
Stage Transfer				
Stage 1 to Stage 2 Transfer	(1,700,347)	1,700,347	-	-
Stage 2 to Stage 3 Transfer	-	(1,034,704)	1,034,704	-
Stage 2 to Stage 1 Transfer	384,992	(384,992)	-	-
Stage 3 to Stage 2 Transfer	-	59,886	(59,886)	-
Change in Exposures during the year	(28,835,896)	(964,811)	(443,359)	(30,244,066)
New Financial Assets Originated and other transfers	34,374,438	285,439	45,956	34,705,833
Write offs	-	-	(623,699)	(623,699)
Closing Balance 31 December 2023	39,854,363	971,807	1,156,217	41,982,387

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Exposure stage transitions (continued)

Investment securities – FVOCI*	31 December 2024			AED'000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening Balance 1 January 2024	5,190,248	103,749	233,715	5,527,712
Stage Transfer				
Stage 1 to Stage 2 Transfer	-	-	-	-
Stage 2 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 1 Transfer	-	-	-	-
Change in Exposures during the year	(1,091,121)	25,423	(27,171)	(1,092,869)
New Financial Assets Originated	3,973,522	-	-	3,973,522
Write offs	-	-	(118,271)	(118,271)
Closing Balance 31 December 2024	8,072,649	129,172	88,273	8,290,094

Investment securities – FVOCI*	31 December 2023			AED'000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening Balance 1 January 2023	3,653,255	-	182,885	3,836,140
Stage Transfer				
Stage 1 to Stage 2 Transfer	(177,323)	177,323	-	-
Stage 2 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 1 Transfer	-	-	-	-
Change in Exposures during the year	(1,197,954)	(73,574)	50,830	(1,220,698)
New Financial Assets Originated	2,912,270	-	-	2,912,270
Write offs	-	-	-	-
Closing Balance 31 December 2023	5,190,248	103,749	233,715	5,527,712

* Exposures are gross of IFRS 9 provisions held

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Exposure stage transitions (continued)

Investment securities - Amortized Cost	31 December 2024			AED'000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening Balance 1 January 2024	7,026,454	213,833	36,950	7,277,237
Stage Transfer				
Stage 1 to Stage 2 Transfer	-	-	-	-
Stage 2 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 1 Transfer	-	-	-	-
Change in Exposures during the year	(4,843,791)	(4,669)	(220)	(4,848,680)
New Financial Assets Originated	5,097,291	-	-	5,097,291
Write offs	-	-	(36,730)	(36,730)
Closing Balance 31 December 2024	7,279,954	209,164	-	7,489,118

Investment securities - Amortized Cost	31 December 2023			AED'000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening Balance 1 January 2023	7,224,475	17,447	37,008	7,278,930
Stage Transfer				
Stage 1 to Stage 2 Transfer	(195,826)	195,826	-	-
Stage 2 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 1 Transfer	-	-	-	-
Change in Exposures during the year	(4,237,056)	560	(58)	(4,236,554)
New Financial Assets Originated	4,234,861	-	-	4,234,861
Write offs	-	-	-	-
Closing Balance 31 December 2023	7,026,454	213,833	36,950	7,277,237

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Exposure stage transitions (continued)

Due from banks	31 December 2024			AED '000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening balance 1 January 2024	12,437,045	1,078	-	12,438,123
Stage Transfer				
Stage 2 to Stage 1 transfer	-	-	-	-
Change in Exposures during the year	(9,115,202)	227	-	(9,114,975)
New Financial Assets Originated	9,085,166	-	-	9,085,166
Closing Balance 31 December 2024	12,407,009	1,305	-	12,408,314

Due from banks	31 December 2023			AED '000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening balance 1 January 2023	11,510,110	3,509	-	11,513,619
Stage Transfer				
Stage 2 to Stage 1 transfer	-	-	-	-
Change in Exposures during the year	(12,374,179)	(2,431)	-	(12,376,610)
New Financial Assets Originated	13,301,114	-	-	13,301,114
Closing Balance 31 December 2023	12,437,045	1,078	-	12,438,123

Customer Acceptances	31 December 2024			AED 000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening balance 1 January 2024	271,945	1,405	-	273,350
Stage Transfers				
Stage 1 to Stage 2 Transfer	(4,866)	4,866	-	-
Change in Exposures during the year	52,811	3,734	-	56,545
New Financial Assets Originated	76,717	-	-	76,717
Closing Balance 31 December 2024	396,607	10,005	-	406,612

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Exposure stage transitions (continued)

Customer Acceptances	31 December 2023			AED 000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening balance 1 January 2023	128,228	17,745	-	145,973
Stage Transfers				
Stage 1 to Stage 2 Transfer	-	-	-	-
Change in Exposures during the year	(120,515)	(16,340)	-	(136,855)
New Financial Assets Originated	264,232	-	-	264,232
Closing Balance 31 December 2023	271,945	1,405	-	273,350

Off balance sheet items and irrevocable Commitments	31 December 2024			AED'000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening Balance 1 January 2024	4,996,266	18,254	4,586	5,019,106
Stage Transfer				
Stage 1 to Stage 2 Transfer	(35,985)	35,985	-	-
Stage 1 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 3 Transfer	-	(4,536)	4,536	-
Stage 2 to Stage 1 Transfer	5,025	(5,025)	-	-
Change in Exposures during the year	(3,469,606)	-	-	(3,469,606)
New Financial Assets Originated	4,559,747	3,457	1,826	4,565,030
Closing Balance 31 December 2024	6,055,447	48,135	10,948	6,114,530

Off balance sheet items and irrevocable Commitments	31 December 2023			AED'000 Grand Total
	Stage 1	Stage 2	Stage 3	
Opening Balance 1 January 2023	4,964,269	28,265	2,245	4,994,779
Stage Transfer				
Stage 1 to Stage 2 Transfer	(12,003)	12,003	-	-
Stage 1 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 3 Transfer	-	(3,000)	3,000	-
Stage 2 to Stage 1 Transfer	160	(160)	-	-
Change in Exposures during the year	(1,747,423)	(18,854)	(659)	(1,766,936)
New Financial Assets Originated	1,791,263	-	-	1,791,263
Closing Balance 31 December 2023	4,996,266	18,254	4,586	5,019,106

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Movement of the provision for credit loss

Summary of provision for credit loss and net movement on the financial instruments by category are as follows:

Particulars	1 January 2024 AED '000	Net change during the year AED '000	Other Movement AED '000	31 December 2024 AED '000
Due from other banks	51,627	(3,913)	-	47,714
Loans and Advances	2,514,887	904,440	(569,273)	2,850,054
Investment Securities - FVOCI	181,012	2,676	(115,705)	67,983
Investment Securities – amortised cost	77,708	3,859	(36,730)	44,837
Other receivables	33,441	4,360	(52)	37,749
Customer Acceptances	7,115	(4,727)	-	2,388
Off balance sheet items	24,755	5,919	-	30,674
Total	2,890,545	912,614	(721,760)	3,081,399

The tables below analyse the movement of the provision for credit loss during the year per class of financial assets:

Due from banks

	Stage 1 AED '000	Stage 2 AED '000	Stage 3 AED '000	Grand Total AED '000
Opening balance 1 January 2024	51,594	33	-	51,627
Stage Transfers	-	-	-	-
Stage 2 to Stage 1 transfer	-	-	-	-
Due to changes in PD's/ LGD's/ EAD	(25,829)	777	-	(25,052)
Due to new financial assets originated	21,139	-	-	21,139
Closing Balance 31 December 2024	46,904	810	-	47,714

	Stage 1 AED '000	Stage 2 AED '000	Stage 3 AED '000	Grand Total AED '000
Opening balance 1 January 2023	57,153	145	-	57,298
Stage Transfers	-	-	-	-
Stage 2 to Stage 1 transfer	-	-	-	-
Due to changes in PD's/ LGD's/ EAD	(35,873)	(112)	-	(35,985)
Due to new financial assets originated	30,314	-	-	30,314
Closing Balance 31 December 2023	51,594	33	-	51,627

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Movement of the provision for credit loss (continued)

Loans and advances	Stage 1	Stage 2	Stage 3	Grand Total
Opening Balance 1 January 2024	1,265,143	462,155	787,589	2,514,887
Stage Transfer	-	-	-	-
Stage 1 to Stage 2 Transfer	(500,284)	500,284	-	-
Stage 2 to Stage 3 Transfer	-	(459,215)	459,215	-
Stage 2 to Stage 1 Transfer	184,270	(184,270)	-	-
Stage 3 to Stage 2 Transfer	-	34,791	(34,791)	-
Due to changes in PD's/ LGD's/ EAD	(373,347)	108,283	75,553	(189,511)
Due to new financial assets originated and other transfers	821,087	124,061	148,803	1,093,951
Write offs	-	-	(569,273)	(569,273)
Closing Balance 31 December 2024	1,396,869	586,089	867,096	2,850,054

	Stage 1	Stage 2	Stage 3	Grand Total
Opening Balance 1 January 2023	703,593	475,638	893,821	2,073,052
Stage Transfer	-	-	-	-
Stage 1 to Stage 2 Transfer	(224,766)	224,766	-	-
Stage 2 to Stage 3 Transfer	-	(393,398)	393,398	-
Stage 2 to Stage 1 Transfer	159,741	(159,741)	-	-
Stage 3 to Stage 2 Transfer	-	28,425	(28,425)	-
Due to changes in PD's/ LGD's/ EAD	138,740	203,708	113,912	456,360
Due to new financial assets originated and other transfers	487,835	82,757	38,582	609,174
Write offs	-	-	(623,699)	(623,699)
Closing Balance 31 December 2023	1,265,143	462,155	787,589	2,514,887

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Movement of the provision for credit loss (continued)

Investment securities – FVOCI	Stage 1	Stage 2	Stage 3	AED '000 Grand Total
Opening Balance 1 January 2024	5,246	15,188	160,578	181,012
Stage Transfer				
Stage 1 to Stage 2 Transfer	-	-	-	-
Stage 2 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 1 Transfer	-	-	-	-
Due to changes in PD's/ LGD's/ EAD	1,139	3,985	(1,307)	3,817
Due to new financial assets originated	1,425	-	-	1,425
Write offs	-	-	(118,271)	(118,271)

Closing Balance 31 December 2024	7,810	19,173	41,000	67,983
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Investment securities – FVOCI	Stage 1	Stage 2	Stage 3	AED '000 Grand Total
Opening Balance 1 January 2023	7,816	-	136,312	144,128
Stage Transfer				
Stage 1 to Stage 2 Transfer	(19,660)	19,660	-	-
Stage 2 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 1 Transfer	-	-	-	-
Due to changes in PD's/ LGD's/ EAD	14,597	(4,472)	24,266	34,391
Due to new financial assets originated	2,493	-	-	2,493
Write offs				

Closing Balance 31 December 2023	5,246	15,188	160,578	181,012
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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Movement of the provision for credit loss (continued)

Investment securities - Amortized Cost	Stage 1	Stage 2	Stage 3	AED '000 Grand Total
Opening Balance 1 January 2024	7,214	33,764	36,730	77,708
Stage Transfer				
Stage 1 to Stage 2 Transfer	-	-	-	-
Stage 2 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 1 Transfer	-	-	-	-
Due to changes in PD's/ LGD's/ EAD	632	5,921	-	6,553
Due to new financial assets originated	(2,694)	-	-	(2,694)
Write offs	-	-	(36,730)	(36,730)

Closing Balance 31 December 2024	5,152	39,685	-	44,837
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Investment securities - Amortized Cost	Stage 1	Stage 2	Stage 3	AED '000 Grand Total
Opening Balance 1 January 2023	18,557	9,183	29,384	57,124
Stage Transfer				
Stage 1 to Stage 2 Transfer	(6,141)	6,141	-	-
Stage 2 to Stage 3 Transfer	-	-	-	-
Stage 2 to Stage 1 Transfer	-	-	-	-
Due to changes in PD's/ LGD's/ EAD	(15,562)	18,440	7,346	10,224
Write offs	-	-	-	-
Due to new financial assets originated	10,360	-	-	10,360

Closing Balance 31 December 2023	7,214	33,764	36,730	77,708
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Customer Acceptances	Stage 1	Stage 2	Stage 3	AED '000 Grand Total
Opening balance 1 January 2024	7,110	5	-	7,115
Stage Transfer				
Stage 1 to Stage 2 Transfer	(212)	212	-	-
Due to changes in PD's/ LGD's/ EAD	(6,501)	(20)	-	(6,521)
Due to new financial assets originated	1,794	-	-	1,794

Closing Balance as at 31 December 2024	2,191	197	-	2,388
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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Movement of the provision for credit loss (continued)

Customer Acceptances	Stage 1	Stage 2	Stage 3	AED '000 Grand Total
Opening balance 1 January 2023	602	80	-	682
Stage Transfer				
Stage 1 to Stage 2 Transfer	(5)	5	-	-
Due to changes in PD's/ LGD's/ EAD	(529)	(80)	-	(609)
Due to new financial assets originated	7,042	-	-	7,042
Closing Balance as at 31 December 2023	7,110	5	-	7,115

Off balance sheet items and irrevocable Commitments	Stage 1	Stage 2	Stage 3	AED '000 Grand Total
Opening Balance 1 January 2024	23,175	83	1,497	24,755
Stage Transfer				
Stage 1 to Stage 2 Transfer	(998)	998	-	-
Stage 2 to Stage 3 Transfer	-	(1,468)	1,468	-
Stage 2 to Stage 1 Transfer	28	(28)	-	-
Due to changes in PD's/ LGD's/ EAD	(4,225)	865	(506)	(3,866)
Due to new financial assets originated	9,785	-	-	9,785
Closing Balance 31 December 2024	27,765	450	2,459	30,674

Off balance sheet items and irrevocable Commitments	Stage 1	Stage 2	Stage 3	AED '000 Grand Total
Opening Balance 1 January 2023	25,722	912	384	27,018
Stage Transfer				
Stage 1 to Stage 2 Transfer	(52)	52	-	-
Stage 2 to Stage 3 Transfer		(592)	592	-
Stage 2 to Stage 1 Transfer	1	(1)	-	-
Due to changes in PD's/ LGD's/ EAD	(9,862)	(288)	521	(9,629)
Due to new financial assets originated	7,366	-	-	7,366
Closing Balance 31 December 2023	23,175	83	1,497	24,755

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Collateral held as security and other credit enhancements

The Group holds collateral or other credit enhancements to mitigate credit risk associated with financial assets. The main types of collateral and the types of assets these are associated with are listed in the table below. The collateral presented relates to instruments that are measured at FVOCI, amortized cost and at FVTPL.

	Type of collateral held
Derivative asset	Fixed Deposit/Cash Margin
Loans and advances to banks	Letter of Comfort/Export Bills
Mortgage lending	Mortgage over Property
Corporate lending	Fixed Deposit/Cash Margin; Mortgage over Properties/Vehicles; Bank Guarantee/Stand-by Letter of Credit; Pledge of Shares; Stocks and Receivables etc.
Investment securities	Underlying investments

In addition to the collateral included in the table above, the Group holds other types of collateral and credit enhancements, such as second charges and floating charges for which specific values are not generally available.

There was no change in the Group's collateral policy during the year. More details with regards to collateral held for certain classes of financial assets can be found below.

	2024 AED '000	2023 AED '000
Credit Impaired Loans and Advances		
Stage 3 Loans and Advances	1,125,509	1,156,217
Less: Provisions held	(867,096)	(787,589)
Net Exposures	258,413	368,628
Market value of Collateral held		
Property	674,461	660,450
Vehicles & others	3,071	4,852
Securities	30,177	25,429
Total value of Collaterals	707,709	690,731

Off-setting of collateral

	2024 AED '000	2023 AED '000
Cash collaterals held against outstanding loans	1,334,202	1,203,692

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Restructured loans and advances

Restructuring activities include interest rate adjustments, extended payment arrangements and modification of payments. The majority of restructuring activity is undertaken to improve cash flow and is within the terms and conditions of the Group's product programme guideline and policy. The Group has reviewed the entire portfolio and reported only restructured loans with financial difficulties under this note. The group has a full-fledged Collections and Recovery Unit that follow-up with overdue/delinquent customers for regularising the loan/advances. The table below presents loans restructured during the year 2024 and 2023.

Restructured loans during the year:

Product	2024		2023	
	No of accounts	Loan amount AED'000	No of accounts	Loan amount AED'000
Personal loans	172	57,717	197	54,718
Mortgage loans	1	878	1	7,700
Credit cards	914	31,885	762	26,507
Auto loans	9	414	1	121
Other business banking loans	32	24,095	40	36,377
Wholesale banking loans	-	-	1	15,355
RAK business loans	150	91,054	106	63,095
Total	1,278	206,043	1,108	203,873

The table below presents restructured loan portfolio outstanding as at 31 December:

Product	2024		2023	
	No of accounts	Loan amount AED'000	No of accounts	Loan amount AED'000
Personal loans	1,846	563,400	2,038	608,321
Mortgage loans	37	65,472	52	86,382
Credit cards	3,293	61,882	4,080	77,071
Auto loans	44	1,388	61	1,948
Other business banking loans	122	53,968	169	106,554
Wholesale banking loans	1	44,490	2	59,861
RAK finance business loans	524	222,624	561	259,119
Total	5,867	1,013,224	6,963	1,199,256

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Restructured loans and advances (continued)

Mortgage lending

The Group holds residential properties as collateral for the mortgage loans it grants to its customers. The Group monitors its exposure to retail mortgage lending using the LTV ratio, which is calculated as the ratio of the gross amount of the loan – or the amount committed for loan commitments – to the value of the collateral. The valuation of the collateral excludes any adjustments for obtaining and selling the collateral. The value of the collateral for residential mortgage loans is typically based on the collateral value at origination updated based on changes in house price indices. For credit-impaired loans the value of collateral is based on the most recent appraisals.

Corporate lending

The most relevant indicator of corporate customers' creditworthiness is an analysis of their financial performance, cash-flow generation, their liquidity, advantage, management effectiveness and growth ratios. Additionally, the Group may also request collateral and guarantees for corporate lending. The valuation of collateral held against corporate lending, after initial approval, is updated once every two years for a performing asset. The valuation of such collateral is monitored more closely if the loan is put on "watch-list".

Offsetting financial assets and financial liabilities:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet where the Group currently has a legally enforceable right to offset the recognised amounts, and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The Group has also entered into arrangements that do not meet the criteria for offsetting but still allow for the related amounts to be set off in certain circumstances, such as bankruptcy or the termination of a contract.

The Group has no offsetting financial assets and financial liabilities to report as at 31 December 2024 and 31 December 2023.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Risk Management – Hedging:

The following note explains the group’s exposure to financial risks that are hedged, and for which hedge accounting is applied:

Risk	Exposure Arising from	Measurement	Management
Currency risk	Loans and advances in foreign currency	Cash flow forecasting	Currency forwards
	Deposit from customer in foreign currency		Currency forwards
	Investment securities in foreign currency		Cross currency swaps
Interest rate risk	Investment in debt securities	Sensitivity analysis	Interest rate swaps
	Debts securities and other long term borrowing		
	Loans and advances		

The financial details of the hedged exposures are covered in Note 33.

Market risk

The Group takes on exposure to market risk, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risks arise from open positions in interest rate, currency and equity instruments, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as interest rates, credit spreads, foreign exchange rates and equity prices.

The Asset and Liability Committee (ALCO) is chaired by the Chief Financial Officer and comprises of the Chief Executive Officer, Divisional heads of Treasury, Risk, Operations, Wholesale Banking, Business Banking and Retail Banking. It meets on a regular basis to monitor and manage market risk.

ALCO is responsible for formalising the Banks key financial indicators and ratios, sets the thresholds to manage and monitor the market risk and also analyses the sensitivity of the Banks interest rate and maturity mismatches. ALCO in conjunction with Group’s Investment Committee guides the investment decisions and provides guidance in terms of interest rate and currency movements.

Market Risk and Treasury Mid Office functions with Risk Management are responsible for day to day monitoring of Market risk exposures within Board approved Policies and Market Risk Appetite .

The exposures to derivatives include forward exchange contracts, Option Contracts and Interest Rate Swaps which are entered to meet customer needs and covered back to back in the interbank market. Further the Group has executed some interest rate swaps and a Cross Currency Swap for economic hedging purposes. Also, the Group has executed some derivatives on proprietary books within Board approved Risk Limits for Trading.

Group’s proprietary Investments are managed according to the group’s approved Market Risk Investments & Trading Policy.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Price risk

The Group is exposed to price risk as a result of its holdings in debt securities classified as fair value through OCI and fair value through profit and loss in investment securities. The fair values of investments quoted in active markets are based on current prices. Group’s Investment Committee meets regularly to discuss the return on investment and concentration across the Group’s investment portfolio and manages the risk through diversification in terms of Counterparty, Country Industry and Rating. Any trading positions in securities under the fair value through profit and loss are guided by the approved Limits for Trading

The sensitivity analysis for price risk illustrates how changes in the fair value of quoted equity securities and funds held by the Group will fluctuate because of changes to market prices whether those changes are caused by factors specific to the individual issuer, or factors affecting all similar securities traded in the market.

The table below summarizes the impact of increases/decreases of the indexes on the group’s equity and profit for the year. The analysis is based on the assumption that the equity indexes had increased or decreased by 5% and 2% respectively with all other variables held constant, and that all of the group’s equity and fund instruments moved in line with the indexes.

	Impact on Profit		Impact on OCI	
	2024	2023	2024	2023
	AED’000	AED’000	AED’000	AED’000
Increase / decrease by 5% (+/-)	7,363	4,503	24,175	22,291
Increase / decrease by 2% (+/-)	2,945	1,801	9,670	8,916

Post-tax profit for the year would increase/decrease as a result of gains/losses on equity securities or funds classified as at FVTPL. Other components of equity would increase/decrease as a result of gains/losses on equity securities or funds classified as at FVOCI.

Interest rate risk

Interest rate risk is the risk of loss due to changes in the level and/or the volatility of interest rates. Structural interest rate risk arises when changes in interest rates affect the market value, cash flows, and earnings of assets and liabilities to our banking activities. The objective of structural interest rate risk management is to maintain high-quality earnings and maximize sustainable product spreads, while managing risk to the economic value of our net assets arising from changes in interest rates.

The Group measures and monitors interest rate risk and rate of return risk in the Banking Book through the use of earning based measures (Net Interest Income, “NII”) and equity based measures (Economic Value of Equity, “EVE”) under various stress scenarios to analyze the impact of anticipated movement in interest rates on the Bank’s profitability and equity. The Group has an overarching Group Risk Appetite Framework that includes risk appetite tolerance levels for Interest Rate Risk in the Banking Book (“IRRBB”) triggers. The Group has a Board approved IRRBB Framework as part of Bank’s Enterprise Risk Management Framework that includes governance, methodologies, the escalation mechanisms and the reporting required at the Management and Board Risk Committees. The annual ICAAP process also includes an exhaustive stress testing exercise to assess the impact of interest rate shocks on the Banking Book. IRRBB is overseen by the Asset Liability Committee (“ALCO”) along with the Management Risk Committee and under the oversight of the Board Risk Committee.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Interest rate risk (continued)

The Bank has a Hedging framework which articulates the hedging strategies and the governance process for both fair value and cash flow interest rate risks hedging. The Bank uses several types of derivative products, including interest rate swaps, futures, and options to hedge interest rate risk exposures.

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The table below sets out the Group's assets and liabilities at carrying amounts, categorized by the earlier of contractual repricing or maturity dates:

	Less than 3 months AED'000	3 months to 1 year AED'000	1 – 3 years AED'000	3 – 5 years AED'000	Over 5 years AED'000	Non - interest bearing AED'000	Total AED'000
At 31 December 2024							
Assets							
Cash and balances with the UAE Central Bank	-	-	-	-	-	8,770,312	8,770,312
Due from other banks, net	6,530,722	5,006,947	870,645	-	-	(47,714)	12,360,600
Loans and advances, net	26,132,675	6,351,473	11,179,574	5,450,409	1,232,938	(3,123,129)	47,223,940
Investment securities measured at fair value	614,825	242,897	1,790,607	2,935,876	2,950,761	624,356	9,159,322
Investment securities measured at amortised cost	1,433,564	2,007,842	1,958,408	699,231	1,390,073	(44,837)	7,444,281
Reinsurance contract assets	-	-	-	-	-	231,578	231,578
Customer Acceptances	400,411	6,201	-	-	-	-	406,612
Goodwill and intangible assets, Right of use assets, Property and equipment and other assets	318,437	169,104	12,908	516	1,704	2,226,093	2,728,762
Total	35,430,634	13,784,464	15,812,142	9,086,032	5,575,476	8,636,659	88,325,407
Liabilities and shareholders' equity							
Due to other banks	5,370,465	1,729,010	-	-	-	-	7,099,475
Deposits from customers	51,628,078	7,718,575	302,182	841	2	-	59,649,678
Debt securities issued and other long term borrowings	2,385,556	368,598	-	2,183,664	-	-	4,937,818
Insurance contract liabilities	-	-	-	-	-	481,321	481,321
Other liabilities	232,402	127,966	58,132	23,667	1,704	2,594,842	3,038,713
Customer acceptances	400,411	6,201	-	-	-	-	406,612
Subordinated note	-	-	-	-	915,111	-	915,111
Shareholders' equity	-	-	-	-	-	11,796,679	11,796,679
Total	60,016,912	9,950,350	360,314	2,208,172	916,817	14,872,842	88,325,407
Interest rate sensitivity gap	(24,586,278)	3,834,114	15,451,828	6,877,860	4,658,659	(6,236,183)	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Interest rate risk (continued)

	Less than 3 months AED'000	3 months to 1 year AED'000	1 – 3 years AED'000	3 – 5 years AED'000	Over 5 years AED'000	Non - interest bearing AED'000	Total AED'000
At 31 December 2023							
Assets							
Cash and balances with the UAE Central Bank	-	-	-	-	-	5,725,115	5,725,115
Due from other banks, net	9,791,682	2,642,582	3,859	-	-	(51,627)	12,386,496
Loans and advances, net	23,729,613	6,623,174	7,924,236	2,647,742	1,248,828	(2,706,093)	39,467,500
Investment securities measured at fair value	282,966	393,859	1,186,254	1,737,180	1,858,450	579,829	6,038,538
Investment securities measured at amortised cost	1,171,831	1,239,055	1,949,866	1,531,454	1,385,031	(77,708)	7,199,529
Reinsurance contract assets	-	-	-	-	-	176,312	176,312
Customer Acceptances	160,764	112,586	-	-	-	-	273,350
Goodwill and intangible assets, Right of use assets, Property and equipment and other assets	299,224	177,306	28,899	10,662	-	2,171,703	2,687,794
Total	35,436,080	11,188,562	11,093,114	5,927,038	4,492,309	5,817,531	73,954,634
Liabilities and shareholders' equity							
Due to other banks	6,350,289	367,300	-	-	-	-	6,717,589
Deposits from customers	42,435,136	7,286,203	642,209	31,594	-	-	50,395,142
Debt securities issued and other long-term borrowings	1,283,737	2,198,264	-	-	-	-	3,482,001
Insurance contract liabilities	-	-	-	-	-	383,311	383,311
Other liabilities	193,807	150,677	28,899	81,644	-	1,893,687	2,348,714
Customer acceptances	160,764	112,586	-	-	-	-	273,350
Subordinated note	-	-	-	-	-	-	-
Shareholders' equity	-	-	-	-	-	10,354,527	10,354,527
Total	50,423,733	10,115,030	671,108	113,238	-	12,631,525	73,954,634
Interest rate sensitivity gap	(14,987,653)	1,073,532	10,422,006	5,813,800	4,492,309	(6,813,994)	-

Interest rate risk is assessed by measuring the impact of reasonable possible change in interest rate movements. The Group assumes a fluctuation in interest rates of 25 basis points (bps) and estimates the following impact on the net profit for the year and net assets at that date:

	2024 AED'000	2023 AED'000
Fluctuation in interest rates by 25 bps	47,908	31,177

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

40. Financial risk management (continued)

Interest rate risk (continued)

The interest rate sensitivities set out above are worst case scenarios and employ simplified calculations. They are based on the gap between AED 49,215 million (2023: AED 46,625 million) of interest-bearing assets with maturities within one year and AED 69,967 million (2023: AED 60,539 million) of interest-bearing liabilities with maturities within one year. The sensitivity does not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.

Fundamental review of the trading book

The final Basel III reforms implemented in the second quarter of 2023 as it pertains to the Fundamental Review of the Trading Book (“FRTB”) have not yet been implemented in the UAE. The Group currently monitors and manages market risk in the Trading Book through defined Stop Loss limits, Sensitivities limits, Position limits, VaR Limits, and by performing portfolio-wide stress tests on a periodic basis. Positions classified in the Trading Book are positions that are classified or designated as Fair Value through P&L (“FVTPL”).

Interest Rate Benchmark Reform

Regulators and central banks in various jurisdictions convened national working groups to identify replacement rates for the interbank offer rates (IBORS”) to facilitate an orderly transition to these rates.

The Group has successfully transitioned all of its USD LIBOR contracts to alternative risk-free rates either through amendments or reliance through fallback provisions (the Bank did not have exposure to GBP, EUR, CHF, nor JPY LIBOR benchmarks).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

40. Financial risk management (continued)

Interest rate risk (continued)

Business Risk Review: the global economic outlook remains uncertain given increasing geopolitical uncertainty, and declining interest rate environment

The UAE economy has remained buoyant during 2024, supported by continued rapid growth in non-oil related GDP. In line with UAE’s economic diversification efforts (‘We the UAE 2031’ vision), the country continues to make significant progress to reduce its reliance on oil and shift towards a competitive economy driven by knowledge and innovation. Financial and insurance activities are the fastest growing sector due to the increase in local credit to the private sector and is the leading non-oil economic sector contributing to GDP growth.

Global inflation has been moderating due to the combined effects of restrictive monetary policies implemented in 2022 and 2023. Average inflation for UAE is expected at around 2 percent in 2024 as per IMF, up from 1.6 percent in 2023. Transportation and shelter costs remain elevated and potential for restrictive US trade policies has the potential to disrupt further rate cuts.

Given the nature of the Bank’s business, a lower interest rate environment creates headwinds for the Bank’s financial performance, particularly in terms of NII generation. The Bank has been positioning for lower asset yields and will continue to manage through the uncertain interest rate cycle and had made a conscious decision to increase fixed and long-term assets to lock in yields at higher rates. These risks are continuously reviewed via the various governance forums within the Bank.

Whilst the global economic outlook remains uncertain, the fundamentals of the UAE economy remain strong. The Banks in the UAE are adequately capitalized and sufficiently liquid, though nonperforming loans remain elevated, albeit down from the peaks, and real estate prices have risen sharply in some segments. The outlook remains cautiously optimistic subject to heightened global uncertainty. A decline in oil demand and reduced global trade and tourism from slower global growth, tighter financial conditions, or geopolitical developments would weigh on growth and pressure fiscal and external balances.

Foreign Currency risk

Foreign currency risk is the risk that the value of a Financial instrument will fluctuate due to the changes in foreign exchange rates (Spot rates, Forward rates & Volatilities) and arises from financial instruments denominated in a foreign currency. Such Foreign Currency Positions are closely monitored and are strategies are used to ensure such positions are maintained within established Board approved Limits. Positions are mitigated through hedges using foreign exchange positions and derivatives.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Foreign Currency risk (continued)

At 31 December, the Group has below mentioned currency exposures

	At 31 December 2024			At 31 December 2023		
	Net spot Position AED AED'000	Net forward Position AED AED'000	Net Position AED AED'000	Net spot Position AED AED'000	Net forward Position AED AED'000	Net Position AED AED'000
US Dollars - USD	13,381,879	1,338,132	14,720,011	12,177,220	(6,049,309)	6,127,911
Euro – EUR	(395,728)	399,955	4,227	(341,100)	332,046	(9,054)
Pound Sterling - GBP	(212,458)	219,654	7,196	(220,755)	215,307	(5,448)
Saudi Riyal - SAR	(29,406)	1,429,123	1,399,717	35,327	(269,712)	(234,385)
Kuwaiti Dinar – KWD	316,941	(279,429)	37,512	1,140	0	1,140
Gold – XAU	411,636	(414,818)	(3,182)	342,924	(332,948)	9,976
Bahrain Dinar - BHD	109,024	73,861	182,885	-	-	-
Indian Rupee - INR	33,206	15,224	48,430	43,335	1,348	44,683
Others	38,436	(3,846)	34,590	28,340	(91,995)	(63,655)
	13,653,530	2,777,856	16,431,386	12,066,431	(6,195,263)	5,871,168

The Group has no significant exposure to foreign currency risk as its functional currency is pegged to the USD, the currency in which the Group has the largest net open position at 31 December 2024 and 2023. All currency positions are within limits laid down by Board Risk Committee.

Impact of fluctuation in market rate on open currency position other than USD

	2024 AED'000	2023 AED'000
Net open currency position non-USD	1,711,375	(256,743)
Impact of 1 % change in currency rate (+/-)	17,114	2,567

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Liquidity risk

Liquidity risk is the risk that the Group is unable to meet its financial obligations in a timely manner at reasonable prices. Liquidity problems can arise as a result of customer deposits being withdrawn as a large scale at a fast speed, unexpected cash requirements from contractual commitments, or other cash outflows, such as debt maturities. Such outflows would deplete available cash resources for customer lending, trading activities and investments. In extreme circumstances, lack of liquidity could result in reductions in the balance sheet and sales of assets, or potentially an inability to fulfil lending commitments.

Liquidity risk management process

Effective liquidity risk management is essential to maintain the confidence of depositors and counterparties, manage the Bank's cost of funds, and to support core business activities, even under adverse circumstances.

Liquidity risk is managed by the Board-approved Liquidity Risk Management Framework. It defines the Liquidity Risk Appetite of the Group; various liquidity risk triggers to monitor the short-term dynamics of balance sheet and medium to long term structure of its funding; roles and responsibilities of different divisions in the Group in relation to liquidity risk taking, measurement, monitoring and mitigation of liquidity risk; and articulates the contingency funding plan. Liquidity risk oversight is the responsibility of the ALCO and Management Risk Committee under the oversight of the Board Risk Committee. Based on the directives of the ALCO, the Treasury manages the liquidity of the Group.

As a contingency funding plan, the Bank evaluates and keeps ready debt financing plans which can be quickly executed if required.

Statutory reserve requirement

The Central Bank of the UAE has prescribed cash reserve requirements on deposits, 1% for time deposits and 14 % on current, saving, call and similar accounts (31 December 2023 - 11%).

Liquid assets

Liquid assets are a key component of liquidity management and the Bank holds these types of assets to meet potential needs for liquidity management. These assets are of high-credit rating and can be used to generate cash either through sale, repurchase agreements, or other transactions where these assets can be used as collateral to generate cash. Liquid assets include balances with the UAE Central Bank, Monetary Bills (M-Bills) issued by the Central Bank, and investment securities including investments in local government bonds.

Eligible liquid assets ratio

The Eligible Liquid Assets Ratio ("ELAR") is a measure to ensure banks hold minimum buffers of liquid assets as defined by the Central bank of the UAE. The ELAR requires the Bank to hold an amount equivalent to 10% of its total balance sheet liabilities (excluding those included in regulatory capital) in high-quality liquid assets. The ELAR of the Group stood at 16.4% as at 31 December 2024 (2023: 13.0%).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Liquidity risk (continued)

Lending to stable resources ratio

The Lending to Stable Resources Ratio (“LSRR”) is a measure that recognizes both the actual uses as well as the likely uses of funds in terms of the contractual maturity and behavioural profile of the sources of funds available to the Bank, in order to ensure that there are limited maturity mismatches and cliff effects. The LSRR is calculated as loans and advances (combined with inter-bank placements having a remaining term of greater than three months) to stable funds as defined by the Central Bank of the UAE. The Bank is subject to a regulatory maximum threshold for LSRR of 100%. The LSRR as at 31 December 2024, stood at 80.2% (31 December 2023: 82.1%).

Treasury management monitors the LSRR and ELAR ratios daily. The Bank has established internal Management Alert Triggers and Board Approved Risk Appetite Triggers to take suitable corrective actions once the internal thresholds have been reached.

Funding

On the funding side, the Group relies on deposits from its relationship-based retail banking, business banking and wholesale banking customers as its primary source of funding, and mainly relies on interbank borrowings to fund its assets in the short-run. The Group’s debt securities typically are issued with maturities of greater than two years. Deposits from customers generally have shorter maturities and a large portion of them are repayable on demand as is endemic to these markets. The short-term nature of these deposits increase the Group’s liquidity risk and the Bank manages this risk through maintaining competitive pricing and constant monitoring of market trends. Based on empirical evidence, most of the deposit customers of the Group are relationship based and it is observed that these deposits are sticky in nature, thus reducing the liquidity risk. The Group’s depositor profile is diverse leading to a more stable funding.

Contractual maturities and obligations

The table below analyses assets and liabilities of the Group into relevant maturity groupings based on the remaining years from the reporting date to the contractual cash flow date. The maturities of assets and liabilities and the ability to replace, at an acceptable cost, as they mature, are important factors in assessing the liquidity of the Group and its exposure to changes in interest and foreign exchange rates. Contractual undiscounted repayment obligations are not significantly different from those reported in the table below.

The Group has a large proportion of its liabilities as demand deposits which do not have a fixed maturity. Although behaviourally these deposits are stable, these have been grouped under up to 3 months category in accordance with the UAE Central Bank guideline.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Liquidity risk (continued)

The table below summarises the maturity profile of the Bank’s financial assets and liabilities as at 31 December 2024 and 2023.

At 31 December 2024	Up to 3 months AED'000	3 – 12 Months AED'000	1 - 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Provision for Credit loss AED'000	Total AED'000
Assets							
Cash and balances with the UAE Central Bank	8,770,312	-	-	-	-	-	8,770,312
Due from other banks	4,308,125	6,055,075	2,045,114	-	-	(47,714)	12,360,600
Loans and advances	12,279,149	6,984,612	12,770,591	4,986,947	13,052,695	(2,850,054)	47,223,940
Investment securities at fair value	1,052,516	188,588	1,804,776	3,144,229	2,969,213	-	9,159,322
Investment securities at amortised cost	1,433,563	2,007,843	1,958,408	699,231	1,390,073	(44,837)	7,444,281
Reinsurance contract assets	51,721	88,520	76,780	22,836	2,886	(11,165)	231,578
Customer acceptances	400,411	6,201	-	-	-	-	406,612
Goodwill and intangible assets	-	-	-	-	376,632	-	376,632
Property and equipment, Right of use asset and other assets	1,441,597	38,127	92,758	177,869	617,446	(15,667)	2,352,130
Total	29,737,394	15,368,966	18,748,427	9,031,112	18,408,945	(2,969,437)	88,325,407

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Liquidity risk (continued)							
At 31 December 2024	Up to 3 Months AED'000	3 - 12 months AED'000	1 - 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Provision Credit loss AED'000	Total AED'000
Liabilities and Equity							
Due to other banks	2,975,976	3,156,062	967,437	-	-	-	7,099,475
Deposit from customers	51,628,077	7,718,576	302,182	841	2	-	59,649,678
Debts securities issue and other long-term borrowings	-	-	2,754,154	2,183,664	-	-	4,937,818
Insurance contract liabilities	51,108	280,245	114,583	29,436	5,949	-	481,321
Customer acceptances	400,411	6,201	-	-	-	-	406,612
Other liabilities, lease liabilities and Deferred tax liability	2,727,453	30,577	77,117	153,923	49,643	-	3,038,713
Subordinated note	-	-	-	-	915,111	-	915,111
Shareholders' equity	-	-	-	-	11,796,679	-	11,796,679
Total	57,783,025	11,191,661	4,215,473	2,367,864	12,767,384	-	88,325,407
Net cumulative liquidity gap	(28,045,631)	(23,868,326)	(9,335,372)	(2,672,124)	2,969,437	-	-
At 31 December 2023							
Total assets	24,584,916	14,002,093	14,545,137	7,792,079	15,682,691	(2,652,282)	73,954,634
Total liabilities and equity	48,250,314	11,405,624	2,398,429	1,335,501	10,564,766	-	73,954,634
Net cumulative liquidity gap	(23,665,398)	(21,068,929)	(8,922,221)	(2,465,643)	2,652,282	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Liquidity risk (continued)							
31-December-2024	Up to 3 months AED'000		3 to 12 months AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Total AED'000
	3,025,591		3,304,738	1,140,209	-	-	7,470,538
	52,000,787		8,055,204	324,954	957	2	60,381,904
	62,505		62,505	3,449,128	2,433,684	-	6,007,822
	26,862		26,862	107,447	107,447	1,197,159	1,465,777
Grand Total	55,115,745	11,449,309	5,021,738	2,542,088	1,197,161	75,326,041	
31-December-2023	Up to 3 months AED'000		3 to 12 months AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Total AED'000
Due to other banks	3,780,188		1,983,730	-	1,413,461	-	7,177,379
Deposits from customers	42,735,091		7,579,520	646,440	37,894	-	50,998,945
Debt securities issued and other long term borrowings	-		1,868,388	1,965,618	-	-	3,834,006
Subordinated note	-		-	-	-	-	-
Grand Total	46,515,279	11,431,638	2,612,058	1,451,355	-	62,010,330	

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)****40. Financial risk management (continued)***Liquidity risk (continued)**Off-balance sheet items*

	No later than 1 year AED'000	1-5 years AED'000	Over 5 years AED'000	Total AED'000
At 31 December 2024				
Credit commitments	3,207,468			3,207,468
Letter of credits and guarantees	2,535,035	371,517	510	2,907,062
Total	5,742,503	371,517	510	6,114,530
At 31 December 2023				
Credit commitments	3,449,262	197,254	-	3,646,516
Letter of credits and guarantees	1,425,588	534,097	126	1,959,811
Total	4,874,850	731,351	126	5,606,327

*Financial instruments**Categories of financial instruments*

The following tables analyse the Group's financial assets and financial liabilities in accordance with categories of financial instruments under IFRS 9:

	At amortized cost AED'000	Fair value through comprehensiv e income AED'000	Hedging derivatives AED'000	Fair value through profit or loss AED'000	Total AED'000
At 31 December 2024					
Assets					
Investment securities	7,444,281	8,705,607	-	453,715	16,603,603
Derivative financial instruments	-	-	67,327	435,343	502,670
Cash and balances with the UAE central Bank	8,770,312	-	-	-	8,770,312
Due from other banks	12,360,600	-	-	-	12,360,600
Loans and advances	47,223,940	-	-	-	47,223,940
Reinsurance contract assets	231,578	-	-	-	231,578
Customer acceptances	406,612	-	-	-	406,612
Total financial assets	76,437,323	8,705,607	67,327	889,058	86,099,315
Liabilities					
Due to other banks	7,099,475	-	-	-	7,099,475
Deposits from customers	59,649,678	-	-	-	59,649,678
Debt securities issued and other long-term borrowings	4,937,818	-	-	-	4,937,818
Insurance contract liabilities	481,321	-	-	-	481,321
Derivative financial instruments	-	-	30,245	413,626	443,871
Customer acceptances	406,612	-	-	-	406,612
Subordinated note	915,111	-	-	-	915,111
Total financial liabilities	73,490,015	-	30,245	413,626	73,933,886

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)****40. Financial risk management (continued)***Financial instruments (continued)**Categories of financial instruments (continued)*

	At amortized cost AED'000	Fair value through comprehensiv e income AED'000	Hedging derivatives AED'000	Fair value through profit or loss AED'000	Total AED'000
At 31 December 2023					
Assets					
Investment securities	7,199,529	5,792,514	-	246,024	13,238,067
Derivative financial instruments	-	-	57,516	458,576	516,092
Cash and balances with the UAE central Bank	5,725,115	-	-	-	5,725,115
Due from other banks	12,386,496	-	-	-	12,386,496
Loans and advances	39,467,500	-	-	-	39,467,500
Reinsurance contract assets	176,312	-	-	-	176,312
Customer acceptances	273,350	-	-	-	273,350
Total financial assets	65,228,302	5,792,514	57,516	704,600	71,782,932
Liabilities					
Due to other banks	6,717,589	-	-	-	6,717,589
Deposits from customers	50,395,142	-	-	-	50,395,142
Debt securities issued and other long-term borrowings	3,482,001	-	-	-	3,482,001
Insurance contract liabilities	383,311	-	-	-	383,311
Derivative financial instruments	-	-	21,614	433,413	455,027
Customer acceptances	273,350	-	-	-	273,350
Subordinated note	-	-	-	-	-
Total financial liabilities	61,251,393	-	21,614	433,413	61,706,420

The following tables analyse the Group's financial assets and financial liabilities in accordance with categories of financial instruments under IFRS 9:

Fair value hierarchy

The fair value measurements are categorised into different levels in the fair value hierarchy based on the inputs to valuation techniques used. The different levels are defined as follows:

Quoted market prices - Level 1

Financial instruments are classified as Level 1 if their values are observable in an active market. Such instruments are valued by reference to unadjusted quoted prices for identical assets or liabilities in active markets where the quoted price is readily available, and the price represents actual and regularly occurring market transactions.

Valuation techniques using observable inputs - Level 2

Financial instruments classified as Level 2 have been valued using models whose inputs are observable in an active market. Valuation based on observable inputs include financial instruments such as forwards foreign exchange contracts which are valued using market standard pricing techniques.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

40. Financial risk management (continued)

Financial instruments (continued)

Fair value hierarchy (continued)

Valuation techniques using significant unobservable inputs - Level 3

Financial instruments are classified as Level 3 if their valuation incorporates significant inputs that are not based on observable market data (unobservable inputs). A valuation input is considered observable if it can be directly observed from a transaction in an active market.

Unobservable input levels are generally determined based on observable inputs of a similar nature, historical observations or other analytical techniques.

This hierarchy requires the use of observable market data when available. The Bank considers relevant and observable market prices in its valuations where possible. The table below analyses recurring fair value measurements for assets and liabilities.

Financial assets measured	Level	Valuation techniques and key inputs
FVTPL Quoted debt investments	Level 1	Quoted mid prices in an active market
Quoted equity investments	Level 1	Quoted mid prices in an active market
Unquoted debt investments	Level 2	Based on the recent similar transaction in market
Unquoted debt investments	Level 3	Based on discounted cash flow model
Mutual and other funds	Level 2	Quoted prices in secondary market.

The assets and liabilities measured at fair value as per the hierarchy are disclosed in the table below:

	Quoted market prices Level 1 AED'000	Observable inputs Level 2 AED'000	Significant unobservable inputs Level 3 AED'000	Total AED'000
31 December 2024				
Asset at fair value				
<u>Through other comprehensive income</u>				
Investment securities – debt	7,861,347	360,763	-	8,222,110
Investment securities – equity	483,497	-	-	483,497
<u>Through profit and loss</u>				
Investment market fund	92,958	-	47,901	140,859
Investment securities – debt	258,549	-	-	258,549
Investment securities – equity	54,307	-	-	54,307
Assets acquired in settlement of debts	-	-	-	-
Derivative financial instruments	-	502,670	-	502,670
	8,750,658	863,433	47,901	9,661,992
Liabilities at fair value				
Derivative financial instruments	-	443,871	-	443,871
	-	443,871	-	443,871

There are no transfers between levels during the year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

40. Financial risk management (continued)

Financial instruments (continued)

Fair value hierarchy (continued)

	Quoted market prices Level 1 AED'000	Observable inputs Level 2 AED'000	Significant unobservable inputs Level 3 AED'000	Total AED'000
31 December 2023				
Asset at fair value				
<u>Through other comprehensive income</u>				
Investment securities – debt	5,232,837	113,863	-	5,346,700
Investment securities – equity	445,814	-	-	445,814
<u>Through profit and loss</u>				
Investment market fund	71,091	-	43,960	115,051
Investment securities – debt	112,009	-	-	112,009
Investment securities – equity	18,964	-	-	18,964
Assets acquired in settlement of debts	-	73,500	-	73,500
Derivative financial instruments	-	516,092	-	516,092
	5,880,715	703,455	43,960	6,628,130
Liabilities at fair value				
Derivative financial instruments	-	455,027	-	455,027
	-	455,027	-	455,027

There were no transfers between levels during the year.

The movement in the level 3 financial assets were due to exchange differences and changes in fair value.

Reconciliation of Level 3 fair value measurement of financial assets measured at FVOCI

Investment securities - equity	2024 AED'000	2022 AED'000
At 1 January	-	5,240
Purchases	-	-
Disposals/matured/written-off	-	(5,240)
Change in fair value	-	-
At 31 December	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Financial instruments (continued)

Fair value hierarchy (continued)

Reconciliation of Level 3 fair value measurement of financial assets measured at FVTPL

Investment market fund	2024 AED'000	2023 AED'000
At 1 January	43,960	41,425
Purchases	-	-
Disposals/matured	-	-
Change in fair value	3,941	2,535
At 31 December	47,901	43,960

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (continued)

40. Financial risk management (continued)

Financial instruments (continued)

Fair values of financial assets and liabilities

Fair value is the amount for which an asset could be exchanged, or a liability settled between knowledgeable, willing parties in an arm's length transaction. Consequently, differences can arise between the carrying values and fair value estimates of financial assets and liabilities. At 31 December, the carrying value of the Group's financial assets and liabilities approximates their fair values:

	Fair value		Carrying value	
	31 December 2024 AED'000	31 December 2023 AED'000	31 December 2024 AED'000	31 December 2023 AED'000
Assets				
Loans and advances	47,162,268	39,649,047	47,223,940	39,467,500
Investment securities measured at fair value	9,159,322	6,038,538	9,159,322	6,038,538
Investment securities measured at amortised cost	7,443,511	7,147,308	7,444,281	7,199,529
Cash and balances with the UAE central Bank	8,770,312	5,725,115	8,770,312	5,725,115
Due from other banks	12,201,002	12,143,008	12,360,600	12,386,496
Total financial assets	84,736,415	70,703,016	84,958,455	70,817,178
Liabilities				
Due to other banks	7,256,335	6,858,658	7,099,475	6,717,589
Deposits from customers	59,707,909	50,358,220	59,649,678	50,395,142
Debt securities issued and other long term borrowings	5,159,121	3,529,614	4,937,818	3,482,001
Subordinated note	921,427	-	915,111	-
Total financial liabilities	73,044,792	60,746,492	72,602,082	60,594,732

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Capital Management

Overview

The Bank is committed to maintaining a strong capital base to support the risks associated with its diversified business activity and to meet regulatory capital requirements at all times. Strong capital levels contribute to financial safety for the Bank’s customers, fosters investor confidence, and supports our credit ratings. It also allows the Bank to take advantage of current and future business opportunities as they arise and to enhance shareholder returns through dividends.

The Bank has a comprehensive internal capital adequacy assessment process (“ICAAP”) aimed at ensuring the Bank’s capital is adequate to meet current and potential future risks and achieve its strategic objectives.

Governance and Oversight

Capital is managed in accordance with the Board-approved Capital Management Policy. The Board oversees capital adequacy and capital management by reviewing adherence to capital targets and approving the annual capital and strategic plan. Senior management within Finance, Treasury, Enterprise Risk are responsible for reviewing the ongoing adherence to established capital targets in support of the effective and prudent management of the Bank’s capital position and maintenance of adequate capital. Finance is responsible for computing, forecasting, and monitoring compliance with capital targets, with oversight provided by the Asset and Liability Committee (“ALCO”).

Risk Appetite Statement

The Bank has a defined Risk Appetite Statement which establishes the risk tolerance to capital limits. It encompasses the targets with respect to regulatory capital thresholds and other risk-based parameters. These thresholds drive behaviour to ensure the Bank achieves its objective of exceeding regulatory and capital targets, managing capital levels commensurate with the risk profiles of the Bank, maintains strong credit ratings, and provides the Bank’s shareholders with acceptable returns.

Regulatory Capital Requirements

The Bank is subject to the capital adequacy requirements as published by the Basel Committee on Banking Supervisions (“BCBS”) and commonly referred to as Basel III. Under Basel III, there are three primary risk-based regulatory capital ratios used to assess capital adequacy: Common Equity Tier 1 (“CET1”), Tier 1, and Total Capital, which are determined by dividing those capital components by risk-weighted assets (“RWA”).

As per the Central Bank of UAE Regulation for Basel III, the Minimum Capital requirement includes a Capital Conservation Buffer of 2.5% for 2024, which is in the form of CET1. Regulatory minimum requirements are thus 9.5% CET1, 11% Tier 1, and 13% Total.

Additionally, Central Bank of UAE regulation dated 22 April 2020 provides for a “Prudential Filter” that permits Banks and Finance Companies to add back increases in IFRS 9 provisions to the regulatory capital over a transition period of 5 years, on a proportionate basis.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Capital Management (continued)

Capital structure and capital adequacy⁽¹⁾ as at 31 December

	31 December 2024 AED'000	31 December 2023 AED'000
<i>Tier 1 capital</i>		
Ordinary share capital	2,011,495	2,011,495
Legal and other reserves	4,214,933	4,209,900
Retained earnings	3,669,608	2,632,066
Current year profit	2,060,205	1,782,917
Dividend	(1,005,747)	(623,563)
Tier 1 capital base	10,950,494	10,012,815
Total regulatory adjustments	(364,155)	(344,951)
Tier 1 Capital base after Regulatory Adjustments	10,586,339	9,667,864
 General Provisions	 716,172	627,287
Subordinated note	918,250	-
Total Tier 2 capital base	1,634,422	627,287
 Total capital base	 12,220,761	10,295,151
 <i>Risk weighted assets</i>		
Credit risk	57,293,830	50,182,963
Market risk	3,077,707	1,412,204
Operational risk	7,159,154	6,210,430
 Total risk weighted assets	 67,530,691	57,805,597
 Regulatory Capital		
Common Equity Tier 1 Ratio	15.68%	16.72%
Tier 1 ratio	15.68%	16.72%
 Tier 2 ratio	 2.42%	1.09%
 Total Capital adequacy ratio	 18.10%	17.81%

(1) Regulatory capital ratios are based upon the Central Bank of the UAE "Standards for Capital Adequacy of Banks in the UAE" which were published on 12 November 2020

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

40. Financial risk management (continued)

Capital Management (continued)

Capital Management – Insurance subsidiary

The Insurance subsidiary’s objectives when managing capital, are:

- to comply with the insurance capital requirements required by UAE Federal Law No. (48) of 2023 (previously Federal Law No. 6 of 2007, as amended), concerning Financial Regulations of Insurance Companies issued by the Central Bank of United Arab Emirates and regulation of its operations;
- to protect its policyholders’ interests;
- to safeguard the Company’s ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to provide an adequate return to shareholders by pricing insurance contracts commensurately with the level of risk.

The minimum required capital for the insurance subsidiary is AED 100 millio (2023: AED 100 million) against which the total paid up capital held for the insurance subsidiary is AED 121.275 million (2023: AED 121.275 million).

The solvency regulations identify the required Solvency Margin to be held in addition to insurance liabilities. The Solvency Margin (presented in the table below) must be maintained at all times throughout the year. The Company is subject to solvency regulations which it has complied with during the year. The Company has incorporated in its policies and procedures the necessary tests to ensure continuous and full compliance with such regulations. The table below summarises the Minimum Capital Requirement, Minimum Guarantee Fund and Solvency Capital Requirement of the Company and the total capital held to meet these required Solvency Margins.

	2024	2023
	AED	AED
	AED'000	AED'000
Minimum Capital Requirement (MCR)	100,000	100,000
Solvency Capital Requirement (SCR)	88,794	68,817
Minimum Guarantee Fund (MGF)	68,522	69,303
Basic Own Funds	142,976	139,201
MCR Solvency Margin - Minimum Capital Requirement surplus	42,976	39,201
SCR Solvency Margin - Solvency Capital Requirement surplus	54,182	70,384
MGF Solvency Margin – Minimum Guarantee Fund surplus	74,454	69,898

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

41. Insurance risk

The risk under any one insurance contract is the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of an insurance contract, this risk is random and therefore unpredictable. The Group writes the general, medical and life insurance contracts. General insurance contracts of the Group include Liability, Property, Motor, Fire, Marine and Engineering insurance contracts. Medical insurance contracts include both individual and group medical insurance contracts. Life insurance contracts include group, retail and credit life insurance contracts.

The principal risk the Group faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Group is to ensure that sufficient reserves are available to cover these liabilities.

Risk management framework

The above risk exposure is mitigated by diversification across a large portfolio of insurance contracts. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements. The Group mainly issues short term insurance contracts.

Two key elements of the Group's insurance risk management framework are its underwriting strategy and reinsurance strategy, as discussed below.

Underwriting strategy

The Group's underwriting strategy is to build balanced portfolios based on a large number of similar risks. This reduces the variability of the portfolio’s outcome.

The underwriting strategy is set out by the Group that establishes the classes of business to be written, the territories in which business is to be written and the industry sectors in which the Group is prepared to underwrite. This strategy is cascaded by the business units to individual underwriters through detailed underwriting authorities that set out the limits that any one underwriter can write by line size, class of business, territory and industry in order to ensure appropriate risk selection within the portfolio.

Reinsurance strategy

The Group reinsures a portion of the insurance risks it underwrites in order to control its exposure to losses and protect capital resources.

Ceded reinsurance contains credit risk. The Group has a Reinsurance department that is responsible for setting the minimum security criteria for acceptable reinsurance and monitoring the purchase of reinsurance by the business units against those criteria. The department monitors developments in the reinsurance programme and its ongoing adequacy.

The Group enters into a combination of proportionate and non-proportionate reinsurance treaties to reduce the net exposure to the Group. In addition, underwriters are allowed to buy facultative reinsurance in certain specified circumstances.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

41. Insurance risk (continued)

Frequency and severity of claims

The Group manages insurance risks through its underwriting strategy, adequate reinsurance arrangements and proactive claims handling. The underwriting strategy attempts to ensure that the underwritten risks are well diversified in terms of type and amount of risk, industry and geography. Underwriting limits are in place to enforce appropriate risk selection criteria, as well as the use of reinsurance arrangements.

The Group has the right not to renew individual policies, re-price the risk, impose deductibles and reject the payment of a fraudulent claim for both short and long-term insurance contracts. Insurance contracts also entitle the Group to pursue third parties for payment of some or all costs (for example, subrogation).

The reinsurance arrangements include excess of loss and catastrophe coverage. The effect of such reinsurance arrangements is that the Group should not suffer net insurance losses above a set limit. In addition to the overall Group’s reinsurance program, business units are permitted to purchase additional facultative reinsurance protection, if needed. Whenever required, the Group engages professional competent surveyors for claims management. The surveyors using their market knowledge and expertise may investigate and recommend adjustments to claims. The claims are reviewed individually at least once a year and adjusted to reflect the latest information on the underlying facts.

Sources of uncertainty in the estimation of future claim payments

Claims on insurance contracts are payable on a claims-occurrence basis. The Group is liable for all insured events that occurred during the term of the contract, even if the loss is discovered after the end of the contract term. The estimation of IBNR is generally subject to a greater degree of uncertainty than the estimation of the cost of settling claims already notified to the Group, where information about the claim event is available. IBNR claims may not be apparent to the insured until several months, quarters and sometimes years after the event that gave rise to the claims. For some insurance contracts, the IBNR proportion of the total liability is high and will typically display greater variations between initial estimates and final outcomes because of the greater degree of difficulty of estimating these liabilities. In estimating the liability for the cost of reported claims not yet paid, the Group considers information available from loss adjusters and information on the cost of settling claims with similar characteristics in previous periods. The Group involved an independent external actuary as well. Large claims are assessed on a case-by-case basis or projected separately in order to allow for the possible distortive effect of their development and incidence on the rest of the portfolio.

The estimated cost of claims includes direct expenses to be incurred in settling claims, net of the expected subrogation value and other recoveries. The Group takes all reasonable steps to ensure that it has appropriate information regarding its claims exposures.

The liability for these contracts comprises a provision for IBNR and a provision for reported claims not yet paid at the end of the reporting period.

The amount of insurance claims is in some cases sensitive to the level of court awards and to the development of legal precedent on matters of contract and tort.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

41. Insurance risk (continued)

Sources of uncertainty in the estimation of future claim payments (continued)

Where possible, the Group adopts multiple techniques to estimate the required level of provisions. This provides a greater understanding of the trends inherent in the experience being projected. The projections given by the various methodologies also assist in estimating the range of possible outcomes. The most appropriate estimation technique is selected taking into account the characteristics of the business class and the extent of the development of each accident year.

In calculating the estimated cost of unpaid claims (both reported and not), the Group’s estimation techniques are based on Actuarial calculation which can be based purely on historical development of claims or Expected Loss Ratios or a combination of both. The method and weightage are based on the merit of the line of business. The Expected Loss-Ratio estimate is an important assumption in the estimation technique and is based on previous years’ experience, adjusted for factors such as premium rate changes, anticipated market experience and historical claims inflation.

The Group believes that the claim liabilities under insurance contracts outstanding at the year-end are adequate. However, the insurance claim liabilities are sensitive to the various assumptions.

Concentration of insurance risk

Substantially all of the Group’s underwriting activities related to insurance are carried out in the United Arab Emirates. In common with other insurance companies, in order to minimise financial exposure arising from large insurance claims, the Group, in the normal course of business, enters into arrangement with other parties for reinsurance purposes.

To minimise its exposure to significant losses from reinsurer insolvencies, the Group primarily deals with reputed counter parties and monitors the receivable position from these parties on a regular basis.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

42. Critical accounting estimates and judgments in applying accounting policies

The Group’s consolidated financial statements and its financial results are influenced by accounting policies, assumptions, estimates and management judgement, which necessarily have to be made in the course of preparation of the consolidated financial statements. The Group makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. All estimates and assumptions required in conformity with IFRS are best estimates undertaken in accordance with applicable standards. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Accounting policies and management judgement for certain items are especially critical for the Group’s results and financial situation due to their materiality.

(a) Critical judgments in applying the group’s accounting policies - IFRS 9

The following are the critical judgments, apart from those involving estimations, that the management has made in the process of applying the Group’s accounting policies and that have the most significant effect on the amounts recognised in financial statements:

▪ Business model assessment

Classification and measurement of financial assets depends on the results of the “solely payments of principal and interest” and the business model test. The Group determines the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment reflecting all relevant evidence including how the performance of the assets are evaluated and measured, the risks that affect the performance of the assets and how they are managed and how the managers of the assets are compensated. The Group monitors financial assets measured at amortised cost or fair value through other comprehensive income that are derecognised prior to their maturity to understand the reason for their disposal and whether the reasons are consistent with the objective of the business for which the asset was held. Monitoring is part of the Group’s continuous assessment of whether the business model for which the remaining financial assets are held continues to be appropriate and if it is not appropriate, whether there has been a change in business model resulting in a prospective change to the classification of those assets.

▪ Significant increase of credit risk

ECL are measured as an allowance equal to 12-month ECL for stage 1 assets, or lifetime ECL for stage 2 or stage 3 assets. An asset moves to stage 2 when its credit risk has increased significantly since initial recognition. IFRS 9 does not define what constitutes a significant increase in credit risk. In assessing whether the credit risk of an asset has significantly increased, the Group takes into account qualitative and quantitative reasonable and supportable forward-looking information.

The broad level factors that are considered to determine whether a financial asset has experienced SICR are: days past due of more than 30 days on its contractual payments and various other qualitative factors that include changes in current Credit ratings vis-à-vis initial credit ratings as per the defined Graded SICR thresholds (mainly used for non-retail, due from banks and Investment portfolio), Risk Bureau classification of the customer, Whether an exposure has been restructured since initial recognition. The criteria may be rebutted on a case-by-case basis, depending upon actual situation/credit Quality of financial asset/customer.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

42. Critical accounting estimates and judgments in applying accounting policies (continued)

(a) Critical judgments in applying the group’s accounting policies - IFRS 9 (continued)

Definition of default and credit-impaired assets:

Group defines a non-retail, retail and investment instrument as in default, which is largely aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

Quantitative criteria

The borrower is 90 (or more) days past due on its contractual payments.

Qualitative criteria:

The bank classifies the loans as Non-performing account (NPA) when:

- Such loans, which may lead to incurring of some loss due to adverse factors (financial, economic, legal, political or managerial) which may hinder repayment, or due to weakening of security.
- Loans whose full recovery seems doubtful on the basis of information available, leading, generally, to a loss of part of these loans (when the financial position of the customer and securities are not sufficient).

Loans where bank has exhausted all courses of action available but failed to recover anything, or where there is a possibility that nothing shall be recovered

▪ Establishing groups of assets with similar credit risk characteristics

When ECLs are measured on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics according to product. The Group monitors the appropriateness of the credit risk characteristics on an ongoing basis to assess whether they continue to be similar. This is required in order to ensure that should credit risk characteristics change there is appropriate re-segmentation of the assets. This may result in new portfolios being created or assets moving to an existing portfolio that better reflects the similar credit risk characteristics of that group of assets. Re-segmentation of portfolios and movement between portfolios is more common when there is a significant increase in credit risk (or when that significant increase reverses) and so assets move from 12-month to lifetime ECLs, or vice versa, but it can also occur within portfolios that continue to be measured on the same basis of 12-month or lifetime ECLs but the amount of ECL changes because the credit risk of the portfolios differ.

▪ Models and assumptions used

The Group uses various models and assumptions in measuring fair value of financial assets as well as in estimating ECL. Judgement is applied in identifying the most appropriate model for each type of asset, as well as for determining the assumptions used in these models, including assumptions that relate to key drivers of credit risk.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

42. Critical accounting estimates and judgments in applying accounting policies (continued)

(b) Classification of and measurement of financial assets and liabilities

The Group classifies financial instruments, or its component parts, at initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual agreement and the definitions of the instruments. The substance of the financial instrument, rather than the legal form, governs its reclassification in the statement of financial position.

The Group determines the classification at initial recognition and, when allowed and appropriate, re-evaluates this designation at every statement of financial position date.

In measuring financial assets and liabilities, some of the Group’s assets and liabilities are measured at a fair value for financial reporting purposes. In estimating the fair value of an asset or a liability, the Group uses market-observable data to the extent it is available. Where Level 1 inputs are not available, the Group engages independent professionally qualified valuers to perform the valuation. The Bank works closely with the qualified external valuers to establish the appropriate valuation techniques and inputs to the model.

(c) Fair value measurement

Where the fair values of financial assets and financial liabilities recorded on the consolidated statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The inputs to these models are derived from observable market data where possible, but where observable market data are not available, judgment is required to establish fair values. The judgments include considerations of liquidity and model inputs such as volatility for longer dated derivatives, discount rates, prepayment rates and default rate assumptions for asset backed securities. The Management believes that the chosen valuation techniques and assumptions used are appropriate in determining the fair value of financial instruments.

(d) Derivative financial instruments

Subsequent to initial recognition, the fair values of derivative financial instruments measured at fair value are generally obtained by reference to quoted market prices, discounted cash flow models and recognised pricing models as appropriate. When prices are not available, Bank uses Counterparty valuations (third party valuations) or fair values are determined by using valuation techniques which refer to observable market data. These include comparison with similar instruments where market observable prices exist, discounted cash flow analysis, option pricing models and other valuation techniques commonly used by market participants. The main factors which management considers when applying a model are:

- (i) The likelihood and expected timing of future cash flows on the instrument. These cash flows are usually governed by the terms of the instrument, although management judgment may be required in situations where the ability of the counterparty to service the instrument in accordance with the contractual terms is in doubt; and
- (ii) An appropriate discount rate of the instrument. Management determines this rate, based on its assessment of the appropriate spread of the rate for the instrument over the risk-free rate. When valuing instruments by reference to comparable instruments, management takes into account the maturity, structure and rating of the instrument with which the position held is being compared

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

42. Critical accounting estimates and judgments in applying accounting policies (continued)

(e) Provision for outstanding claims, whether reported or not

Considerable judgment by the management is required in the estimation of amounts due to the contract holders arising from claims made under insurance contracts. Such estimates are necessarily based on significant assumptions about several factors involving varying, and possible significant, degrees of judgment and uncertainty and actual results may differ from management’s estimates resulting in future changes in estimated liabilities.

In particular, estimates have to be made both for the expected ultimate cost of claims reported at the date of statement of financial position and for the expected ultimate cost of claims incurred but not reported (“IBNR”) at the date of statement of financial position. Claims requiring court or arbitration decisions are estimated individually. Independent loss adjusters normally estimate property claims. Management reviews its provisions for claims incurred and IBNR claims regularly.

(f) Useful lives of property and equipment

The management determines the useful lives of property and equipment and the related depreciation charge. The depreciation charge for the year will change significantly if the actual life is different from the estimated useful life of the asset. The review carried out by management in the current year did not indicate any necessity for changes in the useful lives of property and equipment.

(g) Impairment of goodwill and license

Goodwill

The calculation of value-in-use is sensitive to the following assumptions:

(i) Growth rate

Growth rates are based on the management’s assessment of the market share having regard to the forecasted growth and demand for the products offered. Terminal growth rate of 3.5% per annum has been applied in the calculation.

(ii) Profit margins

Profit margins are based on the management’s assessment of the performance potential of the cash generating unit for the next three years.

(iii) Discount rates

Management has used the discount rate of 8.20% per annum throughout the assessment period, reflecting the estimated weighted average cost of capital of the Group and specific market risk profile.

No impairment is triggered even if growth rate and discount rate are stressed by 2%.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

42. Critical accounting estimates and judgments in applying accounting policies (continued)

(g) Impairment of goodwill and license (continued)

License

The calculation of value-in-use is sensitive to the following assumptions:

(iv) Growth rate

Growth rates are based on the management’s assessment of the market share having regard to the forecasted growth and demand for the products offered. Terminal growth rate of 3.5% per annum has been applied in the calculation.

(v) Profit margins

Profit margins are based on the management’s assessment of the performance potential of the cash generating unit for the next three years.

(vi) Discount rates

Management has used the discount rate of 8.20% per annum throughout the assessment period, reflecting the estimated weighted average cost of capital of the Group and specific market risk profile.

Even if the group stress the growth rate and discount rate by 2% there would be enough headroom and no impairment would be triggered.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
 (continued)

42. Critical accounting estimates and judgments in applying accounting policies (continued)

(h) Measurement of ECL under IFRS 9

The following are key estimations that the management has used in the process of applying the Group’s accounting policies and that have the most significant effect on the amounts recognised in financial statements:

- *Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and determining the forward looking information relevant to each scenario:* When measuring ECL the Group uses reasonable and supportable forward looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other.
- *Probability of default:* PD constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.
- *Loss Given Default:* LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, taking into account cash flows from collateral and integral credit enhancements.
- EAD is an estimate of the current exposure for funded facilities. For non-funded facilities the EAD is taken as the *product* of the applicable credit conversion factors and contract values. Exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, and expected drawdowns on committed facilities

(i) Critical judgments in applying the group’s accounting policies for “IFRS 16 – Leases”

The following are the critical judgments, apart from those involving estimations, that the management has made in the process of applying the Group’s accounting policies and that have the most significant effect on the amounts recognised in consolidated financial statements:

Determining the lease term

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee.

The amount payable under residual value guarantees

The Group initially estimates and recognises amounts expected to be payable under residual value guarantees as part of the lease liability. The amounts are reviewed, and adjusted if appropriate, at the end of each reporting period.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

42. Critical accounting estimates and judgments in applying accounting policies (continued)

(j) Process used to decide on insurance contract assumptions

The risks associated with insurance contracts are complex and subject to a number of variables that complicate quantitative sensitivity analysis. The Group uses assumptions based on a mixture of internal and market data to measure its claims liabilities. Internal data is derived mostly from the Group’s quarterly claims reports and screening of the actual insurance contracts carried out at the end of the reporting period to derive data for the contracts held. The Group has reviewed the individual contracts and the actual exposure years of claims. This information is used to develop scenarios related to the latency of claims that are used for the projections of the ultimate number of claims.

The Group uses several statistical methods to incorporate the various assumptions made in order to estimate the ultimate cost of claims. The two methods more commonly used are the chain-ladder and the Bornhuetter-Ferguson methods.

Chain-ladder methods may be applied to premiums, paid claims or incurred claims (for example, paid claims plus case estimates). The basic technique involves the analysis of historical claims development factors and the selection of estimated development factors based on this historical pattern. The selected development factors are then applied to cumulative claims data for each accident year that is not yet fully developed to produce an estimated ultimate claims cost for each accident year. Chain-ladder techniques are most appropriate for those accident years and classes of business that have reached a relatively stable development pattern. Chain-ladder techniques are less suitable in cases in which the insurer does not have a developed claims history for a particular class of business.

The Bornhuetter-Ferguson method uses a combination of a benchmark or market- based estimate and an estimate based on claims experience. The former is based on a measure of exposure such as premiums; the latter is based on the paid or incurred claims to date. The two estimates are combined using a formula that gives more weight to the experience-based estimate as time passes. This technique has been used in situations in which developed claims experience was not available for the projection (recent accident years or new classes of business).

The choice of selected results for each accident year of each class of business depends on an assessment of the technique that has been most appropriate to observed historical developments. In certain instances, this has meant that a weighted average of different techniques has been selected for individual accident years or groups of accident years within the same class of business. The Group has an internal actuary and independent external actuaries are also involved in the valuation of technical reserves of the Group and has used historical data for the past 9 years.

Substantially all of the Group’s underwriting activities are carried out in the United Arab Emirates. In common with other insurance companies, in order to minimise financial exposure arising from large insurance claims, the Group, in the normal course of business, enters into arrangement with other parties for reinsurance purposes.

To minimise its exposure to significant losses from reinsurer insolvencies, the Group evaluates the financial condition of its reinsurers and monitors concentrations of credit risk arising from similar geographic regions, activities or economic characteristics of the reinsurers. Reinsurance ceded contracts do not relieve the Group from its obligations to policyholders. The Group remains liable to its policyholders for the portion reinsured to the extent that any reinsurer does not meet the obligations assumed under the reinsurance agreements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024
(continued)

43. Social contributions

The social contributions made (including donations and charity) during the year to various beneficiaries amounted to AED 1.1 million (2023: AED 0.81 million).

44. Subsequent Events

The Board of Directors have proposed a cash dividend of 50 fils per share at their meeting held on 23 January 2025.

45. Approval of the consolidated financial statements

The consolidated financial statements were approved on 23 January 2025.